ORGANISATIONAL BEHAVIOUR

MBA, SEMESTER-I

According to the new syllabus of **'Savitribai Phule Pune University, Pune'**

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Organisational Behaviour

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"Dedicated to
my Father, ***Late Mr. Bhanudas Sokriba Dadas"***

- Dr. Anand B. Dadas

"Dedicated to
Shri Akkalkot Swami Samarth,
my Father, ***Late Adv. Krishna Vyas***
&
my Mother, ***Dr. Anuradha Vyas,***
my Wife, ***Mrs. Mugdha Vyas***
&
my Sons, ***Vedant*** *and* ***Mohanish"***

- Prof. Ashish Krishna Vyas

"Dedicated to
my Wife, ***Laxmi Saha,***
Sons ***Minto Shelley*** *&* ***Sanket Shelley***
&
one of the inspiring
Teacher, ***Mr. Dolo Saha***
for their love, understanding and emotional support"
"Thank you & Thank God"

- Prof. Lambodar Saha

Preface

A major goal of this book of **"Organisational Behaviour"** is not just to explain fundamental theories and concepts of Organisational Behaviour but to help students apply those theories and concepts to their personal lives and work lives. This book explains how to effectively manage behaviour in organisations. Managing OB involves acquiring, developing, managing and applying the knowledge, skills and abilities of people.

This book has been specifically written for students of **MBA, First Semester** as per the new syllabus of **Savitribai Phule Pune University**. This book will help students to better understand the relevance of managing people and to integrate these concepts with knowledge gained in other core business courses.

The five units of this book have been designed to effectively present an overview of the challenges that managers and employees face in today's competitive organisations.

The discussion questions at the end of units can be used as a basis for class discussion as a change for teachers to test students learning. A comprehensive university question papers has been prepared for both students and teachers to accompany this edition of OB.

We welcome feedback on the material presented here. We are grateful for the editorial assistance of those who eliminated many errors and made the text more readable. We are looking forward for your suggestions and valuable cooperation.

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Website, **www.tppl.org.in**

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I take this opportunity to thank all those who stood by my and instilled in me the faith that I could turn my knowledge and experience into an Organizational Behaviour book. I would like to thank Integral University for opening the gates for me. It gave me the resources to realize that there is no limit to the academic research.

My sincere thanks to **Dr. P. C. Sejwalkar** and **Dr. C. M. Chitale** for taking out time from their busy schedule to guide me for the book. **Dr. B. V. Sangavikar** has supported and encouraged me at every stage of this book. She was always generous enough to stand by me and even help me in data analysis also.

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- Dr. Anand B. Dadas

I am thankful to my Father, **Adv. Krishna Vyas** who is passed away but would have liked to see this book and my mother, **Dr. Anuradha Vyas** for their blessings. My wife **Mrs. Mugdha A. Vyas** deserves to be complimented for her constant and unconditional support. I extend my thanks to my Sons, **Vedant** & **Mohanish** for their tolerance and patience to have allowed me to work and not giving time to them while writing this book.

I am thankful to my Guru, **Shri. Akkalkot Swami Samarth** and **Shri. Dada Joshi**, beloved Mentor **Dr. (Capt.) C.M. Chitale**, Professor Emeritus (UGC), former Dean and HOD PUMBA, **Dr. Subhash Bhave**, **Dr. Anand Dadas**, Director Neville Wadia Management College, **Dr. Anand Jumle**, Principal SNDT Pune, **Dr. Nitin Zaware**, **Dr. Babasaheb Shivale**, **Dr. Rajesh Kashyap**, and many more who constantly trusted, mentored and guided me to become what I am today.

I thank to my Brother **Mr. Prashant Vyas** and his **Family**, my In-Laws, **Mr. Prakash Mahajani** and **Mrs. Prabhavati Mahajani**, **Mr. Vivek** & **Mrs. Kiran Mahajani** who constantly inspired me to pursue my academic pursuits.
I want to extend my gratitude towards my all **Friends** & **Colleagues** for encouraging me to write a book.

Last but not the least, I would like to thank a lot to **Thakur Publication Pvt. Ltd.** and the whole team, especially **Mrs. Tripti Singh Chowdhury** (Associate Editor), **Mr. Vikrant Verma** (Editor) and **Mrs. Sona Singh** (Marketing Coordinator), for facilitating the work and providing an opportunity to be part of their organisation.

-Prof. Ashish Krishna Vyas

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It is hoped that this book will be of interest and value to students and teachers of professional institutes, university and those devoted to the cause of Industrial Business Laws in Industry.

-Prof. Lambodar Saha

Syllabus

MBA 102: ORGANIZATIONAL BEHAVIOUR

Unit-1 **(7+2)**

Fundamentals of OB: Evolution of Management thought, Five Functions of Management, Definition, scope and importance of OB, Relationship between OB and the Individual, Evolution of OB, Models of OB (Autocratic, Custodial, Supportive, Collegial & SOBC), Limitations of OB. Values, Attitudes and Emotions: Introduction, Values, Attitudes, Definition and Concept of Emotions, Emotional Intelligence - Fundamentals of Emotional Intelligence, The Emotional Competence Framework, Benefits of Emotional Intelligence , difference between EQ and IQ. Personality & Attitude: Definition Personality, Importance of Personality in Performance, The Myers-Briggs Type Indicator and The Big Five Personality Model, Johari Window , Transaction Analysis , Definition Attitude Importance of Attitude in an Organization, Right Attitude, Components of attitude, Relationship between Behavior and Attitude.

Unit-2 **(8+2)**

Perception: Meaning and Concept of Perception, Factors influencing Perception, Selective Perception, Attribution Theory, Perceptual process, Social Perception (stereotyping and halo effect). Motivation: Definition & Concept of Motive & Motivation, The Content Theories of Motivation (Maslow's Need Hierarchy & Herzberg's Two Factor model Theory), The Process Theories (Vroom's Expectancy Theory & Porter Lawler model), Contemporary Theories- Equity Theory of Work Motivation.

Unit-3 **(8+2)**

Group and Team Dynamics: The Meaning of Group & Group behavior & Group Dynamics, Types of Groups, The Five -Stage Model of Group Development Team Effectiveness & Team Building. Leadership: Introduction, Managers V/s Leaders. Overview of Leadership- Traits and Types, Theories of Leadership.- Trait and Behavioral Theories.

Unit-4 **(7+2)**

Conflict Management – Definition and Meaning, Sources of Conflict, Types of Conflict, Conflict Management Approaches. Organizational Culture: Meaning and Nature of Organization Culture - Origin of Organization Culture, Functions of Organization Culture, Types of Culture, Creating and Maintaining Organization Culture, Managing Cultural Diversity.

Unit-5 **(5+2)**

Stress at workplace: Work Stressors – Prevention and Management of Stress – Balancing Work and Life, Workplace Spirituality. Organizational Change: Meaning, Definition & Nature of Organizational Change, Types of Organizational change, Forces that acts as stimulants to change. Kurt Lewin's- Three step model, How to overcome the Resistance to Change, Methods of Implementing Organizational Change, Developing a Learning Organization.

Contents

Unit-I

Chapter-1: Fundamentals of OB

1.1.	**Management**	**11**
1.1.1.	Meaning and Definition of Management	11
1.1.2.	Nature of Management	11
1.1.3.	Five Functions of Management	13
1.2.	**Evolution of Management Thought and OB**	**14**
1.2.1.	Classical Organisation Theory School	14
1.2.1.1.	Scientific Management: Contribution of F. W. Taylor	15
1.2.1.2.	Administrative Management: Contribution of Henry Fayol	15
1.2.1.3.	Bureaucracy: Contribution of Max Weber	16
1.2.2.	Behavioural School	17
1.2.2.1.	Hawthorne Studies	17
1.2.2.2.	Contribution of Chester Barnard	18
1.2.3.	Modern Approach	20
1.2.3.1.	Management Science School	20
1.2.3.2.	Systems Approach	21
1.2.3.3.	Contingency Approach	22
1.2.3.4.	Social System Approach	23
1.2.3.5.	Decision-Making Approach	23
1.3.	**Organisational Behaviour (OB)**	**23**
1.3.1.	Meaning and Definition of Organisational Behaviour	23
1.3.2.	Nature of Organisational Behaviour	24
1.3.3.	Scope of Organisational Behaviour	24
1.3.4.	Need of Organisational Behaviour/ Why Study Organisational Behaviour?	25
1.3.5.	Importance of Organisational Behaviour	26
1.3.6.	Relationship between OB and the Individual	27
1.3.7.	Models of Organisational Behaviour	28
1.3.7.1.	Autocratic Model	28
1.3.7.2.	Custodial Model	28
1.3.7.3.	Supportive Model	29
1.3.7.4.	Collegial Model	29
1.3.7.5.	S-O-B-C Model	29
1.3.8.	Fundamental Concepts of OB: Foundations of Organisational Behaviour	30
1.3.9.	Disciplines Contributing to the Field of OB	31
1.3.10.	Levels of OB	32
1.3.11.	Determinants of Organisational Behaviour	33
1.3.12.	Challenges and Opportunities for Organisational Behaviour	34
1.3.13.	Limitations of OB	34
1.4.	**Exercise**	**36**

Chapter-2: Values, Attitudes, Emotions & Personality

2.1.	**Values**	**37**
2.1.1.	Introduction	37
2.1.2.	Characteristics of Values	37
2.1.3.	Sources of Values	38
2.1.4.	Classification of Values	38
2.1.5.	Types of Values	39
2.1.6.	Importance of Values	40
2.2.	**Emotions**	**40**
2.2.1.	Definition and Concept of Emotions	40
2.2.2.	Nature of Emotions	41
2.2.3.	Dimensions of Emotions	41
2.2.4.	Types of Emotions	42
2.2.5.	Determinants of Emotions	42
2.3.	**Fundamentals of Emotional Intelligence**	**43**
2.3.1.	Introduction	43
2.3.2.	Nature/Dimensions of Emotional Intelligence	43
2.3.3.	Developing Emotional Intelligence at the Workplace	44
2.3.4.	Benefits of Emotional Intelligence	45
2.3.5.	Limitations of Emotional Intelligence	46
2.3.6.	Emotional Competence Framework	46
2.3.7.	Difference between EQ and IQ	50
2.4.	**Personality**	**50**
2.4.1.	Meaning and Definition of Personality	50
2.4.2.	Nature of Personality	50
2.4.3.	Determinants of Personality	51
2.4.4.	Types of Personalities	53
2.4.5.	Major Personality Attributes Influencing Organisational Behaviour	53
2.4.6.	Importance of Personality in Performance	55
2.4.7.	Personality Tests	55
2.4.7.1.	Myers Briggs Type Indicator (MBTI)	56
2.4.7.2.	Big Five Model	57
2.4.7.3.	Rorschach Ink Blot Test	58
2.4.7.4.	Thematic Appreciation Test	58
2.5.	**Johari Window**	**59**
2.5.1.	Concept of Johari Window	59
2.5.2.	Quadrants of Johari Window	59
2.5.3.	Benefits of Johari Window	60
2.5.4.	Limitations of Johari Window	60
2.6.	**Transactional Analysis (TA)**	**60**
2.6.1.	Introduction	60
2.6.2.	Meaning and Definition of Transactional Analysis	60
2.6.3.	Nature of Transactional Analysis	61
2.6.4.	Objectives of Transactional Analysis	61
2.6.5.	Components of Transactional Analysis	61
2.6.5.1.	Ego States	61
2.6.5.2.	Types of Transactions	62
2.6.5.3.	Life Positions	65
2.6.6.	Benefits of Transactional Analysis	66
2.6.7.	Limitations of Transactional Analysis	67
2.7.	**Attitudes**	**68**
2.7.1.	Meaning and Definition of Attitude	68
2.7.2.	Characteristics of Attitudes	68
2.7.3.	Importance of Attitude in an	69

	Organisation	
2.7.4.	Right Attitude	69
2.7.5.	Components of Attitudes	70
2.7.6.	Sources of Attitude	71
2.7.7.	Types of Attitudes	71
2.7.8.	Functions of Attitudes	72
2.7.9.	Relationship between Behaviour and Attitude	73
2.8.	**Exercise**	**74**

Unit-II
Chapter-3: Perception

3.1.	**Perception**	**75**
3.1.1.	Meaning and Concept of Perception	75
3.1.2.	Nature of Perception	75
3.1.3.	Components of Perception	76
3.1.4.	Principles of Perception	77
3.1.5.	Factors Influencing Perception	77
3.1.6.	Attribution Theory of Perception	78
3.1.7.	Perceptual Process	80
3.1.7.1.	Perceptual Selectivity/Selection	80
3.1.7.2.	Perceptual Organisation	81
3.1.7.3.	Perceptual Interpretation	82
3.1.8.	Importance of Perception	82
3.1.9.	Managerial and Behavioural Applications of Perception	82
3.1.10.	Difference between Perception and Attitude	83
3.2.	**Social Perception**	**84**
3.2.1.	Selective Perception	85
3.2.2.	Stereotyping	85
3.2.3.	Halo Effect	86
3.2.4.	Contrast Effect	87
3.2.5.	Attributional Bias	87
3.2.6.	First Impression	87
3.2.7.	Inference	87
3.2.8.	Self-Fulfilling Prophecy	87
3.3.	**Exercise**	**88**

Chapter-4: Motivation

4.1.	**Motivation**	**89**
4.1.1.	Meaning and Definition of Motivation	89
4.1.2.	Concept of Motive	89
4.1.2.1.	Characteristics of Motives	89
4.1.2.2.	Types of Motives	90
4.1.3.	Nature of Motivation	91
4.1.4.	Elements of Motivation	91
4.1.5.	Process of Motivation	92
4.1.6.	Types of Motivation	92
4.1.7.	Content/Traditional Theories of Motivation	93
4.1.7.1.	Maslow's Need Hierarchy Theory	93
4.1.7.2.	Herzberg's Two Factor Model Theory	95
4.1.7.3.	McGregor's Theory X and Theory Y	96
4.1.8.	Process Theories of Motivation	98
4.1.8.1.	Vroom's Expectancy Theory	98
4.1.8.2.	Porter and Lawler Model (Extension of VIE Theory)	99
4.1.9.	Contemporary Theories of Motivation	100
4.1.9.1.	McClelland's Needs Theory	100
4.1.9.2.	Alderfer's ERG Theory	101
4.1.9.3.	Equity Theory of Work Motivation	101
4.1.9.4.	Reinforcement Theory	102
4.1.10.	Importance of Motivation	103
4.1.11.	Managerial Applications of Motivation Theories	104
4.2.	**Exercise**	**105**

Unit-III
Chapter-5: Group and Team Dynamics

5.1.	**Foundations of Group Behaviour**	**106**
5.1.1.	Meaning and Definition of Group	106
5.1.2.	Group Behaviour	106
5.1.3.	Nature of Group	108
5.1.4.	Why do People Join Groups?	108
5.1.5.	Types of Groups	109
5.1.6.	Five Stage Model of Group Development	110
5.1.7.	Group Processes	111
5.1.8.	Theories of Group Formation	112
5.1.9.	Advantages of Working in Group	113
5.1.10.	Disadvantages of Working in Group	114
5.2.	**Group Dynamics**	**114**
5.2.1.	Meaning and Definition of Group Dynamics	114
5.2.2.	Nature of Group Dynamics	114
5.2.3.	Importance of Group Dynamics	115
5.2.4.	Components of Group Dynamics	115
5.2.5.	Managerial Implications of Group Dynamics	116
5.3.	**Team**	**117**
5.3.1.	Meaning and Definition of Team	117
5.3.2.	Nature of Team	118
5.3.3.	Need of Team	118
5.3.4.	Types of Team	119
5.3.5.	Team Effectiveness	120
5.3.5.1.	Features of Effective Team/ Essentials for Developing Effective Team	120
5.3.5.2.	Factors Determining Team Effectiveness	121
5.3.6.	Importance of Teams	121
5.3.7.	Issues in Managing Teams	122
5.3.8.	Difference between Team and Group	123
5.4.	**Team Building**	**124**
5.4.1.	Meaning and Definition of Team Building	124
5.4.2.	Team Development: Different Stages in Team Building Process	124
5.4.3.	Guidelines for Team Building	124
5.4.4.	Advantages of Team Building	125
5.4.5.	Disadvantages of Team Building	125
5.5.	**Exercise**	**126**

Chapter-6: Leadership

6.1.	**Overview of Leadership**	**127**
6.1.1.	Introduction	127
6.1.2.	Managers *versus* Leaders	127
6.1.3.	Nature of Leadership	128

6.1.4.	Need for Leadership	129
6.1.5.	Types of Leaders and Leadership Styles	129
6.1.5.1.	Autocratic Leadership Style	130
6.1.5.2.	Participative Leadership Style	130
6.1.5.3.	Free Rein Leadership Style	131
6.1.6.	Traits and Qualities of Effective Leaders	132
6.1.7.	Functions of Leader	134
6.1.8.	Importance of Leadership	134
6.1.9.	Theories of Leadership	135
6.2.	**Trait Theories**	**136**
6.2.1.	Introduction	136
6.2.2.	Stogdill's Trait Factors	136
6.2.3.	Ghiselli's Personal Traits	137
6.2.4.	Limitations of Trait Approach	137
6.3.	**Behavioural Theories**	**138**
6.3.1.	Introduction	138
6.3.2.	Managerial Grid	138
6.3.3.	Likert's Four Systems of Leadership	139
6.3.4.	Ohio State University Studies	140
6.3.5.	Michigan Studies	141
6.4.	**Situational/Contingency Theories**	**141**
6.4.1.	Introduction	141
6.4.2.	Fiedler's Model/Leadership Effectiveness Model	142
6.4.3.	Situational Leadership Model (SLM)	143
6.4.4.	Path-Goal Theory	144
6.4.5.	Leadership Participation Model	145
6.4.6.	Tannenbaum and Schmidt's Situational Continuum	146
6.5.	**Contemporary Theories**	**146**
6.5.1.	Introduction	146
6.5.2.	Transformational Leadership	147
6.5.3.	Transactional Leadership	147
6.5.4.	Charismatic Leadership	148
6.5.5.	Visionary Leadership	149
6.6.	**Exercise**	**149**

Unit-IV

Chapter-7: Conflict Management

7.1.	**Conflict**	**150**
7.1.1.	Meaning and Definition of Conflict	150
7.1.2.	Nature of Conflict	150
7.1.3.	Sources/Bases of Conflict	151
7.1.4.	Types/ Levels of Conflict	152
7.1.4.1.	Individual Level Conflict	152
7.1.4.2.	Group Level Conflict	153
7.1.4.3.	Organisational Level Conflict	154
7.1.5.	Conflict Process	154
7.1.6.	Effects of Conflict	155
7.1.7.	Conflict Management	156
7.1.7.1.	Procedure for Resolution of Conflict	156
7.1.7.2.	Conflict Management Approaches	157
7.2.	**Exercise**	**158**

Chapter-8: Organisational Culture

8.1.	**Organisational Culture**	**159**
8.1.1.	Meaning and Definition of Organisational Culture	159
8.1.2.	Nature of Organisational Culture	159
8.1.3.	Origin of Organisation Culture	160
8.1.4.	Functions/Role of Organisational Culture	161
8.1.5.	Elements of Organisational Culture	161
8.1.6.	Factors Influencing Organisational Culture	162
8.1.7.	Types of Culture	162
8.1.8.	Creating and Maintaining Organisational Culture	163
8.1.8.1.	Steps in Creating Organisational Culture	163
8.1.8.2.	Creating Positive Organisational Culture	164
8.1.8.3.	Sustaining Organisational Culture	165
8.1.9.	Managing Cultural Diversity	166
8.1.9.1.	Steps in Managing Cultural Diversity	167
8.1.9.2.	Guidelines for Managing Cultural Diversity	167
8.1.10.	Criticisms of Organisational Culture	168
8.2.	**Exercise**	**169**

Unit-V

Chapter-9: Stress at Workplace

9.1.	**Stress at Workplace**	**170**
9.1.1.	Meaning & Definition of Stress	170
9.1.2.	Work Stressors/Causes of Stress	170
9.1.2.1.	Individual Stressors	170
9.1.2.2.	Group Stressors	171
9.1.2.3.	Organisational Stressors	172
9.1.2.4.	Extra-Organisational Stressors	172
9.1.3.	Types of Stress	173
9.1.4.	Consequences of Stress	174
9.1.4.1.	Individual Consequences of Stress	174
9.1.4.2.	Organisational Consequences of Stress	174
9.1.5.	Prevention and Management of Stress: Stress Management Strategies	174
9.1.5.1.	Individual Strategies	175
9.1.5.2.	Organisational Strategies	175
9.2.	**Balancing Work and Life : Work-Life Balance**	**176**
9.2.1.	Introduction	176
9.2.2.	Options of Work-Life Balance	176
9.2.3.	Benefit of Work-Life Balance	177
9.2.4.	Guidelines for Improving Work-Life Balance	178
9.3.	**Workplace Spirituality**	**178**
9.3.1.	Concept of Workplace Spirituality	178
9.3.2.	Features of Spiritual Organisation	179
9.3.3.	Reasons for the Growing Interest in Workplace Spirituality	179
9.3.4.	Criticisms of Workplace Spirituality	179
9.4.	**Exercise**	**180**

Chapter-10: Organisational Change

10.1.	**Organisational Change**	**181**
10.1.1.	Meaning and Definition of Organisational Change	181
10.1.2.	Nature of Organisational Change	181

10.1.3.	Goals of Organisational Change	182
10.1.4.	Types of Organisational Change	182
10.1.5.	Forces that Acts as Stimulant to Change	184
10.1.6.	Process of Organisational Change	186
10.1.7.	Levels of Organisational Change	187
10.1.8.	Methods of Implementing Organisational Change	188
10.1.9.	Importance of Organisational Change	189
10.1.10.	Limitations of Organisational Change	190
10.2.	**Change Management**	**190**
10.2.1.	Meaning and Definition of Change Management	190
10.2.2.	Approaches to Managing Organisational Change	191
10.2.2.1.	Kurt Lewin's – Three Step Model	191
10.2.2.2.	Seven Stage Model of Change	193
10.2.2.3.	Kotter's Eight-Step Plan for Implementing Change	194
10.2.2.4.	Greiner's Six-Phase Process	194
10.2.3.	Leading the Change Process	196
10.2.4.	Facilitating Change	198
10.2.4.1.	Intervention Strategies for Facilitating Organisational Change	198
10.2.4.2.	Guidelines for Facilitating Change	199
10.2.5.	Importance of Change Management	201
10.2.6.	Barriers to Change Management	202
10.3.	**Resistance to Change**	**204**
10.3.1.	Meaning and Definition of Resistance to Change	204
10.3.2.	Levels of Resistance to Change	204
10.3.3.	How to Overcome Resistance to Change?	205
10.3.3.1.	Dealing with Individual Resistance	205
10.3.3.2.	Dealing with Group Resistance	207
10.3.4.	Benefits of Resistance to Change	208
10.4.	**Learning Organisation**	**208**
10.4.1.	Meaning and Definition of Learning Organisation	208
10.4.2.	Nature of Learning Organisation	208
10.4.3.	Elements of Learning Organisation	209
10.4.4.	Developing a Learning Organisation	210
10.4.5.	Disciplines of Learning Organisation	211
10.4.6.	Benefits of Learning Organisation	211
10.4.7.	Problems of Learning Organisations	212
10.5.	**Exercise**	**213**
Solved Paper 2014		**213**
Solved Paper 2015		**216**
Solved Paper 2016		**218**
Solved Paper 2017		**220**
Solved Paper 2018		**223**
Classification		**225**
Model Paper		**228**

Chapter 1

Fundamentals of OB

1.1. MANAGEMENT

1.1.1. Meaning and Definition of Management

The term 'management' stands for the act of planning, organising, directing and controlling the activities of human beings and physical resources with the intention of accomplishing a predefined objective. Being broad in nature the word carries many contextual meanings.

It is looked upon as a 'factor of production', as a 'class of persons', as a 'process' and as an 'exploiting set of people' from the viewpoints of economists, socialists, management practitioners and trade unionists, respectively.

According to Louis Allen, "Management is what a manager does".

According to James D. Mooney and Allan C. Reiley, "Management is the art of directing and inspiring people".

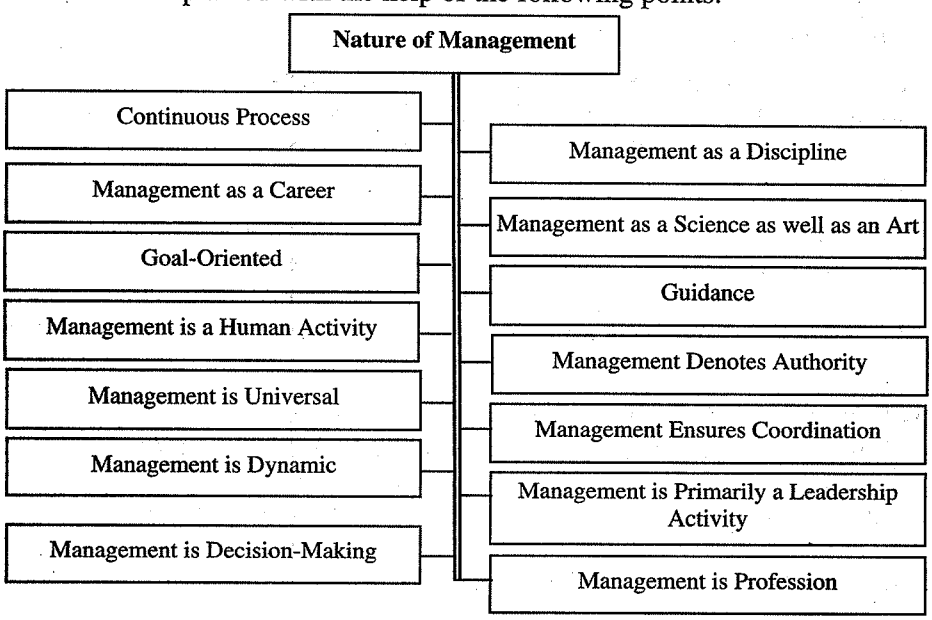
According to Peter Drucker, "Management is a multipurpose organ that manages a business, manages manager and manages workers and work".

According to Koontz and O'Donnel, "Management is the creation and maintenance of an internal environment in an enterprise where individuals, working in groups, can perform efficiently and effectively toward the attainment of group goals. It is the art of getting the work done through and with people in formally organised groups".

In a nutshell, it is portrayed as 'an activity' or 'a process' executed by 'a group of people' dynamically engaged with the authorities to make decisions or policies. Simply, it can be stated that, management is the job of a manager, who exhibits the art of managing the people and getting the things done with the help of formally organised groups of people.

1.1.2. Nature of Management

Nature of management can be explained with the help of the following points:



1) **Continuous Process:** Management is a never ending process. It continuously follows a series of steps like planning, organising, staffing, directing and controlling for effective utilisation of financial and personnel organisational resources. All these functions are inter-dependent and one function cannot operate without the presence of the other. Hence, management is an unending process that follows a number of steps so that the problems are identified and resolved.

2) **Management as a Discipline:** Management may not fit well in the context of a discipline like other physical sciences but its status is gradually increasing amongst the practitioners of management. In recent times, the status of management as a discipline is increasing as it provides certified information and knowledge to management practitioners and also aims at discovering new aspects of the business world.

3) **Management as a Career:** Management on its own is an excellent career option offering diverse growth opportunities. Management also offers insights in interesting, stimulating and specialised areas like human resources, marketing, finance, supply chain management, etc. These are all the upcoming challenging areas and lucrative career options.

4) **Management as a Science as well as an Art:** Management is a good combination of art as well as science. As it is an organised body of knowledge and states various facts and truths, hence it can be considered as a science. Management is also an art, as it involves managing various processes which requires different set of skills by managers.

5) **Goal-Oriented:** Every organisation has to attain a set of pre-determined goals. The success or failure of the management depends on the extent to which these goals have been achieved.

6) **Guidance:** Management provides guidance and explains the ways in which human and material resources can be utilised in the most efficient manner. It suggests techniques for effective and economic utilisation of scarce resources to achieve the objectives of a business enterprise. It is an art of getting things done by achieving coordination among employees who carry-out specific and diverse business operations.

7) **Management is a Human Activity:** Management can be termed as a human activity and the functions of management can only be performed by the organisational staff members. Thus, no artificial entity or corporate body can perform managerial functions. It is an intangible activity which can be felt but not seen or touched.

8) **Management Denotes Authority:** Authority compels people to work and behave in a particular manner. Authority is the prime base of management, i.e., managerial process cannot function without authority. Management gives the authority to the managers to guide, direct and control. This authority enables the management to attain a higher position in the hierarchy of any business organisation.

9) **Management is Universal:** Application of management is universal, i.e., it can be applied anywhere and everywhere. Every business activity, clubs, government offices, charitable and religious institutions, army, etc., come under the scope of management.

10) **Management Ensures Coordination:** Coordination is important at each and every stage in an organisation. Coordination between every employee and between every department is crucial for smooth functioning of the business. Mutual harmony between employees helps in attaining organisational objectives successfully.

11) **Management is Dynamic:** It is difficult for any business environment to remain constant for a long period of time. Hence, management also changes with every change in the environment of the business. Management tools and techniques help in converting the threats associated with environment into opportunities. Management adapts itself according to the changing goals, requirements and challenges of the business.

12) **Management is Primarily a Leadership Activity:** Management is essentially an art of getting things done by people. One of the main roles of a manager is to exercise leadership practice. Leadership is an important factor for the success of an enterprise. It is the process of influencing people to willingly contribute towards achieving organisational objectives. Some of the qualities of good manager and leader are willpower, knowledge, decisiveness, motivator, integrity, etc. A good leader must be inspiring and be able to guide the group of people towards maximising their potential.

13) **Management is Decision-Making:** Decision-making is an important activity for any business manager. Decisions are based on the available facts and figures and depend on the understanding and analysis of the managers. Various technical methods are used to determine the best decision for the overall betterment of the organisation. **For example,** a finance manager is responsible for taking decisions related to activities like organising funds, preparing budgets, cost control, etc.

14) **Management is Profession:** Management is not an inherent ability, it is a profession. Managers are not born; they are made by proper training and acquiring managerial skills. As management is a discipline and body of knowledge, any qualified person can become a manager.

1.1.3. Five Functions of Management

Each and every business endeavour has its own predetermined goals to achieve. The realisation of those goals may not be possible without an intended and incorporated unanimous effort of all the organisational members who follow the instructions of a central coordinating agency. **For example,** in case of a football or hockey team, one cannot win the game until and unless there is a combined attempt by the players under the appropriate guidance of a Captain of the team. The central coordinating agency in this context is 'M-A-N-A-G-E-M-E-N-T' and the approach of getting the things done is known as the 'management process'. Hence, management is a complex process which includes many activities in a particular sequence. Each activity contributes towards the attainment of the organisational goals. Individual action or activity performed in the management process is designated as 'functions of management'.

In the process of management, individual functions are carried-out according to a time-specific arrangement. Thus, management process can be defined as a process where the manager performs functions in sequential time-bound manner. Management is a social process as it is accountable of achieving the goals of the organisation by regulating its functions and also ensuring that the planning activities are being carried-out in a cost-effective and efficient manner. Management is also a dynamic process containing different components and practices. Practices performed by management are not similar to the operational-level activities like procurement, marketing, production, finance, etc. These dynamic activities are performed by the top, middle and operative level managers. The main functions of management process are as follows:

1) **Planning:** Planning is the deliberate effort to attain the expected outcome through a determined future course of action. It involves visualisation of activities that need to be done, the methods for doing them, where they are to be done, what will be the outcome and the methods to evaluate the outcomes. As per **Henry Fayol**, every management should visualise a plan that comprises of the desired result, foreseeing the line of action, methods to follow and stages to go through.

2) **Organising:** The second function of management is to prepare and organise. Organising involves division and re-division of work into smaller duties, distributing the tasks among designated work-force and allotting authority to every position for ensuring proper functioning. By organising properly, the effectiveness of the organisation is enhanced, redundancy, repetition and duplication of the activities is avoided; thereby reducing the functioning cost of the organisation. It is the responsibility of the management to organise the required resources beforehand and then to follow the planned activities.

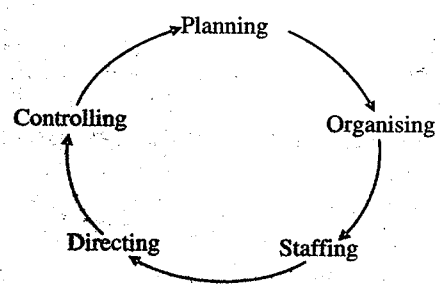


Figure 1.1: Functions of Management

3) **Staffing:** It is the process of appointing people for the positions formed by the process of organisation. Staffing is the process of recruiting, deploying and retaining sufficient and qualified employees or staffs to create and maintain a favourable working environment and thereby improving the organisational effectiveness. In large companies, staffing process is carried-out by coordinating with the human resource department.

4) **Directing:** Direction is the key to achieve required goal. After the orientation of the subordinates, the senior manager is accountable for directing and leading them to achieve enhanced job performance and to motivate them to work with passion, confidence and enthusiasm. Directing motivates the employees to perform their responsibilities in realising the organisational goals. While planning, organising and staffing are the preliminary functions to the actual business activities, direction adds a spark to the organisation by bringing the processes into motion.

5) **Controlling:** Functions of a manager are not complete even when the above elements are in place. It is very important for the manager to review and assess the organisational activities on a regular basis and take necessary steps for ensuring that the plans are being carried-out in compliance with the predetermined path.

Controlling is a visualisation process that verifies that the tasks are performed as per expectations and checks for current and future deviations. The control function helps the management in identifying the deviations if any, and makes significant changes in the plans for realising the organisational goals.

1.2. EVOLUTION OF MANAGEMENT THOUGHT AND OB

The emergence of management thoughts and principles can be drawn out from pre-historic times. Since then, human beings started living together in organised groups or in a society consisting of different groups. These efforts have helped them to organise their actions and carry-out their activities in an efficient and productive manner. Management principles have evolved with time and are in continuous process of evolution.

Management principles are flexible in nature and its application depends widely on the nature of the situation. Management principles have a broad base and help in decision-making process. They are famous and have a worldwide acceptance. As management principles are linked to human behaviour, they keep on constantly changing and evolving. The evidence of such management practises and theories has been found.

Since the year 1940, the concept of organisational behaviour has emerged as a separate area of study. The term OB or Organisational Behaviour refers to the study of relationships among human beings which take place within organisations or workplaces. It is not easy to separate organisational behaviour from management theory since they both are very closely integrated. Therefore, all these aspects have to be studied and conclusions have to be drawn in order to further the knowledge about organisational development.

Relationships among human beings already existed since a long time back. However, it is a comparatively new area of knowledge which deals with such relationships. Before the commencement of Industrial Revolution, individuals used to work in small groups and the work relationships among them were very simple. Those individuals or workers had negligible job satisfaction because of the unhealthy working environment and less availability of resources. But there was an eventual rise in the level of job satisfaction due to the rise in the activities of the industries, which resulted in an increase in the level of goods supply, as well as improvement in the working environment and pay structure.

The concept of organisational behaviour developed through four key phases. This made the study of OB easier. The four key phases are mentioned below:

1) The initial/early OB theories. (classical organisation and scientific management)
2) The neo-classical theories of organisation. (Human relations/behavioural movement)
3) The modern OB theories.

1.2.1. Classical Organisation Theory School

The classical school is considered as the systematic and formalised way of managing work and human resources. This is the major strength of classical school which becomes more adaptable in nature with time. One main drawback of this approach is that, at times it overlooks the differences between people and situation. These classical approaches are rigid in nature and do not apply well with the changing situations.

Various management theorists have contributed towards framing of principles for establishing and managing organisations. The classical theory is the base or an underlying principle in the field of management thought. The three major schools of thought of classical theory and their contributors are:

1) Scientific Management by Frederick W. Taylor,
2) Administrative Theory by Henry Fayol, and
3) Bureaucratic Management by Max Weber.

1.2.1.1. Scientific Management: Contribution of F. W. Taylor

F.W. Taylor as a scientist made several researches regarding how people can be effectively utilised. He observed during his research that the main reason of ineffectiveness and wastage in factories was that both workers and managers were not aware about scientific methods. Hence, he developed a theory known as **'Scientific Management'**, in which he propagated that the efficiency can be enhanced by analysis, enquiry and measurement. Following principles are given by **Taylor:**

1) Replacing rule of thumb with science
2) Harmony in group action
3) Co-operation between management and workers
4) Maximum output in place of restricted output
5) Development of workers through scientific selection and training

1.2.1.2. Administrative Management: Contribution of Henry Fayol

One of the major contributors to administrative approach of management is **Henry Fayol**. He is considered as the 'Father of Modern Management'. Fayol was a French industrialist and a mining engineer. He had worked at all the positions of the mining company before becoming the Managing Director of the Company. He portrayed his ideas based on real-world experiences in his book, 'Administration Industrialle at Generali' in French language printed in 1916. It was translated in English as "General and Industrial Management" in 1929 and was later on published in U.S.A. in the year 1949.

Henry Fayol explained the importance of managerial efficiency in an organisation and focussed on the management point of view in dealing the company issues whereas Taylor focused on the workers point of view. All the industrial activities were divided by Fayol into six groups, i.e., technical, commercial, financial, security, accounting and managerial. These activities are applicable to organisations whether big or small in size. He entirely concentrated on the sixth activity, i.e., managing.

Fayol's Principles of Management

The 14 principles of management given by Fayol are as follows:

1) **Division of Labour:** 'Division of labour' is the specialisation of various tasks so as to increase the overall efficiency of individual employees. Fayol highlighted that the work of any type, i.e., technical or managerial must be divided and assigned among number of employees. This division makes the task much easier and improves the efficiency of individuals. It also enhances the speed and accuracy of employees. Specialised efforts help the company to achieve its predetermined objectives.

2) **Parity of Authority and Responsibility:** 'Authority' is the legal power inherent in a particular job. A superior in any organisation is entitled to give instructions and orders to his subordinates, take important decisions, plan for optimum utilisation of available resources, provide guidance to subordinates and control the behavioural patterns of subordinates. While, 'responsibility' is the outcome of authority. Responsibility involves duties like performing various functions in order to attain the company's objectives in an effective manner.

3) **Discipline:** 'Discipline' means orderly behaviour of an individual towards abiding the rules and regulations of an organisation. Therefore, it is essential for the smooth functioning of the business. Discipline is not just a role played by the workers but also one of the roles of management. In order to follow and maintain discipline, organisation must have a good supervisor at all levels. The rules should be clearly defined and in case of any indiscipline, imposed penalties should be fair.

4) **Unity of Command:** According to Fayol, a subordinate is accountable to only one superior. Every employee in an organisation is liable to receive orders from only one superior. If a person gets orders from more than one person then it may create confusion and conflict.

5) **Unity of Direction:** As per this rule, every member in an organisation should coordinate and direct his/her efforts to attain common objectives. 'Unity of direction' strives to ensure "unity of action, coordination of strength and focusing of efforts". In consideration of the principle, each group activity should have one plan supervised by one head following the same objective. This ensures focused efforts, unity of action and coordination.

6) **Subordination of Individual's Interest to General Interest:** The interest of the organisation should be kept at the highest priority over the interest of individuals. Every employee has certain individual interests which motivates the employee to work for the organisation. But the individual interest should not supersede the organisational interests under any circumstances. According to Fayol, the management should make efforts to unite the interest in general (both employer and employee). But in case of conflict, interest of individuals should be sacrificed for the larger interest.

7) **Fair Remuneration to Employees:** Every employee in an organisation should receive a fair and reasonable remuneration. The wage structure of the employees should be based on the job assigned, cost of living and average wage rate followed in the industry and the financial situation of the company. In general, the basic pay is fixed as per the work done but the allowances are liable to change with the altering cost of living.

8) **Centralisation and Decentralisation:** The concentration of decision-making authority in the hands of top management leads to 'centralisation'. If the authority is shared with the lower level management then it leads to 'decentralisation'. Fayol suggests that there should be a proper balance between centralisation and decentralisation of authorities. In small organisations, centralisation of authority exists as the number of activities undertaken is less compared to large organisations. Whereas, in large organisations, the level of decentralisation is high.

9) **Order:** The principle of 'order' refers to the arrangement of people and things at the right place. There should be a fixed place for everything in the organisation and everything should be in its own place in the organisation. In the same way, social order involves right person at the right place. These orders demand detailed knowledge of the requirements and resources in the organisation and to maintain a proper balance between them. If the organisation is a large organisation then it is a difficult task to maintain the required balance.

10) **Scalar Chain:** Every organisation has superiors and subordinates. The formal line of authority from highest to lowest ranks is defined as scalar chain. All managers are linked in a chain from highest to lowest level positions. Every manager is superior to a manager working below him but he is a subordinate to his own superior. Hence, this is a step-wise chain of authority. According to Fayol, every organisation should have a distinct chain of authority from top to bottom, linking all the managers at all levels.

11) **Equity:** Under this principle, every person of the similar position should be treated equally. **For example,** the workers carrying out identical jobs should be paid equally without any discrimination. It also suggests that superiors should be fair and unbiased towards each subordinate. They should not favour some and overlook other employees. The judgments of performance should be based on same terms for every employee.

12) **Stability of Tenure:** Employee turnover from their positions should be minimal. The time period of service in a particular position should be fixed and employees should not shift from the allotted position repeatedly. It takes time for a person to get adjusted towards a certain work. Once the employee is selected for a position, then he should remain at that position for a fixed tenure. He should be given reasonable time and opportunity to perform as instability may affect the performance of the employee.

13) **Initiative:** Initiative refers to the first act or initiation to do things independently. Fayol suggests that all employees should be motivated to take initiative in work and develop their own course of actions. Therefore, it needs one to remain in certain limits and be disciplined.

14) ***Esprit de Corps*:** It encourages team spirit, group harmony and mutual understanding amongst the team members. Managers should promote team work to achieve common goals of the company. This will raise the level of trust between the members and create a sense of belongingness among team members.

1.2.1.3. Bureaucracy: Contribution of Max Weber

The theory of bureaucracy by **Max Weber** *has made a major contribution towards the management schools of* thought. He used the theory of bureaucracy for a special kind of administrative organisation. Weber's major contribution towards the management schools of thought is his theory of authority structure. He has also described organisations on the basis of the authority relations shared by them.

Max Weber's theory of bureaucracy identifies rational-legal authority as the most important type of authority in an organisation. On the other hand, no one follows a leader for his competencies, i.e., people with traditional authority or charismatic authority, are relatively emotional and irrational in nature.

Features of Bureaucracy

The features of a bureaucratic organisation are listed below:

1) **Division of Work:** The concept of division of work is practiced at both operative and administrative levels in an organisation. This can be divided into specialised tasks. Thus, division of work leads to specialisation of work.

2) **Hierarchy of Positions:** Every organisation has a hierarchy of authority from top to bottom level. The bottom positions in the hierarchy are under the control of top management positions. Thus, this signifies the concept of unity of command. The nature of bureaucratic structure in an organisation is hierarchical. The amount of authority one holds, keeps on increasing as one climbs the hierarchical ladder in an organisation.

3) **Rules and Regulations:** Under the management of top level, certain rules, regulations and processes are defined. The significance of these rules and regulations are as follows:
   i) They help to standardise the organisational operations and decisions.
   ii) The learning and experiences of past events help to drive future actions.
   iii) They ensure equality among organisational members.

4) **Impersonal Conduct:** Members of an organisation do not have any personal relationships with each other. The decision-making process strictly adheres to the rules and regulations and is entirely impersonal in nature. There is no space for emotions and sentiments in the bureaucratic structure. Another name for bureaucratic organisation is 'depersonalisation'.

5) **Staffing:** An employee enters into a contractual relationship with the employer to serve the company in return of a certain fixed remuneration. The contract includes all the terms and conditions of employment. Thus, the employee is directed by these rules throughout his service. The payment or salary of the employee depends on the designation and the tenure of his service.

6) **Technical Competence:** Technical competence plays a major role in the selection of a bureaucrat. A bureaucrat only gets selected for his technical competencies and not on basis of election or inheritance. Even promotions in bureaucracies are totally based on the technical qualifications and performance.

7) **Official Records:** Good record keeping plays a pivotal role in the administration of a bureaucratic organisation. All the significant decisions and activities conducted in the organisation are properly recorded and kept safely for future references. An efficient record keeping system governs the success of a bureaucratic organisation.

1.2.2. Behavioural School

Human relations approach can be further extended to the "behavioural science approach" or "human resource approach". Various researchers have used several research methods for understanding the human behaviour, some being simple while others being complex in nature. **Elton Mayo** conducted research by using simple methods. However, **Abraham Maslow**, **Douglas McGregor** and other researchers used research techniques that were complex in nature. All these researchers were called as "Behavioural Scientists". This approach signifies the different attitudes, behaviour and functions of individuals and groups in various organisations.

Behavioural school was formed on the basis of classical theory. The behavioural approach assumes that social and psychological features of an employee on individual basis and as a part of a workgroup needs to be given prime importance.

1.2.2.1. Hawthorne Studies

Human resource is an important managerial function. The behaviour of employees in an organisation is governed by various desires, attitudes and feelings of the employees. **George Elton Mayo** was one of the few theorists who considered the human relations issues and their impact on work performance. George Mayo and his other colleagues conducted experiments, called as **Hawthorne experiments**. Hawthorne experiments are acknowledged all over the world, as these experiments have changed the viewpoint of managers towards workers of the organisation. Hawthorne experiments gave a positive turning point in the history of the human relations movement. These experiments gave a different perspective to the concept of human behaviour and its function in an organisation.

These experiments were quite similar to the scientific management school of thought that gave emphasis to scientific research for improving the efficiency of processes with the help of better methods and equipment. In case of Hawthorne studies, the major emphasis was on improving the lighting of the working area. The National Research Council conducted experiments to study the relationship between lighting and productivity.

As General Electric (GE) wanted to increase the sale of tube-lights, it supported the studies conducted at the National Research Council alongwith other companies in the electronic industry. Hawthorne studies involve four interconnected experiments, which are as follows:

1) **Illumination Experiments:** It was named as illumination experiment because light was selected by researchers for conducting the study and to examine the link between physical factor and productivity. The methods adopted for this experiment were as follows:
   i) First of all, two separate groups of employees were chosen.
   ii) Then, one group was asked to work under steady light and other group was asked to work under inconsistent light.

   Aim of this experiment was to analyse the impact of lighting on productivity. The researchers were amazed by the results as the variation of lights did not influence the productivity. As productivity of both the groups increased, so, they recognised that not the illumination but some other factor affected the productivity.

2) **Relay Room Experiments:** The aim of this experiment was to discover the physical elements that affect the productivity of workers. The methods adopted were as follows:
   i) First of all, six female employees who were responsible for assembling telephones were chosen. Then, researchers modified several factors in physical environment to determine the impact of these factors on their productivity.
   ii) The physical factors that were modified included hours of work (increased or decreased), rest intervals, enhanced physical conditions, temperature and particular type of group incentives.
   iii) These employees were working in isolation, away from the plant.
   iv) Employees were not supervised, but they were under researcher's observation.

   Researchers found that there is no effective relationship between any of these factors and productivity. Even after so many manipulations the productivity increased continuously.

3) **Bank Wiring Observation Room Experiment:** Basic objective of researchers was to identify the actual determinant affecting productivity. The methods adopted by the researchers were as follows:
   i) Fourteen employees were selected by the researchers, and
   ii) Production records of these employees were compared with their earlier production records.

   The outcomes of this experiment were:
   i) Each individual was limiting output.
   ii) Group had decided its own 'informal' performance standards.
   iii) Output of each individual remained somewhat stable for a particular period.
   iv) Records of each department were distorted due to variation between actual and reported output. This variation was also between standard and reported working time.

4) **Interview Programme:** The aim of interview programme was to identify factors affecting productivity. Hence, 20,000 interviews were carried-out by researchers. A questionnaire was given to employees and they were asked to respond without any hesitation. Thus, the results of these interviews explained the relevance of social factors on working environment.

1.2.2.2. Contribution of Chester Barnard

Chester Barnard, the author of the famous book "The functions of the Executive", was the president of New Jersey Bell Telephone Company. He considered organisations as a social system.

According to him, organisations need the cooperation of human resources to run successfully. Cooperation between the employees and the organisation is a crucial aspect for the successful business activities. He also termed an organisation as a cooperative enterprise in which individuals work in groups.

According to **Barnard**, managers should encourage the employees to willingly cooperate with one another for achieving the common objectives of the organisation. He has coined the acceptance theory of management which focuses on the willingness of employees to accept that managers have the authority to act on behalf of the management. Some of the prominent contributions of Barnard are explained below:

1) **Concept of Organisation:** According to Barnard, the classical concept of organisation does not properly clarify the various attributes of an organisation. He defined the concept of formal organisation as a system which purposely coordinates the activities of two or more individuals or departments. He insisted that an organisation can exist only if three conditions stated are fulfilled. The three conditions stated by Barnard are:
   i) The people in an organisation should be able to communicate with each other.
   ii) The people should be willing to contribute towards the action, and
   iii) The people should try to attain the mutual objectives.

2) **Formal and Informal Organisations:** Every organisation can be divided into two parts namely; formal and informal. A formal organisation consists of interactions that follow a proper chain of command towards achieving pre-determined common objectives. Whereas, in informal type of organisation there are no deliberately coordinated social interactions for realising mutual objectives. Barnard encourages the development of more informal organisations to act as a medium of communication, to encourage a sense of cohesiveness in the members of the organisation and to protect individuals from any fierce attack or dominance of the formal organisational members.

3) **Elements of Organisation:** Every organisation consists of four elements which are:
   i) A system of functionalisation in which people specialise in a particular area or department. This is termed as departmentation.
   ii) A system which offers incentives to encourage people for contributing towards group activities.
   iii) A system of power where the employees adhere to the decisions taken by the managers.
   iv) A system which follows rational process of decision-making.

4) **Authority:** The classical theory of management explains the importance of chain of authority from top to bottom. Barnard's views were quite different from the classical approach. He came up with an innovative concept called as "acceptance theory of authority" or "bottom-up theory". He viewed that a person does not follow an instruction because it is given by a senior, but follows a command it is an 'authoritative communication'.

5) **Functions of the Executive:** According to Barnard, an executive performs three types of functions in a formal organisation, which are as follows:
   i) Maintaining organisational communication through a structure of formal interactions;
   ii) Securing assigned services from the individuals for realising organisational goals;
   iii) To develop and clearly state organisational objectives.

6) **Motivation:** Barnard has identified many non-monetary incentives to overcome the shortcomings of monetary incentives in terms of motivating the employees. The major non-financial motivating techniques include pride of workmanship, opportunity to achieve authority and distinction, amicable working conditions, sense of belongingness and involvement of employees in the important activities.

7) **Organisational Equilibrium:** The concept of organisational equilibrium focuses on corresponding individual efforts with organisational efforts to satisfy the individuals. Cooperation among individuals enhances the development of new activities in an organisation. Every organisation should focus on achieving the level of individual satisfaction required to maintain equilibrium in an organisation. As equilibrium is dynamic in nature, the organisation and its employees should continuously work towards maintaining it.

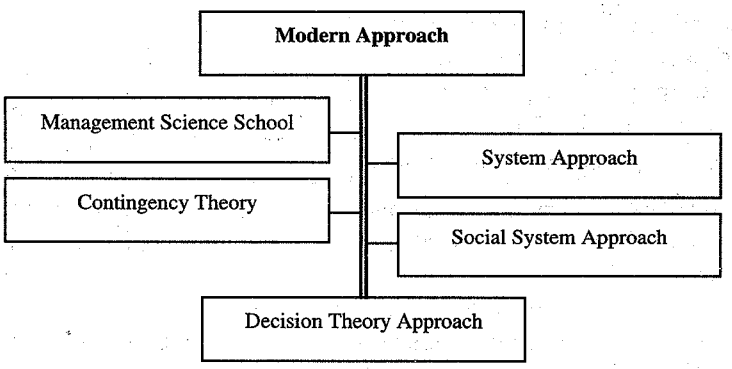
8) **Executive Effectiveness:** An executive is said to be effective when he fulfills his responsibilities and provides adequate leadership to his subordinates. Leadership is an important factor for obtaining cooperation from people. Executive leadership demands qualities like intelligence, technological competence, technical knowledge and social skills. An executive leader should not carry-out his responsibilities based on false notions or preconceived philosophies. Leadership activities of an executive should be free from his own interest and biasness.

1.2.3. Modern Approach

The modern approach of management theory focuses on the complex issues of the organisation and the individuals working in that organisation. It highlights the different needs, wants, aspirations, motives and potentials of the employees. Thus, the universal applicability of management principles is difficult to practice in real life situations.

New and sophisticated strategies should be formulated for resolving the issues related to employees and the organisation. The modern management theory portrays the view-point of the employees against view of 'rational economic man' defined in the classical theory and the view of 'social person' explained in the neoclassical theory. The modern management theory came into existence in the year 1950.

The modern management approach is viewed as an enhancement to the earlier discussed management theories (classical and behavioural approach to management). Thinkers of modern management and their contributions are as follows:



1.2.3.1. Management Science School

Management science is often mistaken for the scientific management of classical theory. The approach of management science is also termed as quantitative approach. The classical management theorists developed various scientific management techniques. The management science approach has emerged from some of techniques identified by the classical management thinkers.

Due to the complex situations faced by the modern day managers, they are expected to have updated and advanced information for making effective and quick decisions. Quantitative techniques are used in the management science approach for effective decision-making. Many quantitative tools are developed for analysing the information and with the aid of high speed computers complicated calculations can now be easily done.

The Quantitative Management or Mathematical School stresses on the fact that decision-making or organising are rational processes that are carried out in every organisation. This process can be conveyed with the help of mathematical symbols and relationships.

Russell L. Ackoff is recognised as one of the most prominent contributors of School of Management Science. **F.W. Lanchester** and **Thomas A. Edison** are other contributors in the field of Operational Research (OR).

The general formula of operations research model is as follows:

$$E = f(X_1, Y_1);$$

Where,

'E' represents system effectiveness (cost, profit and the like),
X_1 represents the variables of the system that are subject to control,
Y_1 represents the variables that are not subject to control.

The Management Science School believes that management is a rational or logical process. This thought came into existence around World War II. According to quantitative school, many of the corporate issues and corporate activities can be handled with the help of mathematical models and expressions.

Although there are several complex issues involved in the management of a business firm like motivation, control, problem-solving, communication, leadership, etc., the quantitative approach mainly concentrates on the aspects related to analysis and decision-making.

Various streams of management like Operations Research (OR) and management science are combined under the quantitative management approach for finding efficient explanations to the defined problems. Combined knowledge from different disciplines would lead to scientific and operational results. Thus, the explanations discovered would be more practical and achievable.

1.2.3.2. Systems Approach

A system comprises of several interconnected parts which have a distinct identity and purpose. Every organisation should organise these elements in proper sequence. These elements should be properly connected with the help of effective communication channels. This interaction between the elements should help in attaining the common objectives or targets determined by the organisation. **Churchman West** is one of the first few developers of the systems approach of management.

Systems approach of management is of the view that all organisational decisions should be implemented only when the managers have determined their impact on the entire organisation and its functional areas. The systems approach is based on the principle that managers in an organisation cannot perform their responsibilities in isolation. Managers should establish proper communication channels with other departments in the organisation and they should link the objectives of their respective departments with the entire organisation. Proper communication with the employees and the functional areas is essential for maintaining a systematic flow of information within and outside the organisation.

The concepts of systems approach are now being assimilated into the general management school of thought. Managers need to get acquainted with the terminologies and concepts of systems approach to be a part of the current developments in the industry. The vocabulary of systems approach includes the following terms:

1) **Sub-Systems:** Sub-systems are the distinct separate parts that form a system. Each system may be a sub-system for a larger system and so on. Hence, it can be said that each department is a sub-system of a unit, a unit is a sub-system to company which in turn is a sub-system of a parent company. This company is a sub-system in the industry in which it functions and industry is a sub-system of the national economy, which is a sub-system of the world system.

2) **Synergy:** Synergy can be defined as a combined effort of separate parts which is greater than their individual efforts. In business context, synergy implies that rather than by working in isolation, each department in an organisation can function in an effective and efficient manner by interacting and cooperating with other departments. **For example,** small scale organisations have a separate finance department that coordinates with every other department in the organisation. It is better to have a central finance department instead of having an independent finance department for each department.

3) **Open and Closed Systems:** Every system which interacts with its environment is called as an open system. A system that does not interact with its environment is termed as closed system. Every organisation needs to interact with its environment but the scope of interaction for each organisation is different. **For example,** an automobile plant is an open system whereas a monastery or prison is an example of closed system.

4) **System Boundary:** Every system consists of a boundary which helps in distinguishing it from its environment. An open system has a very flexible boundary whereas a closed system has an inflexible boundary. In the recent past, organisations have adopted the flexible system boundary approach.

5) **Flow:** A system consists of flows of various types, namely; material flow, information flow, human energy and material energy flow, etc. These energies enter the system as raw materials and undergo a transformation process, i.e., they get converted into finished goods by undergoing different processes. They exit the system in the form of finished goods or services.

6) **Feedback:** Feedback is a controlling factor in the systems approach. Feedback is essential for determining the success of system operations. An effective feedback mechanism ensures that tasks are evaluated, corrections are made and the information is delivered back to concerned area/department or individual.

Figure 1.2 shows the flows of information, materials, energy and feedback in an open system:

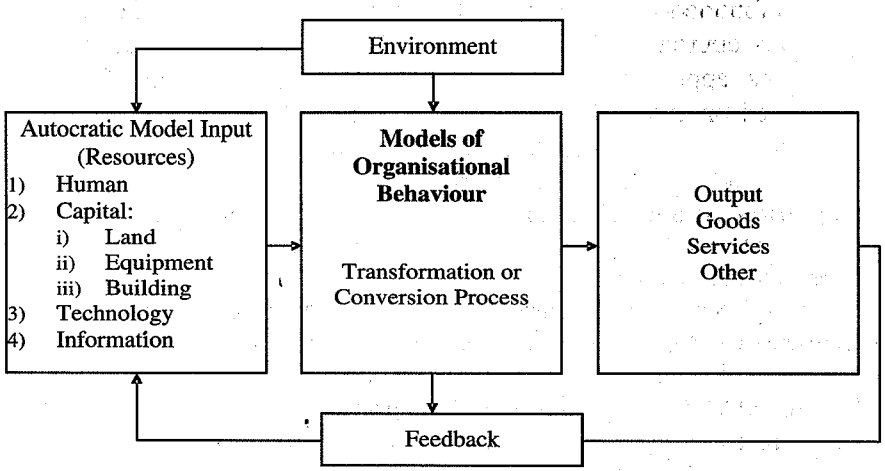


Figure 1.2: Flows and Feedback in an Open System

Management responsibilities and the nature of organisation is characterised by constant change and cooperation. This ever-changing and integrated nature of an organisation is emphasised in the systems approach to management. It can be said that the systems theory helps the managers in developing plan of actions and in predicting their immediate and long-term effects. The systems theory helps the managers to strike a balance between the various goals of organisational departments and overall goals of the organisation.

1.2.3.3. Contingency Approach

Contingency approach can also be termed as situational approach. This theory is of the view that there cannot one specific action or response for different situations faced by the organisation. The best action for every situation is the one that meets the requirements of internal and external environment. The developers of contingency approach are of the view that systems approach is not effective in describing the relationship between the organisation and its external environment. Contingency theorists have attempted to meet this limitation of the systems approach by proposing an appropriate action that should be taken in response of an event occurring in the environment. The basic theory behind the evolution of contingency approach states that management effectiveness is contingent or dependent upon the interaction that occurs between the specific organisational situations and behaviour of management in dealing with the situation.

This approach suggests that managers should manage a particular situation according to the changing circumstances surrounding them. The famous phrase, one size does not fit all, goes well with the above explained concept. The contingency approach was invented by the people from different walks of life like managers, researchers, consultants, etc., after their attempts of applying other management theories were unsuccessful. They discovered that the real life situations and the concepts developed by major schools of management are not compatible with each other. This lack of applicability of management theories led to the development of contingency approach.

Many questions were raised during the practice of the concepts of major schools, **e.g.,** what was the reason behind the success of the organisational growth plan in one situation and reason behind its failure in other situations. Supporters of the contingency approach offered logical answers for these questions. The answer was clear; the results were different as the situations were different every time. A solution which worked under one scenario may not necessarily work under other or all given scenarios. It is the manager's responsibility to identify the right solution that will be suitable for working under a given situation/circumstances and at the given time to produce the desired results for achieving the organisational goals. Managers from different management school thoughts would handle a given situation in ways or by different techniques. **For example,** when workers need motivation to increase the productivity levels, different theorists belonging to different management schools would practice different techniques. The classical theorist would suggest a new scheme to simplify the given work, whereas the behavioural scientist would try to enhance the psychological environment of the workers.

1.2.3.4. Social System Approach

Social system approach was founded by a sociologist named, **Vilfredo Pareto**. Social systems approach is an extension of human relations approach. Pareto's concept was further developed by Chester Barnard, who combined the social systems approach with the human relations approach. This concept considers an organisation as a system based on cultures, where people from different backgrounds work with cooperation and harmony.

Understanding the behavioural patterns of different people working in an organisation helps achieving a cooperative system which further aids in attaining the organisational objectives set by the management. This approach is based on the theory of cooperation which explains that an individual employee tries to satisfy the basic biological, physical and social needs by cooperating with other employees. This concept of inter-relationships is termed as "formal organisation".

This system of formal organisation is different from the authority based management concept. Formal organisation is a system of consciously coordinated actions working towards achieving mutual organisational objectives. According to this approach, people who are a part of a formal organisation work together in cooperation, share rewards and also help each other in achieving the overall organisational goals. Social systems approach is formal in nature.

It shares a lot of similarity with the behavioural approach which is against the concept of an "economic man". It views an organisation as a social organism which is liable to the pressures and struggles of the cultural environment. It studies and analyses the impact of social behaviour of an individual and behaviour of a group on management concepts.

1.2.3.5. Decision-Making Approach

The decision-making theory concentrates on the managerial decision-making process in an organisation. It considers it as a central management task of prime importance. All the functions of management are based on sound decision-making. **Herbert A. Simon**, a leading supporter of decision theory school, considers "managing" and "decision-making" as similar concepts. The features of decision theory are as follows:

1) Management is basically decision-making.
2) All the members of an organisation are decision-makers and problem solvers.
3) Organisation is divided into different decision centres. The level and significance of a member in an organisation can be defined, based on the significance of decisions taken by them.
4) Organisational effectiveness is influenced by the quality of decisions.
5) Factors affecting decision-making process should be studied and analysed.

1.3. ORGANISATIONAL BEHAVIOUR (OB)

1.3.1. Meaning and Definition of Organisational Behaviour

Organisational behaviour is the field of study devoted to understanding the behaviour of individuals and groups in an organisation and applying this knowledge in the best possible manner. This study explains the relationship between people and organisation in terms of the individual, group, organisation and the entire system as a whole. The goal is to accomplish human, organisational and social objectives by building better relationships inside the organisation. Organisational behaviour can be defined as the arrangement, working and performance of organisations, as well as the conduct of individuals and groups in the organisation. In short, assessment of people within an organisational set-up is termed as organisational behaviour. It includes examining, forecasting and managing the human behaviour.

Organisational behaviour guides the management regarding how to achieve the organisational goals in an effective manner by giving relevant importance to human factors. According to **Barnard,** organisation involves meaningful communication among people. This states that since human factor is the most inseparable part of the organisation, hence, it should be given proper importance. Thus, organisational behaviour helps management in evaluating and shaping human behaviour in the best possible manner.

According to Fred Luthans, "Organisational behaviour is the understanding, predicting and controlling human behaviour at work".

According to Callahan, "Organisational behaviour is subset of management activities concerned with understanding, predicting and influencing individual behaviour in organisational setting".

According to Aldag and Brief, "Organisational behaviour is a branch of social sciences that seeks to build theories that can be applied to predicting, understanding, and controlling behaviour in work organisations".

According to Stephen Robbins, "Organisational behaviour is a field of study that investigates the impact that individuals, groups and structure have on behaviour in organisations, for the purpose of applying such knowledge towards improving an organisation's effectiveness".

1.3.2. Nature of Organisational Behaviour

Nature of organisational behaviour is as follows:

1) **Fundamental Part of Management:** Organisational behaviour is a scientific study of how people behave in an organisation and helps in improving the focus of management towards the employees and in setting provisions for them.
2) **Multi-disciplinary Approach:** Organisational behaviour has psychological foundation and several behavioural and social sciences disciplinaries such as psychology, sociology and anthropology significantly affect its functioning. The different concepts taken from these disciplinaries include learning, perception, motivation, attitude, etc.
3) **Normative Science:** Organisational behaviour is considered to be a normative science because it helps in applying the results of different studies in working of the organisation in such a way that it is compatible with the society. Hence, individual and social acceptance is also a key factor in the working and decision-making of an organisation.
4) **Science and Art:** Organisational behaviour is considered as a science as well as an art. **Science,** because it involves utilisation of scientific methods and **art,** because it deals with the behaviour of individuals.
5) **Humanistic and Optimistic Approach:** Organisational behaviour teaches managers to apply humanistic approach towards the employees. It emphasises on the fact that it is very important to meet the need of employees and motivate them. It also inculcates a positive work approach by stressing on the inborn qualities like being independent, innovative, predictive and capable of giving positive input to the organisation.
6) **Focussed towards Organisational Objectives:** Organisational behaviour helps to combine both organisational and individual objectives in such a way that both can be achieved at the same time.
7) **Total System Approach:** Certain factors such as psychological structure, interpersonal orientation, group influence, and social & personal factors are responsible for complexity of individual's behaviour. Thus, organisational behaviour uses system approach to understand and find solution for this complex individual behaviour.

1.3.3. Scope of Organisational Behaviour

Scope of organisational behaviour is as follows:

1) **Skill Development:** For entering and surviving in the new-age, organisation requires certain set of skills, i.e., work-related skills and generic skills such as problem-solving and communication skills. Organisational behaviour deals directly with the generic skills. Skills related to organisational behaviour are gaining momentum in the current work scenario. **For example,** CIOs (Chief Information Officers) today work hand-in-hand with information technology professionals so that they can get a better insight of the business, communicate effectively with colleagues and interact with other departments in a better manner. Soft skills like leadership, business knowledge and communication have started playing a very crucial role in the overall running of the business.
2) **Personal Growth through Insight into Human Behaviour:** As per **Robert P. Vecchio,** people study organisational behaviour to attain self-accomplishment that one gets while learning about the behaviour and attitude of others. This ultimately results in improved self-knowledge and self-insight. **For example,** when people study the factors which drive other people, they also come to know the factors which encourage themselves.

3) **Improvement of Organisational and Individual Effectiveness:** The study of organisational behaviour provides information that can be used to solve organisational issues. It also improves organisational effectiveness, i.e., the potential of an organisation to be efficient and to meet the requirements of the parties involved. Organisational behaviour improves organisational effectiveness by revealing factors such as employee motivation, communication hurdles and personality factors that enhance or obstruct effective performance. Organisational effectiveness is understood as the extent to which an organisation attains its goals under finite amount of funds and resources, without putting excessive burden on its employees.

   According to Hannan and Freeman, "Organisational effectiveness is the degree of congruence between organisational goals and observable outcomes".

   Alongwith organisational effectiveness, organisational behaviour also provides approaches and competencies that improve effectiveness of a person. A person with knowledge of conflict resolution, interpersonal communication and teamwork would prove to be more efficient for the organisation.

4) **Sharpening and Refining of Common Sense:** Gaining knowledge and information about organisational behaviour is crucial for managers as it teaches them how to deal with their subordinates which cannot be taught through any book. Common sense without the knowledge of organisational behaviour is not enough to manage workforce. Knowledge of organisational behaviour sharpens and widens the sphere of common sense. It decreases the time one might need to attain important behavioural knowledge and skills.

   Common sense tells us that rewarding employees on the basis of performance is an effective way to motivate them for better performance. But the study of organisational behaviour teaches that rewards should be given seldom and not everyday. It also teaches that the kind of reward given to different employees should be modified as per their personalities and priorities. **For example,** some people prefer loud appraisals while others might prefer appreciation based on quality of outcome.

1.3.4. Need of Organisational Behaviour/ Why Study Organisational Behaviour?

Organisational behaviour is an interesting field which helps managers to effectively manage the human resources, and thus achieving the organisational objectives efficiently. Following points describe the reasons for studying organisational behaviour:

1) **Understanding of Self and Others:** Organisational behaviour helps individuals to understand themselves and others clearly, and thus improves interpersonal relations. Understanding attitude, perception, leadership, transactional analysis and conflict greatly helps individuals in shaping their personalities and understanding others in a better manner. Organisational behaviour helps to understand human behaviour in every possible manner and can be studied at the following levels:
   i) **Individual Behaviour:** The science of human psychology deals with the study of how and why an individual behaves in a specific manner. Human behaviour is influenced by various psychological, social and cultural factors. Organisational behaviour combines all these factors to study individual behaviour in an organisation.
   ii) **Inter-personal Behaviour:** Human beings have a strong need to socialise and develop interpersonal relations. Behavioural sciences study these interpersonal relationships inside an organisation. They provide a better understanding of self and others and improve interpersonal relations to a great extent. To understand interpersonal relations one needs to study attitude, perception, role analysis, transactional analysis, etc.
   iii) **Group Behaviour:** Hawthorne studies suggest that people behave in a different way as an individual than when in a group. When in a group, an individual's behaviour is influenced by the group norms. Thus, organisational behaviour emphasises on studying group dynamics. It assists in understanding the process as well as reason of group formation, and its impact on individuals, group and management team. Group dynamics can be used by the management for improved communication, morale building and efficient leadership.

2) **Motivation of Human Resources:** A manager's task is to get work done by others, and a successful manager is one who can effectively motivate his workers to achieve the goals of organisation. Organisational behaviour helps the managers in understanding the requirements of the workers in a better manner and thus, motivates them towards better performance. **For example,** managers can appreciate the work of employees to boost their morale by giving incentives or some other kind of benefits.

3) **Enhancement of Quality and Productivity:** Organisational behaviour guides managers to use various techniques such as quality management, process re-engineering, etc. to increase the participation of employees. Thus, organisational behaviour helps in improving the quality of operations and employee productivity.

4) **Effective Communication:** Any type of communication whether verbal or non-verbal is very essential in improving interpersonal relations in an organisation and achieving organisational effectiveness. Organisational behaviour plays an important role in improving communication. However, communication can be made effective by analysing the factors that affect communication.

5) **Effective Organisational Climate:** According to the behavioural science, formation of organisational climate enables efficient organisational working rather than simply enhancing the physiological conditions or improving satisfaction level of employees. Suitable working conditions, sufficient compensation and improved tools for the job are considered as minor steps in the direction of creating a healthy organisational climate.

6) **Good Human Relations:** Organisational behaviour can be helpful in maintaining healthy relations between the employees and management. Dissatisfaction among employees leads to a tensed work environment. An employee can be slow in work due to any reason, not just due to rejection in promotion or poor work environment. Similarly, if a union calls for a strike, the reason might not be a demand for higher wages, leaves, higher bonus, etc. The employee or union dissatisfaction can be due to unhealthy relation between employees, union and management. The reason behind tensed relations between management and employees at many times is purely psychological. In such cases, organisational behaviour helps the management in determining the reasons behind poor industrial relations in the organisation and formulates suitable measures to handle them.

7) **Introduction of Change in Organisation:** At some point of time, every organisation needs to undergo change because change is compulsory. Numerous forces such as technological, social, political and environmental factors are responsible for the change. Employees who are directly affected by the change often resist it. This problem should be handled by using the behavioural science and educating the employees about the positive aspects of the change.

1.3.5. Importance of Organisational Behaviour

Importance of studying organisational behaviour is as follows:

1) **Helps in Understanding Human Behaviour:** Human beings interact differently and this interaction can be understood with the help of organisational behaviour. Hence, organisational behaviour is studied at various levels as per the organisational needs, i.e., individual level, interpersonal level, group level and inter-group level.

2) **Assists in Controlling and Directing Behaviour:** Once the manager has understood human behaviour, his focus should be on controlling and directing the behaviour at all levels of interaction, thereby helping the organisation in achieving its goals.

3) **Explains Application of Power and Sanction:** Managers can use power and sanction to control and direct the behaviour of their employees. Organisational behaviour teaches how to use power and sanction in order to attain the goals of both the employee and the organisation at the same time.

4) **Helps in Understanding Leadership Concepts:** Organisational behaviour helps the managers to view the theory of leadership in a new perspective. It identifies multiple leadership styles and helps the manager in choosing the most appropriate style of leadership in that condition.

5) **Evaluates Communication Process:** Effective communication is a giant step towards achieving organisational goals. Half the task is done if employees learn to communicate effectively. Organisational behaviour evaluates communication process and its role in interpersonal dynamics.

6) **Helps in Understanding Organisational Climate:** Organisational climate refers to the work atmosphere in an organisation that affects behaviour of its people. It comprises of enhancement of satisfactory working conditions and adequate compensation. It also includes effective supervision under which employees get an opportunity to realise personal goals, interpersonal relations and gain a feeling of achievement. Thus, organisational behaviour helps in understanding the organisational climate effectively.

7) **Assists in Organisational Adaptation:** Organisation in itself is a dynamic unit that is affected by constant changes. Organisations have to familiarise themselves according to the external environment and make internal changes accordingly like preparing employees to accept the change.

1.3.6. Relationship between OB and the Individual

Studying organisational behaviour can be challenging, as well as interesting. However, the interactions between situational factors sometimes make the study more difficult. Organisational behaviour is concerned with the individuals and group of individuals who work as a team. It is also related to the anticipated behaviour of individuals within the organisation. Every organisation has distinct individuals having varied attitudes, values, personalities, motivation levels, abilities and desires. Examining and analysing the behaviour of each and every individual separately is a difficult task. Moreover, a group which is comprised of various individuals having complex relationship among them is more difficult to understand.

The study of human behaviour has become critical in the current business scenario as the success of any organisation depends on its employees. Different individuals behave differently and no two persons are same which makes the study of human behaviour necessary. All the individuals were considered the same in managerial and organisational theories of earlier times. In addition, scientific management emphasised mainly on the similarities among the individuals rather than the differences. However, the contemporary human behaviour theories give importance to the distinctiveness among employees and its influence on the organisation. With the help of organisational behaviour, the study of individuals and their distinguished behaviour becomes more effective.

An organisation develops constantly when the individuals working in it grow at the same pace. A feeling of accountability and a strong relationship between the individual and the organisation is created as a result of this. Following are the important factors which can improve the relationship between an individual and organisation:

1) **Regular Learning:** Learning results in an enduring change in the behaviour or prospective behaviour of an individual as an experiential outcome. For an organisation to be successful, the focus should be given on encouraging productive behaviour, and preventing behaviour which can have an adverse impact on the organisation. A strong relation between individual and organisation is created through this learning process.

2) **Building Correct Perception:** The process of identifying, organising, and understanding the inputs through sensory organs is called perception. Organisational behaviour assists in developing a correct perception which is a mandate to work with other individuals effectively. It also helps in creating correct perceptual sense in the individuals.

3) **Creating Positive Values and Attitudes:** The assessment of individuals, groups, issues, objects or any form of physical or social world which remain for a long duration is called attitude. Positive attitude helps in creating a long lasting and effective relationship among individuals. Values are the fundamental faiths about considering a certain constructive behaviour or attitude over a negative one on personal and social grounds. Values form the foundation of behaviour and attitude. OB enables an individual to become aware of his/her values and attitudes and develop the correct attitude.

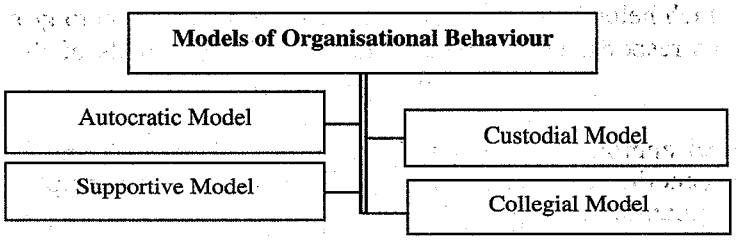
4) **Creating Compatible Personality and Emotions at Workplace:** Personality reflects a person's distinctive and stable attributes of behaviour, emotions, and thought process. The organisations are required to have a proper match of job and individual in order to achieve the best performance from the employee. However, personality of any employee can be improved according to the need of the job. Being aware of one's own emotions helps an individual to grow and develop. The feelings comprising of subjective cognitive states, expressive behaviours, and physiological reactions are termed as emotions. The combination of mental activities consisting of knowledge, memory, and thinking is referred to as cognition.

5) **Building and Sustaining Minimum Stress among Individuals:** The situation in which an individual comes across a limitation, opportunity or demand pertaining to his aspirations which is not sure to be achieved but is important, is called stress. Stress is an unavoidable part of current working culture due to increased competition and difficult survival. With the help of OB, stress of an individual can be minimised and working environment becomes soothing.

6) **Motivating Individuals/Teams and Creating Job Satisfaction:** Being one of the most valuable intangible assets of an organisation, motivation is an internal feeling which stimulates, governs, and controls an individual's behaviour. Job satisfaction is how an employee perceives his job. It also relates to the variance of how much reward an employee is receiving from a job, and the expectation of the employee about the reward which he should be receiving. The high level of motivation among team members and job satisfaction of employees can be achieved with the help of OB.

1.3.7. Models of Organisational Behaviour

Models of organisational behaviour are as follows:



1.3.7.1. Autocratic Model

In the organisation following autocratic model, the manager has the authority to order the employees to perform a specific task. Management considers itself as the supreme power to tell what is right for the organisation and thus the employees must obey their commands. This model results in excessive dependence of the employees on the management which leads to reduced employee morale, poor decision-making ability in the employees and high rate of turnover. Employees start expressing their hatred towards the company at home and in the society but not in the premises. Another drawback of this model is high human cost. Major features of autocratic model are as follows:

1) **Only Management Decides Right or Wrong:** Power of decision-making lies only with the management and if the employees do not follow their bosses they would be punished. This theory believes that only management knows what is right or wrong. Employees are assumed to be obedient and resistant to needs and requirements of organisation. This model is same as the **McGregor's** Theory X.
2) **Power Based:** As per the autocratic model the power lies only with the management. The ones in command have the right to issue orders and employees have to obey the command or else they will have to face the consequences.
3) **Formal by Nature:** Organisations which follow autocratic model have formal managerial orientation and have official authority. People are obligated to follow the instructions.
4) **Obedient Orientation of Employees:** Under this model, the employee does not respect his manager, but he is dutiful to his boss.
5) **Employees are Dependent on Managers:** The managers have complete power over their employees in such organisations. Thus, psychological result is over dependence of employees on their managers (superiors).

1.3.7.2. Custodial Model

The focus of this model is on the satisfaction, security and welfare needs of the employees, thus leading the employees to depend on the organisation rather than the managers. The employees get frequent economic rewards and recognitions which make them happy but it does not lead to high motivation. The salient features of custodial model are:

1) **Resource Based:** For a successful custodial approach, the presence of economic resources is essential.
2) **Monetary Affiliations:** The prime focus of the management is on payment of salaries and benefits to the employees.
3) **Focuses Employee Security:** Employees security needs are given much importance in order to motivate them for better performance. An organisation can follow the custodial model only when it is in good financial condition to make timely payment of salaries, pensions and other benefits to employees.
4) **Employee Dependence on the Organisation:** The monitory benefits that the employees gain from this model make them dependent on the organisation rather than on the employer.
5) **Employee Focuses on Rewards and Benefits:** In a custodial environment the employee's performance becomes dependent on the rewards and remunerations that they get. The employees feel well maintained and contented but not essentially motivated. As a result, certain employees do not perform well to the extent as they would perform under autocratic approach.

1.3.7.3. Supportive Model

This model focuses on getting work done through better leadership than power and money. It believes in creating an environment which helps both the employees and the organisation to grow mutually. It provides the employees a chance to take responsibility and contribute towards the goals of the organisation and develop themselves.

It differs from the custodial approach as it focuses on employee's growth and performance rather than on payment of employee's benefit. The psychological result is that the employee develops a sense of belongingness towards the organisation as he participates in its growth and development.

Various features of supportive model are as follows:

1) **Based on Leadership:** This model believes in good leadership instead of emphasising on power and money to achieve results. Organisation gives an opportunity to the employees to develop and give their best and contribute in the growth of the organisation using effective leadership.
2) **Leader Supports Employees:** Leaders have the quality of bringing out the best in their subordinates. They understand that no employee is lazy or resistant towards the organisational work but improper working conditions make them so. If an opportunity is given to them, then they can take responsibility, make effort to contribute and improve their performance. The management's focus in this model is to improve the performance of employees by providing them opportunities rather than offering benefits as done in custodial model.
3) **Increases Participation:** A sense of belongingness towards the organisation develops in the employees because an opportunity to participate is provided to employees by management.
4) **Strongly Motivated Employee:** Employees in the organisation with supportive model are more directed towards work because their status and recognition needs are properly met. Thus, employees work with vigour and zeal.

1.3.7.4. Collegial Model

Collegial refers to a group of people with a common goal. In this approach, the management works to develop better team and acts as a mutual contributor not as a boss. The psychological result of this approach is that the employee feels a sense of self-discipline as he owns the responsibility of the work. This condition makes the employees feel their worth in the organisation. The employee is thus inspired towards performing better.

Features of collegial model are as follows:

1) **Based on Employee Cooperation:** In the collegial model, the management builds a sense of partnership with the employee and employee feels his value and necessity in the organisation. Since the manager is also seen contributing towards the task, the employees begin to respect their job as well. Hence, manager acts as active participant rather than as an authority.
2) **Focuses Teamwork:** The management acts as a trainer and emphasises on teamwork.
3) **Employees Feel Responsible:** Employees when provided with trust react in a very responsible manner. **For example,** employees provide quality products not because of fear of management or quality inspector but because they feel themselves to be duty-bound.

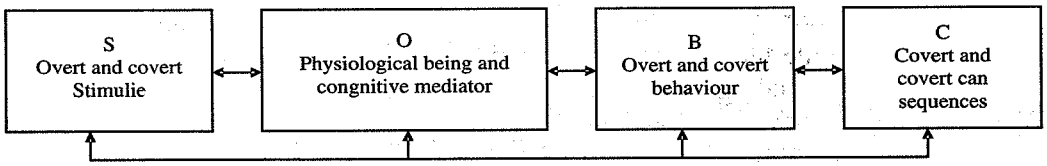
   They feel responsible towards the quality standard of their product which in turn will be beneficial to them and to the organisation also. This self-discipline that the collegial model inculcates in the employees results in quality work.
4) **Employees Feel Satisfied:** This type of organisational setup acts as a motivator for the employee's self-esteem. They feel a sense of worth and self-awareness by contributing to the success of the organisation. This leads to reasonable enhancement in employee's performance.

1.3.7.5. S-O-B-C Model

S-O-B-C model is a more comprehensive and complex model of human behaviour. S-O-B-C is Situation-Organism-Behaviour-Consequence Model where 'S' is the situation including physical environment as well as

socio-cultural environment and all aspects of environment-immediate-stimulus. 'O' is the individual who is not only physiological, but also psychological by nature. 'B' is concerned with both overt and covert behavioural pattern of the organism and 'C' stands for both overt and covert consequences of the human behaviour.

Thus, this model shows that behaviour of an individual depends upon all the four factors and all of them are equally important. Unlike other behavioural models, S-O-B-C not only focuses on the clear aspects of behaviour, but also determines the hidden aspects.



The complexity of this model is due to following two reasons:

1) The presence of different variables and their interaction with each other not only affects the other variables, but also increases the complexity of this behavioural theory.
2) Since organism (O) according to this model is both physiological and socio-psychological individual, he/she observes and analyses things and situations according to his/her own nature and thinking and further behaves accordingly. Thus, this characteristic of organism influences the behavioural process to a great extent, thereby making this model more multifaceted.

The limitation of S-O-B-C human behaviour model is that it shows the whole picture of the human behaviour but does not explain the factors that help in shaping the behaviour of an individual.

Thus, in order to understand, forecast and direct individual's behaviour, there is a need to identify these factors. However, these factors can be easily identified as they are either internal in the form of feelings or external in the form of situations and environment.

1.3.8. Fundamental Concepts of OB: Foundations of Organisational Behaviour

Organisational behaviour begins with a specific set of fundamental concepts that form a strong base for organisational behaviour. These are as follows:

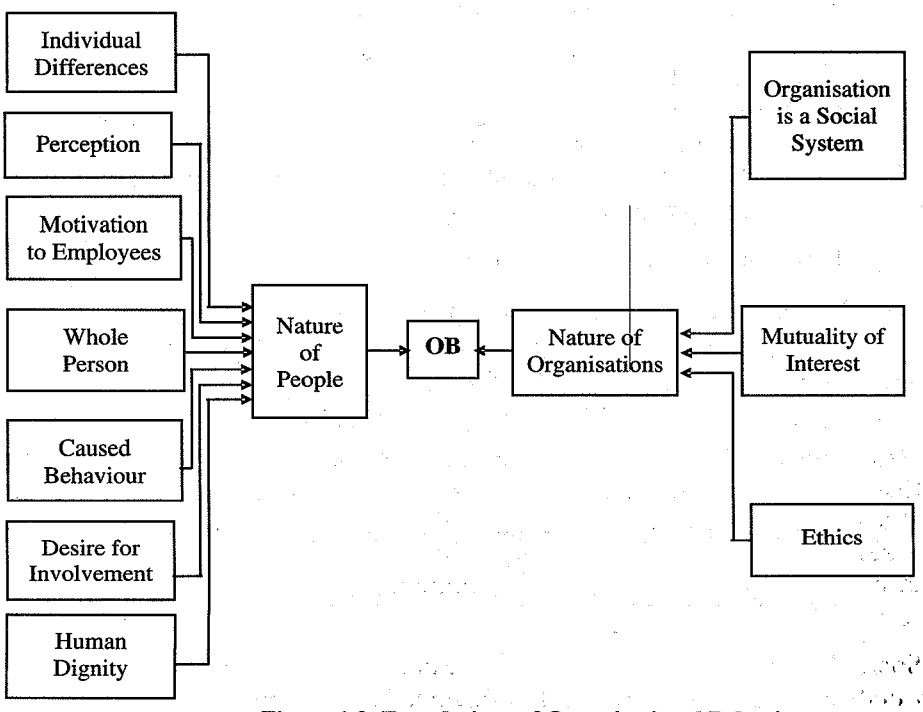


Figure 1.3: Foundations of Organisational Behaviour

1) **Nature of People:** There are certain concepts related to the people which are as follows:
   i) **Individual Differences:** Management can encourage employees in a better way by understanding that all people are different, and hence, treating every person differently. Law of individual differences also taught us that each individual is different and unique.
   ii) **Perception:** People see different things in different ways, i.e., people may have different viewpoints for the same object. These viewpoints about the environmental objects are made clear by right perception.
   iii) **Motivation to Employees:** Need of an employee motivates him to perform well in the organisation. In some cases, motivation is also required to pursue excellence or to foster the work quality.
   iv) **Whole Person:** While hiring an employee the manager also hires things that are associated with him like his nature, likes and dislikes, preferences, background, hobbies, etc. But his family life cannot be isolated from his work life. Hence, a manager must try to make the workplace as a home so that employee feels like home at work.
   v) **Caused Behaviour:** Psychology teaches us that normal behaviour has issues related to need of a person or as a consequence to certain action. The management can motivate employees in two ways. Firstly, by showing them how their action can raise their need fulfilment. Secondly, by threatening them that their undesirable action can adversely affect the fulfilment of their needs.
   vi) **Desire for Involvement:** An employee who is meaningfully involved in the working of an organisation feels good about himself/herself. Management should provide such opportunities to employees as it results in mutual growth of the employee and the organisation.
   vii) **Human Dignity:** Every person desires to get respect from others. Therefore, employees should also be respected like managers.
2) **Nature of Organisations:** Following are the concepts with regard to organisation:
   i) **Organisation is a Social System:** Just like a social system an organisation also coordinates the activities of its employees in order to achieve its goals.
   ii) **Mutuality of Interest:** The relation between an employee and the organisation is a symbiotic one. The organisational goals can only be achieved through combined efforts of the employee and the employer. This results in the mutual growth of both the employee and the organisation.
   iii) **Ethics:** Ethical conduct is essential to obtain and hold valuable employees in this competitive world. Organisations must treat their employees in an ethical way in order to succeed.

1.3.9. Disciplines Contributing to the Field of OB

Organisational behaviour is an applied behavioural science based on contributions from numerous behavioural disciplines. These disciplines are described as follows:

1) **Psychology:** Psychology is a behavioural science which studies behaviour of human beings in specific conditions and predicts how the individual will react in such conditions. Psychology with its various studies and theories has brought about immense difference in human behaviour. Theories related to leadership, motivation, individual decision-making, attitude, ego state, learning, personality, performance appraisal, job satisfaction, training and development, work design, job stress and conflict resolution have been taken from psychology itself. If used efficiently these theories can bring about changes in the attitude of employees and inculcate a positive approach towards the organisation. Several psychological tests are also undertaken on the prospective employees during the hiring process which help the managers to understand the employees thought process and attitude in a better manner. Apart from this, certain other aspects of human personality can also be measured with the help of this science.
2) **Medicine:** Medicine is an application of science which is concerned with diagnosis and treatment of diseases so that health of an individual can be improved. It includes healing of both physical as well as psychological diseases of the person. It observes individual's behaviour and lifestyle pattern while devising a strategy for treatment of chronic diseases. This has led to the development of wellness programmes in the perspective of commercial medicine and these programmes have led to more intense focus on employee's health in the organisation.
3) **Sociology:** Sociology is a social science which examines the influence of culture on groups and helps managers to understand group dynamics, communication, customs, position, authority, group processes, conflict resolution, formal organisation theory and group decision-making.

4) **Social Psychology:** Organisations are group of people with designated jobs and they play an important role in developing human behaviour. Social psychology is a combination of psychology and sociology. It has helped in managing changes, decision-making, communicating and developing skills to sustain social norms.

5) **Anthropology:** This field of applied science studies human behaviour in several cultures and environments to understand the differences between them. It is the manager's responsibility to handle and control people from different ethnicities and guide their efforts in the direction suitable for the growth of the organisation. Organisational behaviour teaches about the attitudes and transactions occurring in various cultures. Environmental studies under anthropology helps in understanding human behaviour across cultures so that mergers and acquisitions become easier.

6) **Political Science:** A stable government helps the business to grow internationally. A stable government at national level promotes international business, financial investments, expansion and employment. Rules and regulations formed by government deeply influence the functioning and decision-making of organisations.

7) **Industrial Engineering:** Engineering deals with the study of energy and matter and helps in understanding job design. In the early years of studying organisational behaviour, **Fredrick Taylor** took basic engineering ideas and applied them to human behaviour at work. Since **Fredrick** was from the engineering background, hence he gave special emphasis to human productivity and efficiency in work behaviour. He provided organisational behaviour with the concept of performance standards, i.e., piece-rate system which was a huge contributor in the growth of organisations.

8) **Economics:** Organisational climate is affected by economic environment as well. Economic factors such as labour market dynamics, cost-benefit analysis, marginal utility analysis, human resource planning, forecasting and decision-making also influence organisational behaviour.

1.3.10. Levels of OB

Organisational behaviour mainly deals with understanding, anticipating, and controlling the behaviour of individuals in organisations.

According to Greenberg and Baron, "Organisational behaviour is the field that seeks knowledge of behaviour in organisational settings by systematically studying individual, group and organisational processes." Hence, in organisational behaviour the emphasis is on the analysis at three levels as shown in **figure 1.4:**

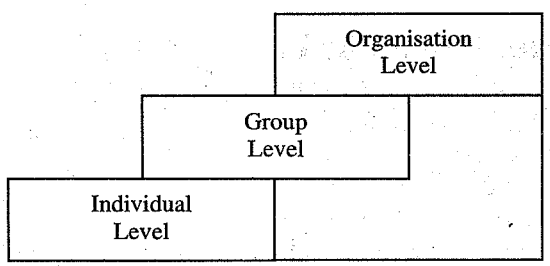


Figure 1.4: Levels of OB

1) **Individual Level:** An individual is the key part of any behavioural situation. Different individuals constitute an organisation irrespective of whether working individually or as part of a team, due to the expectations of management, or because of the pressure exerted from external factors, the main focus in organisational behaviour is on an individual. How different persons can behave is a very complicated process to understand. These behaviours are influenced by various forces like attitude, personality, motivation level, social and cultural factors, learning, perception, and so on. Human behaviour can easily be understood with the help of OB as it combines these factors. When one conducts a study of an individual's behaviour in the organisation, it is called as **Micro Organisational Behaviour.**

2) **Group Level:** Individuals connect with others at their own personal level. However, the way they behave is also impacted by the group they are part of. It has been observed in various studies that individuals show distinct behavioural patterns in groups and individually. Various factors such as group objectives, norms, leadership, co-operation, unity, etc., impact group behaviours. To boost the group morale and effectiveness by minimising the conflicts among the members, it is important to study group dynamics. This study is called **Meso Organisation Behaviour.**

3) **Organisation Level:** Various individuals and groups which are dependent on each other and carry out their functions within the organisational framework, construct the organisation. These individuals and groups not only build the organisational culture, but also help in development of organisation.

They may oppose some changes in the already existing setup and at the same time, they may also strive for change when they feel so. These activities of individuals and groups lead to stress which should be handled at individual, group, and organisational level. When we study the behaviour from the viewpoint of the entire organisation, it is called **Macro Organisational Behaviour**.

1.3.11. Determinants of Organisational Behaviour

Key determinants of organisational behaviour are shown in **figure 1.5:**

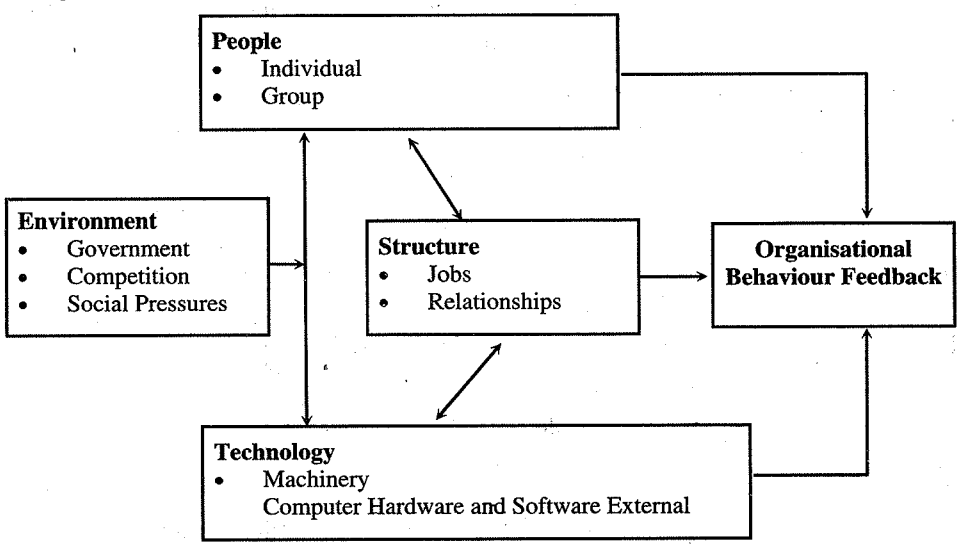


Figure 1.5: Determinants of Organisational Behaviour

1) **People:** The internal social system of an organisation is made up of the people who work in it. This comprises of individuals, large and small groups, informal and formal groups. It is the organisation that exists to serve its people and not *vice versa*. Today's organisations have changed and have become more diverse than before. Present day employees come up with a broad range of talents, educational backgrounds and perspectives. Hence, the managers are required to transform themselves with the workforce in order to attain maximum efficiency.

2) **Structure:** Relationships and roles of people in the organisation are defined by structure. People working in an organisation perform different roles and have different relationships with each other. Division of work is done based on the capabilities and designation of the employees so that organisational goals are met efficiently. These may be managers, supervisors, clerks, etc., working in one direction to achieve the organisational goals in an organised manner. Authority-responsibility relationships are the essence of structure.

3) **Technology:** Technology plays a vital role in modern organisations. It empowers people for their work and also influences their activities. Since work cannot be done without equipment, hence organisations use technology to build buildings, design machines, develop work processes and collect resources. Technology in turn helps people to perform better. But technology has some side effects like it is costly and limits people in certain ways, i.e., it makes them dependent on machines. So, technology has both pros and cons.

4) **Environment:** Operations of all organisations take place under internal and external environment. An organisation is a small part of a large system which contains elements such as government, family and other organisations. Changes in the external environment affect the individual organisations such as schools or factories. It also affects working conditions and people's behaviour and results in struggle for resources and power. Thus, organisations need to adept as pet their environment it while studying human behaviour.

1.3.12. Challenges and Opportunities for Organisational Behaviour

In present time, managers have to deal with various contemporary challenges and opportunities in order to use organisational behaviour concepts. Some of these challenges and opportunities are as follows:

1) **Globalisation of Business:** With globalisation, where the world has turned into a large global village, a global yet local approach is being followed by organisation. Organisational behaviour is leading organisations on the way to a new world where there are minimum hurdles to trade and investment and national economy is becoming intensely connected with each other.

   Technologies such as telecommunication and transportation have brought nations closer to each other and have given rise to an interdependent economic system where even the least minute change in one domain directly affects the others around the world. This entire process is termed as globalisation. For effective working of the organisation, the managers have to understand the local cultures and behaviours in order to adapt their managerial styles.

   They need to understand the differences in cultures and accordingly change their working style in order to run the organisation and resolve problems effectively. Hence, managers face both opportunities as well as challenges due to globalisation.

2) **Workforce Diversity:** Another challenge that the organisations face today is adjusting with people coming from different backgrounds, cultures, countries, races, genders and ethnicities. These also include physically disabled, gays and lesbians and elderly people. This is called workforce diversity. The issue is relevant all over the world be it Europe, Canada, Australia, Japan or U.S. The main reason behind this is the changing demographics of working population. Coping with diversity is a matter of concern for the managers because of two reasons:
   i) Managers must learn how to encourage a diversified workforce.
   ii) Mangers must also learn how to interact with employees coming from countries with different values and languages.

3) **Changed Employee Expectations:** Employee expectations and attitudes have also changed alongwith the modifications in workforce demographics. Today's employees give less or no value to the traditional temptations such as job security, housing, attractive remuneration, etc. Today's employees demand empowerment and look forward for symmetry in status with the management.

4) **Increasing Quality Consciousness:** With the increase in competition at domestic as well as global levels, quality of product or service has gained much importance. Practices like Total Quality Management, Six Sigma Standard, Kaizen and Quality Certification have gained momentum. Due to this, the organisations have to modify their functioning. This also changes the working conditions under which the employees work and make the employees comfortable to accept change. It is the task of the manager to ascertain that the employees accept the change whole-heartedly and understand that it is for their betterment.

5) **Ethical Issues at Work:** Ethics are the principles, beliefs and moral values that an individual or group possess and for which they are accountable to the community. Ethical issues are problems that require individuals; organisation or groups to choose those actions that are right and ethical and discard those that are wrong. If all the choices are wrong or illegal then the least wrong among them is to be chosen.

People running organisations are now held accountable for their actions and hence they prefer to fulfil their duties towards their customers and provide them maximum satisfaction. As it is truly said that a dissatisfied customer can definitely hurt a company, something which the company cannot afford.

1.3.13. Limitations of OB

Organisational behaviour cannot resolve unemployment issues alone. It will not compensate for our human in capabilities. It cannot replace poor planning, incompetent organising, or deficient orders. It is just a part of large social system. Various limitations of organisational behaviour are as follows:

1) **Behavioural Bias:** It includes:
   i) **Over-emphasising the Employee Satisfaction:** Those people who do not have knowledge about the system and become over-influenced by organisational behaviour, develop an inclination in their behaviour. It restricts their opinions and they ignore the entire organisational system and only focus on satisfaction of employees. Employee focus becomes so important that they forget their ultimate

objective of uniting people and generating products for the benefit of society. Effective organisational behaviour must assist in fulfilling the objectives of organisation rather changing them. People who focus on needs of employees and ignore the needs of consumers are actually badly using the concepts of organisational behaviour.

ii) **Over-emphasising the Production Output:** Organisations which only focus on production output and ignore the needs of employees are also misusing organisational behaviour. Effective organisational behaviour is one which tries to meet the different requirements of people in different manner. Behavioural bias is harmful for both, i.e., employees and organisations.

Certain people over-power others with care to such an extent that the person becomes emotionally broken and become unproductive and dependent. They are not satisfied. They search excuses for their failure instead of initiating for advancement. They are deficient in terms of self-control and self-esteem.

2) **The Law of Diminishing Returns:** The law of diminishing returns states:

i) **Too Much Organisational Behaviour Emphasis Produce Negative Results:** The exaggerated emphasis on practice of organisational behaviour can lead to negative outcomes, as stated according to law of diminishing returns. It declares that if a pleasing practice is over-emphasised, then it may end up producing negative results.

ii) **Optimum Desirable Practice:** It states that for any activity there is an optimal limit. When that limit is crossed, then returns start declining. It simply means that if an activity is desirable it does not implies that it should be practiced more than the limit.

iii) **Does Not Apply to Every Human Situation:** Diminishing returns may not be suitable for every human situation, but the idea is so widely applicable that it is used everywhere. Besides, the accurate point at which an application becomes intense will differ as per the situation, but an extreme point can be attained at any attempt.

iv) **A System Concept:** Diminishing returns is a system based concept due to the complicated association among several factors. Concept declares that if the most important factor is developed to an excessive limit, it has a tendency to restrain the operational advantages of other factors to such an extent that total efficiency decreases. **For example,** excessive security restricts employee efforts and productivity. This relationship shows that the effectiveness of organisation is attained by integrating all factors of system in a balanced manner.

3) **Unethical Manipulation of People:** It involves:

i) **Misuse of Organisational Behaviour Knowledge and Techniques:** An important worry about organisational behaviour is that its concepts and methodologies can be utilised to influence people in an unethical way. People who do not respect fundamental dignity of the human beings could develop ideas of organisational behaviour and use them for selfish purposes. They could implement what they understand about motivation or communication without concerning about welfare of human beings.

ii) **Ignores Ethical Relationship:** Manipulation possibility means that top level people of organisations should support integrity in context of ethics and morals and do not use their power in wrong way. In absence of ethical leadership, the new knowledge learnt regarding people becomes a dangerous tool for maltreatment. Ethical leadership has following traits:

a) **Social Responsibility:** When people gain power in an organisation, they must fulfil their responsibilities towards others.

b) **Open Communication:** Organisation works as a two-way system, i.e., it allows people to give their suggestions and in return information related to working of organisation will be provided to them.

c) **Cost-Benefit Analysis:** Besides, economic costs-benefits, human and social costs and advantages of an activity are examined in order to decide whether to proceed or not.

If employees have more awareness about organisational behaviour, it will be quite tough to misguide them. Therefore, ethical leaders are required in our society.

1.4. EXERCISE

1.4.1. Very Short Answer Type Questions

1) Define management.
2) What do you understand by the term, planning?
3) Discuss the meaning of organisational behaviour.
4) What is supportive model of OB?
5) Discuss about organisational behaviour at individual level.

1.4.2. Short Answer Type Questions

1) Discuss the nature of management.
2) Explain the contribution of Chester Barnard.
3) State the scope of OB.
4) Why study OB?
5) Highlight the importance of OB.
6) Define the levels of OB.
7) What are the challenges and opportunities of OB?
8) Explain the determinants of OB.
9) Write about the S-O-B-C model of human behaviour.

1.4.3. Long Answer Type Questions

1) Enumerate the five functions of management.
2) Explain the evolution of management thought. Describe various classical organisational theories.
3) Write a detailed note on modern approaches of management.
4) Discuss the nature of organisational behaviour. Also explain the relationship between OB and the individual.
5) Elaborate the evolution of organisational behaviour.
6) Explain the models of organisational behaviour.
7) Describe the fundamental concepts of OB. State the limitations of OB.
8) What are the needs of understanding individual behaviour? Explain the factors characterising individual behaviour.
9) Explicate various models of individual behaviour. Also describe the factors determining individual behaviour.

Chapter 2

Values, Attitudes, Emotions & Personality

2.1. VALUES

2.1.1. Introduction

An individual's thoughts and priorities which determine his actions constitute his values. Values display an individual's mind-frame behind what he perceives as right and wrong. Values are so deep rooted that they are reflected in the behaviour of the person as well as in his motivation, perception and personality. Individuals behave in consensus with their values which usually remain steady and last throughout their lives. This impact is obvious as the values are learnt in the very initial years of any individual. A value system is observed as an eternal perceptual framework that affects the way an individual behaves. They are nearly same as attitude. The only difference is that they are everlasting and deep rooted. The value system is made up of a hierarchy of values like freedom, honesty, self-respect, equality, obedience, etc.

According to Milton Rokeach, "Values are global beliefs that guide actions and judgments across a variety of situations".

According to Stephen P. Robbins, "Values are specific mode of conduct or end state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence".

2.1.2. Characteristics of Values

Values possess the following characteristics:

1) **Part of Culture:** Values are a part of culture that is made up of a compound set of values, attitudes, ideas and various significant symbols that provide a shape to behaviour of human beings in the society. Every society has a distinct culture and the individuals belonging to the society follow that culture.

2) **Learned Responses:** Responses that are learned in due course of time constitute values. Some responses might be gained through daily experiences and we reciprocate in the same manner when we come across a similar situation. While other responses might be gained or learned from explicit experiences and we respond in a general manner when we come across such similar situations.

3) **Inculcated:** Values are transferred from one generation to another via various institutions and groups. Family is the main source of this transformation. Besides family, religious, educational and cultural institutions also help in transmitting cultural values from generation to generation.

4) **Social Phenomenon:** Numerous individuals living in one civilised society share the same values. This means 'value' is a social phenomenon. Culture is not responsible for the way an individual thinks and behaves. Rather the manner in which a group behaves makes a culture. A group is comprised of individuals who are socially liable to interact with each other.

5) **Satisfying Responses:** The values prevalent in the society facilitate to fulfil the biological and other such needs of the people. When these values stop fulfilling the needs of the people, they start getting diminished. On the contrary, the behaviour that is beneficial for the members of the society is rewarded.

6) **Adaptive Process:** Culture can be adopted through a dialectical as well as an evolutionary process. Dialectical process is an irregular change that takes place when a culture's value system acknowledges only one class or group of the society. As a result, the other groups of the society reject their own value system and adopt the new value system by way of indulging in revolution or any such methods. On the other hand, the evolutionary process is one where change is slower.

2.1.3. Sources of Values

Various sources of values are as follows:

1) **Familial Factors:** Family plays a very crucial role in the socialisation process of an individual. His personality is structured with the help of child nurturing techniques followed by his parents. These techniques teach the child about values, rules and regulations and social behaviour. **For example,** parents display their love and care through gifts and penalties which inspire the child towards the better performance and becoming a good human being.
2) **Social Factors:** School is the next important societal place that inculcates values in the child. The discipline taught in schools, teaches the child how to behave as an individual, then as a family member, and finally as a gentle person within the society at large.
3) **Personal Factors:** Factors like looks, aptitudes, skills, knowledge level and self-learning are some of the personal factors which play a vital role in value development. **For example,** one who is more intelligent would understand the values faster.
4) **Cultural Factors:** Culture is a congregation of values, norms and regulations that get assembled with time, which are passed on from generation to generation. The individual remains adhered to these norms, thereby showing their acceptability. These norms and regulations help in cultivating values. **For example,** giving your food to a needy person is considered to be a good value.
5) **Religious Factors:** Religion provides calmness and strength to people. It is made up of formal group of values that are transmitted through generations. However, technological advancements have downplayed the role of faith in religious philosophy and values.
6) **Life Experiences:** Personal life experiences teach a lot in life. However, at times, experiences of others are also a big source of learning. Most of the values that affect the behaviour of a person during his lifetime are the result of the contentment that the person has gained. People formulate their values based on their logic. The values, in which the person believes the most, are primarily important to him. Individual's values should be able to face the test of actuality, i.e., his values must have practical application. The value system should not be firm. They should be flexible so that they can be modified with the ever changing socio-economic environment and life conditions.
7) **Role Demands:** The behaviour expected from a specific job position in the organisation is called 'role demand'. Every organisation possesses both formal as well as informal behavioural codes. During any disagreement in the organisation, role demand can prove to be an issue. Thus, in order to achieve success, the employee needs to get familiar with the value system existing in the organisation.
8) **Halo Effect:** Many times people judge other people on the basis of only one trait which might be good or bad, positive or negative. People draw conclusions about others' personality through their first impression.

2.1.4. Classification of Values

Values can be distinguished under the following heads:

1) **Human Values:** The common values that are applied to all human beings are called 'human values'. These values depict upon truth, righteousness, love, peace, harmony, empathy, non-violence and proper moral and ethical behaviour.
2) **Social Values:** Certain set of values and beliefs that are shared within a culture or a community are called social values. These are the values that people of a society, with common needs and wants, must follow in order to create a pleasant and happy environment in the society, while upholding the interests of the people. Tolerance, understanding, mutual-respect, co-existence, harmony, cooperation, etc., are some common social values that must be possessed by all individuals.
3) **Business Values:** The moral and behavioural aspects of business dealings constitute business values. Holistic and peaceful business dealings result in enhanced customer satisfaction and profitability because they are earned rationally and fairly, while abiding the law of land. It also protects the business from indulging in some dishonest, immoral, and unfair acts. Business can flourish ethically, if customers are satisfied.
4) **Community Values:** The rules formulated in the interest of the community comprise the community values. These values are formulated by the associations, clubs, and public organisations existing in the community or by the committees of Panchayats in the rural regions.

5) **Family Values:** Family values comprise of bonds of love and respect among various family members, either in joint or nuclear family. The moral behaviour of children towards elders and the responsibilities of the elders towards the young ones are the values that need to be nourished and cultured.

6) **Professional Values:** Norms of conduct, patterns and rules of different professions, ethical behaviour, etc., comes under the purview of professional values.

7) **National Values:** The rights and duties of the citizens of a country alongwith the civic duties constitute the national values of that country. In order to endorse national integration, the citizens are required to propagate activities of communal harmony, unity in diversity and national integration. The stature of the nation can be improved by enhancing the bonds of love and unity among various religious groups within the nation.

8) **Secular Values:** The secular value system emphasises that the realities of life are the actual stimulants, rather than religion. It believes that every individual must be treated on the basis of what he really is. The major emphasis of secular forces is on the independent efforts, practical orientation of people and logical evidences. It focuses on equality among all castes and religions, hence, all the human beings must be equally treated.

9) **Spiritual Values:** The theory of soul or the hidden emotions of an individual's heart constitute spirituality. There is a vast spiritual world beyond the boundaries of physical life. In this world, a person works for his inner contentment (i.e., the real contentment) as well as for the contentment of other people. Spirituality provides the actual satisfaction to a person.

2.1.5. Types of Values

As per **Rokeach** classification, values can be divided into two types:

1) **Terminal Values:** Terminal values exhibit the actual goal of a person. They help in achieving the basic necessities of life like, family security, stress-free life, self-worth and sense of achievement. In simple words, a terminal value is the ultimate result that a person is looking for. Any of the following values might be regarded as the terminal value by an organisation, **e.g.,** responsibility, quality, excellence, innovation, economy, profitability and morality. **For example,** a renowned insurance company might value profitability, yet their terminal values might be predictability and stability as the company is risk averse. It is liable to pay-off the claims of the policyholders. Sense of achievement, pleasure, happiness, wisdom, and salvation are some of the terminal values that are highly desirable goals of life. They are the most common things that people desire to attain in life.

2) **Instrumental Values:** Instrumental values refer to the values adopted to attain the terminal values. It is the desired approach or kind of behaviour. The behavioural approach adopted by the organisation comprises of respect towards authority and traditions, hard work, being alert and conservative, being economical, being innovative and bold, honest, taking risk, and producing high quality work. Instrumental values are such kind of behaviours that produces desired goals. Honesty, ambition, independence, obedience and love are the highly desirable instrumental values. The most important thing regarding instrumental values is that they guide individuals how to respond in order to accomplish their goals.

Table 2.1: Terminal and Instrumental Values

Terminal Values ("ends")	Instrumental Values ("means")
Comfortable life	Ambition
Happiness; satisfaction in life	Courage
Peace and harmony in the world	Honesty
Prosperity; wealth	Helpfulness
Sense of accomplishment	Independence
Pride in accomplishment	Imagination
Security; freedom from threat	Assertiveness
Mature love	Hard work and achievement
Self-respect	Education and intellectual pursuits
Lasting friendships	Obedience
Knowledge and wisdom	Open-mindedness
Salvation; finding eternal life	Courteous

2.1.6. Importance of Values

Importance of values in study of organisational behaviour is as follows:

1) **Effects Individual's Thoughts and Actions:** Actions of employees demonstrate their values. Desirable actions are being rewarded by the organisation. On the other hand, if the approach towards values is undesirable, it can end up in putting the employee in a big trouble, thereby imposing a threat to his career.

2) **Relates to Belief System:** Ideas or principles influence the thoughts of individuals or groups and direct them towards a particular behaviour. These principles also direct the behaviour of the organisation.

3) **Forms Basis for Identity:** A person's ideology is exhibited through his values. Values direct his behaviour and decision-making power. Values cannot be expressed in words, but can be clearly visualised through actions. They can be communicated more clearly by 'what is done', rather than by 'what is said'.

4) **Works as Binding Force:** Values bring people together and possess a very distinct identity. It also helps in bringing change in the organisation. Thus, it can be termed as a 'binding force'.

5) **Influences Attitudes and Behaviour:** Values help in understanding people's behaviours and attitudes. That is why; HR manager uses values while formulating HR policies of the organisation. When values are combined with policies, the end result is expected to be a highly desirable behaviour and a positive attitude.

6) **Creates Credibility:** When an organisation operates on moral values, it gains such a reputation that everyone in the society, including the ones who are totally ignorant about the working of organisations respects it.

   For example, Infosys is believed to have good corporate governance and is a socially responsible organisation. This is perceived to be true even by those who do not have proper knowledge about Infosys.

7) **Provides Guidelines for Decision-Making and Conflict Resolution:** The managers who emphasise on individual's self-respect would restrict themselves from making decisions that might hurt others. Integrity and honesty tests are highly exciting advancements in the field of values and decision-making.

2.2. EMOTIONS

2.2.1. Definition and Concept of Emotions

Any conscious experience as a result of intense mental activity and pleasure, or displeasure like happiness or sorrow can be termed as emotion. The main types of emotions are anger, happiness, shame, shock, surprise, sorrow, interest, excitement, fear, and disgust. There is a set order for development of these emotions from infancy to childhood and then adolescence.

All the activities of an individual in the organisation are influenced by emotions. Moreover, emotion impacts our attitudes, values, behaviour, and perception more than cognition does. Emotions are not a characteristic, but are reactions. These reactions are based on objects.

For example, emotions are displayed, when someone is happy about something or afraid of something. On the other hand, moods are not object-specific. Emotions become mood when they lose dependence on object. **For example**, when a superior appreciates an employee for meeting the set goals and gives an increment, the employee shows gratitude towards him. This would be called an emotion. On the other hand, the employee feels delighted and in high spirits. This state of mind would be called mood.

According to McDougal, "Emotion is a mode of experience that accompanies the working of an instinctive act".

According to Crow and Crow, "An emotion is an affective experience that accompanies generalised inner adjustment and mental and physiological stirred-up states in the individual and at shows itself in his overt behaviour".

According to Linda Davidoff, "Emotion is defined as a feeling that is expressed through physiological functions such as facial expressions, faster heartbeat, and behaviours such as aggression, crying, or covering the face with hands".

2.2.2. Nature of Emotions

Nature of emotions is as follows:

1) **Emotion is a Subjective Experience:** Whenever, an individual displays an emotion, he is fully aware of it. This ability of being conscious of the emotions and feelings is possessed only by human beings. Hence, it is possible to study emotions by observing an individual's behaviour or physiological changes in their body.
2) **Emotion is a Response:** Emotions are a response of an individual to any external stimuli, object, or situation. This response can be either internal or external. The internal responses show disturbances in internal environment, whereas the external responses show disturbances in external environment. These disturbances take place due to physiological activities taking place inside the human body. The autonomic nervous system's response is responsible for the disturbances in these physiological activities.
3) **Behaviour of a Man under Strong Emotion is Mostly Un-Intellectual:** It has been generally found that the activities and decisions of a very emotional person are irrational and inconsistent. He seems to be ambiguous of the happenings around him.
4) **Emotions are Fountain Head of Energy over a Longer as well as Shorter Period of Time:** According to **Woodworth**, individual's energies are driven not only by their minds, but also the emotions they possess. **For example**, soldiers fight for the country; artists produce fine works even when they are not well, a boxer fights in the ring, etc., are some of the individuals who are highly motivated and are not affected by pain.
5) **Emotions Accompany Motivated Behaviour:** Both motivation and emotions go hand in hand. Human being always set their objectives under the forces of happiness, competitiveness, fear, etc. When these emotions are tied up with motivated behaviour, it has both positive and adverse effects.

2.2.3. Dimensions of Emotions

The three behavioural dimensions of emotions are:

1) **Emotions as Conscious Awareness:** Mostly the emotions have been described as "stirred-up" states of consciousness, a description undoubtedly often accurate. The expressions "up in the air", "lose one's head", "out of control", "go to pieces", reflect the confusion often involved in emotional states. To support the hypothesis **William James** held that the perception of one's bodily state constitutes emotion – which emotion is the way the body feels. This is the famous James-Lange theory of the emotions.

   According to James, "We feel sorry because we cry, angry because we strike, flee because we tremble". In other words, it can be said that when the body is stirred-up, our conscious awareness of these changes is also stirred-up or confused.

2) **Emotions as Observable Behaviour:** In order to study the genetic aspect of emotions, it is needed to study, the openly expressed emotional behaviour which usually begins with young children, before training and social pressures tuning to modify response patterns. **For example,** the behaviour of the baby is at first largely in the nature of mass activity – a general excitement (threshing with the arms and legs, cooing and gurgling), from which specific elements of behaviour later become detached.

   Early experimental studies led child psychologists to conclude that there are three basic emotions, which are as follows:
   i) **Fear:** It is brought on by loud noises, hurtful stimuli (Pinches), loss of support;
   ii) **Affectionate or Love Responses:** It is initiated by petting, fondling,
   iii) **Rage or Anger:** It arises when the child's activities are disturbed by some other person.

3) **Emotions as Physiological Phenomena:** It is known that the conscious awareness of an emotion is marked by disturbance, confusion and at the same time the body is also upset or agitated. Common physical manifestations of emotions are trembling, tingling of the skin, tension in the muscles of the body and face, dilation of the pupils and increased pulse and breathing rate.

   The skin turns pale or fiery red and may break-out in a "cold sweat". Are there regular and measurable physiological patterns of body response which are characteristic of a given emotion? It is the organic response much like the observable behaviour – namely, one of the general agitations, the specific emotion not being readily identified? In studying bodily upset, the physiologists use the methods of expression to reveal and measure psychological changes. The main purpose of such measurement is to relate organic responses to the conscious report of emotion.

2.2.4. Types of Emotions

Emotions can be broadly classified into positive and negative category, as explained below:

1) **Positive Human Emotions:** These are driven by an individual's basic urge for harmony and pleasure. They articulate an intention or an effort.
   i) **Love:** Love is the most frequent positive human emotion. It includes many other positive emotions such as happiness, gratitude, interest, etc. When we love someone in our family, friends, or anywhere else, we tend to develop a strong affection towards them which makes us happy and our lives beautiful.
   ii) **Appreciation:** When an individual receives or is likely to receive assistance or benefit from someone, he acknowledges it through an emotion called appreciation or gratitude. Experts such as **Adam Smith** have laid great emphasis on it and it has been much talked about in religions globally.
   iii) **Happiness:** The state of emotional, mental, and physical well-being where an individual feels positive, content, satisfied, and joyful is called happiness. Its sources have been a subject of numerous researches.
   iv) **Hope:** The emotion of an individual which makes him believe that the future is bright and pleasant is termed as hope. Hope is different from positive thinking. A hopeful individual knows that bad times are not permanent, and they will change for better with time.
   v) **Enthusiasm:** When someone is very much interested in a particular task or work, he shows tremendous excitement towards completing or achieving it. This emotion is known as enthusiasm.
   vi) **Optimistic:** Persons who possess this emotion expect the best-possible result from any situation. Basically, being optimistic means to always anticipate favourable outcomes.

2) **Negative Human Emotions:** The defensive emotions which are driven by the fear of being harmed, destroyed, or cheated are called negative human emotions. Following are a few of them:
   i) **Fear:** When an individual senses that something adverse or dangerous is about to happen and takes precautionary measures, it is called fear.
   ii) **Anger:** A person is said to be angry when he feels displeasure when they themselves or other people violate certain principles which he follows in life.
   iii) **Guilt:** The feeling when one realises that he has committed an offense, or dishonoured an important role in life is called guilt.
   iv) **Depression:** The pessimistic state of mind and inactiveness are prime features of depression. Depression leads to unstable mind, loss of sleep, sadness, guilt, discomfort, etc.
   v) **Pride:** An individual's perception of being superior to everyone and considering others as inferiors is called pride. An individual with this emotion thinks negatively about others.
   vi) **Jealousy:** Feeling bad on other people's success and not appreciating them is called jealousy. Jealousy is also found in relationships, where a third person is suspected to create problems.
   vii) **Frustration:** An individual gets frustrated when he is stuck between hurdles of life, and the efforts to recover are going in vain.
   viii) **Envy:** Envy is an emotion which drives an individual to possess what others have rather than being content with what it already has. It is different from jealousy, as it aims at harming the other person. It gives rise to emotions like anger, negativity, etc.

2.2.5. Determinants of Emotions

Determinants of emotions are as follows:

1) **Personality:** The inner tendencies, inclinations, and traits pertaining to the personality of an individual influence the emotions hugely. The degrees of emotions and moods experienced by individuals differ on the basis of their distinct personalities. An important personality trait known as affect intensity also influences the moods and emotions. It can be defined in terms of strength of an individual's responsiveness towards stimuli.

2) **Day of the Week and Time of the Day:** People tend to be happier during the weekends than the weekdays, as most of them are either working or studying from Monday to Friday. People are also differentiated as morning and evening people. Both these determinants are closely linked with organisational behaviour. The unpleasant news given on a Monday is detrimental to an individual, and might ruin the entire week. On the other hand, interactions taking place during the end of the week and mid-morning of weekdays are more productive and positive.

3) **Weather:** Though people believe that good weather results in good mood, but studies have found no direct link between the two. This thought of the people is explained by the illusory correlation which takes place when people assume or perceive relationship between two variables, even when no such relationship exists in reality.
4) **Stress:** Stress makes a great influence on moods and emotions in an organisation. The factors causing stress like strict deadline, being scolded by the superior, a negative review email, losing a sale, etc. stimulate negative emotions in the employee.
5) **Social Activities:** Individuals who are positive in mood and emotions look for more social interactions than the negative people. Also, these social interactions generate positive emotions and moods in turn. Going to a party, hiking with friends, attending dinners, and other formal and physical activities stimulate more positive emotions than formal and inactive events (e.g. official meetings).
6) **Exercise:** It has been proven through studies that exercise lifts up the mood and generates positive human emotions. These results are more favourable for a depressed person. However, exercising does not result in a dramatic stimulation of positive moods and emotions.
7) **Age:** As the age progresses, the negative emotions tend to fade and the positive emotions are sustained for longer periods in older people. The experiences pertaining to emotions are improved, and negative emotions are less frequent.
8) **Gender:** As compared to men, women are considered more emotional and can understand non-verbal emotions better. Women are more expressive regarding their emotions and experience intense emotions. Other than anger, they show both positive and negative emotions very frequently.

2.3. FUNDAMENTALS OF EMOTIONAL INTELLIGENCE

2.3.1. Introduction

The word Emotional Intelligence (EI) was used for the first time by **Peter Salovey** of Yale University and **John Mayer** of New Hampshire University. Emotional intelligence, measured as **Emotional Intelligence Quotient (EQ)** is a way of determining the degree of maturity level of an individual to handle his emotions. Emotional Intelligence (EI) helps in determining the capacity of an individual to manage his as well as other's emotions within the group. Since it focuses on an individual's personal as well as group abilities, it has become a crucial element of organisational behaviour. With the passage of time, EI has gained great importance and a new scope in the psychological field as well.

According to Peter Salovey and John D. Mayer, "EI is the ability to monitor one's own and others' feelings and emotions, to discriminate among them and to use this information to guide one's thinking and actions."

According to Daniel Goleman, "Emotional intelligence is the capacity for recognising our own feelings and those of others, for motivating our-selves, and for managing emotions well in ourselves and in our relationships".

2.3.2. Nature/Dimensions of Emotional Intelligence

According to Goleman, there are five important characteristics of EI which are mentioned below:

1) **Self-Awareness:** Self-awareness means knowing about oneself. It is a way by which an individual can identify his own feelings alongwith his preferences, his inner status, his outlook towards particular things, degree of self-confidence and his peace of mind. The capacity of an individual to self-assess his experience of intuitions and his feelings is known as self-awareness. People having self-awareness capability have their individual mindset and do not allow social norms to interrupt their viewpoints.
2) **Self-Management/Self-Regulation:** The ability of an individual to control his desires and emotions is known as self-management. It also means self-controlling. Self-regulation also focuses on the ability of an individual for being responsible for the acts done by him, the extent to which he can adapt himself as per the changing requirements, his ability to give new ideas and viewpoints in various situations.
3) **Motivation:** Individual who is emotionally intelligent is generally highly motivated. Motivation is a drive "to achieve". It is the ability by which individual realises his long- or short-term goals, takes initial step towards it, and with lot of confidence and hard work tries to achieve his goals. Motivated people always try to do something more than their capacity and are committed towards the accomplishment of their goals.

4) **Empathy:** Empathy is another important dimension of emotional intelligence. It is the ability which makes an individual understand not only the emotions of others but also their outlook towards their needs, desires, feelings, anxieties, etc.

5) **Social Skills:** Social skills are the skills of an individual by which they make associations in the society and manage them properly. Individuals having social skills influence other people by responding them tactfully and as per their expectations. They develop strong bond with others and even prove to be good leaders, when required. Such people easily adapt themselves according to their community and organisational environment. Besides this, **Goleman** believes that when other characteristics of EI are integrated, it results in development of social skills within an individual.

2.3.3. Developing Emotional Intelligence at the Workplace

Emotional intelligence can be developed at the workplace among employees in the following ways:

1) **Link EI to Business Needs:** Let the people in the organisation know that introducing and linking EI to business needs helps in the growth of the business. The initiative of introducing the idea of improvising EI should be taken after recognising the favourable conditions. Individuals who are socially and emotionally competent should be given the responsibility for improving EI.

2) **Give the Initiative Plenty of Autonomy:** There should be no rigidity, while introducing the plan of emotional intelligence. Factors such as strict deadlines, interference in the form of surveillance and repeated evaluation, etc., by the leaders turn out to be 'creativity killers' and make the EI strategies non-effective. Less formality and more flexibility results in free flow of communication among the group members. The operations that are being carried-out should be streamlined and sovereign so that EI can be implemented successfully.

3) **Infuse EI Training throughout Organisation:** In order to promote EI, several EI training programmes can be conducted within the organisation. Searching for different ways to blend EI at different sections within the organisation can help in familiarising the members of the organisation with the concept of EI. These training programmes may focus on reminding people about the ethics and things they have learnt and how they can apply these morals at their workplace.

4) **Assess Organisational Needs:** Before introducing EI within the organisation, it is essential to assess the needs of the organisation. The effective skills required for a particular job should be analysed by using suitable methods such as comparing behavioural-event interviews of average performers and superior performers. After interviewing the good performers and average performers, one can easily come to know the behavioural variation and accordingly, the skill of EI can be introduced in the form of training. Besides this, strategies taken for the promotion of EI within the organisation should be aligned to the overall organisational strategies and culture.

5) **Make Learning Self-Directed:** Whatever knowledge is imparted to the organisational members during the EI training programme should not be forced on them. People should be free to make their own decisions regarding participation in training and development process. More autonomy motivates the people not only to accept the changes, but also become self-directed and adopt their own learning style, while learning throughout the training and development programme.

6) **Create an Encouraging Environment:** Reinforcement offered by the organisation also helps in improving social as well as emotional skills of the employees. Supportive and encouraging work environment created by the superiors motivate the subordinates to apply emotional competencies, while working in the organisation which further promotes the EI within the organisation to a higher level.

7) **Set Clear, Meaningful and Manageable Goals:** The goals that are being established should be clearly understood by the employees. Goals set should be clear, meaningful, challenging and most importantly should be divided into manageable steps. Targets which are either too high or too low never motivate an employee at any cost. Employees should be well aware about the skills possessed by them and how they can apply them at their workplace. They should be clear about the targets and goals that are expected to be achieved by them. Before finalising the goals, they should be discussed with the employees so that, changes can be made as per the willingness of the employees. The manager should be free from any kind of biasness, i.e., sparing some favourite employees from the work and burdening other with loads of tasks or violating any organisational rules and policies by permitting favourite employees to choose tasks as per their wish, etc.

8) **Empower Employees:** Another way of encouraging emotional intelligence within the employees of the organisation is to develop the potential for solving out organisational problems on their own. Rather than providing direct answer to the employee's questions every time, managers should guide them to search for the best possible answer for their queries themselves. In order to make the employees more responsible, supervisors should encourage them to come up with their own viewpoints so that they can develop the ability of problem solving. In case the employee is able to solve the problem, managers should also compliment them.

9) **Provide Frequent and Positive Feedback:** Positive and frequent feedback given by the managers to their subordinates, not only motivates them to put in their best efforts, but also depicts high EI of the managers. Appreciating the employees in the form of writing, in front of the others during meetings, praising them face to face or electronically for the hard work done by them inspires them to increase their performance level.

10) **Help Employees to Maintain Emotional Balance:** Emotions do not stay behind within an individual, they move with the passage of time. Similarly, employees working in an organisation not only suffer from workplace stress but also personal tensions that affect their work performance. Sometimes employees are happy; sometimes they are upset, angry, frustrated, etc. Rather than being rude in such situations, a manager should understand their emotions and try to direct their emotions and actions in appropriate direction. Managers having high EI level easily understand the feelings of their subordinates and guide them to re-gain self-control. They also receive a great respect from their subordinates.

11) **Provide Positive Confrontations:** Sometimes, confrontation on the part of manager helps in improving the employee's performance. When the employee, who is one of the best performers need some sort of correction and constructive criticism, positive confrontation is required in such situation. Usually, it is used by the mangers when nothing is working to re-focus the employee's concentration. Rather than being harsh or demoralising, the leaders who are emotionally intelligent confront in such a way that not only improves the performance of the employee but also helps in his growth.

2.3.4. Benefits of Emotional Intelligence

Benefits of emotional intelligence are as follows:

1) **Building Strong Relationships:** Emotional intelligence turns out to be very beneficial not only while working in the organisation, but also in maintaining healthy personal relationships like friendship and love. EI helps in building strong bonding between two individuals. Absence of emotional intelligence in an individual spoils his relationship with others, as individual is not able to understand the needs and problems of other person. Inability of an individual to handle his as well as other's emotions makes the situation worse.

2) **Improves Communication with Others:** Presence of emotional intelligence within an individual helps him to develop certain strategies and skills that are helpful in making his communication more meaningful. Thus, in order to improve the communication with other, one needs to be emotionally intelligent.

3) **Better Empathy Skills:** The most important characteristic of emotional intelligence skill is empathy. Lack of empathetic skill obstructs the building of relationship between the two individuals and lowers down the influence of one over the other. Until an individual is able to understand the feelings and viewpoints of others, he cannot communicate with them properly.

4) **Acting with Integrity:** An individual having the ability of emotional intelligence is always motivated to act with integrity. He not only focuses on his personal interest, but looks after the interest of others as well. He is honest with himself as well as with others.

5) **Respect from Others:** Presence of emotional intelligence alongwith empathy and honesty in an individual helps him to gain respect and trust from others.

6) **Improved Career Prospects:** Emotionally intelligent people are needed in every organisation and at every level. Therefore, the candidates having the skill of emotional intelligence are recruited by the management in large numbers. This is because managers are well aware of the fact that training in technical skills is much easier to be given than training in emotional skills.

7) **Manage Change More Confidently:** Emotionally intelligent individuals are capable of adapting themselves as per the changes. They are confident enough to face the upcoming challenges and thus, accept the changes whole heartedly and become a part of the growth. Whereas, people who cannot accept and manage the changes confidently are unable to become the component of any progress. Such people forcefully accept the changes and that too without any grace.

2.3.5. Limitations of Emotional Intelligence

Though emotional intelligence has many benefits, but it has few limitations too. Some of them are as follows:

1) **EI is too Vague Concept:** The concept of EI is not yet clear to many researchers. Some of them believe that it is a type of intelligence which is linked with the intellectual thinking of an individual. Some of them think that it is a skill possessed by an individual that makes him self-aware, self-manageable and self-motivated. Few people interconnect emotional intelligence with empathy.

   Thus, it can be said that the exact definition of emotional intelligence is still unknown to people. But on the other hand, it can also be said that increasing scope of EI and its various components is not limited to the concept of intelligence. In fact, it is something more than intelligence.

2) **EI cannot be Measured:** Another limitation of EI is that there is a question over the measurement of EI. Unlike personal and general intelligence, researchers are not able to find out the perfect methods by which emotional intelligence can be estimated.

   According to the critics, if EI is considered as a form of intelligence, then there must exist a way of testing this intelligence in the form of right or wrong. Though there are some questions based on EI which can be answered in right or wrong but the validity of such questions is doubtful.

   For example, the statement based on EI 'purple colour makes an individual feel cool and not warm' is self-realised and cannot be answered in right or wrong. Another example "I am good at 'reading' other people." Again it cannot be answered in right or wrong as this statement is self-created by an individual on the basis of his own intelligence.

3) **Validity of EI is Suspicious:** Critics also believe that EI is not a unique concept, as it is interconnected to the personality and intelligence of an individual. Some of them believe that emotional intelligence and emotional stability are same and EI does not play any influential role in analysing the job performance of the employees. There is lack of research on the fact, that whether or not emotional intelligence adds insight further than personality and general intelligence, to assess the job performance. But even after having this limitation, EI is one of the renowned factors among press and consulting business. For example, one of the companies claimed that 'star performance of most of the top leaders consists of more than 85% of EI, which is difficult to verify with the available research literature.

2.3.6. Emotional Competence Framework

According to Daniel Goleman, a Science Journalist and Author, emotional competence can be described as an intellectual ability derived from emotional intelligence leading to remarkable output and performance at workplace. The term 'Emotional Intelligence' can be better comprehended by combining the study of **Daniel Goleman and Richard Boyatzis**. Their study can be interpreted with the help of following illustrative explanation of emotional intelligence, "Times when an individual sufficient frequency displays the capabilities that comprise of social awareness, self-realisation, relationship management, self-management/control at suitable occasions to be functional in the given condition is perceived as emotional intelligence".

Social awareness and relationship management in particular are needed as main competency in Emotional Intelligence in order to achieve high level of emotional competence as well as have the ability to be efficient in managing conflicts. Apart from social awareness and relationship management as emotional competencies there are some learning abilities which are essential in conflict management and situation handling.

Thus, it simply denotes these two abilities have the power to help us become proficient. In order to find out the level of emotional, development and application of these abilities are necessary. And once efforts are tested, an individual should make required modification and acquire more knowledge according to the comments and responses obtained.

Framework

Emotional intelligence requires emotional competence structure to be split into 5 groups. An explanation of every domain that can possibly be related to the emotional intelligence questionnaire is offered by this structure.

Table 2.2: Personal Competence

Self-Awareness	Self-Management	Self-Motivation
Emotional Awareness Identifying an individual's feelings and their impacts is known as emotional awareness. An individual possessing this competence can: 1) Are aware about their objectives and values. 2) Are conscious of the emotions they are able to sense and the reason behind it. 3) Understand the relation between their thought process, actions and claims and their sentiments. 4) Are aware of the way their performance is influenced by their feeling. **Accurate Self-Assessment** Realising strong points and weaknesses are understood as accurate self-evaluation or self-assessment. Individuals possessing this competence can: 1) Exhibit perception about self and have a witty nature. 2) They are conscious about their strong points and areas of their limitations. 3) They are thoughtful and can gain an understating by experience. 4) They are positive about gaining new point of views, self-development, persistently continuous learning and receiving honest feedback. **Self-Confidence** Self-confidence can be defined as certainty about a person's abilities and self-esteem. Individual's possessing this competence: 1) Have strong-willed by nature and are capable of making rational decisions, irrespective of pressures and uncertain conditions. 2) Their presence can be felt in a group and they are able to turn up with composure and poise. 3) Despite of not receiving support from anyone else can stand up for goodness and for what is right.	**Self-Control** Effective control over sentiments and urges is known as self-control. An individual possessing this competence can: 1) Remain attentive under stressful conditions and contemplate in a distinct manner. 2) Have a fair control on afflicting feelings and feelings of impulse. 3) Regardless of difficult situations, remain optimistic, calm and self-possessed. **Trustworthiness** Individuals supporting specific levels of nobility and morality are known to be trustworthy or reliable. Individuals possessing this competence: 1) Despite of being majorly disliked, they can take determined and ethical stands. 2) Behave morally and are without fault. 3) Are authentic and reliable and can develop feelings of trust in others. 4) Can oppose immoral activities committed by other people and be open enough to accept their own flaws. **Conscientiousness** People possessing perseverance are obligated for their own performance. Individuals possessing this ability: 1) Cautious and well ordered in their job. 2) Keep their commitment and fulfil vows and responsibilities. 3) Responsible to fulfil their goals and targets. **Adaptability** People who are accommodative and open to change are known to be adaptable in nature. Individuals possessing this competence: 1) Are open-minded in perceiving situations. 2) Can efficiently manage with dynamic conditions, numerous requirements and changes. 3) Try to be line with changing conditions by modifying their plans and reactions accordingly.	**Achievement Drive** A person is driven by a sense of accomplishment when he tries to fulfil or enhance an excellence standard. Such a person can: 1) Acquire knowledge to refine their performance. 2) Take conscious risks and establish challenging objectives. 3) Is highly motivated to fulfil their goals and milestones as they are largely focused on desired outcomes. 4) Focus on acquiring information with an aim to improve performance and to minimise uncertainty. **Commitment** A person who attunes with the pre-determined objectives of his team and firm is said to be committed or devoted. This person possessing such an ability can: 1) With a view to meet team's objectives they will diligently search and pursue opportunities. 2) They make individual or team sacrifices without hesitation in order to attain wide-reaching organisational objectives. 3) Employ team's fundamental standards while explaining choices and making decisions. 4) Pursue the organisation's mission with sense of purpose. **Initiative** A person always willing to grab available opportunities is known to take an upper hand. This person possessing such an competence: 1) Going over and above than what is expected of them to achieve. 2) Ready to grab available opportunities with full potential. 3) Make use of dynamic and exceptional efforts to encourage team members and others. 4) Ready to manipulate the rules and regulations and get directly past red tape with a view to get the work done,.

	Innovativeness Innovativeness can be defined as an idea of at ease and agreeable to new concepts and fresh information. Individuals possessing this competence: 1) Develop original concepts by being creative. 2) Have an extensive array of sources that can help in pursuing new philosophies. 3) Take help from imaginative remedies so as to resolve the issues. 4) Develop their line of thought with new outlooks and risks.	**Optimism** An individual regardless of hurdles and difficulties remains determined striving to achieving targets is said to be an optimistic person. A person possessing this competence: 1) Instead of working under the constant apprehension of failure works with an aspiration to attain success. 2) Continue achieving targets irrespective of difficulties and barriers. 3) Instead of considering difficulties as an individual fault, consider them occurring due to unpredictable conditions.

Table 2.3: Social Competence

Social Awareness	Social Skills
Empathy Empathetic people are those who have the capability to learn about other person's sentiments and take diligent interest in their apprehensions. Individuals possessing such competence: 1) Interpret other person's sentiments and requirements and extend assistance accordingly. 2) Are considerate towards emotional cues and listen to others attentively. 3) Understand peoples' point of views and express consideration and care.	**Influence** A person having influence can exert productive strategies to convince clients. Individuals possessing such competence: 1) Can make conscious effort by making use of circumstances efficiently. 2) Establish effective bonds with clients and everyone. 3) Expert in persuading others. 4) Make an effort to adjust presentations precisely to engage the viewers and listeners. 5) Establish consensus and backing by employing intricate plans such as indirect influence.
Service Orientation All the client requirements are presumed, identified and fulfilled by service oriented people. An individual possessing such a competence: 1) Plays the role of a reliable advisor who is able to understand other person's point of views. 2) Provides products and services by taking into consideration the requirements of clients, peers, superiors, etc. 3) Are always in search of techniques to expand staff members and to increase clients' trust and contentment. 4) Is happy to extend required assistance.	**Communication** Effective communicators are those who can send out persuading and explicit messages to the recipient. Such effective communicators: 1) Directly manage tough and demanding matters. 2) Remain open to both favourable and unfavourable news and stimulate candid communication. 3) Efficiently carry out teamwork, manifesting emotional signs in adjusting their message. 4) Are good listeners, encourage complete sharing of details and foster mutual agreement.
Developing Others They grow and reinforce their competencies with a view to learn about other people needs and wants. Thus, people possessing such competence: 1) Provide challenging tasks and help to develop an individual's prowess. Act as an advisor and offer training at the right time. 2) Identify and reward development, strengths and accomplishments of other people. 3) Recognise a person's development needs and provide beneficial and effective feedback accordingly.	**Leadership** Effective leader is one who mentors and motivates individuals and teams. Such leaders: 1) Influence people. 2) They walk their talk. 3) Express and create fervour and zeal in team members and people for achieving mutual objective and vision. 4) Besides holding people responsible, also direct their performance for improvement. 5) Irrespective of the position held; take the lead to have control as and when required.

Leveraging Diversity

The process of employing people from varied backgrounds to foster new and innovative opportunities is known as leveraging diversity. Individuals possessing such competence:

1) Always stand against bias and discrimination.
2) Able to properly connect with people from diverse backgrounds and also appreciate their views and opinions.
3) Are thoughtful about group differences and able to comprehend diversity in the world.
4) Develop conditions wherein people from varying background can prosper. This is possible because these individuals consider diversification as an opportunity to grow.

Political Awareness

A person who is politically aware will study power relationships and emotional currents. He can:

1) Perfectly scrutinise internal and external situations of a firm and overall circumstances.
2) Study vital power associations in a precise manner.
3) Find out significant social networks.
4) Try to know about the various causes that determine the opinions and activities undertaken by rival players, stakeholders and clients.

Change Catalyst

A person who acts as a catalyst to change is the one who instigates and controls change. Such a person possessing the competence:

1) Can become a perfect example to the change expected from other people.
2) Initially, promotes the change and then volunteer other people to join the quest.
3) Try to eliminate all obstacles after identifying the need for change. The need for change is accepted by challenging the existing state of affairs.

Conflict Management

People who are able to mediate and fix conflicts and disputes are known to be conflict managers. Such individuals possessing this competence:

1) Recognise possible disagreements and bring those into notice and assist to reduce the intensity of the disagreement.
2) Tactfully and skilfully tackle people causing trouble and volatile conditions.
3) Always promote open dialogues and conversations.
4) Efficiently bring about resolutions helpful for all the concerned parties.

Building Bonds

Important associations and bonds can be developed by some people. Such individuals possessing such competence:

1) Are always in search of associations advantageous for each party concerned.
2) Make friends among office colleagues and retain such relations.
3) Are able to develop and retain large unofficial networks.
4) Go on adding people in the loop while establishing special relationships with everyone.

Collaboration and Cooperation

Achieving organisational objectives by being a part of an efficient team is the main focus of cooperative people. Such people possessing this competence:

1) Pay attention to work as well as maintain cordial relations at the same time.
2) Nurtures amiable and cooperative environment.
3) Identifies and develops opportunities for effective collaboration.
4) Integrating and sharing available resources, information and schemes.

Team Capabilities

Individuals who are efficient in developing team synergy to seek mutual objectives are said to have team capabilities. Individuals possessing such a competence:

1) Engage each team member vigorously and eagerly into teamwork.
2) Develop feeling of devotion, pride and mutual loyalty and team identity.
3) Share commendation and acclaims and always safeguard the team and its esteem.
4) Display effective team characteristics such as synergy, consideration and usefulness.

2.3.7. Difference between EQ and IQ

Table 2.4: Difference between EQ and IQ

	EQ	IQ
1) **Meaning**	The extent to a person's emotional intelligence is indicated by scores secured in a standard test is known as emotional quotient or EQ.	Score secured in a standard intelligence test indicating a person's logical reasoning competency is known as intelligence quotient or IQ.
2) **Measures**	Emotional intelligence acts as the benchmark to compute EQ.	General intelligence acts as the benchmark to compute IQ.
3) **Acquisition**	An individual can comprehend and refine his/her emotional intelligence.	As against EQ, intelligence quotient or IQ is an innate skill that an individual possesses by birth.
4) **Ability**	An individual with EQ can ascertain and evaluate other person's feelings. He/she is also able to identify state and manage his/her own feelings.	An individual with good IQ can grasp, apprehend and apply knowledge, conceptual thinking and logical reasoning.
5) **Ensures**	The level of success a person can attain in actual life can be indicated by his/her EQ level.	Marks obtained by an individual in school exams indicated his/her IQ levels.
6) **Recognises**	People holding higher positions such as Managers, Leaders, Captains and people who have faced social challenges have good EQ.	Good IQ levels are possessed by people with common sense, high brainpower and who have faced mental challenges in life.
7) **Popular Tests**	Test based on emotional competencies known as Daniel Goleman model score; test involving emotion based problem solving tasks known as Mayer-Salovey-Caruso Test.	Woodcock-Johnson Tests of Cognitive Abilities, Wechsler, Stanford-Binet test.

2.4. PERSONALITY

2.4.1. Meaning and Definition of Personality

Personality is the collection of all possible ways in which an individual reacts and communicates with others. Conversely, it can also mean how people influence others as well as how they understand and view themselves. It includes their pattern of internal and external measurable traits and the interaction between person and situation.

Generally, personality is conceptualised by external appearance of an individual which influences other persons. Personality is an integrated system which includes both the aspects of a person, the one which are inherited as well as those that are learned. These two aspects are dependent on each other and cannot be separated. It originates from within the inner self of an individual and remains consistent throughout the life.

According to Schiffman and Kanuk, "Personality can be defined as those inner psychological characteristics that both determine and reflect how a person responds to his or her environment".

According to Gordon Allport, "Personality is the dynamic organisation within the individual and consists of those psychophysical systems that determine his unique adjustments to his environment".

According to Eyseneck, "Personality is more or less a stable and enduring organisation of a person's character, temperament, intelligence and physique which determine his unique adjustment to environment".

According to Camerson, "Personality is the dynamic organisation of interlocking behaviour systems, that each of us possesses, as he grows from a biological newborn to a biological adult in an environment of other individuals and cultural products".

2.4.2. Nature of Personality

Nature of personality is as follows:

1) **Unique:** Personality is a unique amalgamation of traits which differentiates the individual from others. The unique style in which people laugh or smile, weep or cry, talk or lecture, greet or salute becomes the symbol of their personality.

2) **Reflects Individual Differences:** No two individuals can be considered as exactly same because of their collection of unique traits. However, an individual may be similar to another in context of single personality trait. **For example,** some people are "high" in sociability (means they are very social), while some are termed as "low" in sociability.

3) **Result of both Heredity and Environment:** It is an undoubted fact that difference of sex is determined by heredity. Another fact is that it is the difference of sex that determines the personality of men and women. Hence, on these bases certain psychologists assert that it is the heredity that determines the personality.

   Environment has an influential effect on human beings. Its influence starts from the birth and continues till the death. There are differences in the status of child, youth and the old man among the family and the society. Due to these differences, the roles of men, their temperaments, way of thinking, tendencies and characters are affected. The personality of men and women are determined by all these aspects. Similarly, personality of an individual is affected by his status in school, occupation, social situation, etc.

4) **Learned or Acquired:** Personality can be learned from our family members by being around them. It can also be acquired by being in social situations where people communicate and observe other people.

5) **Integration of Various Traits:** The elements which are eventually identified as a part of the individual's personality get incorporated rather just being a collection of traits. Thus, the combination of different traits leads to formation of personality.

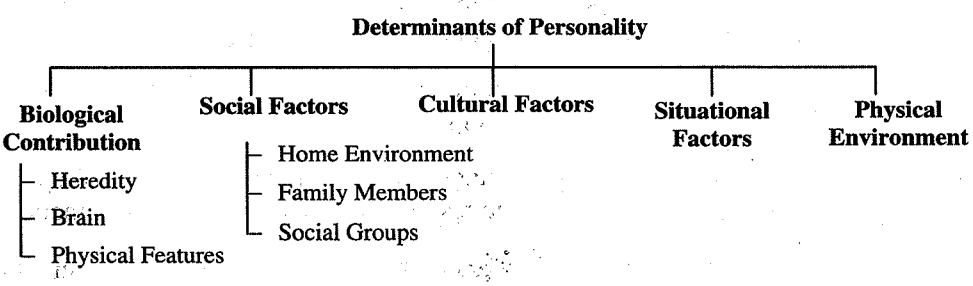
6) **Dynamic Process:** Personality of an individual is an internal dynamic organisation. Here, dynamic means that personality is constantly changing rapidly but is still organised. Hence, it is termed as dynamic organisation. Development of personality is a mutual relationship between how a person views his personal and the real world's social and interpersonal experiences. It is a continuous growth process, which occurs because of the innate tendency of self-growth. However, our personal, environmental and social experiences also affect this growth process of personality. Due to its ever changing and constantly developing process, personality can be termed as a dynamic process.

7) **Psychophysical Systems:** Personality can neither be considered as solely physical nor solely as mental. Neither it is the product of heredity exclusively, nor the product of acquired behaviour or learning exclusively. Organisation of personality involves the functioning of both 'body' and 'mind'. Hence, personality is a psychophysical system.

8) **Social:** Personality is totally social. Personality has its life only in response to its external world. An integrated and balanced personality is one which makes pleasant modifications in the environment, mainly the social environment. Hence, relationship of an individual with the environment, his feelings, attitudes are essential for understanding the concept of personality.

2.4.3. Determinants of Personality

Major determinants of personality are as follows:



1) **Biological Contribution:** The basic characteristics of the human biological system determine the manner in which human beings absorb external stimulus and react to it. The contribution of biology in the field of personality development is divided into the following three major categories:
   i) **Heredity:** Heredity is the transfer of features from predecessors to the next generation *via* chromosomes found in germ cells. Heredity influences the physical, emotional and mental states of an individual. As heredity has an impact on the nature of an individual, it also causes variation in the personalities. Heredity factors are the tendencies and attitudes that are passed on from parents and they determine a person's nature.

While performing studies on twins it was discovered that heredity plays a vital role in personality. **Identical Twins** (same genetic composition) have more common personality traits than **Fraternal Twins** (different genetic composition). If identical twins are brought up in different families, their personality traits would be more common than fraternal twins brought up in the same family. Hence, study on twins suggests that the inherited personality traits make up nearly half of total personality traits.

ii) **Brain:** Another important factor that plays a vital role in personality is brain. It is believed that its structure defines personality. However, no concrete evidence is found yet to confirm its relevance in personality development.

iii) **Physical Features:** Physical features and maturity rate also determine personality formation. This is because physical features influence others and also the self-image.

2) **Social Factors:** Personality of an individual is affected by numerous social factors such as nuclear families, remote and universal alliances. Family and social background have an immense impact on personality development. Following factors affect personality development:

i) **Home Environment:** The environment where a person is born and brought up has a huge impact on his/her overall personality development. **For example,** children brought up in a very strict and uncaring atmosphere are more inclined to be emotionally imbalanced than the children who are brought up in a loving and caring atmosphere.

ii) **Family Members:** Parents and family members also have a significant impact on the personality development of an individual. Parents and children share a stronger bond than the bond between children and teachers. Apart from parents, even the siblings play an important role in the personality development.

iii) **Social Groups:** Society also influences an individual's personality, **e.g.,** the school where a child studies, the friend circle, colleagues at work, etc. Further, certain socio-economic factors are also responsible for the development of personality.

3) **Cultural Factors:** Culture is one of the most important factors in shaping the personality of an individual. It decides what the person actually is and what he/she is learning. It also determines the behaviour and attitude of a person towards freedom, hostility, rivalry and collaboration. The members of a culture are expected to act in the manner that is acceptable by the cultural group. Even though culture is immensely responsible for developing personality, yet a linear relationship between personality and culture could not be developed. Cultural factors influence the personality of an individual. The reason is that people need to develop their personalities within the cultural environment. On the whole, culture is the combination of beliefs, values, traditions, customs, habits and moral values that the person gets from the society. These cultural factors help in giving a shape to the features and attributes of one's personality. Customs associated with a culture also determine the personality of an individual. Hence, the cultural surroundings of a person should be considered while estimating his/her personality.

4) **Situational Factors:** Personality formation of an individual also depends on the situational factors. Situational factors are dynamic and change with the social conditions. People come across various situations that change their perspective towards things. **For example,** a strict teacher might not be strict towards his family members. The behaviour of an officer might be different towards his subordinates than compared to his family. It is not a single factor that shapes personality but a collection of different factors. Individuals display their attitude when they come in contact with environment, culture, society, parents, friends and others.

A particular situation might have a huge impact on a person. It might be restrictive or motivational. The person might not behave as per his nature, but as per the situation he is facing. **For example,** a person with dominating personality might get irritated in a bureaucratic working condition and behave violently and lethargically.

5) **Physical Environment:** The physical environment also influences the personality of an individual. Environmental factors comprise of land, river, mountains, hills, forests, plains, atmosphere, etc., which determines if the personality is good or bad, strong or weak. Every feeling, emotion, idea, attitude, habit, behaviour and body structure is the result of the physical environment that surrounds the person.

For example, colour, health and physique of people belonging to the rural areas differ from people belonging to urban areas. Their personalities differ due to the different environment in which they are brought up. Urban people enjoy all the modern facilities and lifestyle which results in delicate bodies and minds. Rural people, on the other hand, lack such facilities and hence, their lifestyles and mindsets are totally different.

2.4.4. Types of Personalities

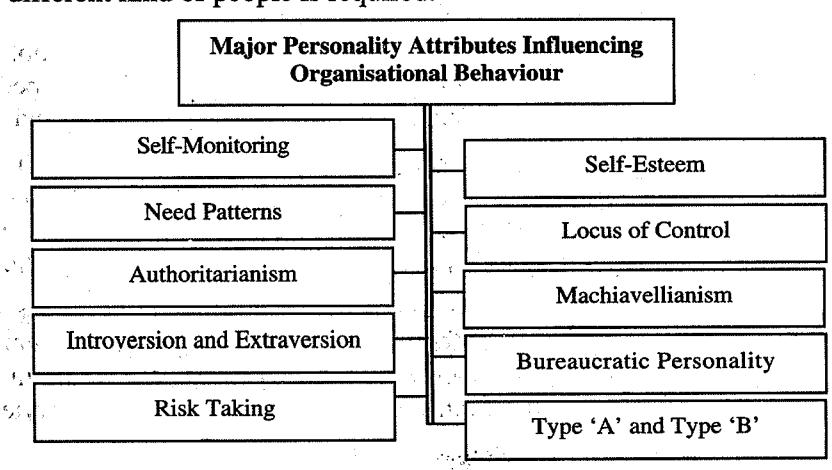
Various types of personalities are as follows:

1) **Sensing Managers (SM):** Sensing managers use their senses to analyse and absorb all the details related to the problem. They prefer to use standardised methods for solving any issue. They are calm and specific in their work. They do not follow creative approach towards the work. Rather, they follow the ordinary path towards getting results. Their emphasis is always on achievement, necessity and end results.
2) **Intuitive Managers (NM):** Intuitive managers prefer dealing with recent issues and do not like the everyday work. They analyse the entire problem as a whole and devise several possible solutions for it. They are creative, innovative, proactive and love challenges.
3) **Feeling Managers (FM):** Feeling managers strongly believe in giving priority to human beings in case of handling organisational problems. They are procedure-focussed people. They love to keep people happy and stay away from disagreements.
4) **Thinking Managers (TM):** Thinking managers have a rational and an investigative approach towards problems to find a reasonable solution.
5) **Intuitive Thinkers (NT):** They are the originator of new ideas. They follow the organisational principles to find the answers of all the questions. They are highly motivated and very innovative. Organisations lacking intuitive thinkers will have less possibility of changes.
6) **Sensation Feelers (SF):** Sensation feelers handle substantial issues in a practical manner. They have very strong observational powers and can detect even the least minute details associated with the working of an organisation. They do not go against the system, but utilise the existing resources in solving the problem. SFs avoid judging people and trust their colleagues. Organisations without SFs will be unable to identify small issues until they become a big problem.
7) **Sensation Thinkers (ST):** Sensation thinkers have a strong decision-making power and are excellent in assessments of evidences and statistics. They prefer the organisation to follow a formal and impartial approach. They are diligent and very loyal. They are the ones who improve the efficiency of the organisation to a large extent.
8) **Intuitive Feelers (NF):** Intuitive feelers are the personnel with some magical attraction and display a strong appeal and obligation towards their subordinates. They are thoughtful and passionate towards their work. They can adjust in disorganised and group-oriented management system. An organisation without NFs will have no warmth and charm.

2.4.5. Major Personality Attributes Influencing Organisational Behaviour

Following are the major personality traits (attributes) that influence behaviour at workplace:

1) **Self-Monitoring:** Self-monitoring refers to the degree to which people control the manner in which they display themselves in front of other people. These people control their behaviour and follow the norms that are socially acceptable and suitable. Such people are regarded as high self-monitors. They put effort so that their behaviour is situationally appropriate. High self-monitors are better skilled to customise their behaviours as per the situation. Hence, they can adjust better in jobs like sales and consulting where interaction with different kind of people is required.



2) **Self-Esteem:** People tend to feel proud about their competence and at times about themselves. This kind of emotion is termed as self-esteem. The ones with high self-esteem feel that they are competent and commendable enough to handle any kind of situation. On the contrary, the ones with low self-esteem are always in doubt about their abilities and knowledge. They are never sure about their true potential and are always afraid that they would fail in life.

3) **Need Patterns:** There are several people who have immense desire to stand out by performing difficult jobs and meet their own standards of perfection. They prefer taking responsibility of challenging situations and then like to get a genuine feedback of the entire effort. Such kinds of people are found in jobs which give them a chance to quench their thirst for excellence.

4) **Locus of Control:** "Locus of control" was derived from **Rotter's** social learning theory. As per this theory, locus of control is the common anticipation based on association between individual's character, his deeds and the result achieved. This concept is derived from numerous specific encounters in which people identify the future outcomes of situations happening in their lives. Locus of control is a personality trait possessed by people who believe that either internal or external factors are responsible for their behaviour. Such individuals believe that the life's events are either under the person's control (internal locus of control) or are due to reasons that are beyond the person's control (external locus of control).

5) **Authoritarianism:** The main idea here is that within an organisation, there exists difference in power and status among employees. A person who has an authoritarian personality believes in enforcement and obedience of authority. He usually has negative opinions about other people and is rationally inflexible. Authoritarians consider their beliefs to be ethically supreme and give excessive importance to rules and regulations. For such a person, a steady work environment governed by clear-cut norms is preferred.

6) **Machiavellianism:** This defines the extent of practicality possessed by a person. Such people are emotionally isolated and down to earth. People with a strong machiavellianism personality are more influential and successful, but are less influenced by others. Reverse happens with people having weak Machiavellianism personality. Nevertheless, situational factors control high-mach results.

7) **Introversion and Extraversion:** These two expressions describe a person's socialising abilities. Extroverts are expressive and friendly, whereas introverts are hesitant, silent and reserved. It is also seen that both extroverts and introverts prefer different kinds of careers and different kinds of organisational atmosphere to give their best.

8) **Bureaucratic Personality: According to Merton,** "Bureaucratic personality is the outcome of bureaucratic characteristics in a person, such as impersonal attitude, etc. In some cases such characteristic increases the extent of rudeness". **For example, Aiken** and **Hage** stated that employees of organisations that promote bureaucratic structure suffer from work resentment. In centralised and formalised organisation, the employees do not get much chance to take part in decision-making process related to organisational policies and delegation of duties. There are severe norms that are imposed in such a hard manner that the employee becomes powerless. Therefore, bureaucratic characteristics can be the cause of both, i.e., a bureaucratic behaviour and marginalisation of work.

9) **Risk Taking:** Certain people have the tendency to take risks while the others tend to avoid it. This tendency determines the time managers take in making decisions and the amount of information they need. Managers with high risk-taking tendencies take faster decisions with less information. Managers are usually found to be risk-averse, though these dimensions have their own individual differences.

10) **Type A and Type B:** Individuals with intolerant, competitive and hostile personalities are termed as Type A whereas Type B personalities are stress-free, relaxed and casual in nature.

Type A Personality

People with Type A personality appear to be in a state of hurry and eagerness. Such people give priority to money and finances to such an extent that they believe that even their relationships must depend on money. People with Type A personality give more importance to their work as compared to their relationships. They are always interested in doing something worthy; otherwise they will feel guilty of wasting their time. The positive aspect of Type A personality is that such people are winners. Since they give their best to every project, even if they are totally ignorant of the concept, they accomplish the task successfully due to their competitive and adventurous nature. They tend to set up a time-table for themselves and then stick to it. The most evident trait of Type A personality is hostility and restlessness. Most of the times, they display unfriendliness and impoliteness. Alternatively, they are highly motivated and are positive thinkers.

Type B Personality

People with Type B personality are totally opposite to Type A people. They are silent, tolerant, relaxed and believe in doings things at their own pace. They tend to take up things slowly, think before coming to any conclusion and might postpone work till the last minute. They are the social people and like to interact with both friends and strangers. They receive a lot of attention everywhere and are more comfort-seeking than driven towards success while at work. They are kind, thoughtful and friendly and have the talent of building strong relations and also strike a balance between work and personal life. They usually lead a satisfied and happy life. They can also be portrayed as bombers and human magnets who grab the attention wherever they go with minimum effort. All these traits make Type B unique among all personality types.

2.4.6. Importance of Personality in Performance

The thought process, behaviour, and feelings of individuals together constitute an individual's personality, which collectively influence a workplace and are significant to organisational behaviour. Personality plays a vital role in an individual's decision making and ultimately impacts the performance. Motivation, conflict, and leadership are also influenced by personality. Managers can be more effective and efficient in goal-attainment, if they comprehend personality in the context of organisational behaviour. Following points highlight the importance of personality in performance:

1) **Leading Capacity:** Employees are more positive, become team players, and face less opposition when they are emotionally stable, open, and friendly. These personalities perform best when they work in teams or act as leaders. Also, absence of these traits leads to low motivation levels and negative attitude.
2) **Interpersonal Skills:** Individuals with sound interpersonal skills feel elated while working with others and have compassion which helps them to manage people efficiently. These individuals are given roles which include management of employees and customers, and conflict resolution.
3) **Self-Efficacy, Pro-Activity, and Conscientiousness:** Traits such as self-efficacy, pro-activity, and conscientiousness lead to independence and effective decision making under stress. On the other hand, individuals lacking these traits do not feel independent.
4) **Motivation:** When the right personality meets the right job, the individuals are motivated. The productivity is boosted due to consistent motivation levels. Ultimately, the overall organisational performance improves through positive attitudes.
5) **Interactive or Technical in Nature:** Extrovert individuals when placed in interactive roles, perform more effectively than in back-end and isolated jobs (e.g. data entry, accounts, etc.). The interactive individuals can handle customers well and motivate co-workers through their elated behaviour. The jobs which involve sitting on a computer for the whole day are suited best for the introvert people.
6) **Work Ethic:** The personality trait of keeping work as a top priority helps employees in developing a strong work ethic. These employees put extra efforts to complete their work before deadlines and keep looking for ways to improvise techniques of production. On the other hand, personalities that lack enthusiasm and work only for money, always perform ordinarily. Unlike the employees with strong work ethic, these individuals also demand more monitoring and control in order to perform consistently.
7) **Creativity:** Personality is responsible for developing creativity in an individual. Conferences on brainstorming and personal interchange of opinions promote creativity in an individual. Creativity helps employees in solving various organisational problems as it brings a large number of views and alternatives. However, managers need to regulate creativity in order to avoid dominance of violent personalities. Strategies should be framed in such a way that creativity is not hampered and violent personalities are also controlled.

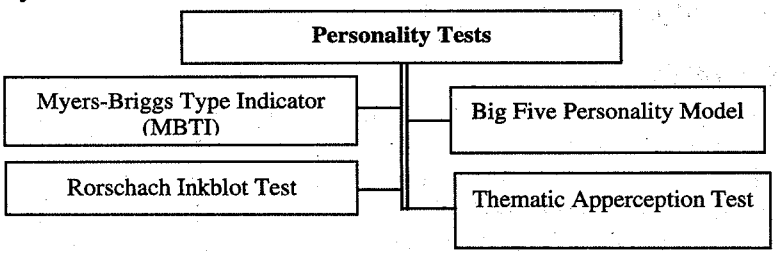
2.4.7. Personality Tests

An individual's personality and character is measured through personality tests. These tests are psychological tools which measure the degree of stability of various personality traits of an individual. It determines which traits are temporary and which traits are going to be permanent. The two fundamental types of personality tests are as follows:

1) Objective tests, and
2) Projective tests.

Objective test consist of a questionnaire. The questionnaire includes a list of questions followed by multiple choice answers or true/false. Personality is measured on the basis of multiple aspects through these tests. The restricted freedom provided in these tests through limited answers makes these tests very structured. Examples of these tests include Big Five Model and Myers-Briggs Type Indicator (MBTI). On the other hand, projective tests include unclear stimulus and few guidelines are provided to the subject regarding the nature of response which is needed. This makes these tests highly unstructured. Thematic Apperception Test and Rorschach Inkblot Test are few examples of projective tests.

Some important personality tests are detailed below:



2.4.7.1. Myers Briggs Type Indicator (MBTI)

Another approach on personality development is the **Jungian** approach which uses MBTI instrument for measurement. **Carl Jung**, a Swiss psychiatrist worked on the belief that people are different in nature but still have some similar characteristics. His theory suggested that population is comprised of two fundamental categories of people: **extrovert types** and **introvert types**. Perceiving and judging symbolises the fundamental psychological functions used by individuals. He also stated that there are two ways of perceiving, i.e., **sensing** and **intuition**. Whereas judgement is also classified into two types, i.e., **thinking** and **feeling**.

The **Myers Briggs Type Indicator** (MBTI) is an important tool for analysing and describing the personality of individuals. It develops most of its concepts from Carl Jung's Psychological Types ideas and a few from four temperaments (or four humours). **Katharine Briggs** and her daughter **Isabel Briggs Myers,** in 1942, developed the MBTI model and test instrument. MBTI facilitates people to recognise their own psychological type and their interpersonal needs. For next thirty years, MBTI was greatly used in United States and since 1990s it is now used globally.

Classification of Individuals According to MBTI

Individuals can be classified according to MBTI in following categories:

1) **Extraversion *versus* Introversion: Extroverts (E)** prefer getting involved in numerous activities as they get power from active participation in several events. They feel energised when they are surrounded by people and they love passing on their energy to others. They are proactive by nature. They are very comfortable around everyone, even with strangers. Discussions regarding a problem and hearing it from others help them to get a better understanding towards it and then they can resolve it in a better manner. **Introverts (I)** prefer living in their own little universe and get energy from the thoughts, visual images and responses that take place inside their mind. They like to work alone or in the company of those with whom they feel secured. They are slow in decision-making because they think a lot before taking any decision. They usually have a very clear-cut idea of what they want, but at times they are not practical in their approach.

2) **Sensing *versus* Intuition: Sensing (S)** type of people focus mainly on the sensory factors, i.e., what they can perceive through their sense organs. They observe and memorise information which they find useful. They are realistic in their approach. Once they visualise the use of something that is being taught they learn it very quickly. They give more emphasis to experience rather than relying upon words and symbols. **Intuition (N)** type emphasises on feelings or meaningful information. They do not follow practical approach for solving problems. They focus on new things and possibilities, i.e., they are more concerned about looking forward than looking behind. They are interested in using symbols and vague theories regardless of the fact that they have knowledge about their usage or not. They do not remember the actual happenings and the facts related to them. They like to have visual images of memorable events in their mind.

3) **Thinking *versus* Feeling: Thinking (T)** type pays more stress on applying the fundamental truth or principle while making a decision. First, they evaluate the positive and negative aspects and only then they give a final decision. They are totally impartial and not influenced by their own or someone else's intentions.

Feeling (F) type considers that the best decision can be made by discussing the matter with the person who is directly associated with the problem. They are ethically strong and do what is best for all those who are involved as it would create an environment of peace and cooperation. They are always generous, kind and careful in their relationships.

4) **Judging *versus* Perceiving: Judging (J)** types are structured and have a strategy for their life. They prefer settled and relaxed atmosphere, especially after making decisions. They like to take the command of their lives to the maximum extent. **Perceiving (P)** types have adjustable and casual lifestyle. They prefer adjusting themselves as per their surroundings rather than controlling it. They are considered as experimental and knowledge seeker.

2.4.7.2. Big Five Model

The "Big Five" is the model of personality that elaborates five basic features of personality. This theory has been adopted by researchers across the globe. It states that there are five main personality traits:

1) **Neuroticism:** This trait can be defined as the inclination to feel negative emotions like uneasiness, despair and irritation. A person with a neurotic state of mind tends to feel uneasy. While people having low neurotic and psychologically stable personalities are relaxed by nature. The basic features of neuroticism are tension, sadness, shyness, recklessness and helplessness.
2) **Extraversion:** Extraversion means extreme activeness and positive state of mind. It is characterised by spontaneity, assertiveness and an inclination towards social relations. On the other hand, low extraversion is characterised by silent, reserved and unemotional behaviour. The basic features of extraversion are affection, sociability, boldness, action-seeking, adventurous and optimism.
3) **Openness to Experience:** Openness to experience refers to an inclination towards rational actions and experiencing new feelings and ideas. This factor is also called creativity, intellect and culture. Basic features of this trait are hope, aesthetics, thoughts, achievements, ideas and morals. In other terms, openness to experience defines rational interest, aesthetic sensitivity, vibrant thoughts and behavioural liveliness. Individuals who are highly open to experiences usually have creative, ingenious, innovative yet inattentive outlook. Poets and artists are considered to be people with high openness to experiences.
4) **Agreeableness:** The fourth trait is agreeableness, also called sociability and is defined by sociable, thoughtful and humble behaviour. Agreeableness is related to feelings of friendliness and care. Basic features of this trait include faith, frankness, kindness, obedience, humbleness and flexibility of mind. It can be said that agreeable people are helpful, affectionate, sociable and open-minded and have an inclination towards pro-social behaviour.
5) **Conscientiousness:** Conscientiousness is characterised by spontaneity, accountability, self-control, capability, orderliness, dutifulness, success-striving and thoughtfulness. Due to the characteristics like perfection, organisation, willpower and capacity, people with these personality traits have great performance in all areas.

Advantages of Big Five Model

The various advantages of Big Five model are described as below:

1) As various personality traits do not change over a period of time, this model can be helpful in explaining various tendencies of followers and leaders.
2) With its help, leaders can have a better understanding of their own characteristics in order to anticipate the chances of being successful in different situations.
3) This model can be implemented successfully in different cultures and linguistic backgrounds. It also operates quite well in varying environmental situations.
4) It can be used as an effective method of classification for discussions.
5) A better outline of various occupational and corporate operations can be enabled with the help of this model.
6) The main drivers of an individual's personality can be assessed in a precise and prompt manner through big five model.
7) The organisations can have a better understanding of similarities and differences which exist among the individuals with the help of big five model, and how a workforce with varied personality traits can facilitate the attainment of goals efficiently in the dynamic virtual world.

Disadvantages of Big Five Model

The various disadvantages of big five model are explained as below:

1) The factors in the Big Five model are not completely 'orthogonal' to each other. This means that all the five factors depend on each other. An adverse correlation sometimes exists between extroversion and neuroticism. **For example,** the individuals who are more likely to be exposed to negative emotions are less outgoing and talkative.
2) Internally, all aspects are not similar and thus, accurate job performance cannot be predicted through these.
3) Inability of providing the explanation of all the human personality traits proves to be another limitation of Big Five model. Many psychologists have shown their disagreement with this model because in their views. However, the following traits are neglected by this model:
   i) Masculinity/femininity, ii) Honesty,
   iii) Manipulativeness, iv) Sexiness,
   v) Snobbishness, vi) Conservativeness,
   vii) Religiosity, viii) Thriftiness, and
   ix) Sense of humour.

   There have been some relations between Big Five factors and the factors described above. **For example,** an inverse relationship exists between openness and political conservatism. However, the Big Five Factor model is not able to throw light on the variations on these traits completely.
4) The five factors have been criticised by many researchers and practitioners for being too broad for any practical implementation.
5) Being dependent on self-report questionnaires is seen as another demerit of this model as it may constitute some biasness and fabricated responses which will make it very difficult to work with.
6) The last demerit and one of the most significant criticisms of this method is that it is not supported by any underlying theory. This model is just a collection of experimental findings which are grouped under factor analysis. However, it does not signify that there is no existence of these five factors, but the basic reasons behind these five factors are still undetermined. No theoretical explanation is provided about characterising the individuals who are gregarious and sensation seeking as extroverts. The career preferences are not generally being controlled by Big Five personality traits (extraversion, conscientiousness, emotional/neuroticism instability. openness, agreeableness). Instead, the various factors which influence work performance, job satisfaction, and career change have been determined by using the Big Five Factors.

2.4.7.3. Rorschach Ink Blot Test

Herman Rorschach was the developer of this highly reliable yet controversial test. However, **Holtzman** also developed a similar test. The cognitive, affective, and conative facets of the personality are assessed by the ink blot test. In addition, it reveals the suppressed emotions, goals, ideologies, needs, etc., of the unconscious mind. Under this, there is a set of 10 cards of which 5 have coloured blots and the rest 5 have black & white blots. Depending upon the distinct personality structure, individuals perceive the blots as different tangible or intangible objects. This reveals the personality traits of the individual. The ink blot test proves useful in identifying personality issues, selecting profession, etc.

Figure 2.1: Rorschach Inkblot Test

2.4.7.4. Thematic Appreciation Test

Developed by **Murray and Morgan**, the Thematic Apperception Test is based on the fact that individuals tend to reveal their personality structure and traits, when they are put in uncertain scenarios and are asked to draft a story as per their imagination. TAT can be taken up either in groups or individually. The subject is provided with 31 cards of which 30 cards contain a picture and one card is completely blank. The traits of the individuals are disclosed through the stories written by them when they see the pictures on cards. The subject is asked to draw a picture and write a story about it on the blank card. The inner and outer conflicts, desires, and traits which influence an individual's behaviour are discovered by this test. TAT is said to be having a reliability coefficient of 0.91 and its Indian version has also been developed which includes only 14 pictures.

2.5. JOHARI WINDOW

2.5.1. Concept of Johari Window

Joseph Luft and **Harry Ingham** invented Johari window which has proved to be the most comprehensive model which elaborates human interaction. A unique approach to analyse individual behaviour has been proposed by **Joseph Luft** through Johari window. According to him, an individual must relate his/her behaviour to others in order to comprehend his own behaviour. The interpersonal relationship alongwith communication can be improved through the Johari window. It says that interpersonal effectiveness is directly concerned with the volume of information which is shared mutually. This effectiveness in communication increases as this area enlarges.

2.5.2. Quadrants of Johari Window

Based on awareness of motivation, feelings, and behaviour, there are four quadrants that collectively represent an individual with respect to others. These four quadrants together constitute the Johari window and are discussed below:

1) **Open Self:** The motives, feelings, and behaviours about which an individual is aware and is ready to share with other individuals are represented by open self. These three features are quite evident when an individual is open, straight forward, and sharing.
2) **Blind Self:** It is the state in which motives, feelings, and behaviour related information is known to others but the individual is not aware of them. He/she might frustrate or disturb others unknowingly. The other individuals can inform this to the individual but are afraid to hurt his/her feelings.
3) **Hidden Self:** Individuals often do not share numerous feelings with others from the initial stages of their age. This quadrant includes those motives, feelings, and behaviours which are hidden from others but the individual himself/herself is aware of them.
4) **Unknown Self:** The state where neither others nor the individuals are aware of the information is represented by this quadrant. Till the time these behaviours, feelings, and motives are not allowed to come up, individuals and others are not aware of them and only witness them through deep fears and dreams.

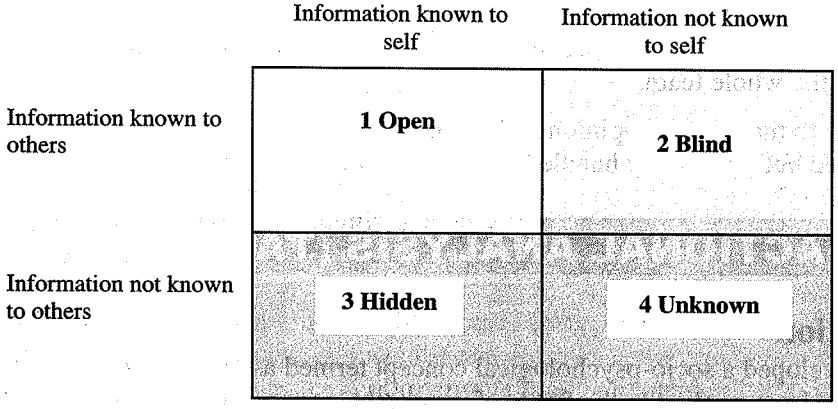


Figure 2.2: Johari Window

The Johari window is deeply influenced by feedback. The degree of how others inform the individual regarding his/her acts and feelings affects the Johari window. Also, an individual's ability to perceive these feedbacks and interactions in the organisation is crucial. Disclosure is the other force which influences Johari window. How much an individual discloses to others regarding the information he is aware of, shapes the Johari window. The persons with open-self enlarge their interpersonal effectiveness when others openly share relevant information and the way they perceive or act with them. Even the information falling in the unknown-self quadrant can emerge.

For example, your Johari Window for you and your mother will differ from your Johari Window for you and your professor. Also, the sizes of the panes can change as your relationships evolve. **For example,** after you disclose something personal to a professor, in redrawing the window of your relationship with that professor, your open self panel will increase and your hidden self panel will decrease.

2.5.3. Benefits of Johari Window

Following are the benefits of Johari Window:

1) **Provides Varied Perspectives:** Through Johari window, consideration of various viewpoints is possible while placing the outcomes of self-need assessment in order.
2) **Assists in Interacting with Others:** While prioritising the needs and realising suitable interventions, the outcomes of Johari window assist in interacting with others.
3) **Utilises Outcomes of Need Assessment:** It can also be used to capitalise on the results of needs assessment and be aware of viewpoints of distinct groups regarding the action plan for the needs recognised.
4) **Enhances an Individual's Understanding:** It can also enhance an individual's understanding through its utility of serving as a self-assessment tool. Individuals can explore their skills, abilities, or professional features.
5) **Helps in Personal and Professional Development:** Through Johari window, an individual can evolve personally as well as professionally as he/she receives feedback based on the strengths and weaknesses from within as well as superiors, co-workers, and customers.
6) **Applicable to Groups and Teams:** In addition to individuals, the Johari window is also applicable to teams and groups for addressing their collective features and skills.

2.5.4. Limitations of Johari Window

Following are the limitations of Johari window:

1) **Limited Scope:** As compared to techniques like brainstorming and SWOT, the scope of Johari window is quite limited for ascertaining future course of action.
2) **Threat to Confidentiality:** Though disclosure is much appreciated in groups as it enhances trust among the members, it may prove detrimental if it goes wrong or is inappropriate. The deep personal secretes must be kept confidential and must not be disclosed.
3) **Negative Effects of Self-Disclosure:** A positive attitude and spirit must be maintained among the group members and an individual's sensitivity levels must be kept in mind. Though positive feedbacks from other members motivate the individual, a negative feedback or exploration of a shortcoming by a member might prove damaging for the whole team.
4) This takes place due to the clash of opinions between the individual and the team members. Thus, feedback should be encouraged but it has to be handled with maturity and sensitivity.

2.6. TRANSACTIONAL ANALYSIS (TA)

2.6.1. Introduction

In 1950, **Eric Berne** developed a socio-psychological concept termed as **transactional analysis**. Since then, the theory of **Eric Berne** has been applied in the fields of psychotherapy, counselling, education, and organisational development. Major objective of transactional analysis is to help people in understanding how to communicate with others so that their relationship with others can be improved.

2.6.2. Meaning and Definition of Transactional Analysis

Transactional analysis plays an important role in analysing and understanding one's own behaviour as well as the behaviour of others. It guides people how to develop themselves and interact with others. It also provides various ideas which help an individual to change his behaviour that ultimately results in the growth of an individual.

According to Eric Berne, "Transactional analysis is a theory of personality and social action, and a clinical method of psychotherapy, based on the analysis of all possible transactions between two or more people, on the basis of specifically defined ego states into a finite number of established types".

2.6.3. Nature of Transactional Analysis

Nature of transactional analysis (TA) can be described as follows:

1) TA is an integrated concept because it blends theory of development and practice of socio-psychology together. This theory encloses fundamental concepts associated with Freudianism and brain research. TA explains relationships within the mind and between individuals.
2) TA is problem-focused as well as goal-focused. The objectives of change under TA are independence (freedom from childhood script), impulsiveness, closeness and problem-solving.
3) TA is an extremely important and interesting technique which helps individuals in understanding self as well as others' behaviour. It assists people in determining the influence of behavioural styles on interpersonal relationships. Transactional analysis is a behavioural approach which helps in improving communication among people. During training and development, TA can be used to determine skills of people.

2.6.4. Objectives of Transactional Analysis

Objectives of TA are as follows:

1) To help people in understanding how to effectively communicate with each other so that their communication skills can be improved.
2) To identify various transactional stages that people engage during communication.
3) To identify the ego states to which people belong.

2.6.5. Components of Transactional Analysis

Transactional analysis mainly comprises of three components which are as follows:

1) Ego state,
2) Types of transaction, and
3) Life positions.

2.6.5.1. Ego States

The transactional analysis includes the recognition of the ego states after every transaction.

According to Berne, "An ego state is a consistent pattern of feeling and experience directly related to a corresponding consistent pattern of behaviour".

Berne states that when people communicate with others, they undergo one of the three psychological positions, or behavioural patterns. These are termed as **ego states**. Thus, ego states determine how a person thinks, feels or behaves at a particular point of time. Various states of ego are as follows:

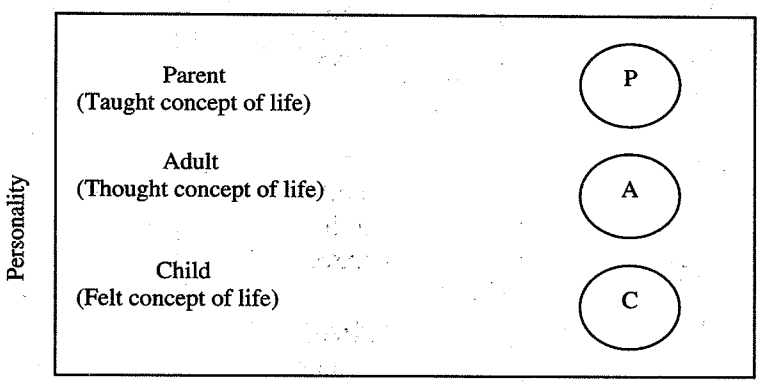


Figure 2.3: Parent, Adult and Child (P-A-C) Subsystems

1) **Parent Ego ("Exteropsyche"):** The parent ego state includes the attitudes and behaviours of all those people who are emotionally significant and act as parent. Values possessed by these people get embedded into the mind of the child and signifies his personality. People belonging to parent ego state are very protective, isolated, rigid, and honest by nature. Using finger to indicate non-acceptance, adopting conservative methods, loyalty towards rules and laws are some verbal and non-verbal indications which are used by such people.

Types of Parent Ego States

There are two types of parent ego states:

i) **Nurturing Parent Ego:** Such people are caring by nature, i.e., they show concern and care towards everyone who is a part of interaction regardless of their age.

ii) **Critical Parent Ego:** Such people demonstrate decisive and strategic behaviour during communication. Every individual has a unique parent ego state which is a blend of cooperation and harmfulness.

2) **Adult Ego ("Neopsyche"):** This ego state is characterised by logical thinking, reasoning, gathering and sharing information. Such people treat others with equality and consider them as responsible and valuable. It is dependent on unity concept. Verbal and non-verbal indications include attentiveness and discussions based on facts and figures.

This state is formed by an individual's experiences throughout his life. Individual regularly upgrades his knowledge related to his parent's instructions by constantly checking them. However, certain things being learnt in childhood never get erased from the memory. Hence, after sometime individual obstructs his child and parent ego states and act according to his experience. He frequently updates his parent and child data accordingly. Thus, he regulates his emotional expressions correspondingly.

3) **Child Ego ("Archaeopsyche"):** This ego state is characterised by various experiences of an individual during childhood i.e., upto the age of five years. General traits of child ego are compliance, creativity, intimacy, sadness, anxiousness, illogical decisions, dependency, instant actions, fear and hatred. Verbal and non-verbal indications shown by the person in the child ego are quiet obedience, gaining attention, confrontations, laughing and shyness.

Types of Child Ego

There are three types of child ego:

i) **Natural Child:** This type of child behaves naturally. He is tender, spontaneous and intense. However, he also shows characteristics of fear, indulgence, selfishness and aggression and may be present in such roles which are not liked by people.

ii) **Adaptive Child:** This type of child is trained and follows his parent's instructions and sometimes adapts to feel non-O.K. When such child becomes reserved, it may badly affect his personality.

iii) **Rebellion Child:** This type of child shows feelings of anger, terror and annoyance.

Table 2.5: Features of Different Ego States

Parent Ego	Adult Ego	Child Ego
Follows rules and regulations	Logical	Illogical
Protective	Assertive	Dependent
Isolated	Evaluative	Creative
Rigid	Collect and share data	Immaturity
Traditional	Calculative	Conformity
Demonstrating	Analysing	Instinctive

2.6.5.2. Types of Transactions

After years of work on formulating the framework, **Berne** published his theories on transactional analysis. **Transaction,** the core element of social relations, is the basis of this technique. If two or more persons meet each other, they will surely talk to each other either immediately or after some time, or give some sign of recognition. This is termed as **transactional stimulus**. The, other person will either say something or will give some kind of response as per the stimulus. This response is termed as **transactional response**. With the help of these concepts, **Dr. Berne** explained the fundamental concepts of transactional analysis. Thus, transactional analysis refers to the study of various interactions taking place between individuals.

Types of Transactions

Basically, there are four types of transactions:

1) **Complementary Transaction or Parallel Transaction:** When the corresponding stimulus and response patterns from one ego state to another are equivalent, it is termed as complementary transaction. Since stimulus obtains the expected response, therefore it is called complementary. In this type of transaction, both persons are satisfied and the communication is finished. **For example,** if a supervisor acts in a parent-

to-child pattern, then worker responds in a child-to-parent pattern. There are nine types of complementary transactions. They are as follows:

i) **Adult-Adult Transaction:** In adult-adult transaction, manager is in the state of adult ego. He tries to identify and clarify issues. He also informs the employee regarding these issues and is concerned about facts, figures and needs. It is termed as an ideal transaction because people involved in such transactions behave sensibly. In this kind of transaction, life position of manager is 'I am O.K. you are O.K.'. Adult-Adult transaction is shown in **figure 2.4.**

ii) **Adult-Parent Transaction:** During this transaction, the manager tries to utilise the information which he has gathered and employee in the parent state uses the past evidences and guidelines. Actually, employee attempts to dictate the manager. This transaction can be successful but only for short term. Adult-Parent transaction is shown in **figure 2.5.**

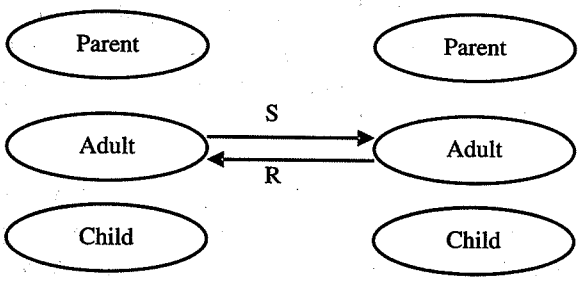


Figure 2.4: Adult-Adult Transaction

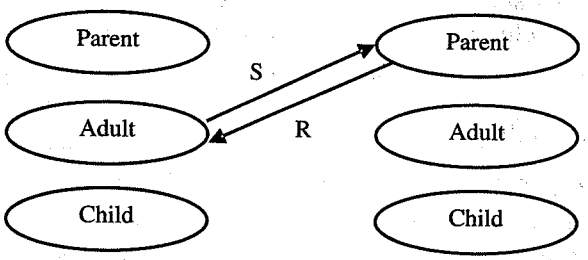


Figure 2.5: Adult-Parent Transaction

iii) **Adult-Child Transaction:** This transaction can be successful only when the manager knows about the employee's ego state. Adult-Child transaction is shown in **figure 2.6.**

iv) **Parent-Parent Transaction:** This kind of transaction will be successful when employee coordinates with the manager and helps him. Parent-Parent transaction is shown in **figure 2.7.**

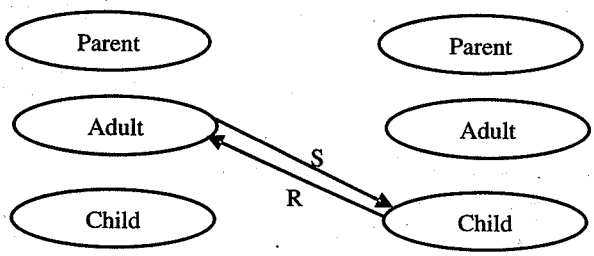


Figure 2.6: Adult-Child Transaction

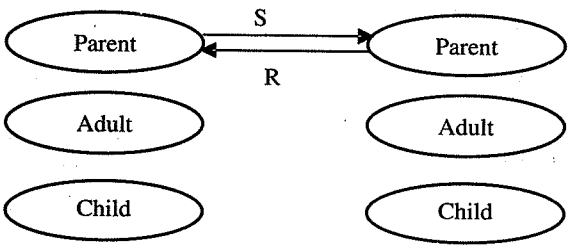


Figure 2.7: Parent-Parent Transaction

v) **Parent-Adult Transaction:** In this kind of transaction, manager is upset with the employees as they do not follow his directions and guidelines. In the same way, employees may be upset with their manager. Hence, such a relationship is not long-lasting. Parent-Adult transaction is shown in **figure 2.8.**

vi) **Parent-Child Transaction:** This transaction is the perfect transaction because the manager behaves like a parent and employee behaves like a child. Parent-Child transaction is shown in **figure 2.9.**

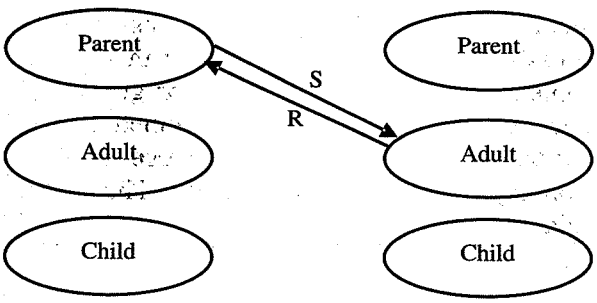


Figure 2.8: Parent-Adult Transaction

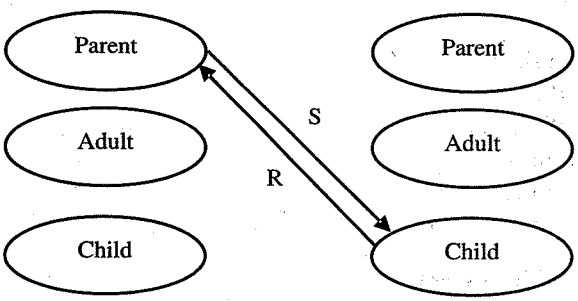


Figure 2.9: Parent-Child Transaction

vii) **Child-Parent Transaction:** During this transaction, manager behaves like a child hence his contribution towards effective management is minimum. Child-Parent transaction is shown in **figure 2.10.**

viii) **Child-Adult Transaction:** In this transaction, employee behaves like an adult and manager behaves like a child. Hence, the employee gets demotivated especially when the manager takes illogical decisions based on his imaginations and emotions. This creates problems as employees prefer logical decisions.

Child-Adult transaction is shown in **figure 2.11**.

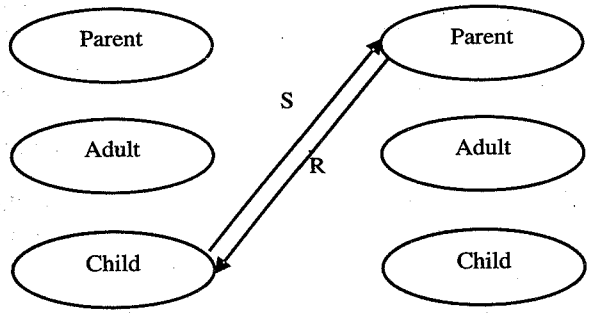


Figure 2.10: Child-Parent Transaction

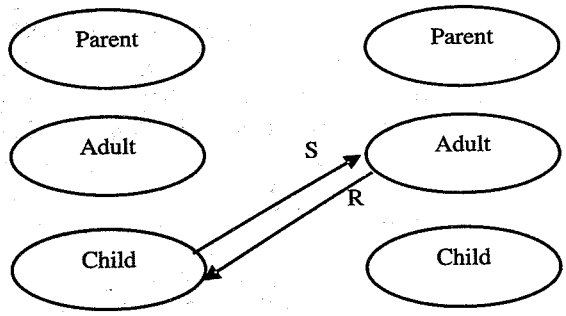


Figure 2.11: Child-Adult Transaction

ix) **Child-Child Transaction:** In this transaction, both manager and employee belong to the child ego state. Therefore, the manager is not able to guide his employee successfully and proves to be a burden to the organisation. This transaction may not be long lasting as the organisation conducts a performance review before continuing further. Child-Child transaction is shown in **figure 2.12**.

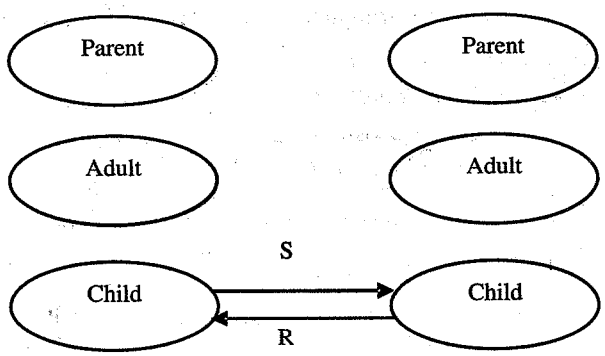


Figure 2.12: Child-Child Transaction

2) **Non-Complementary Transaction:** Non-complementary transactions are also known as **crossed transactions**. In such kind of transaction, stimulus (S) and response (R) lines intersect with each other. This may occur when the stimulus does not generate the expected response. **For example,** when a supervisor interacts with the worker on adult to adult basis but worker responds on child to parent basis. The transaction is not very effective because the communication is blocked between two people and there is no scope of interactions in future. The position may be shown in the **figure 2.13:**

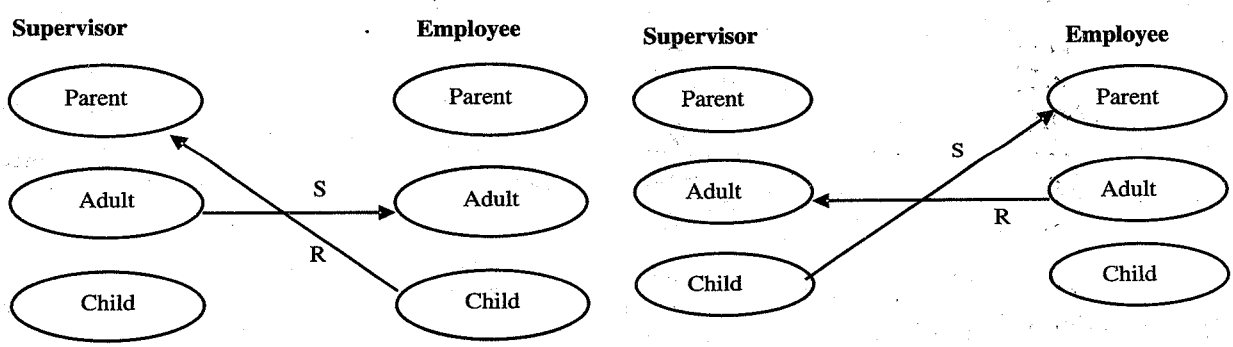
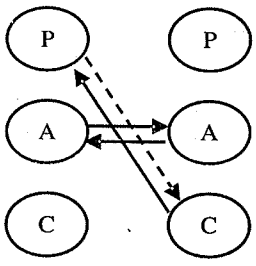


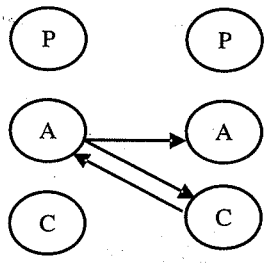
Figure 2.13: Non-Complementary Transaction

Ulterior Transaction: Ulterior transactions are those transactions which have double meaning. In an ulterior message, the reality is presented in a covered manner so that the message becomes acceptable to the society. On one hand, the communication has a clear adult message; on the other hand it carries a secret message. Just like blocked transactions, ulterior transactions are also unwanted. Example of ulterior transaction is shown in **figure 2.14:**



Boss **Subordinate**

Boss: What is the data today?
Overt message (A → A) asking data
Covert message (P→ C) You are late again!
Subordinate: Sir, I shall definitely send the report tomorrow. (P→ C)



Sales **Customer**

Salesperson: This shirt is rather expensive, especially tailored for exclusive tastes.
Overt message (A → A) giving information
Covert message (A→ C) it is beyond your capacity to buy.
Customer: I shall buy it. (C→ A)

Figure 2.14: Ulterior Transaction

3) **Gallows Transaction:** Gallows transaction is characterised by improper love or smile. Some examples of gallows transaction are as follows:
   i) Sometimes teacher starts laughing instead of getting angry when their favourite students make silly mistakes.
   ii) Similarly a mother simply smiles rather getting shocked or angry when a child falls down.
   iii) A father feels proud and happy when his son undertakes risk, though he did not succeed.

2.6.5.3. Life Positions

The behaviour of individuals is greatly affected by early assumptions and beliefs. In the early years of life, the person forms a central philosophy through various experiences. This philosophy is deeply embedded in their identity and their perception about other people.

These philosophies stay with the person for long time unless any major occurrences take place. These positions are known as **life positions** or **psychological positions**. They emerge from integration of two points of views i.e., **attitude towards self** and **attitude towards others.**

A positive answer (OK) or a negative answer (not OK) leads to four life positions as shown in the **figure 2.15:**

1) **I am O.K. – You are O.K.:** This life position occurs when individual has a huge number of O.K. experiences in life. Such people can creatively solve their own problems as well as those faced by others. They give importance to others and believe that life is meaningful. It is dependent on adult ego concept. **For example,** when managers belong to this life position they have confidence in their employees and follow mutual give and take approach. They feel secured by distribution of authority.

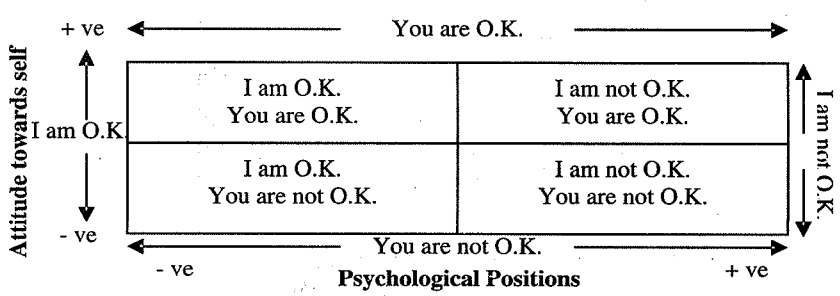


Figure 2.15: Life Positions

2) **I am O.K. – You are not O.K.:** People who feel offended belong to this kind of life position. They always blame others for their bad conditions. Such people believe that they are always right but distrust others. It generally happens when individual had felt ignorance during his early years. This life position is associated with parent ego. Managers who belong to this position always give crucial and harsh comments. They focus on mistakes and negative aspects and rarely show expressive and caring behaviour. They are against delegation of authority and consider it dangerous to their position.

3) **I am not O.K. – You are O.K.:** This position is found in persons who suffer from helplessness when they compare themselves with others. It depends on what one thinks about himself. Such individuals believe that they can be clearly differentiated from others and can perform various tasks which others cannot perform. The managers belonging to this position generally exchange bad feelings and their behaviour is uncertain and impulsive.

4) **I am not O.K. – You are not O.K.:** People who are disinterested in living belong to this life position. They are hopeless and in severe situations, they might commit suicide or kill someone else. Such people are generally ignored by their parents and they leave their children to the servants. Managers belonging to this position ignore the views and suggestions of others. They have no personal influence and do not involve others in making decisions. Thus, this is a distressed life position.

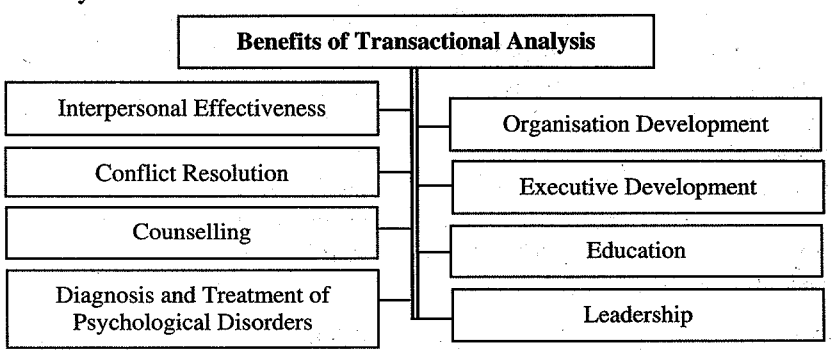
Every person is affected by these life positions. However, ideal position is the one which gives an adult-adult transaction, that is 'I am O.K. – You are O.K.' It depicts the approval of self as well as approval of others. This position can be developed by education, thoughtfulness, encouragement and fully grown mental experiences.

Table 2.6: Summary of Life Positions

Basis of Development	Interpretation	Effects of Interpretation
Stroking received from others which an individual does not particularly deserve.	I am not O.K.; you are O.K.	Playing games, abandonment, obeying the instructions of others.
Activities facing no strokes.	I am not O.K.; you are not O.K.	Losing hope, quitting self, game playing.
Fierce negative stroking during childhood.	I am O.K.; you are not O.K.	Self-stroking, become harsh toward others, becoming tough, criticising others, getting involved in crimes.
Positive stroking as a result of good performance.	I am O.K.; you are O.K.	Closeness, honesty, cooperative behaviour towards others, positive activities.

2.6.6. Benefits of Transactional Analysis

Benefits of transactional analysis can be summarised as follows:



1) **Interpersonal Effectiveness:** TA helps people to understand various ego states which ultimately enhance their relationships. Using TA, managers can easily identify the ego states of people who are involved in a particular communication. When a person is able to understand himself as well as others, he becomes more efficient, self-assured and self-confident. Hence, the organisation becomes more effective with better interpersonal understanding.

2) **Organisation Development:** Transactional analysis assists in organisational development process. Organisational development specialists utilise TA concepts for developing policies to fulfil specific organisational needs and developing practical relations with others. It also helps in removing defective behaviours and evaluating the entire organisation.

Jongeward has defined the functions of TA in following areas of organisation development:

i) To retain adult-adult transactions,
ii) To provide an OK response to the natural child,
iii) To speedily recognise the crossed transactions,
iv) To decrease negative game playing,
v) To make best use of familiarity, and
vi) To build-up encouraging systems, strategies, and working environment.

3) **Conflict Resolution:** Transactional analysis and conflict resolution techniques are naturally related with each other. **For example,** parent ego state focus on utilising a forcing strategy, whereas child's ego state focuses on avoiding strategy. People belonging to "I am O.K., you are O.K." life position generally prefer those strategies in which both the parties are happy with the solution, and they adopt the adult ego state. The relation among various set of behavioural facts and activities is distinct. Other possible relations are shown in **figure 2.16:**

Life Position	Conflict Resolution Techniques	Possible Behaviour
I am not OK – You are not Ok	Avoidance	Non-assertiveness
I am not OK – you are OK	Smoothing	Non-assertiveness
I am Ok – You are not OK	Forcing	Aggressiveness
I am OK – You are OK	Confronting	Assertiveness

Figure 2.16: Possible Links of Life Positions with Conflict Resolution Techniques and Behaviour

4) **Executive Development:** It helps in enhancing the skills of managers so that they can tackle the problems faced by employees in a more efficient manner. But, TA cannot provide solution for all human related issues faced by the organisations.

5) **Counselling:** Transactional analysis is used by counsellors to resolve problems. Counselling emphasises on developing productive solutions to problems. Transactional analysis helps counsellors in developing safe and harmonious relation with their clients. This relation helps clients to enhance their quality of work life.

6) **Education:** Educators utilise basic concepts of transactional analysis to help their students in understanding their own behaviour as well as behaviour of others. Both undergraduates and postgraduates are able to learn more effective methods of communication and mutual attention through transactional analysis. Fundamental concepts of transactional analysis are used by educators to create a universal understanding of personality. Working of TA is applicable in different areas of learning and brings together various learning practices.

7) **Diagnosis and Treatment of Psychological Disorders:** Various kinds of psychological disorders can be analysed and cured with the help of transactional analysis. It offers healing methods for everyone, i.e., individuals, groups, families, and couples. TA explains the psychological structure of people. For this purpose, it uses one of the best known models, i.e., the ego-state (Parent-Adult-Child) model. This model assists in realising how people perform their functions and convey their behaviours to others. It also brings forward the concept of "Life Script", i.e., a story which an individual forms about his life to find out the answers of questions like "How do I move forward in life?" and "What type of person am I?". So, TA provides a theory of psychopathology.

8) **Leadership:** Managers generally restrict their choice of leadership styles when they interact through single ego state. **For example,** the person having dominant parent ego will adopt an autocratic style. Free-rein style can be applied if child state is leading. But, when there is a supervisor who feels "I am OK – You are OK" and has attained a fully grown adult state, he will first gather information before making a choice of leadership style. The style being selected by the adult state will give flexibility to employees to take part in the decision-making activities.

2.6.7. Limitations of Transactional Analysis

Limitations of transactional analysis are as follows:

1) **Complex to Understand:** Practically, it is not easy for less educated people to understand the concept of ego states and transactions.

2) **Method of Manipulation:** TA is a critical statement in interpersonal relations. Certain persons could use this method to influence the behaviour of others as in case of hidden transactions.

3) **Not Supported by Scientific Findings:** Efficiency of transactional analysis is not much supported and accepted by scientific studies.

4) **Promotes Amateur Psychologising:** TA promotes "amateur psychologising" when used with insufficient training. Jargons associated with TA may provide less information to handle human beings.

Therefore, transactional analysis should be used carefully. Executives should first gain knowledge about this method and then should be practise to handle workers efficiently.

2.7. ATTITUDES

2.7.1. Meaning and Definition of Attitude

Attitude refers to the feeling and behaviour of an individual towards any object or situation. Behaviour is of two types, i.e., positive or negative, which can be identified by observing the actions of an individual. The proper functioning of an individual can be easily determined either by his behaviour or by his personality. Thus, it can be said that an attitude refers to outlook or point of view of a person regarding any object. In simple words, thinking, feeling and reacting towards various aspects of environment is known as his **attitude**.

Experience plays a very crucial role in defining the attitude of an individual. With experience, an individual becomes mentally prepared as to how he can influence others with his attitude and how he must react to both certain as well as uncertain circumstances. By this, he not only tries to make his own viewpoint correct in front of others, but also develops a social relationship with the people around him. This gives the individual a specific identification. **For example,** if an individual is performing the job responsibility of a manager, he must be aware that the attitude of a person has a great influence on his performance and thus, he must know the attitude of his subordinate well in advance.

Today, attitude has become the demand of most of the organisations. The attitude of an individual not only influences one's own performance but also affects the behaviour of others. That is why most of the managers are facing severe challenges in coordinating the attitudinal changes with the strategic changes of the organisation.

According to Bem, "Attitudes are likes and dislikes".

According to Allport, "Attitude is learned predispositions to respond to an object or class of object in a consistently favourable or unfavourable way".

According to Engel, "Attitudes are an overall evaluation that allows one to respond in a consistently favourable or unfavourable manner with respect to a given object or alternative".

2.7.2. Characteristics of Attitudes

Characteristics of attitude include the following:

1) **Attitudes have an Object:** Attitude should be focused to some objective, i.e., must be purposeful. The 'objective' to be focused can either be a single person or a social group, a physical object or a product or even an action. The object to be focussed can either be an intangible item, such as "moral behaviour" or a concrete item, such as a car. If there is no focal point, an attitude of an individual cannot be acknowledged.

2) **Attitudes have Direction, Degree and Intensity:** Feelings that an individual expresses by his/her attitude are as follows:
   i) **Direction:** Attitude determines the orientation of an individual, i.e., whether he is in favour of the object or against it.
   ii) **Degree:** The extent to which an individual is in favour or against the object.
   iii) **Intensity:** Degree and intensity are related to each other, but they are not identical. Intensity means how strongly and confidently an individual is able to express his viewpoint about the particular object or situation.

3) **Attitudes have Structure:** Attitudes are a way of exhibiting an organisation. Attitudes are very important for every organisation as they are internally reliable. Sometimes these attitudes are firm and specific, sometimes they are silent and sometimes they are universal in nature.

   Human attitude is just like a 'Tinker Toy'. The centre of this toy depicts the core values and self-concepts of the individual. Attitude closer to the centre is more important than those attitudes which far away from the centre.

4) **Attitudes are Learned:** Attitudes develop from experience, i.e., they are learnt. Attitude has a great impact on one's life irrespective of the age group. Especially, in the childhood, the attitude of a child is greatly influenced by his/her family members, which continues till the entire life. **For example,** a positive attitude of a family towards a business and their negative attitude towards a service will be transmitted to the child as well.

2.7.3. Importance of Attitude in an Organisation

Attitude plays an important role in every human being's life. It is important in following ways:

1) **Determines Meaning of Environment:** Attitude helps an individual in judging the environmental circumstances by creating either a favourable behaviour or a non-favourable behaviour towards it. An individual having a positive attitude towards the other person will always appreciate the good work done by him. Whereas, an individual having a negative attitude towards the other person will always oppose his point of view and will never acknowledge him.

2) **Rationalises the Actions:** Different people have different opinions based on their particular attitude. Sometimes attitudes help in resolving the contradictions created due to different opinions. People with appropriate attitude can easily understand and interpret these differences.

   For example, if a supervisor of a company observes that a worker is sleeping during the working hours, his positive attitude will make him understand that the worker is relaxing for some time as he is tired. On the other hand, worker having a negative attitude thinks negatively, i.e., he feels that the supervisor is spying on him.

3) **Organises Facts:** Attitudes help in organising relevant facts. Variety of opinions received by different people give an idea about the goal to be achieved.

   For example, in organisations, union leaders influence the worker's attitude by providing them with certain facts that are later organised and utilised for their personal benefit.

4) **Facilitates Selection of Facts:** Positive people always focus on the positivity of others. Attitude helps in the selection of positive facts which leads to the maintenance of cordial working environment. Managers focussing on the positive activities and behaviour of its employees remain happier than those who observe only negative behaviour of their employees.

   For example, managers generally have a negative attitude towards unions, hence, at the cost of negative behaviour such as misconduct and damage, positive behaviours such as voluntary wage reduction and new policies of productivity suffers. This is because, while observing the negative behaviour, managers ignore the positive aspects of the union.

2.7.4. Right Attitude

Consistency of effective performance and showcasing full dedication every time, irrespective of circumstances is called the right attitude. It also includes putting in extra efforts, never complaining, keeping a positive attitude, and striving continuously towards attainment of organisational objectives and competencies. In other words, an individual's ability to set benchmarks and adhering to them, knowing the most suitable time to take a stand, and being fully aware of the fundamental values define his/her right attitude.

Managers may help employees to build up positive attitudes among themselves within an organisation. On the other hand, employees may develop positive attitudes by themselves within the organisation as well as outside the organisation. Development of positive attitudes is essential for the betterment of the life. Because negative attitudes frequently lead to hostility, bitterness, high stress, ill health, and meaningless life. On the contrary, positive attitudes result in better growth of personality, meaningful life, feeling of being important, and involvement to self and society.

Though, there may be several methods for developing positive attitudes, following actions on the part of individuals may be more relevant for developing positive attitudes:

1) **Identification of Attitudes:** Identification of the present positive and negative attitude is necessary before forming any kind of positive attitudes. When one's own attitudes are identified, it helps in finding out the negative attitudes that need to be modified. In order to recognise attitudes, one can himself conduct the attitude measurement test. Many types of such tests are available.

   Generally, these tests produce satisfactory results. On the other hand, an individual may find out his attitudes by examining which attitudes are contributing negatively and which attitudes contribute favourably towards the fulfilment of the objective of one's life. Those attitudes that influence negatively require to be modified. If such attitudes are large in number then each of them should be taken one-by-one.

2) **Looking for Positive:** If one wants to develop positive attitudes, it is necessary that one must search for positive and keep away from negative persons, things, and events. Every person or object possesses a mixture of both positive and negative attitudes. Consequently, if one desires to search for only negative, he may discover mistakes in everything. Those who find mistakes everywhere may even find faults in heaven, because people find what they search for.

   Similarly, if one searches for positive, he may get lots of positive. In the process of looking for positivity, one should not fail to notice error in anything. It is necessary to examine the situation thoroughly. This critical analysis portrays a better picture of the situation and thus, the positive aspect of the situation can be understood easily.

3) **Building Positive Self-Esteem:** How much the people consider themselves able, successful, important, and valuable is depicted by their self-esteem. Therefore, positive attitudes are introduced by building up positive self-esteem. For developing positive self-esteem, one must make an effort of serving others without the intention of getting money or anything in return.

4) **Setting Challenging Targets:** It is essential that one must set some goals for himself to accomplish in order to develop positive attitudes and for gaining success in his work. An individual is always motivated by the challenging targets as he feels that he has to attain something. When one attains something he feels satisfied which is necessary for a purposeful life. But, one must avoid daydreaming while setting challenging targets, they must be based on truth.

5) **Avoiding Procrastination:** There is a need to avoid procrastination in order to attain challenging goals. Procrastination is the act or habit of leaving the work for the next day, i.e., the habit of "doing today's work tomorrow".

   Once this habit takes place, tomorrow will never come and work will always remain incomplete. If one wants to get rid of the procrastination, one must formulate the plan for day's work in the morning and then follow that plan. Often, it is possible that something happens that leads to wastage of time and the individual is not able to achieve targets for the day's work. In such cases, it is necessary that one should do overtime to complete the day's work. In addition, one should identify the things that waste time and try to overcome them because time once wasted cannot be gained back.

6) **Continuous Learning:** It is necessary that uninterrupted learning must be made a constituent of total personality development for developing positive attitudes. The process by which new behaviours are acquired is called learning. These new behaviours are based on new information with which an individual might have not interacted in the past. As attitude formation starts from the initial stage of life, it is a possibility that an individual might have shaped his attitudes on the basis of incomplete information or even incorrect information.

2.7.5. Components of Attitudes

The major components of attitude are as follows:

1) **Cognitive Component:** The cognitive component means the actual knowledge of an individual about an object. In simple words, the concept of a person regarding any situation or any person or any topic is known as cognitive component. **For example,** a cognitive component of a computer operator is his knowledge about computer and its related operations.

2) **Affective Component:** Those components of human attitude that reflect one's feeling of contentment, sadness, excitement, likes, dislikes, etc., are known as affective components. In other words, it is a way in which an individual responds emotionally towards an object or an individual. **For example**, an affective component of a computer operator is the amount of interest or degree of excitement he has while working on computers.

3) **Behavioural Component:** Behaviour of an individual towards an object is known as behavioural component of his attitude. **For example**, a behavioural component of computer operator is based on his/her experience with the computers and how much he/she has worked on it. More the individual is allowed to use the computer freely, more positive attitude she would have with respect to computers.

Thus, it can be said that all these components are interrelated and provide an organised framework or mental structure for the construction of attitude.

2.7.6. Sources of Attitude

The feelings, tendencies, emotions, etc., are developed over a period of time under the attitude formation process. Following are the sources from where attitude is learned or acquired:

1) **Direct Personal Experiences:** Attitudes are formed through direct contact with an attitude object. When a person starts working for an organisation, he develops an attitude towards desired job, salary, working environment, and administration. Attitudes towards job design, groups, appraisals, management competencies, and affiliation are also developed. Attitudes such as determination, commitments, loyalty, etc., and the differences between them are influenced by the prior work experience. These differences are considered by many managers worldwide.

2) **Association:** The associations and groups of which the individual is a part of are a major source of attitude. The impact on attitudes is higher, if the association is nearer. The demographic, geographic, and physiological features of individuals also influence attitudes.

3) **Social Learning:** Sources of social learning are as follows:
   i) **Family:** Family members like mother, father, siblings, etc., influence an individual's attitudes initially. The early attitude patterns of an individual are a result of this primary group, i.e., family.
   ii) **Peer Groups and Society:** The approvals from an adult's peer-groups play a major role in shaping attitude. The judgements of others determine an individual's image and desire to seek approval. Affiliation to a religion or society is another source of attitude formation.
   iii) **Models:** An individual develops certain attitudes by following or imitating a model. He/she notices the behaviours of someone and tries to inculcate that behaviour in him/her as an attitude or belief.
   iv) **Institutional Factors:** The institutional factors are generally the religious factors, which act as a source of attitude. Watching people to pray irrespective of their religions imbibes a religious belief or attitude in an individual.

2.7.7. Types of Attitudes

The employee's positive and negative thinking regarding his job and working environment is known as work-related attitude. According to behavioural scientists, there are three types of work-related attitudes:

1) **Job Satisfaction:** Most of the people feel that job satisfaction and attitude of an employee are synonymous. But, actually they are closely related to each other. The job satisfaction of an employee determines the attitude of that employee towards his job. **For example**, an employee who is highly contented with his job will have a positive attitude towards his job, superiors, and fellow workers. He will be punctual and regular, which will increase his performance as well. On the other hand, an individual who is not contented with his job will surely have undesirable attitude towards his job as well as the organisation. He will remain absent frequently, which will adversely affect his performance.

   Methods Used for Measuring Job Satisfaction

   Job satisfaction can be measured by using various methods. Some of them are as follows:

   i) **Survey:** Most of the organisations use survey method to determine the job satisfaction of an individual in the field of compensation, promotion, management, performance and working environment. These surveys are classified into two categories, i.e., standard surveys and customised surveys. Surveys readily available for the organisations are known as standardised surveys. However, organisations prefer customised surveys as they are conducted as per organisation's own requirement and hence are more effective.

ii) **Interview:** Another way by which an organisation can measure the work satisfaction of the employees and improvise its relationship with its employees is through interview method. Unlike survey methods, organisations using interview methods are able to understand the problems more easily as they are available in a more refined manner. Organisations are also able to receive honest responses from the employees. But this can happen only if the employees have faith in the organisation and its management.

iii) **Monitoring Performance Targets:** Under this method of measuring job satisfaction, organisation actively observes the various aspects that contribute to the satisfaction of an employee. In this method, the performance of an employee is monitored in the form of promotions, bonus received by the employee, his participation in various organisational programmes and the effort applied by him in order to achieve organisational goals. However, combining this method with survey and interview methods can prove to be more effective in analysing the major cause of low job satisfaction of the employees. Though, the information provided by this method is not direct, but atleast it alarms the organisation regarding various job satisfaction related problems.

2) **Job Involvement/Engagement:** The engagement of an employee in his present job also determines the attitude of an employee. It is obvious that if an employee is cognitively occupied in a job, then, he is satisfied with his job, which means low absenteeism and positive attitude. More the people are concerned about their present job, more positive attitude they will build towards their work. Individuals having high job involvement level are very specific about the job they are performing and try to give out their best performance.

   Besides estimating the absenteeism rate, level of work engagement also determines the rate of turnover that may decrease if the employee is satisfied with the job. However, this turnover may increase if the employee is dissatisfied. Thus, it can be said that job involvement not only creates a positive attitude of an employee towards his job, but is also important for motivating and satisfying the employees.

3) **Organisational Commitment:** Organisational commitment is another important job-related attitude that reveals the behaviour of an employee. Organisational commitment helps an employee to maintain his relationship with the organisation for a longer duration and prioritise the organisational goals. The employees having the attitude of organisational commitment are generally proud of being a part of that organisation. They are identified by the organisation under which they are working and the goals for which they are working.

   It is generally said that organisational commitment is a good indicator of estimating the turnover rate as compared to other commonly used methods. Employee's commitment towards the organisation reduces the absenteeism and turnover rate. It is not compulsory that the employee who has high job involvement will always remain committed towards the company and the one who is committed towards the organisation will be highly involved in his job. But once an employee becomes dissatisfied with his organisation, it finally results in resignation of that employee.

2.7.8. Functions of Attitudes

According to Katz, functions of attitude can be classified as follows:

1) **Adaptive Function:** Attitude helps the individuals in adapting themselves as per the changing environment. Such attitudes not only prepare the people to recognise their goals and achieve them, but also protect themselves from unwanted situations. Having a positive attitude towards a situation can help an individual to avoid all the negative consequences of that situation. An individual might be rewarded for adopting a specific kind of attitude. **For example,** if an individual wants to be a part of any group, he should start the conversation on topic of common interest like movie or cricket. This will help him in gaining the attention of group members. Thus, attitude helps people to fulfil their desire by adapting themselves as per the changing requirement.

2) **Knowledge Function:** Certain attitudes help an individual to understand the world, to know about their surroundings, to learn about the causes of various events and to make a viewpoint about these situations and the related people. Those attitudes that make the world understandable and predictable to an individual are said to perform knowledge function. These attitudes are a source of information. The best example of the attitude performing knowledge function is 'stereotyping'. Stereotyping refers to making a common image

regarding the characteristics (usually a wrong perception) of all members of a group. **For example,** a person who likes to read magazines related to hi-fi system, visits various scientific exhibitions and talks about the latest products and gadgets in the market, will be characterised as a person who is fond of electronic systems.

3) **Value-Expressive Function:** Attitudes also help in expressing values. **For example**, a religious person can express his religious value by supporting regular assembly prayers in the school. These values are inbuilt in an individual that actually depicts the personality and nature of that individual. These attitudes express the self-concepts, ideas, beliefs, viewpoints, etc., of an individual. The attitudes performing value expressive function cannot be changed frequently because they are intrinsic by nature and are present in the form of self-concepts within an individual.

4) **Ego-Defence Function:** Some attitudes act as an ego-defensive tool that help an individual in protecting or preparing him/her psychologically against those events that can harm his ego or his self-respect. Situation creating biasness can adversely affect the self-respect of an individual, but such situations can be conquered by developing positive attitudes.

   For example, usually when a child is humiliated in front of his friends during any sports class, he develops a negative attitude towards all sports. Similarly, people who have damaged their pride after losing in any sports will also develop a defensive attitude. But having a negative or defensive attitude cannot protect the self-respect of an individual in future. Thus, an individual should have a positive attitude towards himself so that he can defend his self-worth.

2.7.9. Relationship between Behaviour and Attitude

Attitudes and behaviour are inter-related to each other. The attitude of an individual determines his/her behaviour. While studying organisational behaviour, attitude is given importance as it is a central component, using which an individual applies his efforts as per the work requirement. The feelings of an individual regarding any object, person, situation, his viewpoints, etc., have a great impact on his attitude. Attitude, when integrated with factors such as personality, outlook, motivation, etc., influences a person's behaviour to a great extent.

Factors Determining Attitude-Behaviour Relationship

The relation between attitude and behaviour can be determined by following factors:

1) **Attitude Specificity:** Usually, an individual has two types of attitudes, i.e., general and specific. The attitude of an individual determines his behaviour. Thus, it can be said that the more specific attitude an individual depicts, the more clearly and strongly he will be associated with his behaviour.

2) **Attitude Relevance:** The attitude of an individual gives importance to those issues which are self-centred, thereby, making his behaviour dependable upon the respective attitude. Thus, it can be said that relevance of any issue greatly affects the relation between the attitude and the behaviour.

3) **Timing of Measurement:** The time gap between the attitude measurement and behaviour observation also influences the link between attitude and behaviour. If the time gap is less, the bonding between the two will be stronger and if the gap is large, the attitude and behaviour will be weakly connected. **For example,** surveys conducted closer to an election, to determine the voter preference, will prove out to be more accurate as compared to the polls conducted much before the elections.

4) **Personality Factors:** Self-monitoring is a personality factor that highly affects the relationship of behaviour and attitude. Individuals having low self-monitoring ability depend upon their inner status for making any judgements about the behaviour. Thus, the link between their attitude and behaviour is much stronger. Whereas, people having high self-monitoring ability rely on external factors that are based on the external environment and people. This indicates that the behaviour and attitude of an individual are not reliable as they change according to the factors affecting him.

5) **Social Constraint:** There are several social factors that determine the acceptable and non-acceptable attitude and behaviours. Thus, the social constraints or social restrictions enforced by the society also play an important role in determining the attitude-behaviour association. **For example,** as soon as a new employee is appointed for a job, he is clearly informed about the attitude that he needs to possess for the new job.

2.8. EXERCISE

2.8.1. Very Short Answer Type Questions

1) Explain the term, value.
2) What do you understand by terminal value?
3) Define Emotions.
4) Discuss the concept of emotional intelligence.
5) Write any two important benefits of emotional intelligence.
6) Write a note on MBTI.
7) What is ego state?
8) Discuss the term, right attitude.

2.8.2. Short Answer Type Questions

1) Discuss the characteristics of values.
2) What are the sources of values?
3) Explain different types of values.
4) Describe the nature of emotional intelligence.
5) Explain the ways of developing emotional intelligence at the workplace.
6) What are the limitations of emotional intelligence?
7) Define the four quadrants of Johari Window.
8) Describe the nature of transactional analysis.
9) State the benefits of transactional analysis.
10) Explain the characteristics of attitude.

2.8.3. Long Answer Type Questions

1) Explain the classification of values. Also highlight the importance of values.
2) Discuss various dimensions and determinants of emotions.
3) Describe the characteristics of emotions. State different types of emotions.
4) Enumerate the concept of emotional competence framework. Distinguish between EQ and IQ.
5) Discuss the meaning and definition of personality. Explain the types of personality.
6) Describe the personality attributes influencing organisational behaviour. Highlight the importance of personality in performance.
7) Explain different types of personality tests.
8) Discuss the concept of Johari Window. Also explain its benefits and limitations.
9) What do you understand by transactional analysis? Discuss the objective of transactional analysis.
10) Explain various components of transactional analysis.
11) Enumerate the meaning and definition of attitude. Also explain its types.
12) Describe the sources and components of attitude.
13) Discuss the relationship between attitude and behaviour. State the functions of attitude.

Chapter 3

Perception

3.1. PERCEPTION

3.1.1. Meaning and Concept of Perception

Perception refers to the stimuli that our senses gain from the surrounding. However, it includes the entire process of analysing the environmental stimuli and deciding the actions to be taken accordingly. Perceptual process helps people to gain insight about those components of the environment that are crucial for their existence. Perception comprises of five senses which are touch, smell, taste, sight and sound. Further, it includes cognitive processes that are needed to derive information like detecting the face or recognising the voice of a person.

Perception is the mechanism which enables a person to understand and organise his thoughts and ideas pertaining to his environment. This complex psychological process might not be the same for two different persons. Behaviour of a person depends on how he perceives reality rather than what the reality actually is. Hence, perception is an important factor in an organisational setup. In an organisation, people respond according to their perception about the fact rather than the actual fact. As a result, the judgement might not be neutral.

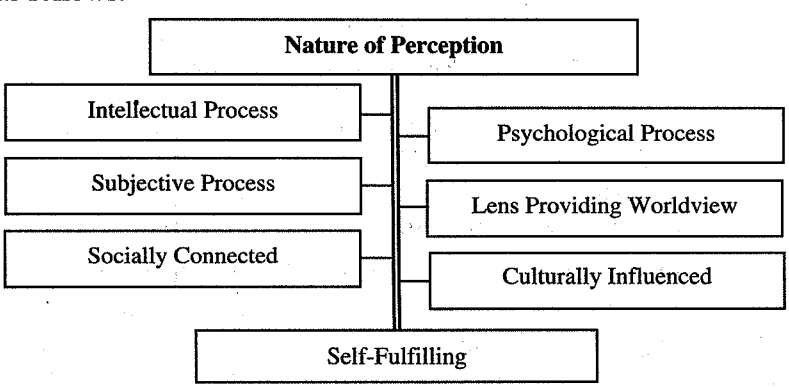
According to S.P. Robbins, "Perception may be defined as a process by which individuals organise and interpret their sensory impressions in order to give meaning to their environment".

According to Joseph Reitz, "Perception includes all those processes by which an individual receives information about his environment – seeing, hearing, feeling, tasting, and smelling".

According to Kolasa, "Perception is selection and organisation of material which stems from the outside environment at one time or the other to provide the meaningful entity we experience".

3.1.2. Nature of Perception

Nature of perception is as follows:



1) **Intellectual Process:** Perception involves selection, organisation and analysis of data from the surroundings to gain some viewpoints. Hence, it is an intellectual process.
2) **Psychological Process:** Perception is based on the psychology of individuals. Hence, it can be said that how a person acts, thinks or feels is influenced by the perception of his environment.

3) **Subjective Process:** Two or more persons might observe the same event in a different manner. This depends on their ability to choose what to understand, how to classify the information collected and analysis of the event. Thus, perception is a subjective process.

4) **Lens Providing Worldview:** Perception acts as a lens because it equips a person with a viewpoint about his surroundings and its reality.

5) **Socially Connected:** Every individual needs to understand the nature of other person every now and then because mind-set of an individual keeps on changing with time. Hence, it is said that perception is socially connected.

6) **Culturally Influenced:** Views of people can be influenced by their cultural values about the world. **For example,** people belonging to different cultures speak different languages.

7) **Self-Fulfilling:** When we talk about a person's perception, both the perceiver and the perceived, make the scenario more complex. **For example,** during hard times, people believe that present situation is bad and it will become worse in the days to come. Hence, they start behaving selfishly. They just focus on protecting themselves and their families.

3.1.3. Components of Perception

Human body has five sensory organs, i.e., eyes, nose, skin, tongue, and ears. Various actions, communication (verbal or written), taste, smell, physical contact with people or objects stimulate these sensory organs. When a human being pays attention and identifies these stimuli, the process of perception begins. The messages are then converted into action and then behaviour. Following are the components of perception:

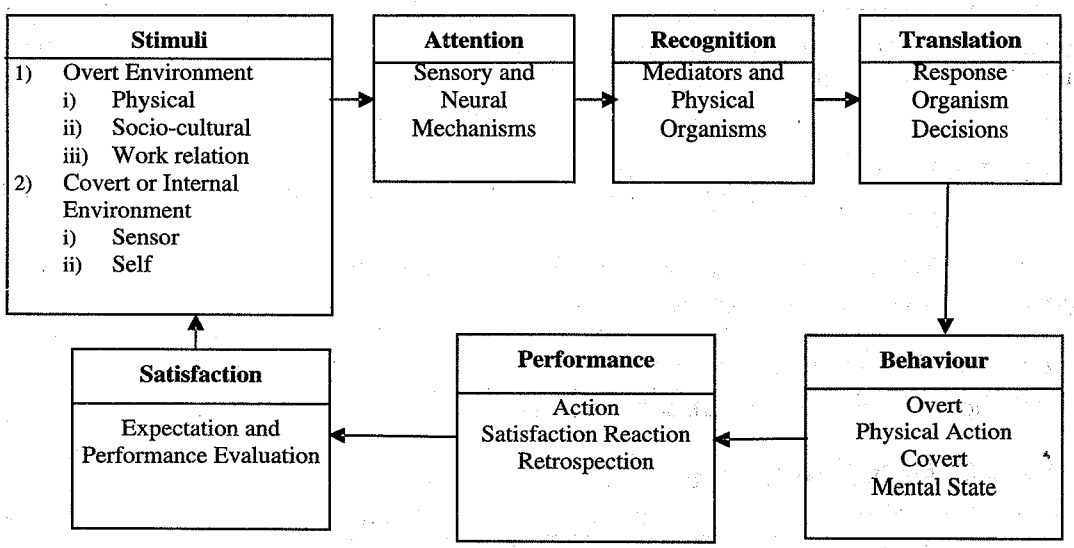


Figure 3.1: Components of Perception

1) **Stimuli:** Stimulus means receiving information whose outcome is sensation. The senses and their stimulation influence an individual's behaviour and knowledge. Apart from the physical senses like seeing, touching, hearing, tasting, and smelling; individuals possess gut feeling and intuitions known as sixth sense. A wide range of stimuli, such as feelings, information, action, consideration, etc., affect these senses.

2) **Attention:** Individuals do not pay attention to all the stimuli. Only few are attended by them and rest are ignored based on individual's acceptance ability and stimuli's intensity. The recipient of the message during the attention process gets indulged in analysing the stimuli and both his neural and sensory mechanisms are affected. The attention process is an important part in an organisation as it teaches them to behave or react in a specific manner.

3) **Recognition:** Whether the stimuli should be realised or not is determined in the recognition stage. Perception consists of two stages – receiving stimuli, and converting it into action. However, prior to getting converted into action or behaviour, the stimuli have to be well recognised by the individual as per his mental acceptance level.

4) **Translation:** Perception remains just a mental activity before translation. Here, translation can also be called evaluation. In this stage, the individual evaluates the stimuli before transmitting it into behaviour or action. **For example**, a batsman after evaluating the speed, bounce, and type of the incoming ball decides to hit it accordingly. Here, the stimulus is evaluated and converted into action.
5) **Behaviour:** Behaviour takes place as a result of the cognitive process. It is the response of an individual to change in stimuli. The actions and reactions by an individual reveal his/her perception which influences the behaviour. The response is overt and covert. While perception's overt behaviour is evident from the individual's physical activities, the covert behaviour can be witnessed through his/her mental evaluations, self-esteem, and thought process.
6) **Performance:** Higher levels of effectiveness can be obtained with the help of correct behaviour. Other employees can treat high performers or effective individuals as a stimuli or source of motivation. To motivate the employees, a performance-reward relationship is maintained.
7) **Satisfaction:** The gap between performance and expectation signifies the degree of satisfaction. If performance matches expectation, it leads to satisfaction. Whereas if performance exceeds expectation, individuals feel delighted.

3.1.4. Principles of Perception

Following are the principles of perception:

1) **Figure Ground Relationship:** Figures (distinct components of emphasis) and ground (the background on which the figures rest) are the two ways in which elements are perceived.
2) **Law of Pragnanz:** Individuals consider confusing or complicated things as something simple.
3) **Uniform Connectedness:** Components that are similar in appearance are said to be more connected than those dissimilar in appearance.
4) **Good Continuation:** Components that are organised in a defined manner are interpreted as more connected than those not organised properly.
5) **Closure:** A single and familiar pattern is noticed first by human beings when they see a sophisticated pattern of elements or factors.
6) **Common Fate:** Individuals treat the components that work in a similar direction as more connected than those that work in separate directions or are static.
7) **Proximity:** Components that are in a closer proximity are treated as more connected than those that are placed far away.
8) **Similarity:** Components that are same are supposed to be more connected than those that are not same.

3.1.5. Factors Influencing Perception

Different people looking at the same thing might perceive it in different ways. There are certain factors that influence an individual's perception. These factors are shown in **figure 3.2:**

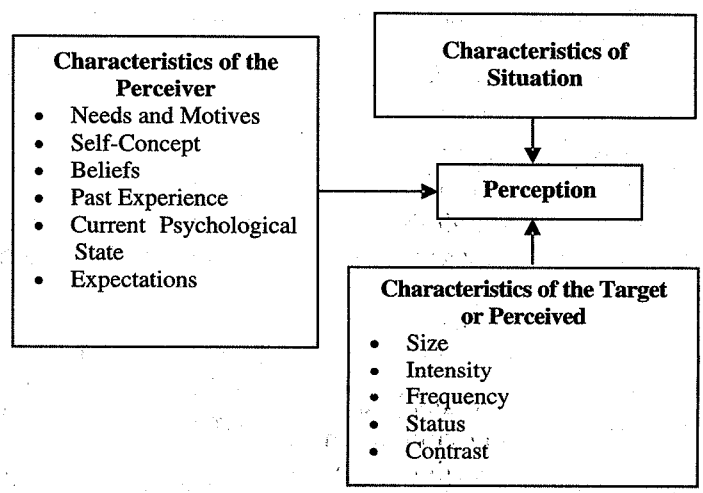


Figure 3.2: Factors Influencing Perception

1) **Internal Factors (Characteristics of the Perceiver):** Internal factors influencing perception are as follows:
   i) **Needs and Motives:** A person's need is influenced by his perception. Need is the feeling of uneasiness when a person desires something or he knows that something is missing in his life. People experience stimuli differently as per their needs. People having diverse needs choose diverse objects for responding or remembering things.
   ii) **Self-Concept:** A person's point of view about his surroundings is influenced by his views about himself. His self-concept shapes the way he perceives things.
   iii) **Beliefs:** A person's ideologies and beliefs have a strong impact on his perception of things. Thus, he views an object or event not as how it is but as how he believes it to be.
   iv) **Past Experience:** Past experiences, whether good or bad influence the way a person observes a present situation. If a person is hurt or betrayed by a close friend in the past, he tends to take time in trusting any new relationship.
   v) **Current Psychological State:** A person's present mental state has a profound impact on how he sees the world. During stress, person would perceive the same situation in a different manner than when he was happy.
   vi) **Expectations:** Expectations play an important role in a person's perception. **For example,** a technical manager does not expect technical information from his non-technical staff.

2) **External Factors (Characteristics of the Target or Perceived):** External factors influencing perception are as follows:
   i) **Size:** The size of the perceived stimulus plays a very vital role in attracting the perceiver towards it. The bigger the size of the stimulus, the higher the chances that it would attract the attention of the perceiver towards itself. Bigger objects dominate the view and hence, are more capable of attaining perceptual selection.
   ii) **Intensity:** The degree of intensity is also crucial in perceptual selection, i.e., the higher the intensity, higher are the chances of perceptual selection. **For example,** a message will be more noticed if it is highlighted, underlined and boldly displayed.
   iii) **Frequency:** Repetition enhances the sensory alertness of a person. It means that if an external stimulus is repeated several times it gets more attention than if displayed only once. Hence, stimulus having a higher frequency of repetition has greater chances of getting selected for attention.
   iv) **Status:** The status of the perceiver also influences the perception. Employees get more influenced by high status people as compared to low status people.
   v) **Contrast:** Stimuli that mix with the environment is not as attractive as those which contrast with their surrounding environment. Factor different from the rest of the surroundings, causes a contrasting effect. This principle states that an external stimulus which stands apart from the crowd gets more attention.

3) **Characteristics of Situation:** The situation also influences perception to a great extent. **For example,** the time of viewing an object, the location, light, sound, heat or cold or any kind of situational factor affects a person's perception.

3.1.6. Attribution Theory of Perception

The examination of reasons for individual's performance decisions is done through attribution theory. The cognitive perceptions are given more importance in attribution theory than basic realities. Instead of subordinates, the attribution theory has mostly laid more emphasis on supervisor attributions of subordinates behaviour or distributive justice.

The theory has taken the study of perception's influence on organisational behaviour to the next level. According to the theory, individuals try to describe the reasons for others' behaviour or attribute causes to it. The attribution procedure differs for each individual and its basis is perceptions of reality.

According to Kelly, "Attribution is defined as an explanation for an event or action in terms of reason or causes or both".

Attribution theory examines the causal inferences that individuals attach to performance decisions. Attribution theory is more concerned with the cognitive perceptions than the underlying reality of events. For the most part, the theory has focused on distributive justice or supervisor attributions of subordinates behaviour rather than that of the subordinates themselves.

Attribution theory has extended our understanding of how perception affects behaviour in organisations. It suggests that we observe behaviour and then attribute causes to it. That is, we attempt to explain why people behave as they do. The process of attribution is based on perceptions of reality, and these perceptions may vary widely among individuals.

According to Fiske & Taylor, "Attribution theory deals with how the social perceiver uses information to arrive at causal explanations for events. It examines what information is gathered and how it is combined to form a causal judgment".

Another important assumption of this theory is that the desire to build a positive image of self-influences the way individuals interpret their environment. People attribute success and failure to factors which give them maximum happiness and positive feelings.

For example, when a manager is successful in a task, he/she attributes this success to his/her tremendous efforts and skills. Whereas, in case of failure he/she is likely blame it over uncontrollable factors.

As shown in the attribution model given in **figure 3.3**, observing the behaviour and then attributing factors to it are the constituents of the attribution process. The distinctiveness, consistency, and consensus of the observed behaviours influence their interpretation.

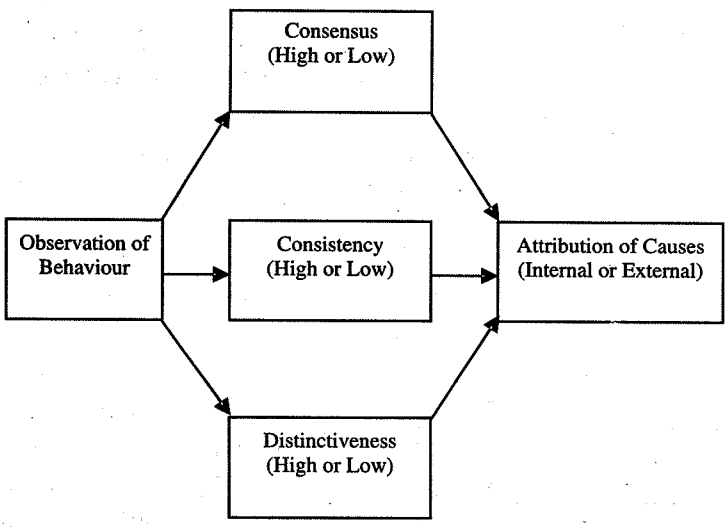


Figure 3.3: Attribution Model

Determination depends on 3 factors:

1) **Distinctiveness:** Distinctiveness is the extent to which behaviour is unique to a particular setting or is much like what occurs in many other settings. **For example,** if a student fails in mathematics, then the student can assess distinctiveness by considering whether his or her grades are low only in maths or if they are low in all the subjects.
2) **Consensus:** Consensus is the extent to which other people act in a same way when facing a similar situation. **For example,** if all the students in the class failed in mathematics, then this is consensus. On the other hand, if only few students fail in mathematics then this act denotes low consensus.
3) **Consistency:** Consistency is the assessment of behaviour in similar situations in the past. **For example,** if a student always fails in mathematics, this is a consistent behaviour. But if he fails only on rare occasions like in a particular class or school, then it is a low consistent behaviour.

The interpreted observed behaviour can be attributed to either internal or external factors. The causes which are under the individual's control are the internal causes. Whereas, the outside causes which are uncontrollable and force an individual into a situation are the external causes.

For example, when a manager notices an ill-mannered and problematic employee, he can change his/her attitude only if he is able to attribute his/her behaviour to certain causes. By being the only one to show this problematic behaviour shows low consensus, repetitive problematic behaviour shows high consistency, and similar behaviour in other situations shows low distinctiveness. The manager might conclude that this behaviour is the result of internal factors.

On the other hand, the manager can attribute this behaviour to external causes when he/she observes a distinct pattern. When all individuals indulge in disturbing behaviour showing high consensus and even, if the behaviour is permanent displaying high consistency, the individual is not found indulging in these activities in other situations.

3.1.7. Perceptual Process

The process of perception comprises of numerous sub-processes. Individual can adopt an **input-throughput-output approach** which states that the input in the environment when processed produces perceptual output. Environmental stimuli such as people, subjects and incidents are termed as **inputs**. The mechanisms used for conversion of these inputs such as selection, organisation and interpretation can be considered as **throughputs**. Beliefs, emotions, attitudes, etc. which influence a person's behaviour can be called as **perceptual outputs**.

Inputs can also be classified into two types. One is **physical stimuli** that a person gets from the external surrounding. The second type is taken up by the person himself in the form of **pre-disposition** (hope, intentions and knowledge) and is based on prior experiences.

These two types of inputs provide every individual with a very special and exclusive image about the world which differs from the rest of the people. This perception of the world is unique for each individual as each individual has distinctive needs, wants, desires, beliefs, skills, etc. This is the reason why two people do not see the world in the same manner.

The phases in the perceptual process include selectivity/selection, organisation and interpretation as shown in **figure 3.4:**

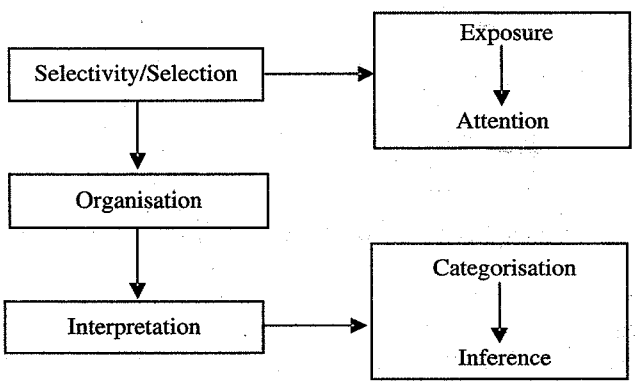


Figure 3.4: Perceptual Process

3.1.7.1. Perceptual Selectivity/Selection

Every day we meet with numerous stimuli out of which we select only a few. Perceptual selectivity is the selection of certain stimuli from the environment and rejecting the others. This selection choice depicts our values, beliefs and needs.

If an individual is not skilled for perceptual selectivity, then he will be incompetent in processing the information as well.

Two related processes which help in enhancing selectivity are as follows:

1) **Sensory Activation:** Sensory activation states that there are only certain types of stimuli which activate our senses while others which are not loud, bright or strong, might go unnoticed.
2) **Sensory Adaptation:** Sensory adaptation means people tend to adapt themselves to the environment with which they are in regular contact. **For example,** a person forgets the sound of a radio or television while doing routine activities.

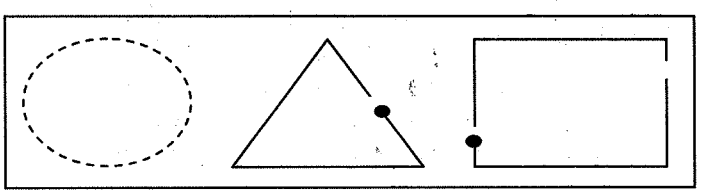
Hence, the above two processes prevent certain stimuli from entering our perceptual systems. Stimuli which are left behind compete to gain focus. Certain internal as well as external factors play an important role in stimuli selection.

3.1.7.2. Perceptual Organisation

Once the stimulus is received, a number of activities occur in the perceptual process. Perceptual organisation relies on these activities. A person generally does not observe the amount of light, sound or colour linked to any event but he certainly observes an organised pattern, stimuli or object attached to it.

The following factors affect perceptual organisation:

1) **Figure and Ground:** The most essential type of perceptual organisation is the figure-ground principle. It states that when a person perceives any object (thing or person), it occupies a separate space in the psychology of the individual.
2) **Perceptual Grouping:** By grouping, the individual stimuli can be divided into significant samples. Factors affecting perceptual grouping are as follows:
   i) **Similarity:** This principle states that objects which look similar are perceived to be a part of the same group. **For example,** workers, who wore the same uniform, might have different personalities; still they are perceived as the same.
   ii) **Proximity:** This principle states that stimuli located near each other are perceived as a collective pattern. **For example,** at workplace employees belonging to a department are usually perceived as a team due to their closeness.
   iii) **Closure:** People have the tendency to perceive objects as a whole even when a part of them is missing as their perceptual process ignores the gaps created by sensory inputs. **For example,** while working on a project, the manager perceives that the entire team has agreed to it completely while, in fact, a few workers might have disagreed with it. Another **example** is shown in the following figure where some parts of the figures are incomplete, but as we are familiar with these shapes we are able to identify them as a whole.



   iv) **Contiuity:** Continuity and closure are nearly similar but has a minute difference. Closure provides the missing stimuli, while continuity principle states that a person may tend to observe consistent arrangement of lines rather than perceiving it as an individual entity (**figure 3.5**). Continuity might result into monotonous thinking.

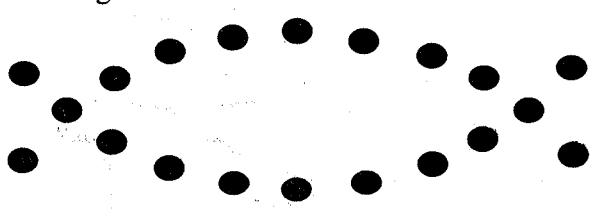


Figure 3.5: Continuity

   v) **Common Fate:** This principle states that object that moves or works in a same way are treated as a unit. **For example,** a flock of birds, a herd of cattle, etc.

3) **Perceptual Constancy:** Perceptual constancy is more complicated than perceptual organisation. The world is a very complex and an ever changing place and constancy gives the individual a sense of stability. World would become an unorganised and hectic place in absence of constancy.

4) **Perceptual Context:** Perceptual context is the most complicated form of perceptual organisation. A simple stimuli, object, situation, or person derives meaning from perceptual context. The context in which managers and workers observe various elements is provided by organisational culture and organisational structure. **For example,** gestures like a raised eyebrow, a pat on the back, a handshake, a verbal order, or a new policy conveys a special message to the employees.

5) **Perceptual Defence:** Perceptual context and perceptual defence are closely related to each other. People can be defensive towards stimuli or towards dangerous situation. Perceptual defence is very essential in analysing relationships between union-management and supervisor-subordinate. It is confirmed by many studies. These studies conclude that people must try to ignore incompatible, dangerous and improper situations.

3.1.7.3. Perceptual Interpretation

Selection and organisation of data is followed by its interpretation. Perception is believed to occur only after the data is interpreted because it gives meaning to the received and interpreted data. Every individual interprets stimuli in his own manner which is usually influenced by his past experiences. Stimuli are usually vague and hence can be interpreted in a manner which fulfils every individual's personal needs, intentions and interests. The gap between a person's interpretation and reality depends on how clear the stimulus is in the perceiver's prior experiences and his thought process.

3.1.8. Importance of Perception

Perception is important due to following reasons:

1) **Helps in Understanding Human Behaviour:** Every individual observes the world in a different way and deals with the problems differently. An object might not be perceived in the same manner as it really is. If a person purchases fruits from a particular vendor it is not due to the fact that vendor is selling the best fruits in the whole market but because the person perceives him to be doing so. It is due to the perception, that a job, which one person finds suitable and satisfying, might not appear as good to the other. Thus, perception plays an important role in understanding human behaviour.

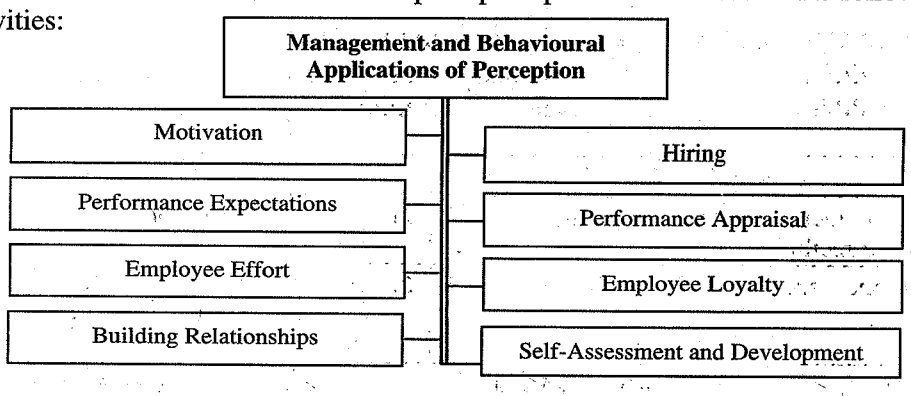
2) **Helps in Forecasting Behaviour:** Different individuals behave differently when facing the same situation as they view the same situation differently. A person's behaviour can be predicted by understanding his current situation and current perception about the environment.

3) **Facilitates Needs Determination:** A person's perception is influenced by his needs. Hence, by understanding the perception of a person about a certain situation, his needs can also be understood. **For example,** mirrors in an amusement park show different images of same object.

4) **Assists in Handling Subordinates Effectively:** If a manager wants to be effective and intends to avoid mistakes in the work environment, he needs to understand the perception of his employees. This would help him in predicting the behaviour of employees as he would be aware of their viewpoints.

3.1.9. Managerial and Behavioural Applications of Perception

Perception is an important tool for managers. Proper knowledge of perception and its effective application empowers managers to take excellent decisions. Concept of perception can be used in the following managerial and behavioural activities:



1) **Motivation:** Workplace perception is very significant for motivation. **For example,** if employees perceive that organisations are concerned about their development and growth, they become motivated for better performance. Therefore, organisations must promote this perception by providing different opportunities to employees to learn new skills, perform challenging roles, etc.

2) **Hiring:** Perception affects hiring in a number of ways. A job application that displays a fresh perspective and is different from the others increases the chances of that applicant being selected. The human resource manager might select applicants on the basis of gender or race or may be halo effect might restrict him while perceiving an applicant.

   The interviewer's temperament at the time of interview or his outlook towards the appearance of an applicant might also influence his perception. **For example,** if a manager prefers to see candidates formally dressed, he would certainly dislike a candidate who appears for the interview wearing goggles and a flowery shirt.

3) **Performance Expectations:** Perception helps managers in making a judgement regarding what to expect from an employee. If a manager intends to achieve high productivity from his employees, he should inform them about his expectations so that they can make efforts accordingly. Similarly, having a low level perception would result in a lower level of productivity.

4) **Performance Appraisal:** In organisations, the managers evaluate the performance of their subordinates termed as performance appraisal. This evaluation is both subjective as well as objective. Perception mainly plays its role when performance is evaluated on subjective criteria. The precision of manager's perception about the employee's efforts plays an important role in his appraisal. This further affects employee's promotion and development. Hence, while evaluating, the manager should make sure that his perception is free from all biasness.

5) **Employee Effort:** Many factors other than performance play a crucial role in deciding an individual's future in the company. Like, manager's correct perception about the employee's effort may help him move ahead. The analysis of effort is a subjective judgement and is prone to perceptual distortions and biases.

6) **Employee Loyalty:** Loyalty is expected from all employees working in an organisation. Though employee loyalty is decreasing these days, still organisations appreciate if employees, especially those working at managerial levels criticise the organisation without any hesitation. Generally, it is seen that if it is known by the organisation that an employee is looking for opportunity somewhere else, then that particular employee is excluded from any promotional or developmental activities. The organisation's drive towards attaining loyalty is a big issue and the assessment of an employee's loyalty towards his organisation is totally a judgemental or perceptual process.

7) **Building Relationships:** If the manager's perception is positive or productive, it helps to build effective communication and trust among the employees and improve professional relationships between the managers, within employees, and between managers and subordinates.

8) **Self-Assessment and Development:** Perception also helps in self-development. If what an individual perceives about himself is similar to other's perception about him, then he is gaining proficiency and competence and *vice versa.*

3.1.10. Difference between Perception and Attitude

There are various differences between attitude and perception however both of these terms are considered to be similar. The main differences between attitude and perception are described as below:

Perception	Attitude
1) Perception includes the viewpoint, way of thinking or method,	1) The way a person reacts and performs with his thinking practice is called attitude.
2) Perceptions are formed by each signal stimulus.	2) Attitude is developed as a result of learning about a brand or product and in a way it is resulted from perception.

3) The various opinions which are created about a certain brand/product when some stimulus is received is called perception.	3) The customers tend to know more about products and brand after the formation of perception and when learning is reached to a desired level, it gets converted into attitude.
4) Perceptions are dynamic in nature and more momentary than attitudes and keeps on changing immediately on the basis of past experience and current state of an individual.	4) . Attitudes are more stable than perception.
5) There is no cognitive element and effective evaluating method for perception, but both the responses can be obtained.	5) There are well developed cognitive elements and evaluating methods for attitudes.
6) The individual perception determines the behavioural elements such as action and reaction.	6) Attitudes are conditional to a certain stimulus or how a person reacts in a certain situation.
7) The nature of perception is subjective.	7) The nature of attitude is objective.
8) Learning to do something can be helped with perception.	8) A certain action or reaction is governed by attitudes.

3.2. SOCIAL PERCEPTION

The mechanism through which individuals create an understanding and image about others is called social perception. In order to perceive how a person is, first of all the observer analyses the individual, his behaviour, and the situation.

The observer can either create an immediate perception through a quick judgement about an individual or a long lasting impression with the help of various traits and their combinations.

The effect of other persons on an individual's life can be identified through the method of social perception. Social perception helps a person to create an image of others by making available the critical inputs to examine the behaviour of people in different circumstances.

Every individual has some opinions about others with whom he/she interacts. An individual can have an opinion that his parents are very strict, his boss is nice, his children are very naughty, and his brother is very brave. These beliefs can help individuals in many forms. The behaviour of others can be predicted or analysed through these beliefs.

A girl can believe that because her brother is very brilliant, he will pass the exams. With the help of these beliefs, one individual can explain another individual about a third person. The main application of these beliefs is in governing the behaviour of an individual while interacting with others.

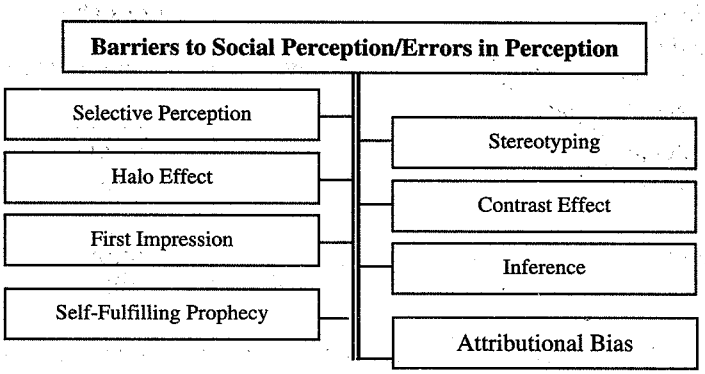
Beliefs about other individuals help in deciding whether to ask help from a neighbour, to call a friend for a lift to office, to seek advice from a senior, to share secrets with a co-worker, etc. Therefore, the beliefs of individuals have a lot of significance in governing their daily life.

In social psychology, "person perception" means the study of points of view of individuals which they create about others. Person perception is the combination of mental processes through which individuals build some intuitions and create conclusions about the intentions and characteristics of others. A number of viewpoints that an individual has about others are not necessarily perception, but in fact these are the conclusions or the outcomes of interaction with others.

For example, a person can infer that if a person is rich, he has a lavish life style. This lavish life style of rich is not perceived rather it is being concluded. Similarly, if Soham tells Anupama that Dave is a trustworthy person, it is not perception as this trait of Dave is not experienced by Anupama herself. However, these types of beliefs are known as "person perceptions" in social psychology.

Barriers to Social Perception/Errors in Perception

The attributes of the perceiver and the perceived affect social perception. Apart from these, social perception becomes more complex through various psychological factors such as personality, motivation, and learning alongwith sociological factors such as role, status, etc. Barriers to social perception are as follows:



3.2.1. Selective Perception

People are prone to describe a situation on the basis of their interest, background, experiences and attitude. This is because people cannot observe each and everything happening around them, so they perceive things selectively. When individuals discard information which they perceive to be deviating from their thought process or are unpleasant, it is termed as selective perception.

For example, if there is a rumour that due to reduction in sales, company is planning for attrition and meanwhile a senior executive plans a routine visit. It would be presumed that he is visiting the premises to eliminate employees; however that would be the last thing in his mind. It may sometimes prove advantageous as it ignores negligible information. However, it may prove damaging if it discards vital information.

Factors Influencing Selective Perception

Following factors may influence selective perception:

1) Selective perceptions are greatly influenced by the learning and experiences of individuals.
2) Habits, thought process, attitudes, training, and preferences also influence selective perception.
3) Age, sex, race and other biological factors impact selective perception.
4) The needs, expectations and emotional state of individuals also influences selective perception.

3.2.2. Stereotyping

Stereotyping refers to making a general image regarding the characteristics (which is usually wrong) of all members of a group. This hampers a manager's ability to take correct decisions.

For example, Mahesh is an introvert but an excellent salesman, but his manager underrates his performance as compared to the other salespersons because he does not fit with them. The manager here ignored his performance due to stereotyping and made an inaccurate judgement.

At certain levels, stereotyping can be helpful in evaluating our environment. On the other hand, its negative consequences can lead to everlasting inaccuracies. It creates social biasness, erroneous decisions, hampers innovation, infects utilisation of human resources, futility and incompetence.

For example, in case of impaired employees, the employer's stereotype is the major problem that workers face. Workers are regarded as lacking job-related skills, having lower performance levels and taking more leaves. However, findings state that these stereotypes are not true.

When highly talented, well educated people are considered as unqualified due to stereotyping, then it becomes a problem. **For example,** study based on female and male executives stated that females with less power had to face more obstacles and had to do more assignments for promotion as compared to men.

Features of Stereotypes

The main features of stereotypes are given as below:

1) Stereotypes are common or definitive, implying the features apply to all members of group.
2) They are stringent or fixed and cannot be modified easily.
3) They are simple in nature.
4) They are prejudiced not based on past experience (They could be augmented by adverse personal experience); and
5) Stereotypes can be cognizant or unconscious.

Benefits of Stereotyping

The benefits of stereotyping are given below:

1) It allows a person to react immediately to a certain situation, as same situation might have been experienced by him in the past.
2) Stereotyping is an important factor which enables us to analyse the stimulus rather than going to the initial stage. It can be said easily that in absence of stereotyping, learning and development would not have been possible.
3) Individuals can classify other persons into small groups with the help of stereotyping. This enables them to build perception about a certain condition or individual which creates a smooth and foreseeable life.

Limitations of Stereotyping

The main disadvantages of stereotyping are as below:

1) The differences among the persons cannot be identified when a false image of others is created through generalisations.
2) It proves detrimental to the person who is being stereotyped and therefore he/she does not have a fair chance to show his real self.
3) It also affects the person who creates the stereotype image, as it is formed without having the correct information. The person will stop looking for correct information about others, being content with his own perceptions.
4) Stereotyping tries to put all the human beings as same rather than identifying the distinctive complexity of each individual. However, it fails in doing so.
5) The main disadvantage of using stereotyping is that it could be entirely wrong or deceptive, resulting in improper or bad behaviour. It is very illogical to presume that the members of a certain group have the same personality characteristics only because of the fact that they share something common among themselves like culture, dress, eating habits etc. Being judgemental can create stress for the person who is affected by this and it becomes more serious when stereotyping is driven by racist feelings.
6) Stereotype provokes an individual to have an adverse first impression about others without giving others a chance to express themselves. This adverse classification can give birth to two distinct groups resulting in many problems in schools, offices, neighbourhood, or even in the society.

3.2.3. Halo Effect

At times, we judge a person exclusively on the basis of a single trait. This is known as halo effect. Under the influence of halo, a perceiver cannot judge an individual properly because he does not considers all his traits.

For example, if an employee is always the first one to reach office and the last one to leave office, he is considered to be very industrious and creative whereas, an employee with casual attitude and relaxed body language would not be taken seriously and would not be relied upon.

These two judgements taken by a manager are based on halo effect and might not be accurate as the manager has taken into account only a single obvious characteristic of the employees.

Such judgements should be carefully examined as a single trait cannot define the character and performance of an employee.

Factors Causing Halo Effect

The main factors causing halo effects are as below:

1) **Size:** It is frequently considered that investing in big organisations yields better returns than investing in small organisations. However, the opposite is true in most of the cases.
2) **Growth of Shares:** It is always considered better to invest in those business organisations which have a significant growth in their shares.
3) **Increase in Sales:** The companies with increasing sales are considered to be more attractive for investment than companies with lesser market share.
4) **Publicity:** Positive publicity also plays an important role in creating halo effect.
5) **Type of Industry**: The organisations which are related to trending and rapidly growing industries are considered as a better option of investment than organisations functioning in dull industries.

3.2.4. Contrast Effect

Contrast effect states that something that is dramatically different will overstate the contrast between it and everything else. **For example,** in an interview when there are huge numbers of job applications, distortion in the evaluation of any candidate may occur on the basis of the place of his application. If his application is placed after a relatively weak candidate, it may immediately grasp the attention of the interviewer whereas it may lose its charm if it is placed after a very strong candidate. Another **example** of contrast effect is that after rating an outstanding performer, the supervisor begins to rate a good performer. But due to contrasting effect the supervisor will find significant differences in his performance, productivity and aptitude and hence will rate him as an average performer. Therefore, contrast effect plays a very negative role in the manager's decision-making.

3.2.5. Attributional Bias

Attribution is the method which helps an individual in determining the causes behind his behaviour. In an organisation people are not only concerned about an individual's behaviour but also about the reason behind that behaviour. **For example,** if productivity of a plant increases after installation of new machines, then the credit would be given to the newly installed machines rather than to the manager and his employee-handling ability.

3.2.6. First Impression

The first impression has a great impact on others. The way a person talks, behaves or even his silence has an influencing effect. This first impression decides what kind of relation the person will share in the future. Errors because of impression occur when due to some reason the person formulates a negative image of the other person and then refuses to change it. **For example,** a new manager finds that an employee is not performing properly. The reason behind this was that his parents had recently died in a mishap. In a month's time the employee became normal and began giving high level performance but the manager's opinion did not change as it was negatively influenced by the first impression.

3.2.7. Inference

Certain people have the impulse to judge others on the basis of insufficient knowledge. **For example,** an employee might sit at his workstation throughout the entire day and do nothing. Still he might be considered as committed to his work. Hence, before giving performance appraisals entire information about the employee must be collected. The behaviour of the employee with his colleagues and customers, his productivity, etc., must also be taken into account.

3.2.8. Self-Fulfilling Prophecy

Prejudiced perceptions may find their way on the basis of expectations. Many times people try to justify their perceptions of reality although they are totally inaccurate. Things that are acceptable in one culture might be considered inappropriate in another culture.

Hence, in business, managers must gather information about cultural norms in order to avoid any awkward situation or hurt the feelings of others. **For example,** an American manager employed in Japan should be aware of the fact that while frequent smiling in America is considered polite, it would be considered as foolish in Japan.

3.3. EXERCISE

3.3.1. Very Short Answer Type Questions

1) Define the term perception.
2) What do you understand by stimuli?
3) What is selective perception?
4) Discuss the concept of social perception.
5) Explain the term, halo effect.

3.3.2. Short Answer Type Questions

1) Discuss the components of perception.
2) Explain the principles of perception.
3) State the differences between attitude and perception.
4) Write a note on stereotyping.
5) Explain the attribution theory of perception.

3.3.3. Long Answer Type Questions

1) Elaborate the steps involved in the perception process. Describe the factors that influence perception.
2) Give a description on the nature and importance of perception
3) Explain the managerial and behavioural applications of perception.
4) Enumerate different types of errors involved in perception.

Chapter 4

Motivation

4.1. MOTIVATION

4.1.1. Meaning and Definition of Motivation

The word 'motivation' has originated from the term 'motive' which relates to wants, needs, impulses and drives within a person. Motivation refers to the process of inspiring people for doing tasks and achieving goals and desires. Motivation is a psychological occurrence that originates from the wants and needs of people. It initiates a goal-oriented behaviour. It is the force that drives individuals into action. This force is the outcome of a state of tension which has arisen due to unfulfilled needs. Individuals make every effort to eliminate this stress through such behaviours which will help them in fulfilling their needs and thereby, make them stress free.

According to Dalton E. McFarland, "Motivation refers to the way in which urges, drives, desires, aspirations, strivings or needs direct, control or explain the behaviour of human beings".

According to S.P. Robbins, "Motivation is the willingness to exert high levels of effort toward organisational goals, conditioned by the effort and ability to satisfy some individual need".

According to Likert, "Motivation is the core of management which shows that every human being gives him a sense of worth in face-to-face groups which are most important to him. A supervisor should strive to treat individuals with dignity and recognition of their personal worth".

4.1.2. Concept of Motive

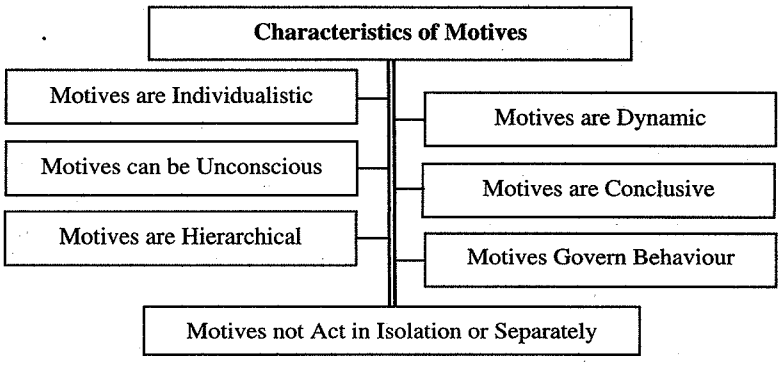
Motives can be defined as "tendency to perform triggered by a drive and finalised by an adjustment." **For example,** due to physical activities, our body begins to feel tired creating unrest. This unrest creates a tension. To overcome this tension, we start acting in a way that we remove this tension by resting. It shows that our activities are started by a drive which is feeling tired and it is finished when we take rest therefore resulting in an adjustment.

Motives regulate almost all the activities of human beings. Motivations stimulate an individual to act. Due to this stimulation, the individual starts performing and continues to perform until his/her objectives are achieved. Therefore, motives have three major functions:

1) Start actions,
2) Maintain performances, and
3) Regulate the performance in a specific manner until the objective is accomplished.

4.1.2.1. Characteristics of Motives

One needs to understand the following important features of motives in order to motivate an individual:



1) **Motives are Individualistic:** Every individual has his own reasons or motives that can be entirely different from the motives of others. A person may be motivated to learn how to drive a car for comfortable movement whereas other person may be motivated to learn how to drive a car to start working as a driver. Both of these individuals have different motives although their mediums are similar. At times, it is quite difficult to rationalise the actions of an individual, it can be achieved by analysing his motives.
2) **Motives are Dynamic:** Motives keep on changing during the different phases of life. One might be having different motives in his/her youth and these motives can be changed as he/she approaches old age.

   For example, when an individual is in his early 20s, he saves money to buy a laptop. When he starts working and is in his early 30s, his motive behind saving money can be changed to buy a house. In his 40s, he may start saving money for having financial independence in his old age. Here, the motives behind saving money keep on changing in different phases of life. Internal and external environmental factors of an individual cause change in motives.
3) **Motives can be Unconscious:** The behaviour of individuals are also formed by various internal feelings which they cannot recognise or are unaware of. These internal feelings could be insufficiency, desolation, or rejection by co-workers. These feelings can drive a person towards better performance, to achieve higher position in the organisation or to win recognitions and rewards.
4) **Motives are Conclusive:** Often, it is seen that we observe the behaviour of others but we are unable to predict exactly what are the various reasons forcing them to behave as they do. Discussion has been proved as the most appropriate way to understand the motives of others. There is no other more certain method by which we can acquire the information about the motives. This can only be achieved by asking an individual about the motive behind an activity.
5) **Motives are Hierarchical:** The intensity of motives vary in nature. The vigorous the motives, more are the chances a person will achieve his goals. A person saves his money to buy a car but at the same time his daughter plans to take admission in a medical college. For him, saving money for the admission of his daughter in a medical college becomes a stronger motivation for ensuring a bright future for his daughter than buying a car. Behaviour is governed by those motives which we perceive most crucial.
6) **Motives Govern Behaviour:** Besides stimulating the behaviour, motives also govern behaviour and encourages a person to look for certain goals. Certain patterns of behaviour are derived from certain motives. Although this does not always holds true. It is observed that same motive may result in varying behaviours in different individuals or in same individual in distinct situations. Also, different hidden motives can initiate similar behavioural patterns.
7) **Motive does not Act in Isolation or Separately:** In individuals, it is unusual that motives act in isolation or individually. Human Behaviour is usually an outcome of concurrent action of various motives.

4.1.2.2. Types of Motives

Motives can be classified into two groups namely primary (unlearned motives) and secondary (learned motives). Psychologists have grouped various motives under this nomenclature but they come to know that some motives are the result of combined effect of learned and unlearned features. On the other hand, other motives cannot be grouped either as learned or unlearned and their source of origin is ambiguous. Different types of motives are specified as below:

1) **Primary or Basic Physiological Motive:** These motives are generated due to basic instinct of life and are vital for the existence of human beings. These motives are same for almost every individual but their intensity varies from person to person. Social environment also affects these needs. One individual may require rice in food while other may require wheat.

   Survival motives are unlearned motives as these motives must be satisfied in order to ensure the survival of a living being. These survival motives include hunger, need of oxygen, thirst, maintaining body temperature, relaxation from tiredness and removing body waste. The responses fulfilling these drives are eating, breathing, drinking, sheltering, resting and eliminating. Pain is an additional motive which appears to be unlearned. It is not classified as survival motive. A person can pass his life without getting rid of pain but this is not the case with other unlearned motives as the relief from unlearned motives must be received quickly otherwise it may result in death. When it comes to survival motives, the timeframe can range from minutes to weeks depending on the type of motive involved. In all the instances except pain, relief is essential.

2) **Secondary or Socio-Psychological Motive:** Secondary needs include the spiritual and mental factors. As one grows old, he tends to develop these motives. **For example,** recognition, self-esteem, belongingness, self-assertion, sense of duty, etc. These needs make the work of a manager more difficult as they tend to have a large variation from one individual to other in comparison to the primary or basic needs.
3) **General Motive:** General motive is that category of motives which falls in between physiological motives and socio-psychological motives. These kinds of motives are unlearned but it does not have any physiological foundation. This category includes all those motives which are not included in physiological or socio-psychological motives such as manipulation, love, care, competence, and so on.

4.1.3. Nature of Motivation

The nature of motivation is as follows:

1) **Psychological Phenomenon:** The intensity of actions of a person depends upon his needs and expectations. Motivation is a psychological occurrence and usually deals with desires, needs, confidence, expectations and satisfaction. Every individual is psychologically different from the other and this makes it more difficult to find out what strategies and perks will motivate an individual to achieve his goal.
2) **Ongoing Process:** Human beings possess infinite needs and wants. As one is satisfied, another higher need crops up. Hence, after satisfying the present need, new needs surface and all of them cannot be satisfied at once. Thus, motivation is a never-ending process as needs and wants keep on emerging.
3) **Active and Conditional:** Behaviour, goals and motives have a dynamic nature. The factors that persuade a person today might not do it tomorrow. The needs, expectations, drives, values are ever changing which makes motivation a very dynamic process. A particular type of organisational climate, structure, kind of work and physical facility might motivate a person, but a change in any of these might also have a negative impact on his motivation, thus making motivation a highly conditional process.
4) **Cannot be Observed Easily:** The manner, in which a person acts, is observed and then his actions are analysed in context of his underlying motivation. This analysis has a huge scope of error because it may not disclose the individual's true motivation. Thus, it can be said that motivation cannot be easily observed and analysed.
5) **Goal-Oriented Process:** An effectively and suitably motivated person can be an excellent contributor for accomplishing organisational as well as personal goals.
6) **Affected by Social and Cultural Norms:** Motivation is affected by social and cultural norms and values. When an individual finds that a job or organisation has respect, acceptance and recognition appended to it by the society, his motivation to work with that organisation or job increases.

4.1.4. Elements of Motivation

Following are the main elements of motivation:

1) **Direction:** The goal or target that encourages an individual towards the better performance is called 'direction'. There are numerous options among which a goal is selected, irrespective of whether the individual is aware of it or not. Certain intrinsic and extrinsic factors influence the selection of a goal, which might oppose one another. **For example,** a person might naturally like to remain isolated but will be motivated to adopt a social lifestyle for career progress or social standing.
2) **Intensity:** The level of energy applied in the desired direction is called "intensity". Intensity and anticipation of desired output are closely related. Intensity is based on the person's observation about the probability of achieving the desired result from the efforts that had been put in. This certainly happens, even if the perception is unrealistic. **For example,** if an individual believes that he would be getting a salary hike, he might be motivated to work harder to get it. This might also motivate him to work for late hours; thereby his level of productivity goes up.
3) **Persistence:** It is the determination with which a person puts in efforts and energy to achieve his goals. Several intrinsic and extrinsic factors influence the maintenance of this determined behaviour. The factors responsible for the initiation of behaviour may differ comprehensively from the factors responsible for the development, sustenance and persistence of energised behaviour. In case, a person feels learning to be satisfactory and enjoyable, the extrinsic motivation may completely get substituted by intrinsic motivation.

4.1.5. Process of Motivation

The process of motivation involves various steps as shown in **figure 4.1:**

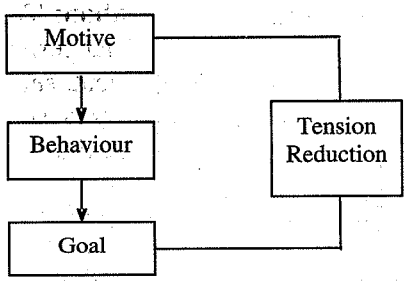


Figure 4.1: Process of Motivation

1) **Motive:** The process of motivation starts as soon as the individual finds a motive behind performing any action. Motives stimulate behaviour and hence, provide a reason behind that behaviour. To a large extent, motives are personal and explain the thought process of an individual. They keep on surfacing and provide the direction to the individual.
2) **Behaviour:** All the activities that an individual performs, when he is motivated towards achieving personal and organisational goals, collectively constitute his behaviour. The motives of an individual exhibit his goals. At times, these motives generate a situation of inequality as the physiological and the psychological conditions of the individual may become imbalanced. Hence, the behaviour which directs the individual towards goal attainment strives for attaining the balance between the two.
3) **Goal:** Goal of an individual is inspired by numerous factors such as the customs and morals, his inherited potentials, personal learning and experiences and his social and physical surroundings.
4) **Tension Reduction:** In an organisation, employees tend to grow motivational urges due to the cultural environment of the organisation and the obligation to achieve their goals. These urges also affect the perception of employees about their job as well as their personal and professional life.

4.1.6. Types of Motivation

Different types of motivation are as follows:

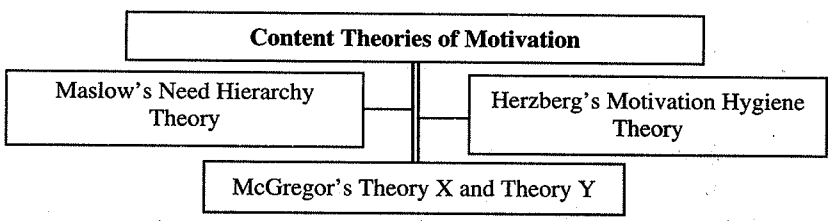
1) **Positive Motivation *versus* Negative Motivation**
   i) **Positive Motivation:** This type of motivation develops a positive and cheerful climate in the organisation. Positive motivation helps in recognising the employee's capabilities and aids in fulfilling those capabilities. When an organisation provides rewards and recognition as well as means to achieve them, the employee feels positively motivated. Rewards can be monetary or non-monetary.
   ii) **Negative Motivation:** Goals set by the organisation can also be achieved by developing fear in the people. People are afraid of the consequences of doing or not doing a particular thing and hence, at times follow the right path. Negative motivation has many drawbacks as well. Fear leads to annoyance, aggressive mind-set and the person loses interest in his job. As a result, competence and output suffers. Hence, this method should be avoided as much as possible.
2) **Rational Motivation *versus* Emotional Motivation**
   i) **Rational Motivation:** Rational individual is one who analyse the benefits and drawbacks of all the available options, before selecting the best possible one. In relation to marketing, customers who choose their product by keeping in mind various available options like weight, price, size, etc., are called rational customers.
   ii) **Emotional Motivation:** Emotional motives are those goals which an individual selects only on the basis of emotions. This means that personal criteria like fear, pride, status, love, esteem, etc., influence goal selection.
3) **Primary Motivation *versus* Secondary Motivation**
   i) **Primary Motivation:** Also called biological motivation, the primary motivation has a proper physiological existence. Biologically, this motivation is essential for the existence of human beings. The resulting behaviour helps in changing the internal environment. Increase or decrease in stimulation, reduced hunger, discomfort and thirst and stimulated senses (touch, taste, smell, etc.) are the basis of primary motivational needs.
   ii) ***Secondary Motivation:*** *Also called psycho-sociological motivation, secondary motivation is learnt* with the passage of time. These motives have no physical (physiological) basis, but help in personality development. Secondary motives develop during the lifecycle of an individual. They can be divided into social motives and psychological motives. **Social motives** inspire a person to step out and meet people and involve in activities that instils a feeling of fun and contentment. **Psychological motives** are personalised and differ from person to person. They include self-esteem, self-exhibition, self-security, self-assertion, etc.

4) **Intrinsic Motivation *versus* Extrinsic Motivation**
   i) **Intrinsic Motivation:** This kind of motivation is internally generated and does not need any outside factor like financial rewards or grades. An employee might stick to his job as he might be getting a sense of contentment, self-regulation and desire to attain expertise, as he could feel that working is fun, or having a job is a subject of pride, or everyday work is interesting, etc. Such an employee is inherently motivated to work. Hence, behaviours that are not a result of any external reward but are the product of the activity itself, are called intrinsic motivators. **For example,** the need to fulfilment that comes with good performance, exciting, pleasurable and demanding tasks, the yearning to be a part of a social group, sense of accountability, self-respect, accomplishment, innovativeness and leaving a special mark through performance.
   ii) **Extrinsic Motivation:** The motivation resulting from outside factors is called extrinsic motivation. Factors like rewards and recognition are the most common extrinsic factors. These factors provide more contentment than the task itself. These factors motivate the individual towards the desired outcome. Leaders or managers are capable of instilling this kind of motivation through their behaviours. Good leadership is not the only reason behind motivation. People might also be intimidated or terrorised by the managers and they might improve their performance to avoid horrible consequences. This kind of motivation is termed as negative reinforcement. People can also get motivated by external recognition, monetary rewards and benefits. People who are extrinsically motivated feel a sense of obligation to perform, in order to meet their lower order needs like money. Extrinsic motivation takes place when an individual is awarded with an incentive, which is not a part of the normal remuneration.

5) **Financial *versus* Non-Financial Motivation/Incentives:** Incentive is the stimulus that directs action into desired direction. Hence, incentive can be considered as criteria of motivation. Incentive has the power to direct the efforts of employees in right direction so that predetermined goals can be achieved. Modern organisational settings have numerous kinds of incentives that motivate the employees for better performance. Following are the two such kinds of incentives:
   i) **Financial Motivation:** It is monetary in nature as it can be measured in terms of money like salary, wages, allowances, fringe benefits, bonuses, etc.
   ii) **Non-Financial Motivation:** It is non-monetary in nature as it cannot be measured in terms of money like job enrichment, praise, growth opportunities, participative management, etc.

4.1.7. Content/Traditional Theories of Motivation

There is no accurate or inaccurate method that puts into effect the productive workforce because people vary in their motivation power. Traditional theories of motivation perceive motivation in the quantifiable terms. These theories emphasise that people are not motivated same, i.e., some get more motivated than the others. However, in respect to some other theories, the motivation was apparently associated with inherent attributes of an individual. Different traditional theories of motivation are as follows:



4.1.7.1. Maslow's Need Hierarchy Theory

Human beings have categorised their needs into two types – first one is basic (primary) needs, which are essential for the survival of the human beings and second one is acquired (secondary) needs, which are less important as compared to basic needs. Though there are numerous needs or desires, but which one should be given priority is the important question. So, this question was answered by **Abraham Harold Maslow** through his theory which represents a hierarchy of needs. Need hierarchy theory mainly emphasised on following points:

1) Human beings are those animals whose desires never end. They always need some or the other things to satisfy themselves.
2) Once a need is satisfied, it stops motivating an individual further.
3) Depending upon their importance, needs have a certain order.

According to Maslow, need hierarchy has following sequence:

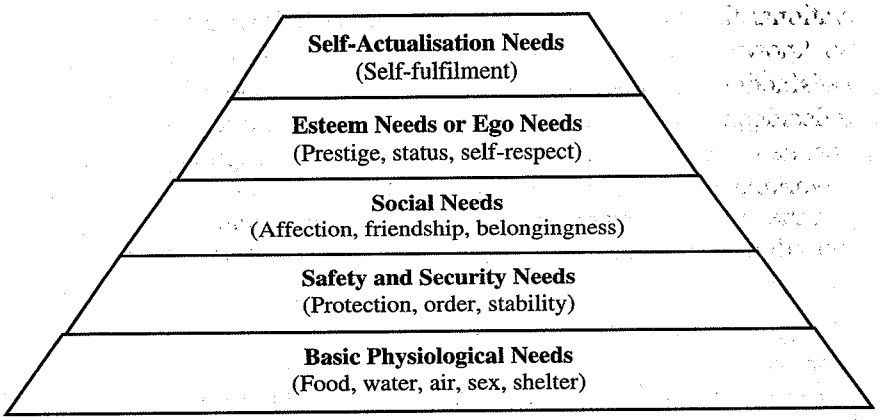


Figure 4.2: Maslow's Need Hierarchy Theory

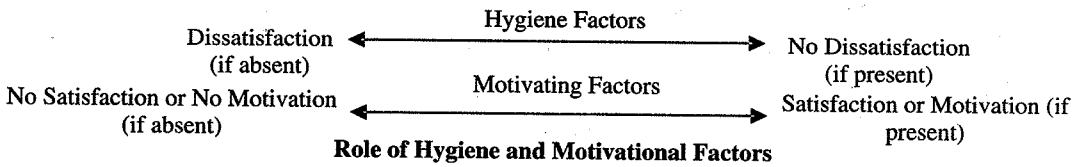
1) **Basic Physiological Needs:** Basic requirements of an individual such as food, shelter, clothing, air, water, etc., are considered as basic physiological needs. Since these needs are essential for the survival and sustainability of human beings, hence, these needs are prioritised and placed at the initial stage of the Maslow's need hierarchy theory.
2) **Safety and Security Needs:** After the fulfilment of basic needs, human beings expect safety and security of themselves as well as of their family. These securities are in the form of job security, insurance (life insurance, vehicle insurance, etc.), old age security (pension, retirement fund, etc.), and security of income. In simple words, an individual requires an assurance in order to maintain his standard of living.
3) **Social Needs:** Social need is a kind of cognitive requirement of human beings. When this need is not met, it creates a lot of imbalance in the mind of an individual which adversely affects his health. Since man lives in a society, he socialises himself by interacting with other people, shares his feelings with others, makes friends, etc. That is why, it is said that the community and culture of an individual reflect his identity.
4) **Esteem Needs or Ego Needs:** Egoistic needs are of two types, i.e., internal and external. Self-confidence, self-motivation, skills, abilities, competency, etc., are some of the factors that are based on internal egoistic needs and are earned after an immense hard work by an individual. Individuals having inward esteem needs always receive 'earned gratitude' by the society. External egoistic needs focus on building goodwill and status of an individual that is earned by achieving some higher position or if the individual becomes financially, socially and politically powerful.
5) **Self-Actualisation Needs:** It is a stage of self-fulfilment in which people realise their highest potential for self-development in a unique or creative way. In simple words, these needs are considered as aim of an individual's life. Once all the needs of an individual are met, he searches out for personal achievement that gives mental satisfaction to him. Individual having the need for achievement wants to become better than others, takes challenging tasks in order to demonstrate his potential and becomes successful which not only satisfies him but benefits the society as well.

As per Maslow's need theory:

1) There exist five levels of human needs that he requires to satisfy.
2) These needs are organised according to their preferences, i.e., most important to least important.
3) Once a need is satisfied, it is no longer a motivator, and hence, the individual proceeds towards next need.
4) After the fulfilment of one need, the next stage of need evolves as a depressed need that an individual tries to satisfy.
5) Though the basic physiological needs and security needs are limited and can be satisfied easily but the other three needs are unlimited and have a great influence on the individuals working at senior levels.
6) All the five levels of Maslow's need theory are mutually dependent on each other as all of them have some common characteristics. An individual can move on to the next level of need, only after satisfying the previous need. Each level of need affects the behaviour of an individual that motivates him to move further.
7) The first two needs, i.e., basic and safety needs, are considered as **lower order needs** and remaining three, i.e., social, egoistic and self-actualisation needs, are considered as **higher order needs.**

4.1.7.2. Herzberg's Two Factor Model Theory

In the late fifties, a motivational theory was introduced by **Frederick Irving Herzberg,** named as **motivation hygiene** theory. It is also known as **two-factor motivation theory**, as it is based on two factors, i.e., job satisfaction and job dissatisfaction. In order to identify the factors responsible for job satisfaction and job dissatisfaction, **Herzberg** decided to interview maximum number of employees working at higher levels in their respective companies. Thus, he interviewed around 200 accountants and engineers to recall the times when they felt good and bad at their workplace separately and then specify the reasons for their feelings respectively. The factors responsible for both the situations were not at all similar, which concluded that job satisfaction and job dissatisfaction are not contradictory. Thus, absence of job satisfaction means no job satisfaction and not job dissatisfaction.



Role of Hygiene and Motivational Factors

Herzberg classified the factors responsible for either job satisfaction or job dissatisfaction into following categories:

1) **Hygiene Factors:** These factors are those motivating factors whose presence motivates the employees at the workplace but for a limited period only. However, their absence can result in job dissatisfaction for the employees. Adequate number of hygiene factors at the workplace help in comforting the employees. Since, these factors focus on avoiding dissatisfaction, they are also termed as **maintenance factors or dissatisfiers**. These factors play a very important role in creating a healthy work environment, which ultimately fulfils the physiological needs of the employees. Some of the hygiene factors are as follows:
   i) **Pay:** The salary structure of the employees should be set according to the market value. Salary paid to the employees working at same position even in different organisations should remain same. The pay should be fair, reasonable and unbiased.
   ii) **Company Policies and Administrative Policies:** The policies set by the company should be flexible, unbiased and transparent in nature. Rigidity in working hours, leaves, breaks and dress-code can make the working environment uncomfortable for the employees.
   iii) **Fringe Benefits:** Fringe benefits in the form of medical claims, benefit plans for family, assistance programmes for employees, etc., motivate the employees to a great extent.
   iv) **Physical Working Conditions:** The working conditions have a great impact on the performance of the employees. Clean and hygienic conditions satisfy and motivate them to work effectively. Unhealthy environment, unsafe and inefficient tools and equipment not only increase the risk of accidents but also lead to dissatisfaction.
   v) **Status:** The employees should be given proper respect in the organisation. They should have a well-known status within the organisation, which must be retained by the firm.
   vi) **Interpersonal Relations:** The relationship between the employee and his colleagues, his superiors and juniors should be healthy and understandable. Arousal of any dispute or any embarrassing situation can adversely affect their relationships.
   vii) **Job Security:** Job security in the form of insurance, pension, retirement fund, etc., given by the organisation provides maximum job satisfaction to the employees and motivates them to stay with the organisation for a long duration.

2) **Motivational Factors: According to Herzberg,** unlike hygiene factors, motivational factors positively satisfy the human beings for a much longer term. That is why, hygiene factors are considered as less motivating as compared to motivational factors. These factors are also known as **satisfiers** and are inherent by nature. These factors are considered as intrinsic rewards that motivate employees to perform more effectively. According to motivational factors, basic physical needs are just an additional benefit to the employees. Following are some of the motivational factors:
   i) **Recognition:** Managers should motivate the employees by praising and appreciating them for their hard work and good performance.

ii) **Sense of Achievement:** While performing any job, employees must develop a sense of achievement. They must realise that their hard work will be rewarded at the end of the day. For this, managers can use some sort of rewards to motivate the employees.

iii) **Growth and Promotional Opportunities:** Another way by which an organisation can motivate its employees is by providing them with numerous opportunities for their advancement that can help them in their career growth.

iv) **Responsibility:** Managers should try to make their subordinates accountable by minimising their interference and excessive control over their job. Employees should be made solely responsible for their performance and must be provided with job ownership.

v) **Meaningfulness of the Work:** The more meaningful and challenging task is given to the employees, more interesting and motivating that task becomes for them.

Similarities between Maslow's Theory of need Hierarchy and Herzberg Two Factor Theory

1) In both the theories, before proceeding to the next stage of satisfaction one stage must be entirely completed as hierarchical scale is used in both the theories.
2) Maslow's theory and Herzberg theory both are based on the logic that people act like this because they try to fulfil their internal needs.
3) Maslow's theory and Herzberg theory both state the factors which motivate the employees. But these factors are different for different individuals as they contain different values and norms and they are from different cultures. **For example,** employees from countries like Sweden or Norway state belongingness as their main need whereas, employees from countries like Japan and Greek state physiological facility and safety as their key needs.
4) Both Maslow's and Herzberg's theories follow same standards like work condition, basic pay, etc. Hence, Maslow's safety, belongingness and physiological needs correlate with the Herzberg's hygiene concept.
5) Both these theories follow same standards like growth, recognition, achievement, etc. Hence, Maslow's Self-actualisation and esteem needs correlate with the idea of the Herzberg motivation.
6) Employee attitudes, their motivation and environmental conditions affect both Maslow's and Herzberg's theory as well as the performance of the employees.

Difference between Herzberg's Theory and Maslow's Theory

Basis of Difference	Herzberg's Theory	Maslow's Theory
1) **Hierarchy of Needs**	Needs are not arranged in any sequence.	Needs are arranged in a sequential order according to their priorities.
2) **Nature**	This theory is not comprehensive.	This theory is detailed.
3) **Central Theme**	The need to get appreciated or recognised leads to the improved employee performance.	Unsatisfied needs and desires lead to employee's better performance.
4) **Motivational Factor**	The stronger desires for recognition, achievement, promotion, etc., act as motivational factors. Hygienic factors are not considered as motivators.	The needs that remain unfulfilled become motivational factor for an individual.
5) **Applicability**	This theory is applied to solve the work-related problems of the individuals working at higher grades.	Applicable to solve the common problems of employees.
6) **Empirical Data**	This theory is based on the data collected after experimenting higher grade employees such as professional accountants and engineers.	Unlike Herzberg theory, this theory is not based on experiment but on the perception.

4.1.7.3. McGregor's Theory X and Theory Y

In 1960, Douglas McGregor introduced a theory named Theory X and Theory Y which mainly considered philosophical view of mankind and was based on Maslow's need theory. According to this theory, every individual has two different views, i.e., positive and negative. **McGregor** called these negative views as **Theory X** and positive views as **Theory Y**. **McGregor** tried to observe the behaviour of managers while interacting with their employees and concluded that the viewpoints of managers for their employees are based on certain perceptions and these perceptions further shape their behaviour. In today's time, increasing pressure in the business world has made the organisation to forget the traditional rules that should be followed while dealing with the employees. Thus, this theory proved out to be beneficial for the organisations as it involves simple rules and regulations that should be followed by the managers while dealing with their subordinates.

Assumptions of Theory X

According to **theory X,** four assumptions followed by the managers are as follows:

1) Most of the employees try to neglect the work given to them as they inherently have an aversion to work.
2) Managers believe that employees need to be pressurised, supervised and sometimes even threatened to make them achieve the set targets.
3) Managers believe that employees do not take their responsibilities seriously and only follow the same routine rules wherever necessary.
4) Employees give priority to job security which makes them non-ambitious and lenient towards their job.

Assumptions of Theory Y

According to **theory Y,** various positive assumptions followed by the managers regarding employees are as follows:

1) Employees have the ability to treat their work either as a routine task or as an enjoyable activity.
2) Employees having determination to accomplish desired goals and objectives can easily control themselves.
3) An average employee can become a responsible employee by developing the tendency to accept the responsibilities.
4) Achievement of an employee is based on his level of commitment towards his objectives. The accomplishment of these objectives results in rewards which motivates him to become loyal towards his goal.
5) Employees also have a great ability to think 'out of the box' and do something innovative. This is not only the responsibility of the employees working at higher positions, but also the average employees can be creative.

Comparison of Theories X and Y

Theory X and theory Y act as two faces of the same coin and are mutually exclusive by nature. Though, both of them are related to human nature but are absolutely opposite to each other. The difference between the two theories is given below:

Distinction between X and Y Theories

Basis of Difference	X Theory	Y Theory
1) **Attitude towards Work**	According to this theory, most of the employees naturally do not like working.	This theory believes that people treat their work as a game and enjoy doing it, if suitable atmosphere is provided to them.
2) **Acceptance of Responsibility**	Majority of the employees avoid taking responsibilities which depict their non-ambitiousness. They like to follow rather than to lead.	When employees are motivated, they not only become confident and self-directed, but also take responsibilities openheartedly.
3) **Creativity**	Since people are not serious about their responsibilities, they avoid using their creativity to solve organisational issues.	According to this theory, being innovative is not strictly related to higher managerial authorities but this ability is present in almost every person.
4) **Motivation**	Fulfilment of basic needs and safety needs become the source of motivation for the employees.	The motivation is not limited to the satisfaction of basic physiological and safety needs. The motivation increases with the satisfaction of social, egoistic and self-actualisation needs.
5) **Control**	Authoritarian control by the superiors is the only way to make the employees work and accomplish the established organisational goals.	Employees, when motivated appropriately, can lead themselves in the right direction and can control their activities.
6) **Centralisation and Decentralisation**	Theory X focuses on the higher grade managers of the company and follows a chain system.	The main motive of theory Y is to increase the participation level of the employees in making the decisions and focuses on decentralisation.
7) **Leadership**	This theory is based on autocratic leadership.	This theory is based on participative and democratic leadership.

4.1.8. Process Theories of Motivation

Unlike content motivational theories, process theories such as **Vroom's Expectancy Theory, Porter and Lawler Model,** etc., focus on determining the way by which motivation process takes place in the employees. In simple words, these theories explain the entire process, which an employee follows in order to satisfy his needs. This process includes his commencement, his sustainability and the way he directs his behaviour to minimise his inner stress and reach the desired goal. Rather than emphasising on the needs of the employees, process theories emphasises on the goals and the methods by which employees can be motivated to achieve these goals. Identification of internal factors influencing the motivation process of an individual is the main target of these theories. According to these theories, motivation is entirely based on the thinking, outlook and ideology of an individual and thus, motivation is considered as a cognitive process.

4.1.8.1. Vroom's Expectancy Theory

Vroom's theory of motivation is also known as **Vroom's Expectancy Theory** and **Valence and Instrumentality Theory.** This theory proposed that people motivate themselves to accomplish only those goals which are achievable. Vroom's expectancy model believes that the rewards play a very important role in determining the motivation of an individual. Since human beings are rational by nature, they will search for the most beneficial alternative that can increase the value of these rewards. When people know the value of reward, they automatically motivate themselves to perform better in order to achieve the desired rewards and results. The first expectancy theory related to motivation at workplace was given by **Victor Vroom. Figure 4.3** summarises Vroom's expectancy theory of work motivation:

1) **Expectancy:** The possibility or probability of receiving any specific outcome after applying a specific behaviour or effort by an individual is known as expectancy. Expectancy gives an idea about the relationship between the efforts applied and the results received.
2) **Instrumentality:** The effect of first-level outcome, such as improvised performance on the second-level outcome such as promotions, pay hike, bonus, etc., is known as "instrumentality". In simple words, the extent to which the improvement in the performance of an individual affects the salary structure of that individual is instrumentality. This degree of influencing second-level outcome by the first-level outcome can either be very high or it can be very low and sometimes it is nil. Higher the degree of expectancy and instrumentality, greater is the motivation of the employee.

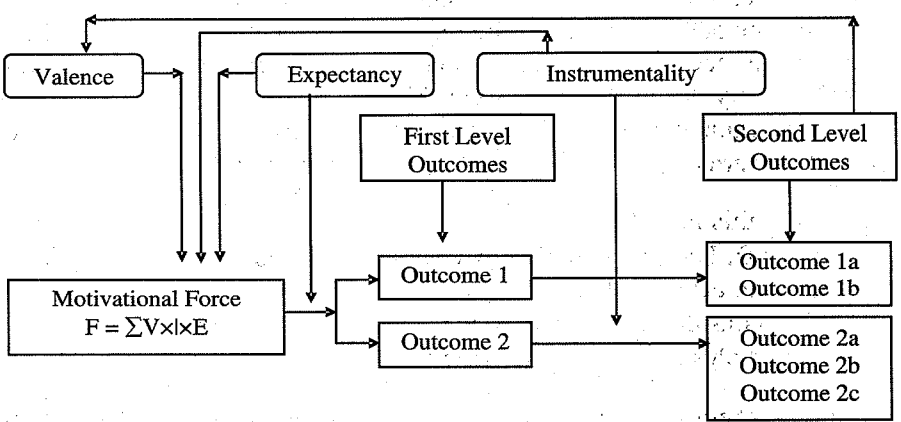


Figure 4.3: Vroom's Valence and Instrumentality Theory

3) **Valence:** The value given by individual to rewards offered by the company is known as valence. Depending upon different individuals, sometimes valence is treated as incentives, sometimes as attitudes and some consider it as expected utility. **For example,** some employees have great value for promotion but some consider it as an increase in burden. Thus, they have different viewpoints about promotion. Valence is basically of three types:
   i) **Positive Valence:** Positive valence alongwith high expectancy will help in increasing the efforts as well as performance of the employee. This will further motivate the employee and lead him towards satisfactory outcome.
   ii) **Zero Valence:** When there is zero valence combined with any level of expectancy, it will remain non-reactive in motivating the employee.
   iii) **Negative Valence:** Negative valence alongwith any level of expectancy always turns into negative motivation.

Thus, it can be said that motivation is dependent on three factors:
Motivational Force (M) = Expectancy (E) × Instrumentality (I) × Valence (V)
Or M = (E × I × V)

The strong interrelation among these three factors plays a very crucial role in strengthening the motivation within the employee. In simple words, expectancy when multiplied by instrumentality and valence will decide the degree of motivation of an employee. Positive interrelation among three factors results in strong motivation. Thus, it can be said that the attractiveness and the expectancy of a particular outcome plays a very important role in strengthening the way efforts are applied.

Criticisms of Vroom's Expectancy Theory
Criticisms of Vroom's expectancy theory are as follows:

1) **Simple in Nature:** This theory does not explain the different levels of efforts acted out by an individual. There is also the assumption that a reward will entice an employee to expand greater efforts in order to obtain the reward, but neglect the fact that the reward in question could have a negative effect for the individual. **For example,** a pay increase might push him or her into a higher tax bracket.
2) **Based on Behavioural Predictions Across Individuals:** The theory was tested as if it was based on behavioural and attitudinal predictions across, rather than within, individuals. Thus, when the scores of a group of people are collated and used to predict general motivation, the results often show only a moderate level of validity of Vroom's theory. However, this type of research neglects to take into account a whole range of individual differences such as ability, job roles/difficulty, different levels of rewards, and so on. It also assumes that people consider valence, instrumentality and expectancy in the same way, which is not true.
3) **Ignores Influence of Situational Factors:** This theory ignores the influence of situational factors. **Thierry** and **Koopman-Iwema** state that 'the influence of "other parties" (colleague, superior, quality controller, etc.) is taken into account far too little. Opposite to the assumption of this theory, a respondent has less control on his behaviour.

4.1.8.2. Porter and Lawler Model (Extension of VIE Theory)

The Porter-Lawler model is the extension of Vroom's theory. Vroom's theory elaborated the factors responsible for development of efforts whereas Porter and Lawler's theory states that it is not necessary that efforts will always result in better performance and satisfaction. The expectation of getting rewards and the value of those rewards for an employee are the factors that develop and determine the effort of an employee. But the performance of an employee entirely depends upon his capabilities and his perception about the role which he has to perform. In simple terms, when an individual applies efforts, he improves his performance and when this performance is combined with rewards, the employee reaches his maximum job satisfaction.

The two most important points of this model are:

1) **Subjective Probability E → P:** Under this probability, an employee is expected to apply maximum efforts and improve his performance to achieve the desired goal.
2) **Probability P → O:** After considering the valence or value of the outcomes, employee is expected to improve his performance that helps in achieving desired output.

Thus, in short, Porter and Lawler theory suggests that there are two probability factors – first one is subjective, i.e., E → P and second is P → O which helps in motivating the employees. E → P means increased efforts result in better performance and P → O means better performance culminates into desired outcomes.

Components of Porter and Lawler Model
Porter and Lawler model consists of following components:

1) **Subjective Value of Rewards:** The value of rewards is different for different employees working in an organisation. That is why the performance of the employees depends upon the degree of attractiveness for the results and rewards.
2) **Probability between Effort and Rewards:** When the employee knows that the effort made by him will result in certain reward, he will increase his effort, but if even after increasing his effort, he does not receive any reward, then he will not put his adequate efforts. Thus, the employees are well aware of the probability between the efforts applied and the rewards received.

3) **Effort of an Organisational Member:** In this component, an organisational member tries to maintain a certain level of performance.
4) **Area of Individual Abilities and Characteristics:** The abilities and characteristics of an individual differ from other people working in that organisation. These capabilities help him to accomplish the allotted task and are relatively stable in nature.
5) **Role Perception:** Role perception includes what and in which direction efforts will be applied by an individual. It also determines what an individual means by successful completion of task given to him.
6) **Accomplishment of Job:** This component focuses on achievement level of an individual while performing a task. According to Porter and Lawler's model, there are several variables that influence successful achievement of a task. Multiple components and various parameters alongwith their effects results in successful accomplishment of the job.
7) **Reward:** According to this component, the rewards are of two types, i.e., intrinsic reward which is given by individual to himself and the extrinsic reward which is given by some other person or superior.
8) **Perceived Equity of Rewards and Satisfaction:** Every individual working in an organisation expects appropriate and satisfactory reward from the organisation on the basis of his performance. The difference between the reward expected and the reward received, determines the level of employee's job satisfaction or dissatisfaction. More the difference between the two rewards, greater is the level of satisfaction or dissatisfaction.

4.1.9. Contemporary Theories of Motivation

Several contemporary theories exist which possess one common feature of acceptable quantity of authentic supporting documents and credentials. It is not because of the reason that these theories were established in recent times therefore, they are named as contemporary theories; but because of the reason of their modern state of the art in elucidating the concept of employee motivation. Different contemporary theories of motivation are described below:

4.1.9.1. McClelland's Needs Theory

Among the numerous researchers who took Murray's theories further, the most remarkable was **David McClelland.** He developed a theory which laid emphasis on need for achievement, power, and affiliation.

As per him, individuals learn from the events which they take part in or experience to procure specific needs from the society's culture. These needs are then considered as tendencies which influence individual's perception for different situations and their approach towards goal attainment. Following are the needs learnt by people:

1) **Need of Achievement (n Ach): According to McClelland**, "(n Ach) is behaviour toward competition with a standard of excellence". McClelland alongwith his associates propounded following four features of individual who have great need for achievement:
   i) They have a firm longing to take up responsibility on personal level to solve problems or completing a job.
   ii) They have a habit of setting high standards and taking calculated risks.
   iii) They demand substantial feedback for their performance.
   iv) Their only concern is completing the given task successfully.
2) **Need for Power (n Pow):** An individual's need to impact behaviour of others, exercise full control over the environment, and have accountability for the same are included in the need for power. Following are the features of individuals who highly need power:
   i) They want to give directions and exercise control over someone.
   ii) Their area of concern is to build and maintain leader-follower relationships.
3) **Need for Affiliation (n Aff): According to McClelland**, "(n Aff) is attraction to another organism in order to feel reassured from the other that the self is acceptable". The urge to build and sustain amiable and cordial relations with others comes under this need. Individuals who possess high (n Aff) have the following features:
   i) They look to gain approval and encouragement from others.
   ii) They try to adhere to the policies and fulfil the wishes of leaders whom they respect.
   iii) They possess sensitivity towards others.

Criticism of McClelland's Needs Theory

Following points highlight the criticisms of McClelland's need theory:

1) The individuals who need achievement expect everyone else to perform in the same manner and hence lack effectiveness required to become managers.
2) The training required to motivate individuals to aspire for achievement consumes a lot of time.
3) It uses protective techniques like Thematic Apperception Test (TAT) to identify basic needs. Though these techniques have their advantages over questionnaire methods, there are always chances of prejudice by the researcher.
4) Though **McClelland** contends that an individual can change his/her needs socially with the help of training and education, other experts challenge him as they think this change will not be permanent.
5) **McClelland** failed to establish that the needs learnt by an individual through education and training can be applied at the workplace.

4.1.9.2. Alderfer's ERG Theory

Alderfer's ERG theory is the improved version of Maslow's need theory. Maslow's need theory was not applicable to organisational setup. On the other hand, Alderfer's theory has described the human needs that are relevant to the work setting. According to **Alderfer,** needs can be classified into three categories:

1) **Existence:** These needs are associated with the existence of human beings and are an extended version of Maslow's physiological needs and a few of his safety needs.
2) **Relatedness:** These needs are associated with interpersonal relations within the organisation. They are an extended version of Maslow's need for belongingness and a few of his safety needs and esteem/ego needs.
3) **Growth:** These needs are related to growth of human capability. Maslow's need for self-esteem and self-actualisation are equivalent to growth needs.

4.1.9.3. Equity Theory of Work Motivation

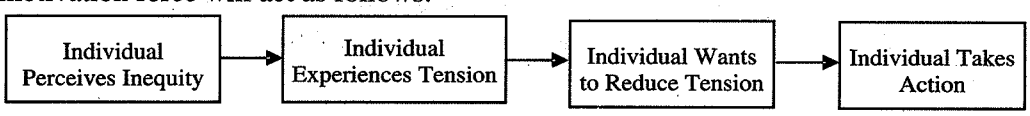
J.S. Adams is the founder of **equity theory of motivation**. According to this theory, employees working in an organisation expect justice and fairness on the part of management. Biased and unfair treatment not only demotivates them, but also hampers their performance. **Adams** theory of motivation focuses on identifying the reasons for unbiased behaviour on the part of an organisation and its impact on the employees. Following are the four significant elements of **Adams** equity theory:

1) **Person:** The individual dealing with equitable or non-equitable situations.
2) **Comparison Other:** 'Comparison other' is the individual with whom the person compares his efforts and inputs made and outcomes received. These are also known as 'relevant other'.
3) **Inputs:** These are the characteristics of an individual such as skills, proficiencies, experience, talent and potentials which he carries with him while joining the job. These are constantly observed by different people having different outlook.
4) **Outcomes:** These are the results of employees' performance and are awarded in the form of salary, promotion, bonus and fringe benefits. These are distributed depending upon the performance of the individual.

Examples of Inputs and Outcomes

Inputs	Outcomes
Time	Pay
Effort	Promotion
Education	Recognition
Experience	Security
Training	Personal development
Ideas	Benefits
Ability	Friendship opportunity

According to this theory, once the person starts comparing his contribution and result with the relevant other's effort, he starts developing motivation to perform better. When the person's input and outcomes are not equal to that of 'relevant other', he gets motivated to put in more efforts and reduce that feeling of inequity. More the inequitable feeling arises in the person, greater is the degree of motivation to reduce that imbalance. Thus, equity acts as motivation force will act as follows:



He may even try some of the following options to eliminate that inequity:

1) He may try to bring some changes in his inputs.
2) He may also try to modify his output.
3) He may deform the inputs and outputs cognitively.
4) Rather than making any alterations, he might give up.
5) The person may try to create such situations by which the 'relevant other' may leave the field or his input and outcome gets distorted cognitively.
6) The person may switch to another 'relevant other' for comparison.

Figure 4.4 specifies three different equity relationships, i.e., equity, negative inequity and positive inequity. Let us consider two people who have the same background and carry out similar tasks as shown in **figure 4.4.**

However, they have different hourly pay rates. Equity takes place when the ratio of perceived outcomes of an individual to inputs is equivalent to that of the comparison other (See part 1 in **figure 4.4).** Negative inequity occurs if comparison other attains greater outcomes for similar inputs (See part 2 in **figure 4.4**). Positive inequity will occur when an individual's outcome to input ratio is more than that of comparison other (See part 3 in **figure 4.4**).

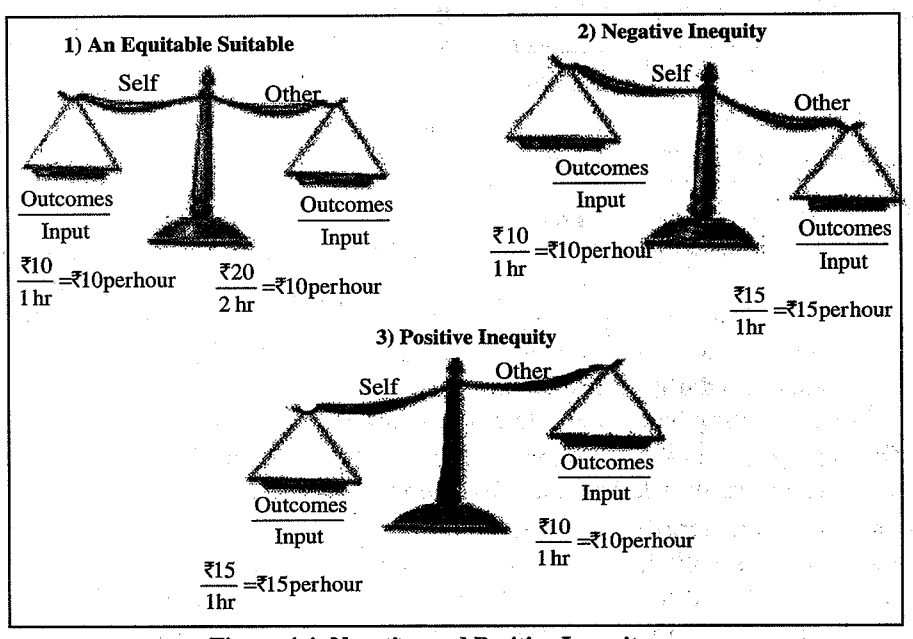


Figure 4.4: Negative and Positive Inequity

Thus, the person feeling discriminated not only gets motivated but also the person being fair and equally treated is motivated to perform better.

4.1.9.4. Reinforcement Theory

The work of **B.F. Skinner** is the foundation for the reinforcement theory. This theory explains that the behaviours which are not reinforced are less likely to be repeated, while the behaviours which are reinforced will be repeated. **For example,** if sales executive is promoted for his contributions in the increase of sales, then this individual will carry on to increase the sales for receiving another promotion. According to reinforcement theory, level of motivation in an individual is determined by the outcomes of his behaviour.

Skinner's work states that the occurring of behaviour is initially random. It has been merged into the area of management with the help of behaviour and organisational behaviour modification theory. Some reinforcers are selected to be implemented in these behaviours. The outcomes which are received in the manner of punishments and rewards are learned as behaviours. Depending upon attainment of the desired behaviours, various reinforcers are implemented.

Classification of Reinforcement

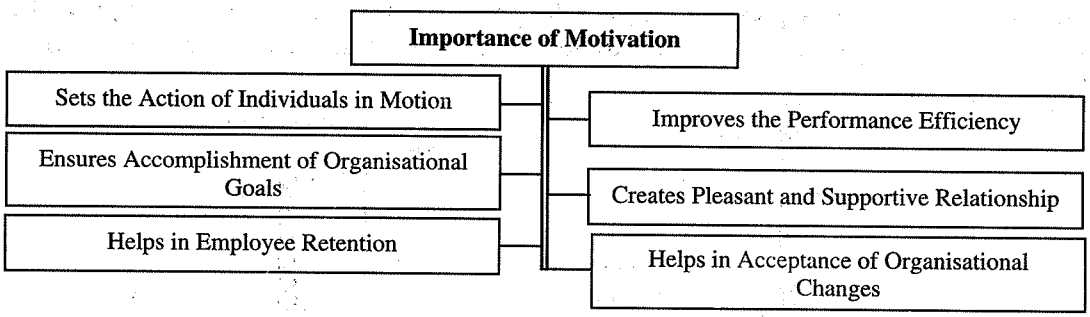
Reinforcement can be classified into following four categories:

1) **Positive Reinforcement:** Rewarding and appreciating the desired or favourable behaviour of employees with an aim to reinforce that specific behaviour is termed as positive reinforcement.
2) **Negative (Avoidance) Reinforcement:** Under negative reinforcement, a desired behaviour is sustained and repeated by avoiding an unpleasant outcome.
3) **Extinction:** Not reinforcing a certain undesired behaviour results in disappearance of that behaviour. This is termed as extinction.
4) **Punishment:** Punishment aims at weakening or eliminating an undesired behaviour rather than promoting it through removing a positive consequence or rewarding an outcome as a punishment.

As per the reinforcement theory, managers are able to make a lot of difference, provided the environment is efficiently controlled by them.

4.1.10. Importance of Motivation

Motivation is important in following ways:



1) **Sets the Action of Individuals in Motion:** Every organisation has physical, human and financial resources whose deployment is based on the capability and enthusiasm of people. Motivation stimulates human resources to act towards their goal. It makes the employees willing to work and helps management exploit its resources to the maximum.
2) **Improves the Performance Efficiency:** Performance of employees is improved by motivation. This is because performance depends both on employee's capability and his eagerness to perform better. There is a gap between ability to work and eagerness to work and motivation acts as a binding factor. This enhances output, reduces cost of operation and takes the overall efficiency of employees to new heights.
3) **Ensures Accomplishment of Organisational Goals:** Organisational goals can be successfully achieved by the management by motivating the employees towards putting their best foot forward and accomplishing the tasks assigned. If they fail to motivate the employees, the planning, organising and staffing functions would fail to serve their purpose. The management can gain the confidence of its employees and meet organisational goals efficiently by fulfilling employees' needs by using a fair reward system.
4) **Creates Pleasant and Supportive Relationship:** Monetary rewards, promotional prospects and recognition of outstanding performance are a few ways through which organisations motivate their employees towards better performance. Motivation promotes pleasant and amiable relationship between the employer and the employees, boosts employees' morale and minimises industrial conflicts. If employees are properly motivated, they would be less resistant to change and would support the organisational growth.
5) **Helps in Employee Retention:** Motivation plays an important role in retaining employees as it boosts their confidence and enhances their loyalty and commitment towards the organisation. It makes the organisation stable by decreasing the rate of turnover and absenteeism. The talent and knowledge of the employees can be used in the best possible manner for the mutual benefit of the organisation and the employees. This improves the image of the organisation and helps in attracting eligible and experienced people.
6) **Helps in Acceptance of Organisational Changes:** Since organisations are a part of the society, any kind of change in the society like change in the value system, technology, etc., makes the organisation liable to include those changes in its working as well. The employees tend to resist the changes implemented over time. In such a scenario, motivated employees play an important role as they readily accept the change and this helps the organisation in moving ahead successfully.

4.1.11. Managerial Applications of Motivation Theories

There are numerous practical applications of motivation. The organisation must consider both intrinsic and extrinsic features of the job when applying theories of motivation. Intrinsic factors are directly associated with the job content whereas extrinsic factors are more concerned about the organisational environment. Hence, at a workplace, motivational theories can be applied in the following manner:

1) **Rewards:** Rewards are a vital part of motivation. Rewards can be both tangible and intangible. The top performer or the salesforce of a company rewarded on monthly bonus is an **example** of tangible reward. Tangible rewards are not necessarily monetary rewards. Few organisations offer non-monetary rewards like free lunches and goodies to good performers. A pat on the back from the manager on timely completion of job can also be considered as tangible motivation. Maslow's need theory emphasises on fulfilling individual needs, especially those of higher order. Since needs are complicated and ever changing, hence, individuals must sort out the needs that are important. Inappropriate means should not be adopted to meet the needs. It must be carefully considered that people differ in the context of their nature and personality; hence, remuneration system should be designed accordingly. As per Herzberg's two factor theory, intrinsic motivational factors must be considered while framing reward policies.

2) **Job Design:** Experts suggest that not just rewards, but the job itself is also a cause of motivation. Job design is the process by which tasks are assigned to a job and its relation with other jobs is also determined. Job design has immense effect on the individual and organisational goals. From the organisation's point of view, the manner in which the tasks and responsibilities are clustered, have an impact on the production and expenses. Highly challenging or dissatisfying job positions are hard to fill. The turnover ratio for boring and uninteresting job is much higher. The balance between job factor (rewards, qualification and content) and individual needs greatly affect employee motivation and job enrichment. Hence, if jobs are designed carefully, it would be beneficial for both the employee and organisation and helps in achieving the organisational goals effectively. Poor job designs, alternatively, might decrease output, increase employee absenteeism, turnover, complaints, resignation, unionisation and various other problems. **Herzberg** considered that job design is a crucial aspect of motivation and since then, organisations around the globe are working extensively on job design.

3) **Employee Involvement Programme:** Numerous techniques such as participative management, empowerment, employee ownership and workplace democracy are part of employee involvement. This process engages the maximum potential of the employee and focuses on increasing their commitment and loyalty towards the organisational success. The basic concept is that in case the workers are involved in decisions that affect their work-life, the result is that their independence and control over their work-life is enhanced, and ultimately they tend to become more satisfied with their jobs and it leads to the increase in output. Participation is different from employee involvement. Participation is a narrower concept as compared to employee involvement. Participative management, quality circles, employee stock ownership, etc., are few examples of employee involvement programmes.

   Numerous motivational theories are based on employee involvement. **For example,** Theory Y talks about participative management, whereas Theory X talks about a more conventional autocratic method of managing employees. As per Herzberg's two factor theory, intrinsic motivation is the outcome of employee involvement programmes which results in better prospects of responsibility, work and growth. In the same way, when an employee has the right to take and implement decisions, his self-confidence and self-esteem get enhanced. Thus, employee involvement, just like ERG theory, emphasises on encouraging the need of achievement.

4) **Management by Objective (MBO):** This is an organised and controlled approach through which management can stress on goal accomplishment and achieving maximum output from the resources available at hand. Employees are usually provided with strong input so that they can easily select their goals, decide the time to be taken to accomplish those goals, etc. MBO helps in tracking the process of goal accomplishment and giving feedback. Its main objective is to configure the organisational goals and subordinate objectives in such a manner that all the employees direct their effort towards accomplishment of common organisational goals. Top management implements techniques like GQM (Goal, Question and Metrics) to recognise and classify organisational goals.

5) **Employee Recognition Programmes: Herzberg** states that recognition plays a crucial role in motivating and satisfying employees. When an employee is appreciated in the presence of his colleagues, he is motivated to perform even better in the future. Recognition programmes focus on admitting the employee's

performance. Certain organisations also get the employee's achievements printed in the organisation's newsletter or display it on the notice boards for motivating other employees as well. Titles like "employee of the week" or "employee of the month" are also given to the selected employee in some organisations. This not only motivates the performer but also the other employees towards excellent performance. **For example,** employee recognition rewards are given by **Radiant Info** to its outperforming employees in order to encourage them to maintain their performance. **Encore**, the employee recognition programme at **Wipro,** targets to recognise excellent employees. This also encourages other employees to excel in their jobs. Employees with "superlative performance" get a place in the "Wipro Hall of Fame". The best teams are also listed in the same. **HCL** recognises its top performers and their creativity with "value creator award".

4.2. EXERCISE

4.2.1. Very Short Answer Type Questions

1) Define motivation.
2) Give the concept of motive.
3) What is general motive?
4) What do you understand by positive and negative motivation?
5) Write a note on intrinsic motivation.

4.2.2. Short Answer Type Questions

1) Describe the characteristics and types of motives.
2) Discuss the nature of motivation.
3) Explain different types of motivation.
4) Discuss the concept of Maslow's need hierarchy theory of motivation.
5) Differentiate between Herzberg's theory and Maslow's theory of motivation.
6) Describe McGregor's theory X and Y in brief.
7) Describe Porter Lawler expectancy model of motivation.
8) Highlight the importance of motivation.

4.2.3. Long Answer Type Questions

1) Explain the steps in the process of motivation. Also mention the elements of motivation.
2) Give a detailed description on the major theories of motivation.
3) What do you understand by Herzberg's two factor model? Describe the similarities and differences between Maslow's theory of need hierarchy and Herzberg's two factor theory.
4) Discuss the Vroom's Expectancy theory of motivation. Also explain its criticism.
5) Elaborate various contemporary theories of motivation.
6) Enumerate the managerial applications of various theories of motivation.

Chapter 5

Group and Team Dynamics

5.1. FOUNDATIONS OF GROUP BEHAVIOUR

5.1.1. Meaning and Definition of Group

A group is formed when two or more people interact, deliberately to reach a common consensus. Group members are mutually dependent and are sensitive to the needs of other members of the group. There are groups in every organisation and each group affects the behaviour of its members. They not only have an influence on the behaviour of their members but also influence other groups as well as whole organisation. Such groups are formed for benefiting the organisation. Therefore, these groups are necessary for the functioning of organisations.

Managers require groups to coordinate individual behaviour in order to achieve the goals of the organisation. Formation of groups can make the job of a manager easier because once the group is formed; he is not required to explain the task to each individual separately, thus saving his time and efforts. A manager simply can give the task to the groups and let them coordinate among themselves, thereby managing the individuals easily. However, the communication between group members should be productive so that it works effectively. Therefore, managers should remain attentive to the needs of the individuals.

According to David H. Smith, "A group is a set of two or more individuals who are jointly characterised by a network of relevant communications, a shared sense of collective identity and one or more shared dispositions with associated normative strength".

According to Edgar H. Schien, "A group may be defined as a social phenomenon in which two or more persons decide to interact with one another, share common ideology and perceive themselves as a group".

According to Marvin Shaw, "A group comprises, of two or more persons who interact with one another in such a manner that each person influences and is influenced by each other person".

5.1.2. Group Behaviour

Group behaviour is characterised by higher degree of complexity. Group behaviour represents various circumstances in which people communicate in small or large groups. In the area of group dynamics, members in small groups may agree to a mutual decision and coordinate with each other to accomplish desired objectives. People in large groups work together to accomplish the goals in different manner from the individuals working alone. When group members gather at a given place and time to achieve a particular motive, then similarities in their actions represent the group behaviour. Some examples of large group are the people doing protest or march, or participating in an event.

Study of group behaviour is a requisite for accomplishment of organisational goals and also for increasing the productivity of the organisation. **Elton Mayo** with his associates conducted Hawthorne experiment in 1920. The result of the experiment showed that group behaviour greatly affects the productivity of organisation.

Thus, the significance of group behaviour has been identified in regular time intervals. Human behaviour involves the study of persons, who participate in groups to perform various tasks. A manager should have complete information about the group behaviour as well as behaviour of the individual within a group. This is because in a group, work performance and job satisfaction is influenced by the manager.

Determinants of Group Behaviour

Group behaviour is influenced by a number of factors, as shown in **figure 5.1.**

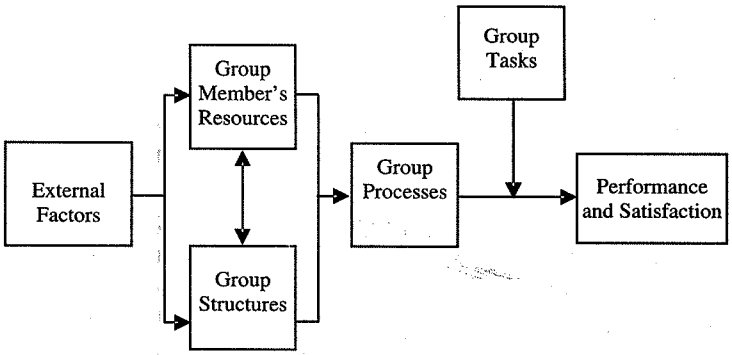


Figure 5.1: Group Behaviour Model

1) **External Factors:** Various external factors such as organisational structure and culture, rules and regulations, policies and strategies, available resources and information, reinforcement systems, working atmosphere, safety and security plans, etc., all of them have great influence on the behaviour of several groups existing within an organisation. These groups are generally considered as sub-systems of a company and these sub-systems not only interact among themselves but also with the whole organisation system.

2) **Group Member's Resources:** The performance of a group depends upon following resources:
   i) **Personality Characteristics:** The personal characteristics of the group members helps in determining the overall group behaviour. If the members are positive by nature and adopt positive attitude, it strengthens the morale and interconnection between the group members which further increase the productivity. Such groups prove to be social, self-reliable and independent. On the other hand, negative attitude hampers the performance as well as productivity of the group. Such groups generally show dictatorial, dominant and manipulative characteristics.

   ii) **Potential of Members:** The potential of the group members also affect the overall performance of the group. Members having required skills and intellectual abilities perform the task with lot of dedication. It is observed that, when their capabilities are properly utilised, they tend to contribute significantly in the achievement of set goals, prove to be good leaders and are fully satisfied with their performance.

3) **Group Structures:** The performance and the behaviour of the group depend upon its structure. Group structure means interconnection between its various members and the way they work. Alongwith this, group structure also includes size, status, role play, rules and regulations to be followed, rigidity and flexibility of the group, etc. A systematic and organised group always perform better than unorganised groups as they are more alert and purposeful. Thus, it can be said that the groups within the organisation must be well-structured just like organisational structure.

4) **Group Processes:** The continuous development of group behaviour is known as group processes. Group processes consider the degree with which the group members communicate with each other, the members who are comfortable and those who are not comfortable, those who perform actively and the ones who are passive, the group members that are being overlooked, etc. Besides this, it also emphasises on the usage of main information and the contribution of each member of group towards the accomplishment of goals.

5) **Group Tasks:** Depending upon the nature of tasks, the performance and behaviour of group also varies. Sometimes, the tasks are effortless, usual and standardised which can be easily handled by the small groups in the organisation. Sometimes, the tasks are intricate, unusual, and novel which need experienced and large groups. Greater is the completion of a task dependent on members of a group, higher will be the interaction among the group members.

6) **Performance and Satisfaction:** Groups seem to perform better when the tasks are more challenging as they consider challenging tasks more meaningful. And after accomplishing such a complex task their satisfaction level automatically increases. This is so because while performing complex tasks group members try to implement their high level skills and after accomplishing their task successfully, they receive a lot of appraisal from their seniors which is not received when the job to be performed is simple.

Importance/Need of Study the Group Behaviour for the Productivity of Organisation

The importance of group behaviour is described below:

1) It is nearly impossible for individual members to pursue the organisational objectives. Group members work together for the achievement of those objectives. As a result, a sense of teamwork and cooperation is developed among the members of the group.
2) Group members are able to develop qualities of followership and leadership. Group leaders give instructions and members follow those instructions. Also, group members learn to delegate duties to other members of the group.
3) With the help of group behaviour, the government is able to acknowledge the attitude of the people regarding its policies which enables it to make better and informed decisions.
4) Group behaviour assists people in socialising with other individuals. They learn to accept the fact that different individuals have different behaviours. This teaches to handle unfavourable situations in the correct way.
5) Peace is generated in the society through constructive group behaviour. If people demonstrate and protest peacefully regarding any issue, then the government is able to take decisive steps. This ultimately works in the favour of the people and society.

5.1.3. Nature of Group

Nature of group includes:

1) **Two or More Persons:** Minimum two individuals are required to form a group as interaction cannot take place in case of a single person. However, there is no definite limit on the maximum number of individuals forming a group, but the group size may be determined by rules and regulations of the organisation in this context. It can even depend on the nature of communication occurring between the members in case of informal groups.
2) **Collective Identity:** Group members should be aware of their group membership. Each group member must know that he/she is a member of a specific group and hence should act as an active participant. It is the understanding of each other which differentiates a group from an unorganised collection of individuals. In the case of collection of individuals, they are usually not aware of each other and even if they are aware, they do not interact with each other in a constructive manner.
3) **Interaction:** Unlike individuals, group members interact among themselves. Interaction means that each member shares his/her ideas with other members, and this sharing of thoughts can take place in person, in writing, over the telephone, through internet, or any other means of communication between the group members. Though, it is not essential that all group members should interact all the time, but each member must interact time-to-time with other group members.
4) **Shared Goal Interest:** Group members must support the achievement of shared goals. However, it is not necessary that each member supports or agrees with the overall objectives of the group. A group has a various goals and interests, so each member of the group can share at least one of the concerns of the group. It is the consensus of the goals of a group, which connects the members with each other and keep them together.

5.1.4. Why do People Join Groups?

When people are employed in an organisation, various jobs and roles are allotted to them for achieving organisational goals. So, within an organisation employees form a group to achieve the specific task more efficiently and rapidly, these groups are referred to as functional groups. Usually, people join teams and groups (formal or informal) for different reasons. In this competitive era, tasks to be accomplished are of very complex nature so the significance of groups or teams is increasing day by day. Thus, it is very essential that a person employed should be a team player. This also proves the proverb that "a lone gram can't bust the oven".

Groups come into being for a number of reasons, which are as follows:

1) **Personal Attraction:** Even in formal group settings when people are expected to work together, the strength and unity of the group will be determined by the degree to which individuals are attracted towards other members.
2) **Group Activities:** Groups give an opportunity to members to interact and participate in group activities which are necessary for creating a sense of belongingness with others.
3) **Group Goals:** Sharing a common set of goals is essential to create a sense of common purpose and the standards required for upholding a sense of identity and how the group distinguishes itself from others.

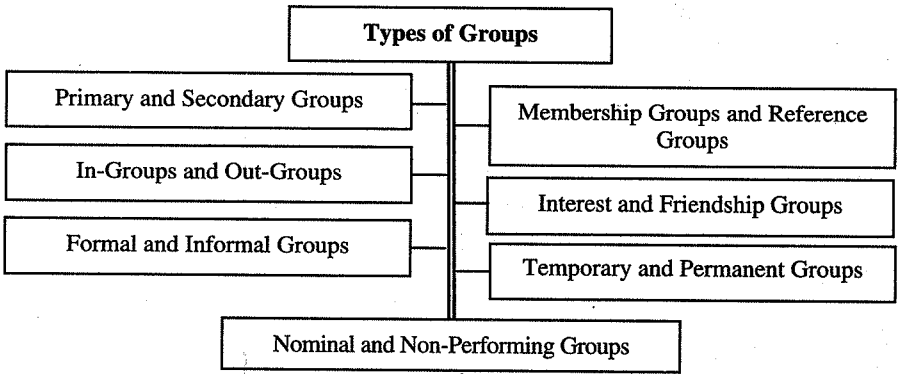
4) **Security and Social Affiliation:** Groups allow individuals to fulfil their belonging needs. Besides the need to feel 'loved', the group provides a feeling of protection by giving safety and security to its members.

5) **Status and Self-Esteem:** Groups often build up a sense of value and status which in turn gives them greater self-esteem. These feelings are reinforced if membership is perceived to be restricted or complex.

6) **Power:** Groups can apply more power in order to deal with non-group members as compared to the collection of individuals. **For example,** trade union membership gives an opportunity to the group of employees to both defend and support the interests of employees.

5.1.5. Types of Groups

Groups can be classified into following types:



1) **Primary and Secondary Groups: Primary groups** are characterised by close, face-to-face association and collaboration among members. Generally, there is a high degree of mutual dependency among members. Primary groups are also the fundamental source of socialisation in society. This is the central place for development and maintenance of attitudes, values and guidelines, **e.g.,** the family and peer group.

   Secondary groups are marked by large size and identification of the individuals through inherent values and beliefs rather than real interaction. This group consists of members who are seldom in direct contact. They are usually large and formally structured, **e.g.,** trade unions, membership organisations such as the National Trust etc.

2) **Membership Groups and Reference Groups: Membership groups** are those, to which the individual truly belongs, **e.g.,** clubs, cooperatives, workers union, etc.

   Reference groups are those with which an individual identifies or to which he likes to belong, **e.g.,** friends, family, etc.

3) **In-Groups and Out-Groups: In-groups** correspond to a group of people who hold the existing values in a society or at most occupy a central place in social functioning, **e.g.,** team members, family members, etc.

   Out-groups are the masses which are considered as secondary or insignificant in the culture, **e.g.,** street performers for an office worker, a hawker for a surgeon.

4) **Interest and Friendship Groups: Interest group** consists of people who may unite to achieve a specific objective with which they are associated.

   Friendship groups consist of people who have some common characteristics. People belonging to a particular region or holding a particular point of view or speaking similar language are inclined to form friendship groups.

5) **Formal and Informal Groups:** When groups are formed by the organisations themselves to achieve some particular set of goals or to complete certain tasks, these groups are called as **formal groups.** Departments, divisions, taskforce, project groups, quality circles, committees, are some examples of formal groups.**Informal groups** are the groups, which are formed in response to the need for social contact. These groups are internally formed within the organisation, and are formed spontaneously by the members themselves. They are created to meet the social requirements related to the job. Several common **examples** of informal groups are "tea or coffee groups" and clubs.

6) **Temporary and Permanent Groups:** Such groups are formed for fulfilling definite goals. They have a very small lifespan. They cease to exist after attaining the desired objectives. Problem-solving and discussing ideas are the main roles of temporary groups. Meetings, committees, and small groups are examples of temporary groups.**Permanent groups** consist of group activities, group performances, job assignments, etc. A team is a permanent group. Trade unions and commercial associations are **examples** of permanent groups.

7) **Nominal and Non-Performing Groups: Nominal groups** are given problems to solve. Group members exchange their ideas in a planned manner. Their different options are discussed in order to select the best option. This is a nominal group because employees are members of the group only for the sake of name.

Non-performing groups exist only on paper. They are formed and developed without performance. They have some goals, but they do not make effort to attain them.

5.1.6. Five Stage Model of Group Development

Groups do not form easily; they undergo a standardised sequence in the process of their evolution. This sequence is called five-stage model of group development. Although, not followed rigorously, they represent a general trend that can be observed and predicted during the process of group development. The five-stage group development model given by **Tuckman and Jensen** characterises groups proceeding through five distinct stages as shown in **figure 5.2:**

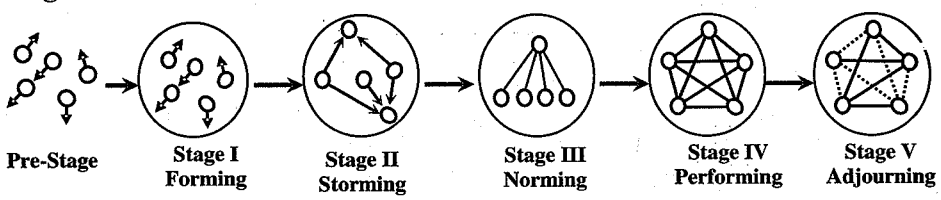


Figure 5.2: Stages of Group Development

1) **Forming:** During the first stage there is lot of ambiguity related to the purpose, structure and direction of the group. Members are trying to judge the acceptable behaviour. This stage is finished when members begin to view each other as part of a group. Supervisors of the team should take a lead to be directive during this phase. This step of forming a team is essential because during this stage, the team members start knowing each other, share their personal information and make new friends. This is also a good chance to see how each member of the team works as an individual and how they handle the pressure.

2) **Storming:** Storming is the second stage of group formation. It takes place because members of group experience conflict within groups. Although, members have agreed the group's existence, but they resist to the limitations imposed by the group on their individuality. Additionally, there is dispute over who will exercise control over the group. As soon as this stage is completed, a clear hierarchy of direction will appear in the group. During this phase, supervisors of the team may be more approachable but they have tendency to remain directive in their advice in matters related to decision-making and professionalism. Hence, the team members will be able to resolve their problems and discuss the matter more easily. The principle is that the members will not feel judged and hence will be able to share their opinions and views freely.

3) **Norming:** During this stage, there is formation of close relationships and the group shows cohesion. Now, there is a strong sense of group identity and friendship. At this stage, the team succeeds in having a purpose and in coming to a reciprocal plan for the team. Some members may have to sacrifice their individual ideas and agree with others so that the team functions effectively. This stage is characterised by, all team members taking responsibility and having the ambition to proceed in such a manner that the team's goals can be successfully achieved. This stage ends with strengthening of the group structure and the group assimilates a common set of expectations which demonstrates correct member behaviour.

4) **Performing:** The structure at this stage is well-designed and accepted. Energy of group has moved from getting to know and understand each other in order to execute the given task. For permanent work groups, execution is the final stage in their development. On the other hand, for temporary committees, teams, taskforces, and similar groups that have a limited task to perform, there is an adjourning stage. Team

supervisors are almost always participative during this phase. All the important decisions will be taken by the team members. Nonetheless, even the most high-performing teams will go back to earlier stages in some situations. Many long-standing teams go through these cycles repeatedly as they respond to altering situations. **For example,** a change in leadership may lead the team to go back to storming as new people confront the current norms and team dynamics.

5) **Adjourning:** During this stage, the group gets ready for its disintegration. The priority of the group has now shifted from high task performance to winding-up of activities. It includes the termination of roles, the completion of tasks and declining of dependency. The procedure can be stressful in the case of unexpected disintegration. Group member's responses differ during this stage. Some members are optimistic, rejoicing in the group's accomplishments while others may be upset due to loss of friendships earned while working with the group.

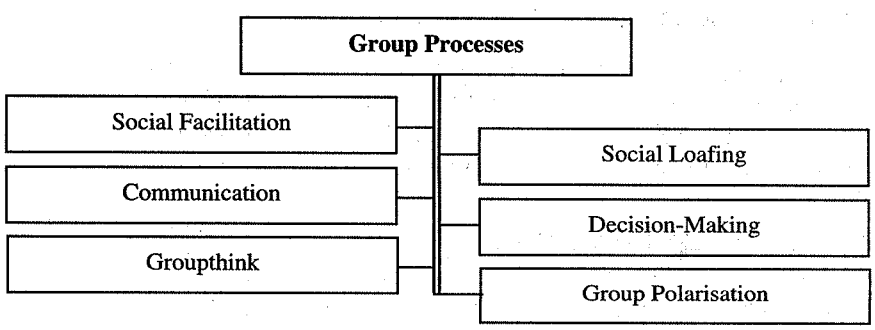
5.1.7. Group Processes

The ways in which the members of an organisation work together in order to accomplish various tasks are known as group processes. A large amount of time and energy is spent by the organisations on establishing and making efforts to attain the objectives. However, due importance is not given to the events taking place in the group and their impact on the group members. It is important that the requirements of the members are met while making efforts to attain the desired outcomes. Group membership increases the prospects of friendships, expertise improvement, and enhanced self-confidence. It proves equally important in providing the opportunity to educate a campus community, support a cause, or raise funds. All these tasks can be executed at the same time, but most probably will not take place by themselves.

Group processes can take place anytime during the whole year and from outside or within the group. It is closely supervised by the successful organisations that in what way the members work with each other, what position they occupy, and whether each and every member is contributing to the same extent or not. Inspection and interpretation through group processes can assist in recognising the problems at an early stage. Therefore, as the year passes, the need for a great restructuring is reduced.

An individual's position as a group member offers considerable prospects to regularly look into the manner in which the things are proceeding. An individual can ensure his own as well as the group's success on the basis of the knowledge of what is required to succeed and how frequently the meetings are taking place. Decision-making, role fulfilment, participation, and communication are the organisational components which usually have impact on group processes. A leader may observe the management of a group process as an extraordinarily sophisticated job. He might have to look after maintenance of discipline simultaneously with establishing a productive environment for learning, building trust and favourable group norms, posing more challenges to efficient and spirited members alongwith assisting the weaker members to keep pace with them, and passing all the steps, yet speeding up the work to fulfil all the requirements of the members.

Simultaneously, it is also made sure by the group leader that each and every member takes part in a manner which boosts their emotional and social development. The most important group processes are described below:



1) **Social Facilitation:** The tendency of people to perform well in easy activities and badly in the difficult ones when they are in front of other persons and there is a possibility of assessing their individual performances is known as social facilitation, i.e., getting influenced by others' presence.

It is an event in which the performance of the individuals is modified on the basis of the fact that other individuals or persons are present. The performance of the individuals can be affected either favourably or adversely as observed in a number of conditions. **For example,** a cyclist cycles faster while racing with others in contrast to the situation when he cycles alone, an individual who is about to give speech in front of public gets nervous and his performance becomes worse in comparison to normal times, etc.

2) **Social Loafing:** A situation in which people put in lesser efforts to attain an objective while working in a group in comparison to working individually is known as social loafing. Every single group member gives in less than they would have in case they were solely responsible to accomplish the objective. This is because all the participants combine their efforts to attain a mutual objective. The factors on which social loafing is dependent are as follows:
   i) The attributes of the individuals involved.
   ii) Complexity of the probable difficulty and the ability of doing something regarding it.
   iii) Nature of the job.

3) **Communication:** For group discussion to be successful, an effective communication is an essential factor. The Latin word '*communicare*' is the source of the term communication. It means to make common, to convey or transmit, to participate, to impart, or to share. The exchange or sharing of opinions, ideas, attitudes, emotions, messages, and facts among two or more individuals or between the receiver (employee) and sender (manager) is known as communication. It is a process by which the members of the group interchange thoughts and opinions amongst themselves. The harmony in interest, efforts, and purpose in organisation alongwith the group is brought by this process.

4) **Decision-Making:** Choosing the most feasible approach from the various alternatives available in a particular condition is known as decision-making. This process holds a lot of significance and is vital in managerial planning. Setting-up of objectives, determining the activities, looking thoroughly for the alternatives, and selecting the most suitable ones are included in the process of decision-making. Decision-making may be undertaken by a group or a person in an organisation. Group decision-making has turned out to be very crucial in the modern organisations which face the uncertainties of the environment.

5) **Groupthink:** When it becomes comparatively essential to arrive at an agreement than drawing up an effective decision, it is called groupthink. In cohesive groups, the members have to comply with the group norms and they avert being too harsh in the judgements regarding colleagues. Thus, it is more likely that groupthink occurs in cohesive groups. They attempt to stay away from disputes and arguing about petty and insignificant matters which they consider as a danger to team morale.

6) **Group Polarisation:** During the time of group discussion, the viewpoints and the attitudes of the members regarding a solution or a problem might get changed. When the average of the post-discussion attitudes of group members becomes more intense in comparison to the average pre-discussion attitudes, group polarisation takes place.

   Polarisation is influenced by a number of characteristics of group discussion. When it is realised by the members that their thoughts match with those of other members, they may become more assured of their viewpoints. Consequently, the opinions will become more intense.

   Decision-making in a group can be greatly influenced by the polarisation. The probability of an extreme post-decision situation of the group members will be more, if they are known to be in favour of a specific decision in the pre-discussion phase. For an individual who strives to influence the decision of the group members, the knowledge of this occurrence is very beneficial.

5.1.8. Theories of Group Formation

Different theories which can be used to explain the concept of group formation are described as below:

1) **Propinquity Theory:** The meaning of word propinquity is proximity. Propinquity theory explains that different persons have association with each other because they are geographically and dimensionally close. Therefore, the individuals who work with each other in an organisation have a greater probability to make a cohesive group in comparison to people with whom they work from a distance. The main focus in this

theory of group formation is on the proximity of individuals. In fact, this theory does not emphasise on other relevant factors in the process of group formation which are more sophisticated than proximity. It is just another factor which enables the group formation but it is not a reason for which groups are formed.

2) **Homan's Interaction Theory:** Activities, interaction, and emotions are the bases of Homan's theory of group formation. Every factor is directly related with each other. **According to Homan**, "the more activities persons share, the more numerous will be their interaction and the stronger will be their shared activities and sentiments". The group members share various activities and interact with each other not because they are physically close with each other but also to achieve the goals of the group. Interaction among the group members is the fundamental element which initiates the generation of mutual sentiments for each other. As per **Scott,** interaction among the members of group not only facilitates the attainment of group objectives, but also helps in co-ordination, problem solving, tension reduction, and striking appropriate balance in the group. The individuals who form groups in this manner have strong cohesiveness.

3) **Balance Theory: Newcomb** proposed the Balance theory of group formation. **Newcomb** focused on the homogeneity of attitudes towards important goals and objectives as the fundamental force for group formation. **According to Newcomb,** "persons are attracted to one another on the basis of similar attitudes towards commonly relevant objects and goals. Once a relationship is formed, it strives to maintain a symmetrical balance between the attraction and common attitudes. If an imbalance occurs, attempts are made to restore the balance. If the balance cannot be restored, the relationship dissolves".

   The Balance theory is also not able to provide the complete spectrum of group formation as only by having the common attitudes among the group members, groups are not formed. There are numerous significant factors which lead to the formation of a group.

4) **Exchange Theory:** According to Exchange theory of group formation, the result of interaction is the foundation of group formation. In order to have a proper relationship and harmony among the individuals or group members, the result of association should be favourable. By interacting with each other, the individuals gain social and personal contentment. If these interaction among the group members result in fatigue, embarrassment, anxiety, or frustration then these types of interactions will be costly rather than gratifying. This theory is also referred as **Exchange theory of reward and cost outcomes**. Interaction, common attitudes, and association are vital in this theory.

5.1.9. Advantages of Working in Group

Advantages of working in a group are as follows:

1) **Performs Complex Task:** Groups help in performing difficult and independent tasks that cannot be performed by an individual effectively and which cannot be broken further.

2) **Generates New Ideas:** A group acts as an important source for developing new ideas and creative solutions to the problems which cannot be solved by a single individual. Multiple skills which are required for carrying-out tough jobs are present within the group.

3) **Serves as Liaison:** Groups act as a linking-pin between various workgroups whose work is not dependent on each other.

4) **Serves as Problem-Solving Mechanism:** Groups can play the role of problem-solving mechanisms when problem requires the processing of complex information, interaction among members with different information and critical review of possible choices.

5) **Facilitates Complex Decision-Making:** In every organisation, there are various problems and conflicting views. There must be a way to resolve these problems after due consideration. It is only a group which can provide solution to these problems. Thus, groups can be used to assist in making difficult decisions.

6) **Serves as Vehicle of Socialisation:** Groups can be used as a medium of socialisation and training. By combining several people together into training conditions, a common message can be given and a common group perspective is formed.

7) **Acts as an Agent:** Groups can be very useful for sharing the common values and beliefs of the organisation with the new employees. The group is helpful in educating the new comers in a more effective and efficient manner than by the managing authority.

5.1.10. Disadvantages of Working in Group

The disadvantages of working in a group are mentioned below:

1) **Time-Consuming and Costly:** Time taken by the groups in the process of decision making is comparatively more than that of individuals. Following reasons can be responsible for this:
   i) In a group, different persons carry different ideas and opinions, so more time is required for discussion in order to reach final decision.
   ii) Time is consumed in making all the arrangements for organising a general meeting. Cost is also included in the arrangement of all these things. The summation of the cost incurred in arrangement and the cost of members' time is the final cost incurred during decision making. Hence, one should opt for group decision making only when the decision(s) cannot be taken at individual level.

2) **Individual Domination:** Some individuals have high position in the organisation because of their age, experience, or expertise. These individuals control the working of groups because of the presence of group dynamics. Thus, the decision appearing to be a group decision is actually an individual decision, approved by the members of the group. Such control of individuals on the groups may at times degrade the quality of the decisions.

3) **Problem of Responsibility:** Due to group decision, members are highly committed and its application is quite easy and smooth but it will be only possible when the application of decision is positive. But, when the end result of the decision implementation is negative, no single person can be blamed. Since a group decision is not taken by a single person, so a single person cannot be blamed for the negative outcome of the decision. Hence, in these situations the decisions taken by the groups may be considered as impractical or careless decisions.

4) **Dependency:** The members of a group may differ in ideas, moods and thoughts. Due to this difference, members may not agree on one topic, in turn creating a negative impact on work. Commitment of each member in a group is essential but if a single member creates any problem, then every member will have to suffer. Grouping in a group can also create a negative impact, when some members deny being the part of decision making process.

5.2. GROUP DYNAMICS

5.2.1. Meaning and Definition of Group Dynamics

The word dynamics has been originated from the Greek word *'Dynamis'* which means power. **Kurt Lewin** promoted the term group dynamics in 1930s. Group dynamics refers to the "forces operating in groups". It emphasis on the following aspects of these forces – what gives rise to them, the conditions that change them and the outcomes they have, etc. The practical use of group dynamics (or the technology of group dynamics) comprises of utilising the knowledge about these forces for the attainment of a particular goal.

The study of group dynamics can be helpful in understanding decision-making behaviour, building effective techniques, and following the emergence and popularity of new ideas and technologies in groups Reduced morale, decreased productivity, and bad team decision-making are the effects of poor group dynamics. Thus, managers must understand group dynamics and how it affects the success of a team and learn the most excellent way to manage groups.

Another view related to group dynamics states that it deals with the nature of groups, the laws of their development, and their connection with individuals, other groups, and big institutions.

5.2.2. Nature of Group Dynamics

The nature of group dynamics is as follows:

1) **Concerned with Group:** The name itself denotes that group dynamics is linked with group. Wherever there is a group, there is regular interaction among members. The members are in a constant phase of altering and adjusting relationship with each other.

2) **Dynamic:** Another feature is its ever changing process. Changes may take place like addition of new members, changing of the leadership. However, the pace of change may vary from fast to slow. Groups can dissolve if the members are not passionate about the group objectives; they do not believe in the ideology and do not have a sense of belonging in the group.

3) **Rigidity or Flexibility:** The rigidity or flexibility (cohesion or conflict) of groups affects group dynamics. If members happily interact with each other there is ease among group members and if there are conflicting relations, then, it creates problems. A rigid group is unwilling and lack the flexibility to change. Balance can be maintained if members are able to solve the problems. Uncontrolled conflicts and tensions within the group, can lead to open confrontation and strong measures are required immediately.

4) **Defines Effectiveness of Leader:** The organisation of the group is important. It results in greater efficiency of the group, participation, cooperation and positive morale. The leader can be effective only in an organised and steady group. A certain degree of organisation is essential for effective functioning of the group and it depends on the proportion of roles which are clearly understood by group members. The organised group comprises of every member having definite role and pre-decided behaviour towards other members.

5) **Continuous Process:** A dynamic group is one which is always in a constant state of reforming, alterations and re-adjusting members with each other in order to reduce tensions, remove conflicts and solve the problems of its members. Changes may occur in a group and it is interesting to study what causes these changes. Regular changes show the group's ability to adapt and change.

5.2.3. Importance of Group Dynamics

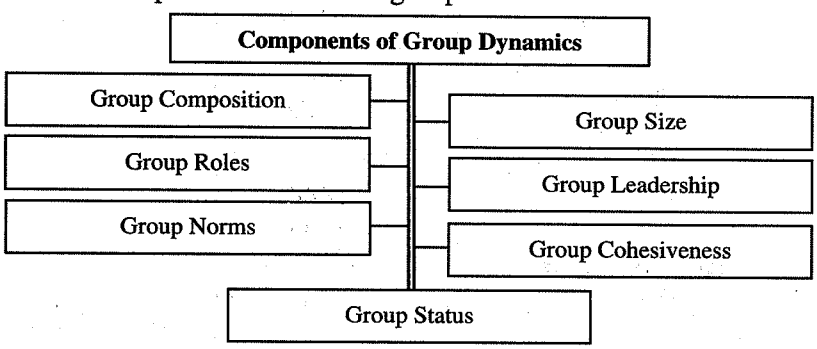
Group dynamics is important due to following reasons:

1) Understanding group dynamics is important because formal and informal workgroups have gradually become more important competitive forces in an organisation because of the continuous changes occurring in an organisation.
2) It is a constructive way to analyse the groups as systems using inputs and participate in various processes or transformations, and produce results in an organisation.
3) It makes managers equipped to help and bring about improved performance from formal working groups by measuring the characteristics of each member who are allocated to particular groups.
4) It helps to discuss and analyse the problems confronting the group and helps in taking appropriate action to solve the problems through various creative solutions.
5) It also helps to build highly potential efficient groups along with superior performance results.

5.2.4. Components of Group Dynamics

There are various components of group dynamics. Some of the major components are as follows:

1) **Group Composition:** Group composition includes combination of skills and abilities of the group members. Irrespective of type and size of the group, its performance is greatly affected by the composition (i.e., skills and abilities) of the group. A group is unable to perform effectively in the absence of right mix of skills and abilities. Hence, group composition is the extent of resemblance or diversity among group members on factors vital to the performance of the group.



2) **Group Size:** A group can be small or big, whose members interact with and affect each other. Group size can have a significant effect on the performance of the group. However, large groups are more beneficial in the context of idea generation and the availability of resources as compared to small groups, but there may be chances of inhibition among group members which affects their interaction and communication. In addition, pattern of behaviour of a larger group may result in social loafing that negatively affects the performance of the group. On the other hand, a small group may have better interaction and communication between group members, but they may not be able to manage complicated tasks.

Thus, the group size should be determined by taking into account various factors like the nature of tasks to be carried out, the maturity of group members, and how the group leader handles communication, disagreements, and group related activities. Experts believe that 5-7 members are the most ideal group size.

3) **Group Roles:** A role consists of pattern of norms. It is a position that can be executed by an individual. The content of a given role is agreed upon by the prevailing norms. Role can be defined as a position that has expectations growing from established norms.

   Group roles are the combination of behaviours expected from an employee who is engaged in some specific position in the organisation. It means that everyone in the group has a particular function or goal. The behaviours include work duties as well as extra-curricular activities. Understanding the respective roles of members in a group can increase the efficiency in the group activities. It is important for members to become aware of their perceived roles, alongwith how others recognise their roles. Some roles of group members are fundamental as they guide and push the group towards achieving its objectives. However, some roles are derived from the personal needs of the individual and may prevent the group from achieving its efficiency and effectiveness.

4) **Group Leadership:** Group leadership means to give guidance and focus to a particular group of people. It includes simplifying and directing the actions of group participants and accepting accountability for the results of the efforts being applied by the group. It is the duty of the group leader to encourage group members to work together for achieving common goal, keep them motivated, reduce conflicts, and finally achieve success.

5) **Group Norms:** A norm is a rule of conduct which has been recognised by group members to maintain a uniform behaviour. This informs the person how to act in a particular group. When norms are agreed to and accepted by the group, they serve as a method of influencing the behaviour of the group members with least external controls. All groups, communities and societies have some norms. However, they can differ among them. Group norms are "the oughts" or "should be" behaviour. They comprise of sets of beliefs, feelings and attitudes shared commonly by the group members. These are also called rules or standards of behaviour that are applicable to the members of the group. All groups have established norms, that is, satisfactory standards of behaviour that are exchanged by the members of group. Norms inform members what they should do and what they should not do in certain situations thereby governing the behaviour of the group members.

6) **Group Cohesiveness:** The degree of unity in a group is referred to as group cohesiveness. The adherence of the members to the group norms, desire to become a group member, and sense of desirability for each other are the vital signs of group cohesiveness.

7) **Group Status:** Group status refers to the social position or rank given to groups or group members by others. Status is essential for understanding behaviour, as it acts as an important motivator and reflects significant behavioural consequences. Status signifies reputation, position or rank within a group and may be formally imposed by a group. This is determined by organisations through titles or services. The characteristic feature of status is that rank assignment is a function of personal assessment of the prestige or social respect of others. However, contrary to operating nature, the status structures are rewarding characteristics of the organisation.

5.2.5. Managerial Implications of Group Dynamics

The various managerial implications of group dynamics are described as below:

1) **Performance:** Various characteristics of a group are related to performance. Rules, group size, cohesiveness, role perception and status differences are the most vital features among these. The following points are included in this:
   i) There is an affirmative relation between performance appraisal of employee and role perception. The appraisal of an employee as an effective performer by his superior will depend highly on the level of coherence between an employee's and his superior's perception about employee's job. An employee will receive a higher performance appraisal when there is a match between the employee's perception of job and the expectation of his superior regarding the role.

ii) Norms can be used to govern the behaviour of group members by creating the various paradigms of right and wrong. A manager can expect the performances of group members to be noticeably high when norms are formed in such a manner that they support higher productivity in comparison to the norms which are formulated to limit the output. There is high probability that employees may be participating in irregular activities at the workplace if the norms are made in such a way that they promote anti-social behaviour among the group members.

iii) Inequality of status among the group members can result in resentments and can hamper the productivity negatively and the feeling of belongingness with the organisation. The employees who are sensitive towards inequality will experience a reduction in the motivation level and will be involved in searching the various ways to have a fair deal(e.g. shifting to other job). Apart from this, as the individuals who have limited status in the group do not share their views and opinions in group discussions, the groups in which there is a significant difference in the status of employees are likely to hinder the participation of low status group members and low-performing individuals.

iv) The effect of the size of a group on the performance of its members is determined by the nature of activities in which a group is involved. Larger groups are more efficient in analysis and research activities whereas small groups can handle the action-taking activities more effectively. According to the philosophy of social loafing, if the large groups are formed by the management, some tools must be developed to evaluate the individual performance within the group.

v) The level of performance of a group is greatly influenced by cohesiveness among the group members. Cohesiveness may or may not be dependent on the norms pertaining to performance of a group.

2) **Satisfaction:** Similar to role perception-performance relationship where greater coherence between an employee and his boss towards the perception of employee's job reflects a vital association with greater employee satisfaction. Consequently, job dissatisfaction and job-related tension influence role conflict.

i) Most of the individuals are inclined to communicate with the people belonging to either of same status, or of higher status in comparison to individuals having lower status than them. Because of this, it can be inferred that the employees whose job demands lesser interaction with the people belonging to lower status tend to have higher job satisfaction.

ii) One should probably expect that the groups having large size tend to have lower satisfaction level. The opportunities of social interaction and participation in group activities are limited and the capability of group members to recognise the achievements of group reduces when the size of group increases. The large number of group members result in clashes, creation of sub-groups, and controversies. Combination of all these creates a group to be lesser amiable place for members.

5.3. TEAM

5.3.1. Meaning and Definition of Team

Team have increasingly become the primary means for organising work in contemporary business forms. In the organisation an important function of the manager is to create team spirits among subordinates. The word 'team' is generally used in group games like hockey, cricket, football, etc. A group is able to work together as a team only after all the persons in the group know the roles of all others with when they will be interacting.

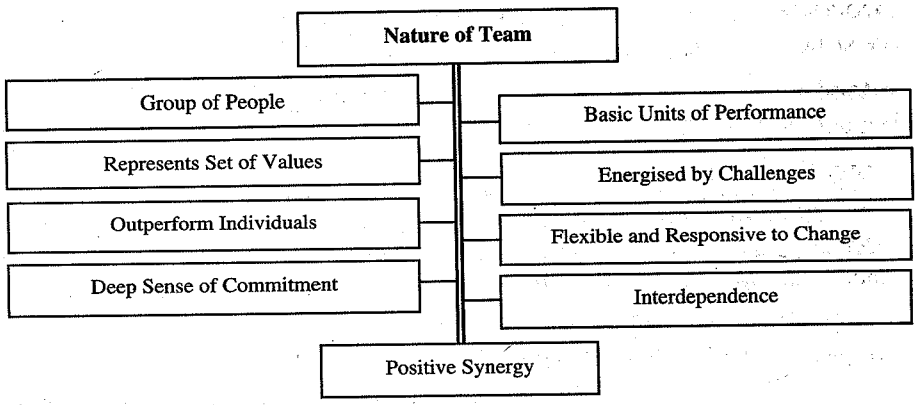
Team is a small group with members in regular contact. When groups do operating tasks they do as a team and try to develop a cooperative circumstance known as **team work. Work teams** are teams that make or do things. A work team generates positive synergy through coordinated effort. Their individual efforts results in a level of performance that is greater than the sum of those individual inputs. Team management is a process aimed at creating a successful team and satisfied colleagues. This can be achieved by strengthening relationships and knowledge throughout the organisation. Team management is more of a team responsibility, but management should oversee to make sure the team does not get "stuck" in its ability to more forward.

According to Stephen P. Robbins, "A work team is a collection of people whose individual efforts result in a level of performance which is greater than the sum of their individual contributions".

According to Katzenbach and Smith, "Team is defined as a small number of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they hold themselves mutually accountable".

5.3.2. Nature of Team

Following points depict the nature of a team:



1) **Group of People:** A team is a small group of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they are mutually accountable.
2) **Basic Units of Performance:** Teams are the basic units of performance for most organisations. They mix together the skills, experiences, and insights of several people.
3) **Represents Set of Values:** Teamwork applies to the whole organisation as well as to specific teams. It represents a set of values that encourage behaviours such as listening and responding cooperatively to points of view expressed by others, giving others the benefit of the doubt, providing support to those who need it and recognising the interests and achievements of others.
4) **Energised by Challenges:** Teams are created and energised by significant and demanding performance challenges.
5) **Outperform Individuals:** Teams outperform individuals acting alone or in large organisational groupings, especially when performance requires multiple skills, judgements, and experiences.
6) **Flexible and Responsive to Change:** Teams are flexible and responsive to changing events and demands. They can adjust their approach to new information and challenges with more speed, accuracy, and effectiveness than the individuals caught in the web of larger organisational connections.
7) **Deep Sense of Commitment:** Successful teams invest much time and effort exploring, shaping, and agreeing on a purpose that belongs to them, both collectively and individually. They are characterised by a deep sense of commitment to achieving high levels of performance.
8) **Interdependence:** All members are dependent on each other for accomplishment of the team objective. They perform as a team to achieve the team objective. Individual objective, therefore, takes a lower priority. Achieving team objective is a collective responsibility.
9) **Positive Synergy:** A work team generates positive synergy through coordinated effort. Their individual efforts result in a level of performance that is greater than the sum of those individual inputs.

5.3.3. Need of Team

The purpose for creating work teams is to provide a framework that will increase the ability of employees to participate in planning, problem-solving and decision-making to better serve customers. Teams can be initiated for a variety of purposes. Few of them are:

1) **To Achieve Organisational Goals:** One of the main reasons teams are formed is to achieve various organisational goals through a culmination of resources. Each team member will have something to bring to the table that will contribute to the project as a whole.
2) **To Build Unity:** By forming a team, organisations create unity at intervals within groups.
3) **To Increase Morale and Productivity:** Teams reinforce morale in daily operations of business. The team members can have a better morale after they meet together. As a by product of increased morale, one will observe productivity rising as well.

4) **To Set Team Goals:** To set team goals and to ensure that what is required for their accomplishment is clear and also ensure that team roles are clearly understood.

5) **To Enhance Performance:** To examine the way in which the team functions (e.g. norms, communication), and to plan effective structures and systems to enhance performance.

6) **To Foster Understanding:** To examine the relationships among team members, and to foster greater interpersonal respect and understanding.

7) **To Ensure Efficiency:** To ensure that team meetings and practices are efficient. Also, to always seek to enhance and improve team efficiency.

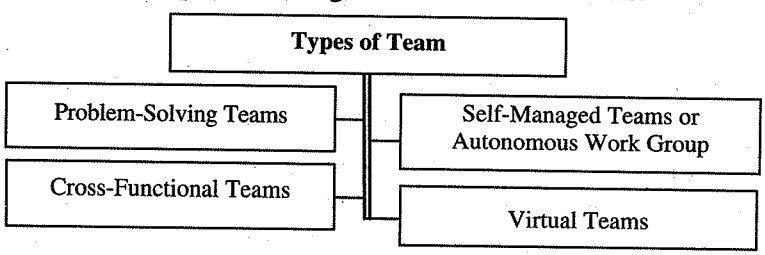
8) **To Diagnose Weaknesses:** To diagnose potential weaknesses, minimise their influences, and develop enhanced performance strategies.

9) **To Ensure Effective Leadership:** To ensure that leadership is coherent, visionary and acceptable. Also, to seek feedback on the impact of the current leadership approach.

5.3.4. Types of Team

Different organisations or organisational settings lead to different types of work teams. The type of team affects how that team is managed, what the communication needs of the team are and, what aspects of the project the project manager needs to emphasise. A work group or team may be permanent, forming part of the organisational structure, such as a top management team, or it can be temporary, such as a task force assembled to see through a particular project. Members may work as a group continuously or meet only intermittently. The more direct contact and communication team members have with each other, the more likely they are to function well as a team.

Most common forms of work teams present in organisations are as follows:



1) **Problem-Solving Teams:** Problem-solving teams are formed in order to solve a specific problem, arising in the functioning of organisation or from changing environment. Such teams are also given the names of 'task force' or 'problem shooting team' or 'crisis management team'.

   In problem-solving teams, the team members may be formed by the members drawn from various functional areas. They discuss problems, exchange viewpoints, share experiences and attempt to solve the problems. They propose tentative solutions only as a recommendation.

   For example, a company wants to launch a new product in a market. To solve this problem, work team is formed which may consists of members from marketing, finance, production, and personnel departments. By looking into the problem from every angle they may finally make a recommendation that which product is more feasible and profitable for be launching. Sometimes team may be composed by members of same departmental problems such as decreasing efficiency, increasing absenteeism, finding out investment options, and cost reductions etc.

2) **Self-Managed Teams or Autonomous Work Group:** These are groups of employees (typically 10 to 15 in number) who take on the responsibilities of their former supervisors. Typically, this includes planning and scheduling of work, collective control over the pace of work, making operating decisions, and taking action on problems.

   Fully self-managed work teams even select their own members and have the members evaluate each other's performance. As a result, supervisory positions take on decreased importance and may even be eliminated.

In a growing number of organisations, traditional work units consisting of first-level supervisors and their immediate subordinates are being replaced with self-managing work teams. Sometimes called **autonomous workgroups**, these are teams of workers whose jobs have been re-designed to create a high degree of task interdependence, who have been given authority to make many decisions about how they work, and who accept collective responsibility for results. Self-managing teams operate with participative decision-making, shared tasks, and responsibility for many of the managerial duties performed by supervisors in more traditional settings. The "self-management" responsibilities include planning and scheduling work, training members in various tasks, distributing tasks, meeting performance goals, ensuring high quality, and solving day-to-day operating problems. In some settings, the team's authority may even extend to "hiring" and "firing" members when necessary.

3) **Cross-Functional Teams:** Cross-functional teams are made up of employees from about the same hierarchical level, but from different work areas, who come together to accomplish a task. A task force or a project team comes under this category. Committees are another example of it. Companies use cross-functional teams to take advantage of the different perspectives and backgrounds of various employees. **For example,** cross-functional teams in an organisation can include employees from engineering, marketing, production and management. The cross-functional team works together to reach a goal or objective such as developing new products, reducing defects or increasing the efficiency in a process.

4) **Virtual Teams:** A virtual team – also known as a **Geographically Dispersed Team (GDT)** – is a group of individuals who work across time, space, and organisational boundaries with links strengthened by webs of communication technology. They have complementary skills and are committed to a common purpose, have interdependent performance goals, and share an approach to work for which they hold themselves mutually accountable. Virtual teams are a great way to enable teamwork in situations where people are not sitting in the same physical office at the same time.

   One key to effective use of virtual teams is called **synchronous technologies**, which allow members to interact at the same time, or in real time. Audio and videoconferencing are examples of synchronous technologies, whereas asynchronous technologies, such as e-mail, chat rooms, group calendars, bulletin boards, and Web pages may be used when delayed interaction is acceptable.

5.3.5. Team Effectiveness

Team effectiveness is achieved when four performance outcomes namely, efficiency, quality, innovation/adaption, and employee satisfaction are attained. Team effectiveness is a process by which different employees of any organisation or institution work together effectively. The thought which governs team effectiveness is that a group of people will be able to attain higher results in comparison to an individual who works alone.

5.3.5.1. Features of Effective Team/ Essentials for Developing Effective Team

The members of an effective team combine their efforts to achieve a common objective and find out various methods for participating in leadership, shifting the focus from one person to different persons of the team, and being responsible for their performances. In simple words, an effective team is that group which helps in accomplishing the organisational goals by fulfilling the work designated to them and satisfying the members of the group. Some of the important features of an effective team are explained below:

1) **Clarity of Objectives:** The vision, mission, task, and objectives of a team are formulated and acknowledged by all the members of the group.
2) **Informal Nature:** The environment within a team is likely to be relaxing, soothing, and informal in nature. There are no dull activities or stress among the members of the group.
3) **Involvement:** An effective team has a supporting atmosphere for healthy discussion and every member is promoted to participate in the discussion.
4) **Listening:** Various kinds of listening methods, such as paraphrasing, summarising, and questioning are encouraged to bring out innovative thoughts from the members of an effective team.
5) **Cultured Opposition:** If there is any kind of dissent among the team members, they are comfortable with it and do not try to neglect, conceal, or disguise the dissent.
6) **Unanimous Decisions:** In order to take vital decisions, there is a consensus among the members with the help of open dialogue to attract every member's thoughts, removing formal voting, or easy settlement keeping the goal of the team as prime objective.

7) **Open Communication:** All the members of a team are free to give their opinions on the performance of the group alongwith the various tasks. There may be some subtle objectives. Communication is not limited only up to formal meetings.
8) **Clear Work Allotments and Roles:** Work is equally shared among the members of team. Each team member is expected to perform specific roles. Clear allotment of task is done which is accepted and performed by members.
9) **Collective Leadership:** Though every team has a designated team leader, the responsibility keeps transferring among the various group members frequently depending upon the various requirements of the group, talents of members, and different situations. The official leader creates a suitable behaviour and enables in building positive procedures.
10) **External Relations:** The team members are also involved in creating healthy and important relationship outside the group. This establishes a good prospect with the important individuals related to other divisions of the organisation.
11) **Style Diversity:** The team consists of a wide plethora of different types of team players which includes the members who give proper importance to goal-setting, operations, concentrate on the procedure, and have a critical view about the performance of team.
12) **Self-Appraisal:** After a certain interval, the members of team sit together to evaluate the performance of team and try to find out the various hindrances which are affecting the performance adversely.

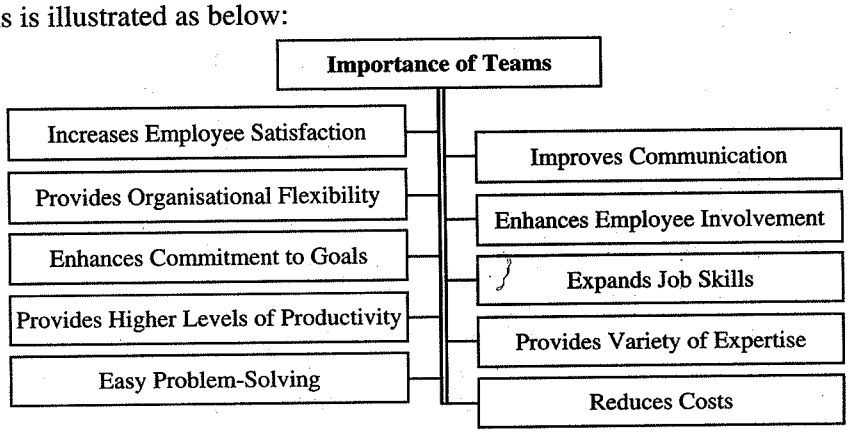
5.3.5.2. Factors Determining Team Effectiveness

There are various factors which decide the effectiveness of a team. These are as follows:

1) **Correct Set of Skills:** Combining individuals who have similar features and skills can result in chaos. The effectiveness of a team depends greatly on combining various members having different talents which support each other in some manner. It can include various communication skills, technical knowledge, interpersonal skills, etc. The effectiveness of team relies on the ability of individuals to take the different roles in a group set-up. If the members are not having a clear idea about the roles and responsibilities of each other, the success of team is highy doubtful.
2) **Correct Motivation:** The effectiveness of a team is dependent on the enthusiasm shown by the members towards its objectives . The team members will not put their best effort in achieveing the goals if the work is very easy or very difficult or if the rewards to be gained after the accomplishment of goals are not as per the expectations of the team members. The work/task should have a fair result. The team effectiveness improves drastically when the goals are specified clearly.
3) **Proper Conflict Resolution:** Sometimes, team members knowingly take a decision which would not contribute significantly towards achievement of team goals so that the activities of team can continue. Clashes are deep-seated when a work is done in team-format and these conflicts should be treated as a challenging opportunity rather than supressing them through compromise. Team effectiveness should be enhanced through conflicts rather than accomodating them.

5.3.6. Importance of Teams

Importance of teams is illustrated as below:



1) **Increases Employee Satisfaction:** Different individuals can have improved co-ordination and work interaction with the other members while working in a team. The individuals who work in a harmonious team tend to have a better ability of dealing with stress and have better satisfaction.

2) **Improves Communication:** A team creates a requirement of regular interaction among the employees, due to their work related dependencies in comparison to the situation when they work alone.

3) **Provides Organisational Flexibility:** The skills of individuals can be enhanced by enabling them to perform the activities of other team members after going through a training programme.

   The flexibility of an organisation improves rapidly through such expansion of skills. For dealing with the changing situations, different work can be re-allocated to different individuals.

4) **Enhances Employee Involvement:** Employee involvement can be enhanced through work teams. Employees take a lot of interest in their jobs, and their social needs are also fulfilled by the work teams. The performance of individuals improves significantly when they perform with others.

5) **Enhances Commitment to Goals:** In a team, individuals give more importance to the goals of the team rather than their individual goals. A greater commitment towards the accomplishment of the team goals is obtained by the pressure exerted by the team members, creating mutual objective, showing devotion towards that objective and accepting that mutual objective.

6) **Expands Job Skills:** Additional job training is provided to the members of a team which helps in the improvement of interpersonal skills and decision making abilities.

7) **Provides Higher Levels of Productivity:** A sense of harmony is created by team. A high level of performance from a smaller number of individuals can be achieved with the help of this positive energy. It results in high level of performance. Therefore, greater productivity can be attained with the help of teams.

8) **Provides Variety of Expertise:** A proper combination of varying abilities and expertise is obtained through a team as it is formed of the members from diverse backgrounds and talents.

9) **Easy Problem-Solving:** A team is capable of solving various problems which are often faced by any organisation. The members of the team help each other to learn and develop new skills, and capabilities. Team members can help others in the jobs and tasks which is quite difficult for the other members.

10) **Reduces Costs:** The employees can have the sense of being important and committed towards the team objectives when they work in a team. They have the sense of participation in the result of the team efforts.

    Thus, they put a lot of efforts in minimising the errors, reducing wastages and being present. Absenteeism and employee turnover is reduced significantly due to the sense of responsibility. The organisations can have reduced turnover rates and costs due to various initiatives taken by the team members.

5.3.7. Issues in Managing Teams

Teamwork affects every business and every employee. It determines turnover and productivity and it defines the functionality of a business. While fundamental to a business' success, teamwork is difficult to harness as it is reliant upon several different factors (and personalities) working together.

Below are some of the issues in managing teams:

1) ***Planning:*** When it comes to teamwork, planning includes everything from selecting the team members and identifying their individual tasks and responsibilities, to preparing for the inevitable challenges, problems, and delays that could prevent the team from reaching its success.

2) **Leadership Issue:** Too often a team becomes unhinged because the focus rests on "management" of the team instead of leadership. Leaders motivate, inspire, and chart a course of action. They acknowledge problems but they do not micromanage the completion of individual tasks.

3) **Communication:** Arguably the lifeblood of any business or organisation, communication is the key to teamwork. Basic communication ensures that all members of the team know what they are doing, why they are doing it, as well as when and how to get it done. Other essential elements include communicating about problems with the project or conflicts on the team. With clear communication problems are discussed and resolved.

4) **Goals:** Similar to planning, setting goals is an elementary task. However, many businesses lose sight of the importance of including the team in the creation of the goals, instead focusing narrowly on the team's delivery of those goals. A team that is united at the start of the project will be better able to achieve its objectives on time and on budget.

5) **Follow-Through:** Teams are often undermined by poor follow-through and lack of accountability. To get the most from a team, each member needs to respect his/her own role in reaching the established goals and each manager or supervisor needs to recognise and reward success as well as counsel and discipline failure.

6) **Crisis (Conflict) Management:** Throughout the life of any team problems and conflicts will surface. They may be project oriented or revolve around personality differences. Addressing conflicts and crises early on is essential to keeping the team on task and focused This enables the members to reach their goals and achieve success for the team as well as the business itself.

5.3.8. Difference between Team and Group

Basis of Difference	Team	Group
1) **Suitability**	A team is best suited for projects that have long durations as all the members of team distribute all the tasks among themselves, irrespective of whether they have all the skills required to accomplish the goals or not.	A group can be managed easily in comparison to a team and group provide best results in short-term projects as they divide all the work among themselves as per their skills resulting in accomplished goals.
2) **Sharing**	Members of a team meet at regular intervals for discussing various issues, decision-making, resolving problems, or making some plans.	The members of group meet to provide some information and viewpoints.
3) **Accountability**	All the team members share the accountability towards attainment of goals individually and mutually.	There is no mutual accountability in group. Members are responsible for their individual activities.
4) **Focus**	All the members of a team are more focused towards achieving the goals of the team.	In comparison to team, group members are more focused on attaining their individual goals.
5) **Role Awareness**	In a team, every individual has predefined roles, responsibilities and tasks which are shared by other members or rotated among them.	The roles and responsibilities are not formally defined and little is known regarding duties of other group members.
6) **Concern**	All the members of a team face the challenges collectively and they care about the result of others.	The members of group are mainly concerned for their individual challenges and outcomes.
7) **Head**	The team leader decides the objectives, goals and methods to work after discussing with the members of team.	Manager decides the objectives, goals and methods to work.
8) **Members**	The normal size of a team is 7-12 members who are dependent on each other for achieving the common goal.	There can be 2-4 members in a group who work independently to achieve their individual goals.
9) **Formation**	The formation of a team is a difficult process. The members of a team are selected so that they can support each other rather than having anything common among them.	Forming a group is simpler than forming a team. If a manager has many professional IT engineers, they can be grouped on the basis of their gender, experience, expertise, age or any other factor which is common.

5.4. TEAM BUILDING

5.4.1. Meaning and Definition of Team Building

Team building is explained as the activity of formulating and implementing good work culture that decreases barriers and increases team members' ability and productivity. Team building is a broad term that is used for a number of methods which aim at increasing the productivity of teams. Irrespective of the fact that they are conducted by internal or external trainers, team building activities target increased coordination, clear communication, and some problems within teams. To make these sessions useful, experiential learning methods such as interpersonal trust exercises, problem-solving, role playing, and interactive games are commonly used.

According to Johnson, "Team building is defined as any planned event with a group of people who have or may have common organisation relationships and/or goals which are designed to improve the way in which work gets done by them in some way or another".

5.4.2. Team Development: Different Stages in Team Building Process

Team development is a procedure of bringing together different individuals, influencing them to interact with each other, aiming at a team goal, working as a unit to sort out problems, and lastly working towards a common target. There are four phases of team development given by **Tuckman** which are given below:

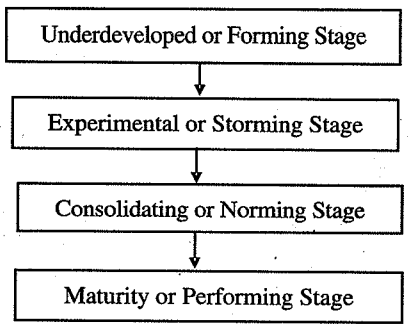


Figure 5.3: Stages of Team Development

1) **Underdeveloped or Forming Stage:** In this phase, people have less information about their leaders as well as about other members of the team. They want to know more about others but reveal very less about themselves. They choose to take no risk and follow the rules of the organisation. This has also been noticed that people deny their errors, point out errors of others, and do not accept advices.
2) **Experimental or Storming Stage:** In the next phase, there may be presence of negative opinions and feelings among people. Team members, however, try their best to sort out these problems by themselves. If the problem is successfully sorted out, a positive outlook is created. All members of the team start treating themselves as a unit of the team and realise their role within the team.
3) **Consolidating or Norming Stage:** Since the issue of "how to proceed" is sorted out in the previous phase, an overall agreement among the team members takes place. In this phase, team members formulate guidelines for acceptable behaviour and finalise norms and rules. Few members may be asked questions to know their competence. Team members also try to motivate each other to formulate a common action plan (how to sort out problems, keep time, etc.) while keeping in mind the behavioural standards.
4) **Maturity or Performing Stage:** This last phase evolves understanding of targets, cooperation, trust, and creativity in the team. Team members acknowledge other's viewpoint and make decisions through common acceptance. They are also able to tackle problems in a better way.

5.4.3. Guidelines for Team Building

The following guidelines should be followed for team building:

1) **Emphasising Common Interests and Values:** Developing consensus among team members on objectives, strategies, and the need for coordination significantly enhances the chances of powerful identification with the team. It is necessary to put stress on common interest instead of differences. One should set team goals and discuss the need of cooperation to achieve these goals. Leaders should advise team members to assist each other and communicate as much as they can.

2) **Use of Ceremonies and Rituals:** Various ceremonies and functions can be used to increase team identification and to make team members feel special. Ceremonies may be used to mark noted achievements or anniversary of team's historical events.

3) **Use of Symbols to Develop Identification with the Team:** Different symbols of team identity such as a team title, objective, logo, emblem, or slogan can be put on holdings, posters, apparels, or accessories. Similar to several city teams, a unique type or colour of uniform may reflect membership of a team. When all members are heartily ready to wear the symbols of team, team identification is reinforced.

5.4.4. Advantages of Team Building

Advantages of team building are as follows:

1) **Improves Relationships:** Team building develops and nurtures relationships and enhances communication between team members.

2) **Enhances Employees' Motivation:** Team building initiatives give people a break from their daily routine. This increases employee motivation by making them think that their work is important for the organisation.

3) **Boosts Morale and Eases Problems:** Team building boosts morale and helps in sorting out problems in an organisation. It suggests a method for team members to strive towards a mutual objective.

4) **Facilitates Exchange of Ideas:** Team building encourages sharing of ideas and working as a team to find solution to a problem. Team members learn to accept views of others, cope up with unsuccessful attempts, and excel as a team. Team building acts as a binding force in the team.

5) **Increases Interaction and Coordination:** Working in team increases interaction and coordination between team members. People, who are a part of such an interactive team, overcome their problems and like their jobs. This in turn improves their job satisfaction.

6) **Reduces Communication Gaps:** The interpersonal dependence created by self-managed teams demands more interaction as compared to working individually. This significantly improves communication within the team. Similarly, cross-functional teams build inter-functional dependency and thus enhance organisational communication.

7) **Removes Rigidity:** Cross training under team building results in enhancement of skills of people. It encourages members to do each other's jobs. As a result of this, organisational flexibility is enhanced. In a changed scenario, work can be reframed and allocated to any member as per the need.

8) **Increases Dedication towards Objectives:** Teams building encourages team members to set-aside their individual goals for their teams. The task of determining a mutual purpose, striving towards the purpose with commitment, and agreeing upon a certain objective, added with the pressure put by team, leads to high dedication for objectives of the team.

9) **Develops Job Expertise:** Team building activity includes intense job training which helps members to develop their technical and interpersonal expertise which in turn enhances decision-making skills.

10) **Creates Positive Synergy:** Organised and motivated teams create positive synergy which is used to get the same or increased output from lesser number of people. This results in higher level of productivity of the team.

5.4.5. Disadvantages of Team Building

Despite many advantages mentioned above, team building has the following disadvantages:

1) **Chance of Groupthink:** One of the disadvantages of team building is the chance of groupthink among the members of the team. Groupthink is a situation when team members do not take risk or refrain from disagreeing and fail to evaluate the issues under consideration. It is not proper adherence to team norms.

2) **Focuses only on Work Teams:** Team building concentrates only on people and teams and other important parameters, such as technology, organisational structure, etc., are not given due weightage.

3) **Complicated Exercise:** Team building turns out to be a difficult exercise when there is rapid shuffling of team members. It is possible that new members may find it difficult to cope-up with the team dynamics due to lack of information over their roles and tasks, and their inability to form good relations.

4) **Time Consuming:** Team building demands a lot of time from leaders as well as the team members in terms of getting prepared, outlining schedules, and conducting and taking part in meetings.

5.5. EXERCISE

5.5.1. Very Short Answer Type Questions

1) Define group.
2) Discuss the concept of group behaviour.
3) What is group dynamics?
4) Explain the term, team building.

5.5.2. Short Answer Type Questions

1) Why do people join group?
2) Explain different types of groups.
3) Give a description on the five stage model of group development.
4) Describe the nature of group dynamics.
5) Highlight the importance of group dynamics.
6) Discuss the types of team.
7) Explain the issues involved in managing teams?
8) Differentiate between team and group.
9) What are the guidelines for team building?

5.5.3. Long Answer Type Questions

1) Discuss the nature of group. Explain the steps involved in the formation of group.
2) Elaborate the theories of group formation. Also explain the advantages and disadvantages of working in group.
3) Explain the components of group dynamics. Describe the managerial implications of group dynamics.
4) Discus the meaning of team. Explain the nature and needs of team.
5) What are the features of effective team? Describe the factors determining team effectiveness.
6) Explain the stages involved in development of team. Also discuss the advantages and disadvantages of team building.

Chapter 6

Leadership

6.1. OVERVIEW OF LEADERSHIP

6.1.1. Introduction

Leadership can be defined as the capability to inculcate confidence in employees to achieve the objectives of the organisation. It is a technique which outlines the group and organisational goals, assists in describing the groups or organisational culture and then stimulates behaviour towards the realisation of these goals.

Effective leadership is based upon worthy character and unselfish service of an individual towards the organisation. In order to be an effective leader, the person must possess the ability to promote changes, motivate the members of the team and lead towards the accomplishment of the common goals. It is a process of forming a surrounding where others can self-actualise, while carrying-out their work. Leadership means the traits of an individual that allows him to motivate others for attaining some specific objectives.

It is an interesting social fact that takes place in every group despite of its geography, culture, or citizenship. Effective management cannot take place without effective leadership. Leaders are the individuals, who not only foresee the changes, but also seek to persuade the employees regarding the need for change. Thus, they assist and guide the employees throughout the process of change.

According to Hollander, "Leadership is a process of influence between a leader and those who are followers".

According to George R. Terry, "Leadership is the activity of influencing people to strive willingly for mutual objectives".

According to Chester Barnard, "Leadership is the ability of a superior to influence the behaviour of his subordinates and persuade them to follow a particular course of action".

According to Rosenbach and Taylor, "Leadership is all about getting people to work together to make things happen that might not otherwise occur or prevent things from happening that would ordinarily take place".

6.1.2. Managers *versus* Leaders

In this ever-changing competitive environment, organisation needs both, i.e., effective leaders as well as effective managers. Leadership and management are different from each other but they complement each other. Main difference between leaders and managers is the method by which they inspire others. Various differences between leadership and management are as follows:

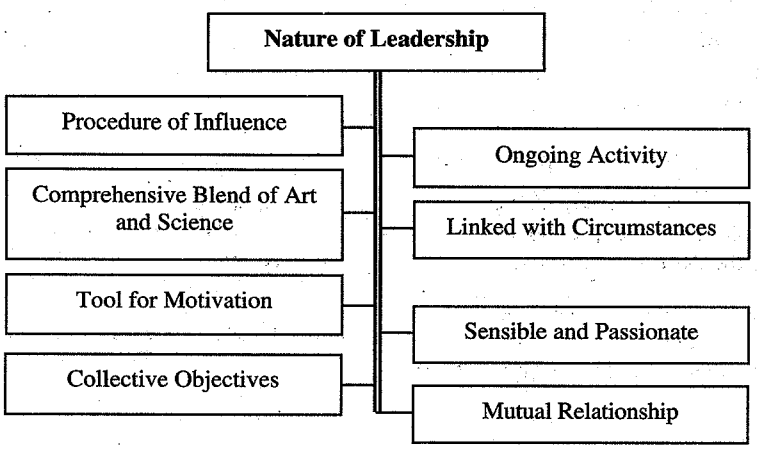
Table 6.1: Differences between Leadership and Management

Basis of Difference	Management	Leadership
1) **Scope**	It is a broader term which covers different jobs of a leader.	It is only a part of management.
2) **Meaning**	It is a process of managing people for a definite reason.	It is an act of persuading behaviour of people, irrespective of reasons.
3) **Power**	The power is formally delegated by the managers to manage the subordinate.	The power to influence followers is informal.
4) **Structure**	Managers exist only in a formal setup of organisations. There is no existence of informal manager.	Leaders are present in both formal and informal organisations. Both formal and informal leaders may exist in an organisation.

5) **Function**	It covers five salient functions, i.e., planning, organising, staffing, directing and controlling.	It comes under the purview of directing, which aims to direct the behaviour of employees to exploit their potential to the fullest.
6) **Focus**	It focuses more on the technique of empowering the organisation.	It focuses on changing conditions, empowering and building the organisation.
7) **Relationship**	Relationship of manager is based on positional power. Manager behaves as a boss.	Relationship of leader is based on personal power. Leader serves as a facilitator and guide.
8) **Alignment**	Manager intentionally tries to create barriers.	The leader aims to dissolve all the barriers to motivate the team members.
9) **Result**	Manager is responsible for creating efficiency and stability.	Leader is responsible for bringing innovation and integrity.
10) **Qualities**	Manager demonstrates empathy and expert mindedness.	Leader should be liberal, mentally strong and must have good listening skills.

6.1.3. Nature of Leadership

Nature of leadership is as follows:



1) **Procedure of Influence:** Leadership means a phenomenon which focuses on influencing the attitude and behaviour of the employees in a positive manner. Successful leaders are those who are able to persuade their followers to change their beliefs, attitudes and behaviour.

2) **Ongoing Activity:** Leadership is an ongoing activity that goes a long way to bring about the continuous change in the followers towards a positive direction. This ultimately brings efficiency in overall operations of the enterprise.

3) **Comprehensive Blend of Art and Science:** Concept of leadership is a combination of art and science. It is a science as it is based on the observations and principles that identify and elaborates the causes and characteristics of a successful leader. It is an art because it can be sharpened by practice only and involves application of principles.

4) **Linked with Circumstances:** Leadership is generally associated with a definite situation at a specific point of time and within definite set of conditions. Hence, different styles of leadership can be applied to different conditions.

5) **Tool for Motivation:** Leadership serves as a tool to motivate the employees to achieve the objectives of the organisation by performing their best. Leadership will be considered effective only when leader will encourage and convince the employees to give priority to organisational objectives and thereby achieve their individual objectives.

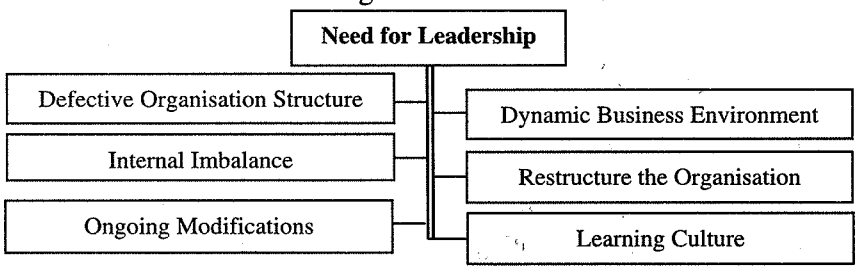
6) **Sensible and Passionate:** Leadership has an equal impact upon the rationality as well as upon the emotions of the followers. Leader should influence both the factors to motivate subordinates for the achievement of the organisational objectives.

7) **Collective Objectives:** Leader of the organisation should reconcile the objectives of the employees with that of the aims of the management. Objectives of the organisation can never be achieved if the leader and his followers proceed in opposite directions. Only an effective leader can motivate the employees to work together to pursue organisational objectives.

8) **Mutual Relationship:** There should be a mutual relationship between the leader and his followers. Leader should not only explore the capabilities of the employees but should also develop them. On the contrary, followers should also contribute their best performances for the achievement of the organisational objectives.

6.1.4. Need for Leadership

Need for leadership arises because of the following reasons:



1) **Defective Organisation Structure:** Hierarchical structure of an organisation is composed of both formal and informal groups. With the help of effective leadership, flaws of formal organisation can be removed and both formal and informal groups can be made to work together.

2) **Dynamic Business Environment:** In today's competitive environment, every business is subjected to various technological, economical and social changes. To tackle such kind of challenges, effective leadership is required.

3) **Internal Imbalance:** As the organisation tends to expand in terms of size and complexity, various imbalances may also creep in. **For example,** there will be more hierarchical levels which cannot be easily managed without an effective leadership. The harmony between the different levels and structure of the organisation can only be established with an effective leadership.

4) **Restructure the Organisation:** Only an effective leader can bring innovative changes within the organisation in order to make it up-to-date as per the changing needs of the customers, business and situation of the market. The organisation is required to update itself to survive in the competitive market for long-run.

5) **Ongoing Modifications:** Services offered or products manufactured by the organisation should be reviewed and upgraded regularly. Only an effective leader can focus on the research and development activities to enhance the overall functioning of the organisation in terms of quality and productivity.

6) **Learning Culture:** In the present scenario of the business environment, the workforce of any organisation consists of people from varied and diversified cultures. In order to effectively manage these workforces and motivate them to contribute their best to the organisation, effective leadership is required.

6.1.5. Types of Leaders and Leadership Styles

Different types of leaders and their leadership styles are shown in **figure 6.1:**

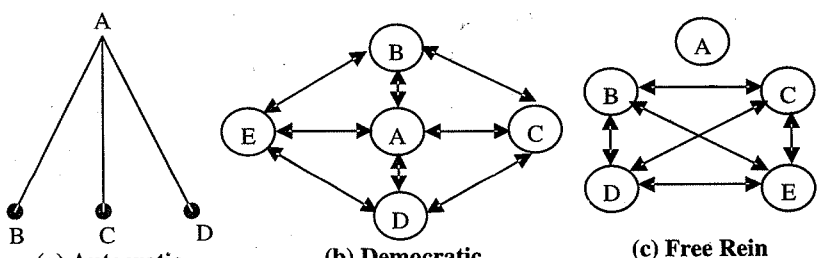


Figure 6.1: Leadership Styles (A is the Leader)

6.1.5.1. Autocratic Leadership Style

Autocratic leader is also known as dictator. It could also be considered as one-man show. The role of the leader is restricted merely to dictating the instructions to his subordinates. In this leadership style, leader does not get involved with the members of the team. He decides the policies and procedures without discussing with his subordinates. He does not provide any information about future strategies but simply gives instructions regarding the steps that are to be followed. In this style of leadership, all decisions are taken by the leader only.

Autocratic leadership may have a negative impact because followers are unaware, insecure and afraid of leader's power. Such a leader is known as a **strict autocrat**, who focuses on negative influences and gives instructions, which are supposed to be accepted by the subordinates. These leaders are also termed as **benevolent autocrat** when they use motivational and positive leadership style and some are known as **manipulative autocrats**, who make the subordinates feel participative towards the decision-making process even if they have already taken the decision. This autocratic type of leadership style is quite common and often gives good results. However, it is subjected to the various limitations as well.

Advantages of Autocratic Leadership Style

Advantages of autocratic leadership style are as follows:

1) **Quick Decision-Making:** This style of leadership results in quick decision-making as single person is responsible for decision-making, which makes it a hassle-free process.
2) **Enhances Productivity:** Employees are encouraged to work with more zeal and energy when they think that they are under constant supervision. This leads to enhanced productivity.
3) **Reduces Stress:** Under this style, leaders are absolutely responsible for consequences of their decisions so, managers feel relaxed and stress-free.
4) **Helps in Training New Employees:** In this style, leader directly supervises the newly joined employees, making them more comfortable in learning new tasks and responsibilities. Thus, he acts like a coach.
5) **Improves Logistics of Operations:** When the single person is holding all the tasks of the firm, he is more aware about the whole situation and all the liabilities of the firm.

Disadvantages of Autocratic Leadership Style

Disadvantages of autocratic style are as follows:

1) **Discourages Follower's Development:** This style of leadership does not focus on the development of the subordinates. This style does not support creativity and innovation. Many times work is hampered when leader is not present because employees do not have any right to take any decision. This style adversely affects the self-confidence of followers.
2) **Increases Leader's Workload:** This style of leadership enhances leader's workload as the leader is solely responsible for every decision. This may lead to stress and health problems for the leader as well.
3) **Induces Fear and Anger:** In this style, people are generally criticised rather than being praised which leads to an unhealthy environment of fear and anger.
4) **Increases Dependency on Leader:** In this style, subordinates are dependent on the leader. Workers have no right to take any initiative in any work assignment, as a result they become demotivated and their confidence level decreases.
5) **Results in Frustration:** This style can lead to frustration among employees. No conversation takes place between the employees and the leader. However, feedback is given only when any mistake is made by them.
6) **Exploits People:** This leadership style ignores other people's feelings and emotions. Leaders focus on making rapid decisions by using various harsh techniques like threats, abuse of power, etc.

6.1.5.2. Participative Leadership Style

In this style of leadership, the authority rested with leader is decentralised. Leader takes every decision in coordination with the team members. This style of leadership is people-oriented and direct supervision of the staff is not required. This type of leadership style keeps the employees well informed about the policies of the organisations and work is delegated to achieve better results. Instead of acting as a leader, he considers himself to be a member of the group. Leader clarifies his followers that praise or blame is merely part of the group.

Unlike autocratic leader, who uses his authority to control others, participative leader controls others through internal forces present within the group. The democratic leadership, another name for participative leadership style results into various positive outcomes in terms of productivity, reliability, zeal, flexibility, individual development and freedom of speech. However, the participative leader conforms that he holds to take the decision if the staff is unable to do so.

Advantages of Participative Leadership Style

Advantages of participative leadership style are as follows:

1) **Enhanced Acceptability of Leader:** The leader takes decisions with the consensus of the people and hence, his decisions are widely accepted.
2) **Efficient Utilisation of Team Members' Knowledge:** Leader induces confidence by involving subordinates in the decision-making and giving them opportunity to explore their talent and knowledge.
3) **Fosters Commitment among Team Members:** The loyalty of the members is enhanced as leader involves all the members in different activities which increase their morale. The leader patiently waits for inputs from the group and then he takes decision.
4) **Organisational Politics is Decreased:** Since, the leader acts as a motivator and guide rather than as dictator or stress-stimulator, thus, it reduces the chances of any conflict or organisational politics within the organisation.
5) **Increases Professionalism:** The democratic leader leads to a more disciplined life within the organisation thereby, making the team members more disciplined and professional.
6) **Decreases Turnover Rate:** As the employees are more confident and empowered to carry-out the tasks assigned to them, they develop a sense of belongingness towards the organisation and hence the employee turnover gets reduced.
7) **Improved Work Efficiency:** In this type of leadership style, the leader shows trust and faith in employees. This increases and maintains the level of cooperation, team spirit, motivation and cohesiveness among the employees, which in turn results in improved work efficiency in terms of quantity as well as quality.

Disadvantages of Participative Leadership Style

Disadvantages of participative leadership style are as follows:

1) **Leads to False Impression about the Leader:** Leader's attempt to involve the entire team in the decision-making process can be seen as an excuse for delaying or postponing the task. This leads to formation of false impression about the leader, as followers believe that leader is not able to deal with problems on his own.
2) **Excessive Time Consumption:** This type of leadership style is time-consuming, as it involves the long process of consulting everybody in the team, which leads to lengthening of the process. As a result, the opportunity of taking quick decision is lost.
3) **Absence of Accountability:** Due to lengthy procedure and involvement of entire team in the decision-making, no one in the team considers the leader responsible for the task. Due to distribution of the responsibilities, no single person is considered to be accountable for completion of the tasks and its consecutive outcome.
4) **May Lead to Pseudo Participation:** Many times managers show that they are following democratic leadership style just to influence their followers. But the reality is exhibited soon when the employees instantly observe that their ideas were just taken but not implemented by the leader. It means that leader is just following autocratic leadership style masked by participative leadership style.

6.1.5.3. Free Rein Leadership Style

Free rein or *laissez faire* leadership style refers to a condition where leader does not lead but leaves the major decisions on the group itself. Such a leader is represented by the chairperson who is dependent on his subordinates. All the goals are decided by the group. The group members have to solve problems and motivate themselves. Leader's job is to keep contact with outsiders and give information to his team.

It can be said that free rein leadership is the inverse of autocratic leadership style. In this scenario, the manager does not enjoy the power of control as he shares the powers alongwith his work and responsibilities. It is also called **permissive style** of leadership as there is least interference by the leader and group works and takes decisions on its own. This type of leadership can produce wonderful results if the subordinates are highly skilled and dedicated employees. This style can be adopted successfully only when the employees are capable and competent enough to handle the situations and take corrective and positive decisions in favour of the company.

Advantages of Free Rein Leadership Style

Advantages of free rein leadership style are as follows:

1) **No Restriction of Order:** When employees are highly self-motivated, they tend to raise the level of the organisation. Unnecessary rules and regulation of the organisation may hamper this self-motivation of the employees. This unnecessary regulation is eradicated in the free rein leadership which leads to overall growth of the organisation.
2) **Reduces Leader's Workload:** All responsibilities are duly divided and every responsible subordinate is doing his job so the workload of the leader is reduced. Thus, the leader has ample time to look after essential issues of the organisation.
3) **Provides Motivation to Team:** Entire system of free rein leadership is based on faith and trust. Leader trusts the subordinates and gives them complete responsibility. This motivates the employees to do better and raise the performance levels further.

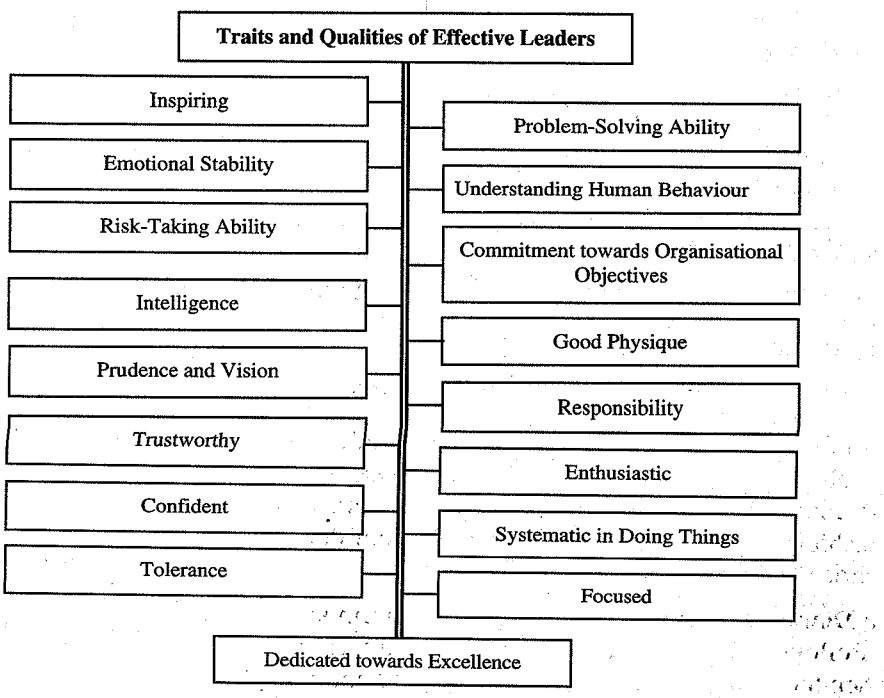
Disadvantages of Free Rein Leadership Style

Disadvantages of free rein leadership style are as follows:

1) **Increases Burden on Employees:** Employees are burdened as the additional task and responsibilities which should be carried-out by the leader, are borne by the employee. Furthermore, there is sense of insecurity among the employees due to non-availability of the leader for motivation and guidance.
2) **Ownership Issues:** In this style of leadership, leader has no control over the activities of the subordinates. Furthermore, success or failure cannot be attributed to the persons involved with the task, not even the leader.
3) **Direction of Organisation is Lost:** As leader is not governing the activities of the team members, they may feel demotivated, unguided and abandoned, due to which the growth of the firm and direction of growth are adversely affected to a great extent.
4) **Conflict among Followers Increases:** Although lack of leader's involvement gives freedom to the employees, but this freedom ends up in chaos or conflict among the employees. Since, there is no interference of leader in distribution of work, hence there is no coordination between the employees. The conscious and responsible employees are over-burdened with the task, whereas irresponsible and non-competent employees are free from the burden of accomplishing the task. Hence, egoistic conflict between skilled and non-competent employees is an obvious result.

6.1.6. Traits and Qualities of Effective Leaders

Traits and qualities of leadership are stated as below:



1) **Inspiring:** The ability to inspire others may be considered as an inherent personality trait which is inborn and may not be learnt.

2) **Problem-Solving Ability:** An efficient leader has a skill of analysing the problems from different dimensions and composure and tries to find the root causes of problem rather than simply resolving the problem indicators.

3) **Emotional Stability:** Emotional stability and sophistication is a vital element of an effective leader. It relates to calmness, patience, and calculated response to an unfavourable situation. It also includes accepting both success and failure in life.

4) **Understanding Human Behaviour:** It is very important for a leader to have a good knowledge of needs, wants, and behaviour of his followers and have respect for those needs. A leader should neglect ego affecting behaviour and support others emotionally. He must praise his subordinates for their success.

5) **Risk-Taking Ability:** A leader does not emerge from ordinary and routine work even if the work is well done. A successful leader is always ready for unknown events. They are ready to take on new challenges. However, the risk must be analysed well and the results of the actions must be estimated. If due to any reason these risks result in any kind of failure, the leader should take full responsibility rather than making others accountable for it. Leaders must be having the temperament to deal with the resentments and failure and learn a lesson from their mistakes.

6) **Commitment towards Organisational Objectives:** A leader must exhibit motivation and dedication towards the achievement of organisational goals, mission, and objectives through his self-sacrifice and hard work. He must ensure that the organisational goals are communicated to his followers clearly and all followers are also dedicated, motivated, and work hard to achieve these goals.

7) **Intelligence:** Intelligence and knowledge are two important elements of a leader. In order to deal with a trivial problem in correct manner, a leader must possess a mental ability to analyse accurately, interpret clearly, and think precisely.

8) **Good Physique:** It is very important for a leader to have a healthy body and mind to go through the physical and mental burden. Good physique is made up of nervous energy, physical stamina, mental strength, and vital leadership abilities.

9) **Prudence and Vision:** A leader should be having the skill to predict the events and a futuristic approach. He should also possess high level of morale, broad thinking, determination, and imagination.

10) **Responsibility:** A leader should be having a sense of responsibility and should be ready to take the responsibility of an outcome.

11) **Trustworthy:** Trustworthiness is one of the important traits of a leader. A leader should be honest and full of good virtues and trusted by others. A leader follows what he says and gains the responsibility for others. A leader can earn a real authority only through the respect for his good repute and dependability.

12) **Enthusiastic:** An effective leader has a feeling of enthusiasm for his responsibilities, roles, and objectives. Having a great deal of motivation and zeal will make the leader more acceptable among the followers. A leader should act as a source of motivation and dedication for his followers for achieving the goals and objectives. Despite having different types of roles and responsibilities, a leader must be an active member of group involved in the achievement of objectives of the group. These types of leaders participate equally in all the activities of a group and do not hold themselves back.

13) **Confident:** Confidence is essential for a leader. A leader should be having a confident appearance as an individual as well as in leadership role for leading others and directing others. These types of leaders create the feeling of confidence among the followers and bring out the best performance and trust of team members for achieving the goals. A leader who is confident to achieve the goals also motivates the team members towards accomplishment of team goals..

14) **Systematic in Doing Things:** During crisis and uncertain situations, a leader should act in a procedural and orderly way. Followers watch the leader during unfavourable situations and gain a sense of security and confidence when the leader depicts a calm attitude and confidence.

15) **Tolerance:** A leader has a high degree of tolerance towards vagueness and shows a composed, calm, and persistent stance towards the main objectives. Crisis and turmoil are temporary but a good leader treats all these as a part of his responsibility with a composed attitude.

16) **Focused:** Thinking rationally and having a clear vision of goals are the traits of a good leader. A leader analyses a critical situation on a broader level and breaks it into small parts in order to review the various facts closely. After analysing these facts and smaller objective, the leader formulates step-wise action plan to achieve them.

17) **Dedicated towards Excellence:** An effective leader is always devoted towards excellence. He/she always looks to win and be successful. A leader always sets high standard for performance and is aggressive towards increasing the benchmarks to achieve the excellence in all aspects.

6.1.7. Functions of Leader

Following are the important functions of leaders:

1) **Develops Team Spirit:** Developing a good team and building team spirit among followers is one of the most important functions of a leader. Keeping in view the potential, competence and requirements of the followers, the leader develops a healthy work culture for his team.

2) **Serves as Linking Pin:** The leader is the most important link between the management and his team members. He is the one who informs the management about the problems faced by team members and also takes initiative to collaborate with the management and resolves them.

3) **Provides Guidance:** The team members look forward to their leader for advice and guidance when they are in a problem. Problems can be job-related or personal.

4) **Manages Time:** A leader makes sure that his team members are accomplishing their tasks on time. He uses phrases like "a stitch in time saves nine" to motivate them. He believes that timely action helps in preventing great losses.

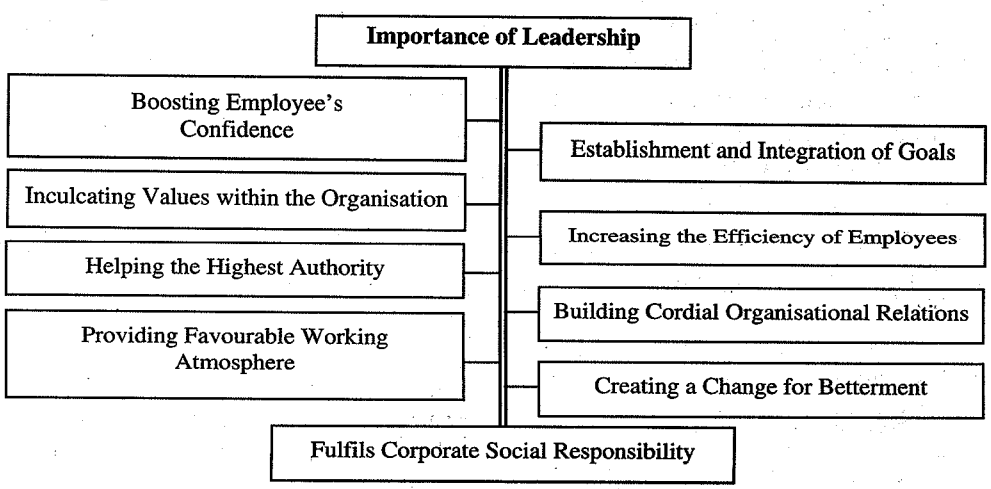
5) **Exercises Power:** A leader interprets the situation and accordingly exercises his power and control over his subordinates. Power should be emphasised on gaining a positive reaction from the subordinates.

6) **Improves Efficiency:** By introducing a reward system, the leader can motivate his subordinates for outstanding performance and also invites them to participate in organisational decision-making. If leader provides the required information and resources to his team, he will be able to gain maximum cooperation from his subordinates. This will ultimately result in enhanced group effectiveness.

7) **Motivates Workers:** Motivation encourages workers to work harder and give better results. Motivation will be useful, once the workers understand what the management expects from them. Therefore, leader must motivate his workers for better performance.

6.1.8. Importance of Leadership

Importance of leadership is as follows:

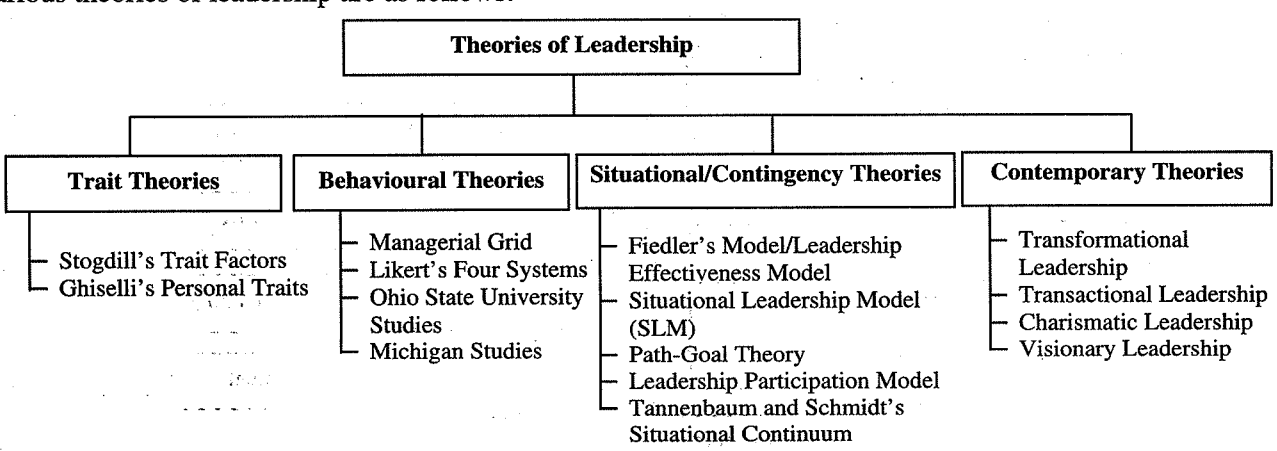


1) **Boosting Employee's Confidence:** Good leadership is very important for the growth of the organisation as well as of the employees. Only a good leader can boost confidence and passion in the employees and make them work with their full potential.
2) **Establishment and Integration of Goals:** It is the responsibility of a leader to establish goals for the group and integrate them with the organisation. He also provides guidance to his followers so that goals and policies can be correctly understood.
3) **Inculcating Values within the Organisation:** It has been seen that employees of value-based organisations show more loyalty and faith towards the organisation and work more efficiently. It is the leader, who is responsible for incorporating such values in the organisation.
4) **Increasing the Efficiency of Employees:** A good leader not only motivates the employees to perform better but he also pushes them to set a benchmark for themselves. This leads to higher productivity, which in turn leads to higher profitability.
5) **Helping the Highest Authority:** Authority itself cannot bring the disciplined approach and punctuality in the team members. A good leader is required to provide the support to the authority to bring out the best talent and utilise it to maximum extent, in order to lead the organisation towards a more sustainable position in the market.
6) **Building Cordial Organisational Relations:** An effective leadership is also essential to build cordial inter-personal and intra-personal relations in the organisation. It could also be used by an intelligent leader to achieve standard goals of the organisation.
7) **Providing Favourable Working Atmosphere:** Positive and conducive work environment plays an important role in improving the efficiency of the organisation. This is the responsibility of the leader to build and sustain such work environment in which employees feel comfortable, both mentally as well as physically, to give their 100% to the organisation.
8) **Creating a Change for Betterment:** Generally people working in the organisation are very reluctant to change, whether it is for positive or negative. It is the duty of the team leader to inform the team members about the positive aspects of the change so that they may accept the change wholeheartedly.
9) **Fulfils Corporate Social Responsibility:** An organisation which discharges its responsibility towards the society in an effective manner and maintains the work-life balance is far much reputable than other ones, which merely focus on the profit elements. It is the responsibility of a leader to maintain such a value-based system within the organisation.

6.1.9. Theories of Leadership

Leadership is generally considered as one of the complex concepts. With the passage of time, several theories have been developed which explained the leadership components and behaviour related to leadership. These leadership theories complement each other. Thus, in order to understand the concept of leadership, one needs to have a clear knowledge about these theories and their inter-relation with each other.

Various theories of leadership are as follows:



6.2. TRAIT THEORIES

6.2.1. Introduction

The most common and traditional theory that helps an individual in understanding the concept of leadership is trait theory of leadership. According to trait theories, good leaders follow both their mind and heart. They possess certain special qualities of intelligence which not only make them mentally strong but also boost up their morale. These trait theories believe that "Leaders are born and not made" because these special traits are in-built in an individual and cannot be acquired through any training. Trait theory also believes that the people tend to become good and effective leaders only if they possess certain inherited traits that are most appropriate to become a leader. Generally, it is observed that there is always some similarity in the personality and characteristics of effective and great leaders.

Thus, these trait theories were developed to recognise traits and characteristics possessed by the leaders. However, in order to identify these special qualities, several studies were made on successful leaders and it was thought that people having similar traits can also become successful leaders. Some of the most popular trait theories are as follows:

6.2.2. Stogdill's Trait Factors

According to various studies made by **Ralph Stogdill,** leaders have various traits like scholarship, intelligence, consistency, activeness, social involvement and socio-economic position. Some other traits observed by him are cooperation, perseverance, inventiveness, ability to find solutions, self-assurance, insight, attentiveness, attractiveness, verbal facility and flexibility. Thus, leaders are those people who have better judgement power and are involved in social events. Various important traits possessed by an effective leader are as follows:

1) **Intelligence:** It is believed that good leaders possess better intelligence as compared to others. They consider various aspects and outlook of the problems. They try to understand the problems clearly, analyse them accurately and then use their scientific ability to solve these problems. That is why, it is said that intelligence is one of the most important traits of a leader.
2) **Physical Features:** Appropriate physical characteristics such as height, weight, appearance, health, etc., alongwith high maturation level are the major components of the individual's personality. These personality factors play a very important role in making a leader effective and successful.
3) **Inner Motivation Drive:** Effective leaders generally have passionate inner motivational drives. They give priorities to these inner drives and always have an inner desire to achieve everything. They are well aware of the best suitable time, when they can initiate their activities effectively and satisfy their inner drive. They are not influenced by external materialistic rewards.
4) **Maturity:** Since leaders deal with number of issues and perform number of activities, they have a high tolerance level. They are not only psychologically strong but also have the capability to handle the situation using their balanced temperament. They try to avoid the situation of frustration as it may adversely affect their position as well as their working.
5) **Vision and Foresight:** A good leader should have a good vision and foresight to view the future challenges and problems and the way in which they can be dealt. A good leader pre-plans the policies and strategies that he will use in order to handle the situations as well as his followers. Thus, vision and foresight of a leader proves out to be very beneficial in making his leadership effective.
6) **Acceptance of Responsibility:** An effective leader is always ready to take the responsibility of his actions as well as the future consequences of those actions. This depicts the reliability of the leader. A good leader is always clear about his role and his duties towards the people.
7) **Open-Mindedness and Adaptability:** Giving importance to other's viewpoints is also a major quality of an effective leader. A good leader is open-minded and adapts himself according to the changing situations. Depending upon the situation, a leader is always ready to adopt the new ideas of his followers without being egoistic. He does not criticise others and is flexible in nature. In fact, he listens to them and makes changes in his decisions, if required.
8) **Self-Confidence:** Self-confidence of a leader not only motivates his followers but also boosts up their morale. The conceptual clarity of a leader increases his self-confidence and helps him to start off his actions effortlessly.

9) **Human Relations Attitude:** Success of a leader is greatly influenced by his followers. He actively participates in those activities that can enhance the cooperation of people. That is why; a good leader always understands the problems of his followers and prioritises them in order to gain their support. A leader tries to develop a healthy attitude towards human relations and gives preference to human-related issues rather than technical issues.

10) **Fairness of Objectivity:** A good leader is always unbiased and fair while making decisions regarding his group or subordinates. He is honest, loyal and lawful by nature. Even after being emotionally attached, he follows equity among his followers. Good leader always plays a fair game, has self-respect and is always true to his character.

6.2.3. Ghiselli's Personal Traits

According to the research made by **Edwin Ghiselli**, there exists a strong relation between the personal traits and leadership. The personality and motivational traits of an individual have a great impact in making the leadership effective. **Ghiselli** discovered six traits that play a crucial role in making the leadership effective, which are as follows:

1) **Supervisory Ability:** It is the ability by which a leader can get his work done by others or juniors.

2) **Need for Occupational Achievement:** A leader should be responsible and hardworking. He should be self-motivated to achieve the desired goals successfully.

3) **Intelligence:** A leader should have high level of intelligence in order to analyse the situations clearly and make good and fair decisions.

4) **Decisiveness:** A good leader is always determined to make sound decisions so as to achieve the organisational objectives. He overcomes the barriers with his creativity in a proficient manner.

5) **Self-Assurance:** The ability of a leader to face the challenges strongly and solve various issues effectively exhibits the 'self-assurance' quality of a leader.

6) **Initiative:** Good leaders always take initiative. They start their work and finish it off without letting others know about their actions.

Ghiselli's personal trait theory has a limitation that all the six traits are mutually dependent on each other and do not clarify the amount or degree of a particular trait, an individual must possess to become an effective leader.

6.2.4. Limitations of Trait Approach

Trait approach has following limitations:

1) **Traits are not Absolutely Essential for Leadership:** Self-confidence, personality, courage, intelligence, etc., are some specific traits essential for leadership according to this approach.

   However, it is hard to find a specific trait of leadership in all the well-known leaders present in the world. It is evident that some leaders are not having particular leadership trait and are still famous.

2) **Situational Aspect is Ignored:** This theory does not take into account the situational aspect in which the leaders have to perform. There are various evidences present from which it can be concluded that a leader who is successful in one situation may not get success in other situation, although the traits in both the situations are similar.

3) **Too Many Traits:** Successful leaders throughout the world possess various personality traits. There is no final list as there are about hundreds of personality traits, yet there is no consistency in their pattern of appearance.

4) **Superiority is not Clearly Stated:** According to this theory, a leader's personal traits are considered to be better than his followers. But, the nature or degree of greatness cannot be explained clearly. Some specific traits such as psychological traits still cannot be measured.

5) **False Assumption that 'Leaders are Born':** This theory explains the fact that 'leaders are born and not made'. Modern intellectuals of the subject do not accept this fact.

6.3. BEHAVIOURAL THEORIES

6.3.1. Introduction

Various limitations of trait theories made the researchers to focus on the behaviour of the leaders and their way of interacting with their followers. This study of leader's behaviour led to the development of behavioural theories. Behavioural theories are considered as an expansion of trait theories. These theories are much more superior to trait theories as the trait theories were unable to clarify the cause of effective leadership. The behavioural theories are realistic and are based on the real behaviour of the leader. The main emphasis of these theories is on 'what the leaders do when they are leading others' rather than 'at what position they are', i.e., the behaviour of the leaders is given more importance than their status. Unlike trait theories, behavioural theories neglect the belief that 'the leaders are born and not made'. In fact, according to these theories, traits do not play an important role in the growth of leadership. These theories believe that with the passage of time and experience, leaders develop new traits and that is why it is said that leaders are not born but they become leaders with their actions, increasing experience and maturation.

Types of Behavioural Theories

These are as follows:

1) Managerial grid,
2) Likert's four systems of leadership,
3) Ohio state university studies, and
4) Michigan studies.

6.3.2. Managerial Grid

R.R. Blake and **Jane S. Mouton** of USA developed the notion of managerial grid. According to them, leadership style of an individual is greatly influenced by the task-oriented and relation-oriented behaviour of that individual. This influence varies depending upon the degree of behavioural change. They have explained two phrases that lead to an effective leadership, which are as follows:

1) **Concern for Production:** According to managerial grid, an individual is considered as good leader if he is concerned about the various factors that affect the production of the organisation. These factors include quality and quantity of the product, methods adopted for increasing production, effectiveness of the employees, etc.

2) **Concern for People:** An individual, who shows concern for the people, is also considered as a high-quality leader. Leaders not only develop self-confidence and trust within their employees but also make them responsible without suppressing them. They try to maintain a healthy relation with their employees in order to achieve the established goal.

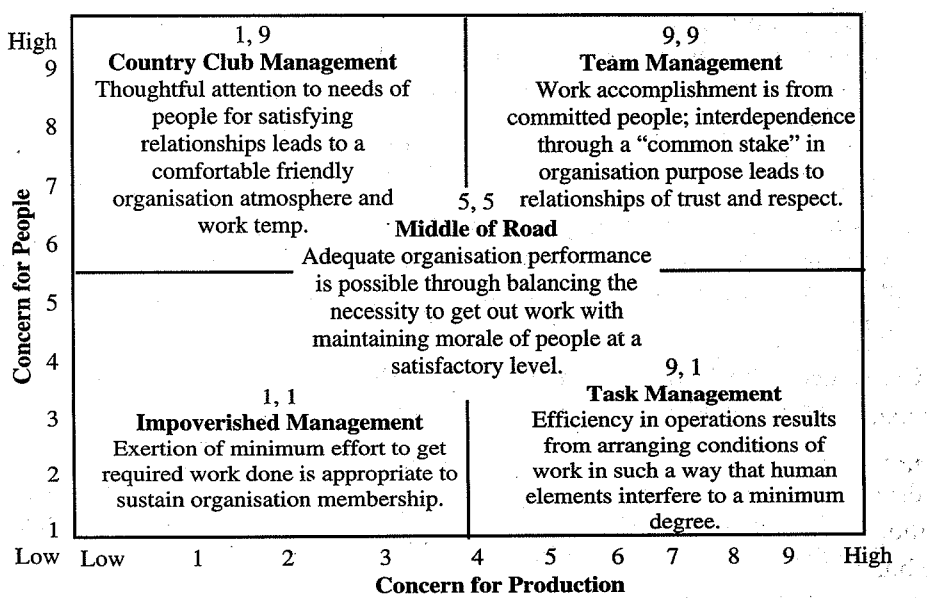


Figure 6.2: Managerial Grid

Figure 6.2 shows the degree of concern for production and for people and possible interactions (combinations) between them. The horizontal axis demonstrates concern for production and the vertical axis exhibits concern for people. Each axis is depicted as a nine point scale of concern. No.1 in each case represents the minimum concern and No.9 represents the maximum concern in ascending order.

Various elements of grid are:

1) **9, 1 Managerial Style (Task):** According to this scale point, proper organisation of work leads to efficiency. According to leader, role of human elements is negligible.
2) **1, 9 Managerial Style (Country Club):** This scale point suggests that to develop a healthy and comfortable working environment, superiors need to understand the desires of their employees and try to satisfy them to maximum limit.
3) **1, 1 Managerial Style (Impoverished):** According to this scale point, in order to maintain healthy organisational relationship, managers should apply minimum efforts to get their work accomplished.
4) **5, 5 Managerial Style (Middle Road):** This scale states that satisfactory performance results from boosting the morale of the employees and maintaining a balance among job requirements.
5) **9, 9 Managerial Style (Team):** This scale suggests that the relationship of the employees and the organisation becomes more trustworthy and respectful if mutual dependence exists between them and employees are committed towards achievement of organisational goals.

Though, there are 8, 1 leadership style positions in the managerial grid, but the most important five are discussed above. The leaders belonging to 9, 1 position prioritises production rather than people and try to achieve the established goal anyhow. Whereas, leaders belonging to 1, 9 position styles are less concerned with the production and give more importance to the people.

By the use of managerial grid, managers can easily identify their leadership style. This grid also helps them to modify their behaviour as per the situation and people accordingly. Though, this approach is innovative and based on common sense, the drawback of this approach is that it ignores various factors like environmental factors, behaviour of employees and nature of job. Besides this, it is not possible to estimate 81 combinations to search out for best suitable leadership style.

	Style of Leader	Effectiveness
1,1 Little concern for either production or people	The impoverished type	Worst leadership style
1,9 Lowest concern for production highest for people	The country-club type	People-oriented style
9,1 Highest concern for production lowest for people	The autocrat type	Production-oriented style
5,5 Comfortable concern for both production and people	The middle-of-the-road type	Maintain present balance style
9, 9 Highest concern for both production and people	The team type	Peak of leadership style

6.3.3. Likert's Four Systems of Leadership

Rensis Likert believed that there are two types of leadership styles, i.e., autocratic and democratic. On this belief, he classified **leadership styles into four systems** that were used by the various organisations. These four managerial systems explaining the leadership style are as follows:

1) **System 1 Management (Exploitative Authoritative:** The leaders, who are exploitatively authoritative:
   i) Are generally very strict and dominating by nature.
   ii) Do not trust their subordinates easily and show less confidence in them.
   iii) Believe that employees can be motivated to perform well by threatening and punishing them.
   iv) Follow downward communication.
   v) Perform decision-making at the top level of the organisation.
2) **System 2 Management (Benevolent Authoritative):** When leaders are benevolent in their authority, they:
   i) Trust their employees and have faith in them.
   ii) Believe in motivating the employees and reward them for their performance.
   iii) Are always busy in upward communication.
   iv) Give importance to the viewpoints and new ideas of their subordinates.
   v) Allow decision-making process at lower levels with proper supervision.

3) **System 3 Management (Consultative):** The leaders, who are consultative in their leadership style:
   i) Have confidence and trust in their employees to a great extent, but not completely.
   ii) Provide opportunity to their employees to express their ideas and suggestions.
   iii) Sometimes reward their employees in order to motivate them, sometimes even punish them.
   iv) Follow both upward and downward communication.
   v) Carry-out policy decisions at higher levels and even make decisions related to low-level issues.

4) **System 4 Management (Participative):** The leaders, who are participative in their leadership style:
   i) Completely trust their employees regarding all the issues.
   ii) Utilise the ideas and viewpoints of the subordinates in a creative way.
   iii) Always support their employees in their development by improvising their method of working, setting such goals that can motivate them to improve their performance and even reward them for their better performance and participation.
   iv) Communicate with fellow workers both upwardly and downwardly.
   v) Promote decision-making in the entire organisation.
   vi) Treat their subordinates and themselves as a group rather than as separate identities.

6.3.4. Ohio State University Studies

In late 1940s, several studies were conducted by the researchers of Ohio State University. The main purpose of this research work was to determine dimension and scope of leadership behaviour. For this purpose, Leader Behaviour Description Questionnaire (LBDQ) was used as an assessment tool to identify the way in which leaders carry-out their tasks. Finally, they concluded that "consideration" and "initiating structure" are two independent dimensions of leadership behaviour.

According to Ohio studies, "consideration" means the concern of leader towards his followers. This concern is in the form of friendship, trust, respect and worth. A leader having consideration in his leadership behaviour is supportive and friendly towards his subordinates. Such leaders give importance to the viewpoint of their followers and believe in a two-way communication. They even help their subordinates in their personal issues. Since their leadership style is employee-oriented, they are recognised and respected by their followers.

On the other hand, initiating structure is followed by those managers who are task-oriented. They give less preference to consideration. Besides this, researchers of Ohio University were also able to discover that both these dimensions are autonomous which means a leader can either be considerate or he can score more on initiating structure. A leader cannot have both the leadership styles simultaneously. In simple terms, one dimension cannot influence the other dimension by any means. Thus, several studies found that both the dimensions, i.e., concern for subordinates and initiating structure are reliable dimensions.

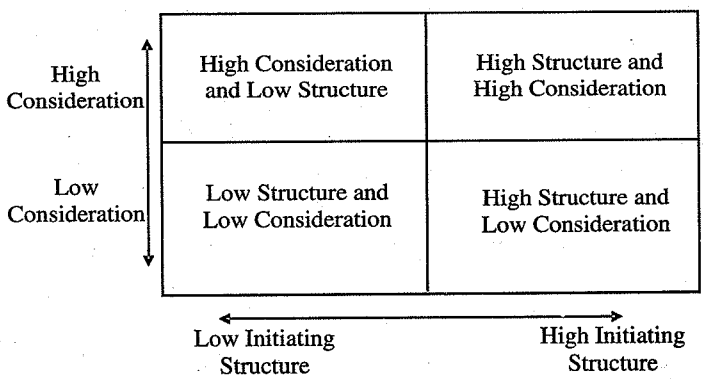


Figure 6.3: Ohio State Studies

Consideration for employees is human-oriented. It is also known as relationship behaviour as it focuses on needs and relationship requirements of an individual. Initiating structure is task-oriented or goal-oriented. These findings are very beneficial, not only in studying various organisational and leadership behaviours, but also in proving that both these dimensions were not mutually dependent. Besides this, a matrix was also designed which explained combination of both the dimensions in different degrees (see **figure 6.3**).

Leaders having both the dimensions in higher degree can effectively handle their followers and improvise their performance to an acceptable level. However, Ohio studies had a drawback as it ignored the situational factors.

Even after developing various dimensional combinations, the application of these combinations in appropriate situation was not searched out. Some situations require consideration and some require initiating structure. Thus, the requirement of every situation is different which depicts the importance of situational factors. **For example,** highly skilled and self-motivated healthcare professionals have no need of initiating structure from their superiors.

6.3.5. Michigan Studies

In order to identify the behaviour of leaders and the influence of their behaviour on employee's performance, the researchers of Michigan University conducted several studies. Finally, they were able to recognise following types of behaviour:

1) **Employee-Centred Behaviour:** It is similar to Ohio behavioural studies as it deals with the connection of the leaders with their employees. Leaders or managers having employee-centred behaviour support their employees by guiding them in the right direction, taking personal interest in their job and frequently informing them about their performance and avoid punishing them for their mistakes. They prefer performing supervisory tasks. However, they avoid close supervision and supervise their employees in a general way.

2) **Production-Centred Behaviour:** This behaviour is similar to initiating structure behaviour of Ohio studies as it emphasises on the tasks performed by the supervisors. Supervisors prioritise carrying out activities which are similar to that of their employees rather than carrying out supervision and planning procedures. They adopt close supervision and even punish the employees for their mistakes.

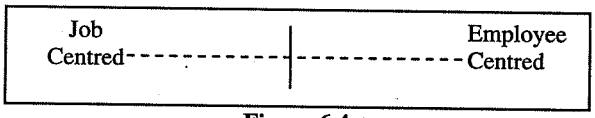


Figure 6.4

Though, the behaviours of the leaders observed by the Michigan studies is similar to that of Ohio's studies but according to Michigan researchers, employee-centred behaviours and production-centred behaviours are two faces of a same coin. According to this observation, both the behaviours cannot be developed by the leaders simultaneously. However, after conducting several studies, Michigan researchers concluded that both the behaviours are independent of each other. In 1950s, they discovered three most effective leadership characteristics, which are as follows:

1) **Task-Oriented Behaviour:** Managers having task-oriented behaviour are considered as effective leaders as they perform different kinds of activities that are dissimilar to their subordinates. Some of these activities are planning, scheduling, managing the activities performed, making arrangement of resources, motivating the employees to perform better and achieve the goals and objectives set by the organisation.

2) **Relationship-Oriented Behaviour:** Only task-oriented behaviour is not sufficient for becoming an effective leader. Effective managers also exhibit relationship-oriented behaviour under which they try to establish cordial relations with their employees. They try to support their subordinates not only professionally but also personally. They motivate their employees for good performance and reward them for their efforts, both monetarily as well as non-monetarily.

3) **Participative Leadership:** Participative leadership style is another characteristic of an effective leader. The main motive of this leadership style is to develop team-oriented behaviour and create strong and inter-related team that works together as a group, not as an individual. For this, leaders ask their employees to express their ideas in the team meetings, group decisions and other problem-solving matters. The managers are not commanding but facilitative as they guide their employees on how to resolve their differences. Managers are solely responsible for the results. Before making any final decision, they consider the suggestions of group members.

6.4. SITUATIONAL/CONTINGENCY THEORIES

6.4.1. Introduction

In late 1960s, various researchers such as **Blanchard, Fiedler and Chemers, House and Filley, and Vroom** recognised that trait and behavioural theories cannot be applied to every situation. They proposed that situational characteristics of an individual also play an important role in identifying the leadership qualities. According to **situational** or **contingency theory,** the circumstances responsible for the emergence of a leader and the situations in which he performs his job have a great influence in making the leadership effective. A good leader always tries to understand the requirement of the situation and then takes steps accordingly. This theory also believes that people follow only those leaders, who frequently interact with their group, fulfil their desires and help in accomplishment of established goals and objectives.

Types of Situational Theories

Some of the most popular situational theories are as follows:

1) Fiedler's model/Leadership effectiveness model,
2) Situational Leadership Theory (SLT),
3) Path-goal theory,
4) Leadership participation model, and
5) Tannenbaum and Schmidt's situational continuum.

6.4.2. Fiedler's Model/Leadership Effectiveness Model

Fred Fiedler was the one who discovered the first contingency theory of leadership. According to this theory, an adequate balance between the leader's style and the extent of authority exercised by the leader in a particular situation results in effective group performance. **Fiedler** contingency theory is based on the assumption that the leader's ability to act according to the situation results in effective leadership. Besides this, Fiedler's model also believes that a single leadership style cannot be exercised in all situations and for all the employees. There are three key components of Fiedler's contingency theory, which are given below:

1) **Leadership Style:** According to **Fiedler,** there are two types of leadership styles:
   i) **Task-Directed Style/Hard-Nosed Style:** Leaders possessing this leadership style are always directed towards improving the work performance and are satisfied only after the accomplishment of the task.
   ii) **Human Relations Style/Lenient Style:** Leaders possessing this leadership style prioritise on developing healthy relationships with their employees. Their main motive is to gain importance in the eyes of their followers.

   In order to measure the leadership style adopted by the individual, **Fiedler** established two types of ratings which are as follows:
   i) **Scores on Least Preferred Co-worker (LPC):** This rating consists of sixteen factors such as comfortable-non comfortable, pleasant-unpleasant, friendly-unfriendly, etc., upon which leadership style of an individual is estimated. In simple terms, scores given on LPC basis emphasise on the liking and disliking of an individual with his group members.
   ii) **Scores on Assumed Similarity (AS) between Opposites:** Assumed similarity rating is used to measure the degree of similarity between the leader and his group members.

   However, scores of both the ratings are strongly and positively correlated to each other.

2) **Situational Variables: Fiedler** believes that leadership style is also affected by certain dimensions of situations, which are mentioned below:
   i) **Leader's Position Power:** Power and influence associated with the job is known as position power. The position power of a leader affects his leadership style as high position power leads to greater influence on the followers. Greater the position power, more effective is the leadership. **For example,** managers having high position power can freely take the decisions regarding the hire and fire of the employees as well as maintenance of the discipline. Position power is also equivalent to coercive, reward and legitimate power.
   ii) **Task Structure:** The extent to which job tasks are planned is known as task structure. This factor also influences the behaviour of a leader towards his followers. **For example,** leaders of assembly line jobs are more effective in their job as compared to managers because the duties of assembly line jobs are more organised than the managerial jobs.
   iii) **Leader-Member Relations:** The degree of likelihood, trust, respect, reliability, friendliness, comfort of the group members towards their leader is included in the leader-member relation.

3) **Relation between Leadership Style and Situational Variable:** According to **Fiedler,** situation determines the effectiveness of a leadership style. Thus, appropriateness of leadership style for different situations is mentioned below:
   i) Task-oriented leadership is beneficial when the group is either in the complete favour of the leader or completely against the leader.
   ii) Human relations-oriented leadership style is beneficial when the group exhibits intermediary kind of favourableness towards the leader.

Fiedler's theory suggests that the favourableness of the situation and leadership style has a direct and positive association with each other. Thus, it can be said that fulfilment of all the three situational dimensions makes the situations favourable for the leader, i.e., leaders with high power position alongwith planned task and strong leader-member relationship results in suitable situations for the leader to prove his effective and efficient performance. Non-fulfilment of these situational dimensions develop unfavourable situation for the leaders. Fiedler identifies the relationship between leadership style and favourableness of situations as shown in **figure 6.5**:

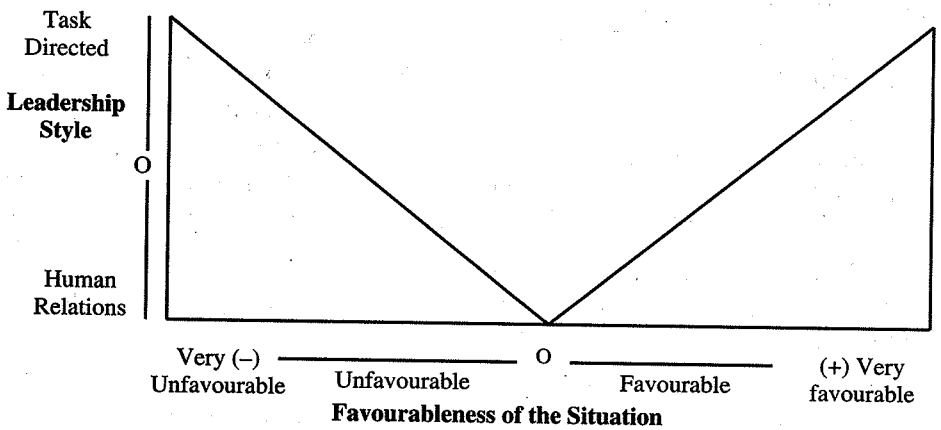


Figure 6.5: Fiedler's Model of Leadership

6.4.3. Situational Leadership Model (SLM)

Paul Hersey and **Kenneth Blanchard** also developed a theory called Situational Leadership Theory, which proposed that the leadership style of any leader should be according to the maturational needs of his followers. These maturational needs consist of various stages which move in a cyclic order and that is why this theory is also known as **life-cycle theory of leadership**. Many organisations have admired this theory and are also providing several training programmes based on this theory. SLT consists of two major components, which are as follows:

1) **Leadership Behaviour/Styles:** There are four types of leadership styles which are further based on combination of following considerations:
   i) **Relationship Behaviour:** The social and emotional support of leader towards his followers determines the relationship behaviour.
   ii) **Task Behaviour:** Task behaviour is determined by the assistance or guidance given by the leader to his followers.

Combination of these two dimensions results into four leadership styles as shown **figure 6.6**:

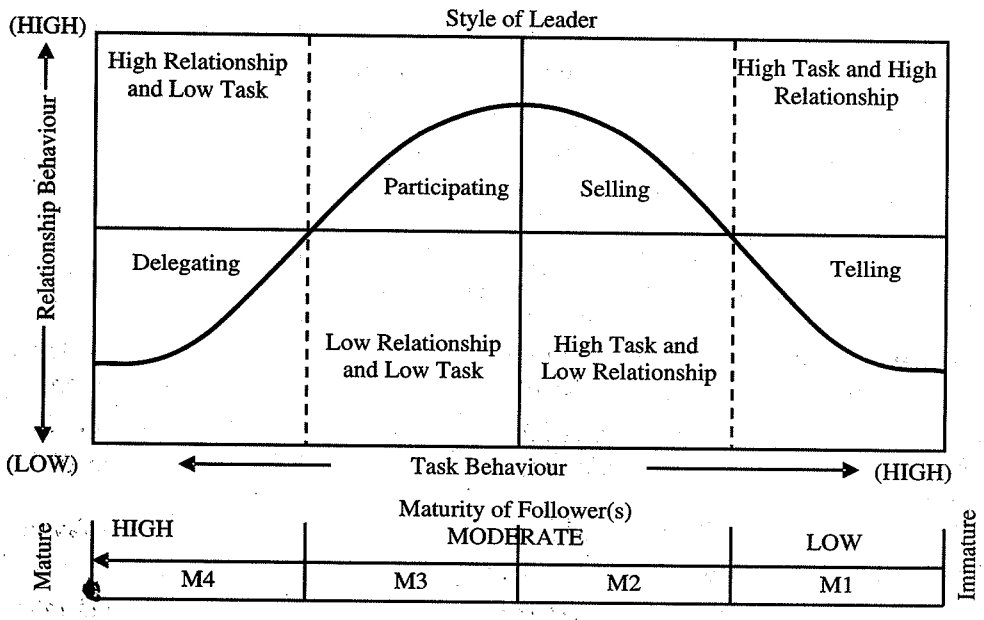


Figure 6.6: Situational Leader Model

Combining Leadership Styles and Maturity

Combination of appropriate leadership styles according to the level of maturity not only depicts the relationship between them but also results in effective leadership. The most appropriate four leadership styles, as per the specific maturity level, are as follows:

i) **Telling or Directing (High Task – Low Relationship):** When the tasks are complex in nature and the leader-members relations are not smooth, leaders follow directive behaviour. They direct their followers about their role as well as how, when and where, the task should be carried out.

ii) **Selling or Coaching (High Task – High Relationship):** When the tasks are challenging and the relation of the leader with his followers is healthy, leaders adopt both directive as well as supportive behaviour.

iii) **Participating or Supporting (Low Task – High Relationship):** In the situations, when the tasks are low and the relationship is high, the decision-making process is carried out by both the leader as well as the followers. The leaders in such situations adopt facilitative and communicative behaviour.

iv) **Delegating (Low Task – Low Relationship):** In such situations, leaders delegate or handover their responsibilities to others. Though leaders follow directive and supportive behaviour, the degree of direction and support is very less.

2) **Follower Readiness/Subordinate's Maturity:** According to this model, maturity is defined as the 'ability' and 'willingness' of an individual to apply his own behaviour in right direction. This theory is absolutely different from **Argyris's** theory in terms of maturity and immaturity. Here, **ability** is defined as amount of knowledge and skill possessed by an individual regarding his job. It is also known as **job maturity**. **Willingness** means the amount of psychological maturation possessed by an individual to perform the task more confidently and promisingly.

Since, different people have different maturation levels according to different task, therefore, these maturation variables should be taken into consideration by the leader only when a specific task is to be carried out by the employees. Before evaluating the maturity level and performance of his subordinates separately, he should assess the maturity level of the entire group, especially when all the group members are interacting with each other very frequently. When ability and willingness are combined together, following maturity combinations can be obtained:

i) **M_1: Low Ability and Low Willingness – Low Maturity:** People with low ability and willingness always have low maturity level. Such individuals are never ready to face the competition and always avoid taking responsibilities due to lack of confidence in themselves.

ii) **M_2: Low Ability and High Willingness – Low to Moderate Maturity:** Such people do not have adequate knowledge and skills regarding their job but are always self-motivated to perform better.

iii) **M_3: High Ability and Low Willingness – Moderate to High Maturity:** Such individuals are capable but are reluctant and hesitant to meet the desires of the leaders.

iv) **M_4: High Ability and High Willingness – High Maturity:** These people are both capable and willing to do everything for the accomplishment of established group goals.

6.4.4. Path-Goal Theory

Path-goal theory was introduced by **Robert House** and consists of various elements of 'Ohio State leadership' study and 'expectancy motivational theory'. As the name recommends, path-goal theory believes that the effective leaders guide their followers about the right path and help them to achieve the desired goal by removing their obstacles. According to this theory, a good leader always support his followers by making accurate and adequate information and resources available for them, so that they can easily achieve their goals. **Robert House** believed that there are four types of leadership behaviours, which are as follows:

1) **Supportive Leadership:** Supportive leadership is most suitable for stressful, tedious and risky situations. Leaders having this leadership style try to make the working environment comfortable and interesting. They show concern for their followers and motivate them to cope up with any sort of challenging situation.

2) **Directive Leadership:** This leadership is appropriate for the situations when the followers are not so experienced and the nature of task is complex and non-organised. Leaders having directive leadership style, guide their followers about what is to be done, how it is to be done, in what time the task should be

accomplished, etc. Under this leadership, since different roles are given to different members of the group, the chances of chaos are decreased and the sense of work ownership is increased. Rewards are given on the basis of the performance of the members.

3) **Participative Leadership:** Participative leaders give importance to the ideas and viewpoints of the followers and utilise them in various decision-making processes. This approach is successful if the followers are expert from whom the suggestions are to be taken and their advice proves out to be beneficial for the entire group.

4) **Achievement-Oriented Leadership:** This leadership is best applied when the task is challenging and complex by nature. By using this leadership style, leaders show their confidence and trust in their follower's capabilities. They set-up challenging and high standardised goals, so that the followers apply their full potential and succeed in achieving their goals. It also leads to self improvement of the followers.

As shown in **figure 6.7, Robert House** also discovered that there are two types of variables that help in moderating the behaviour of a leader and the outcome of that behaviour. These variables are as follows:

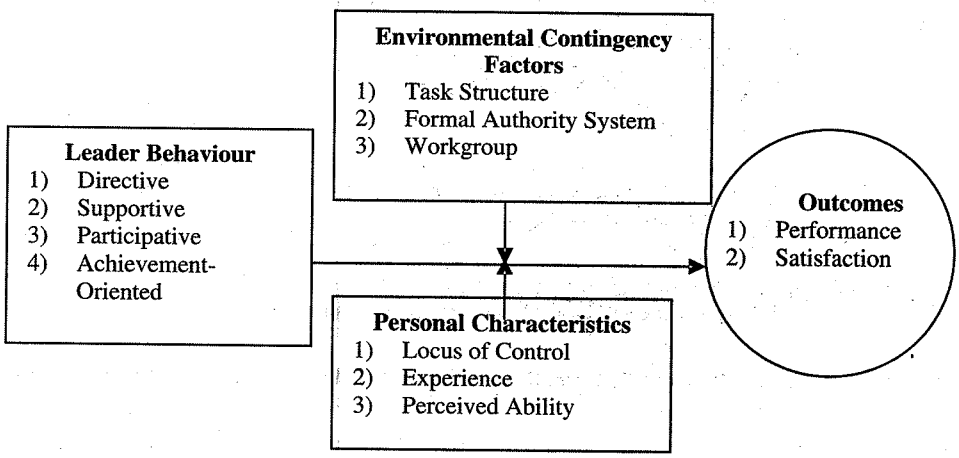


Figure 6.7: Path-Goal Theory

1) 'Environmental variables' such as nature of task, nature of higher authorities and the fellow workgroup, etc., cannot be modified or altered by the employees.
2) 'Individual's personal characteristics' such as proficiency, experience and degree of control allotted to an individual.

Environmental factors emphasise on what behaviour should be adopted by the leaders to maximise the outcome of his followers, whereas, individual characteristics identify how the environmental factors and leader's behaviour are understood. Thus, the path-goal theory suggests that the leader's behaviour can be effective when it efficiently utilises the environmental sources or the employee's personal characteristics.

6.4.5. Leadership Participation Model

A leadership contingency model combines the participation in decision-making and leadership behaviour. According to this model, there are five styles of leadership which are relying on contingency factors. They are as follows:

Leadership Styles

1) **Decide:** A leader is the decision-maker who conveys and disposes the decisions to his followers.
2) **Personal Consultation:** A leader conveys the problem to the members of a group individually, seeks their inputs, and then takes his decision.
3) **Consult with Group:** A leader explains the problem to the entire group in a meeting, asks for their opinions, and then decides.
4) **Facilitate:** A leader explains the problem to the members of a group in a meeting, provides the complete information, and lists out constrains under which the decision has to be taken.
5) **Delegate:** A leader allows the members of a group to take the decision within the set constrains.

6.4.6. Tannenbaum and Schmidt's Situational Continuum

Robert Tennenbaum and **Warren Schmidt** formulated that the most efficient style of leadership is dependent upon 'forces' in (1) the leader, (2) the follower, and (3) the situation. Depending on the pervasiveness and interaction between these forces, a leader has a continuum of styles from where he can select the relevant style for boosting the productivity of the organisation. **Figure 6.8** explains the leadership continuum graphically illustrating the numerous style or methods which are adopted by a leader, ranging from boss-centric to subordinate centric and on the basis of inter-relationships of three forces explained below.

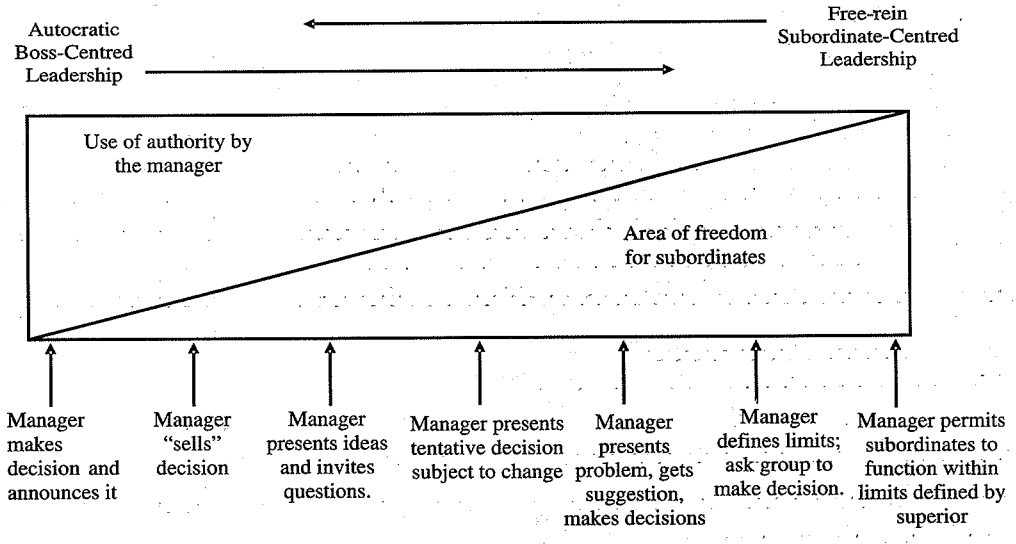


Figure 6.8: Continuum of Leadership Behaviour

Forces in the leader consist of a manager's individual attitude towards delegation of responsibilities and authorities, his value system, feelings of insecurity in case of crisis or difficult situations, preference towards autocratic or democratic leadership style, and the faith in follower's capabilities to tackle responsible task.

Forces in the followers explain the level of alignment and recognition towards organisational goals, requirement of freedom against cautious control and direction, the interest and expectation in participating in problem-solving and decision-making activities of organisation, and keenness to accept additional responsibilities.

Forces in the situation include pressure of deadlines and time constraints, nature of organisational structure (centralised or decentralised), certain expertise and maturity for resolving certain crisis, cordial association and potency of group, and expectations of higher management.

Therefore, according to this approach, leaders are made and not born. Therefore, it makes it necessary to formulate development programmes and provide executive training to make future leaders.

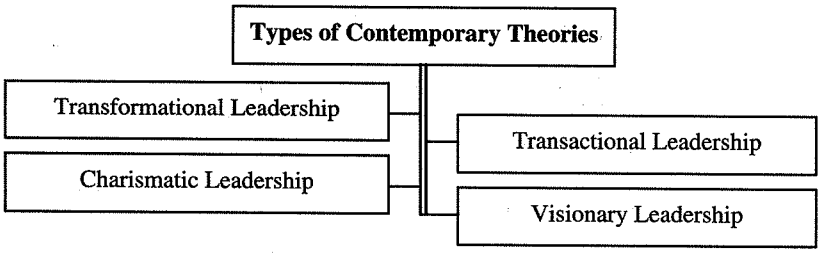
6.5. CONTEMPORARY THEORIES

6.5.1. Introduction

Contemporary theories believe that rather than observing each traditional leadership theory individually, it is better to consider all the theories together so that the holistic view of these leadership theories can be understood. Contemporary theories follow various aspects of trait as well as behavioural and contingency theories. These theories believe that there are certain inherent traits within a leader that make his leadership effective.

But, besides this, behavioural factors of the leader cannot be ignored as traits are not visible but behaviour can be observed. An effective leader must also have the capability to adapt himself according to the changing situations, without hampering his leadership effectiveness. Thus, the combination of different elements of three different theories is crucial to make the leadership effective.

Types of Contemporary Theories
According to various researchers, the most current approaches to leadership in organisations are as follows:



6.5.2. Transformational Leadership

Transformational leaders have a deep and unique effect on their subordinates as they guide their followers to give priority to the organisational interest rather than their own interest. Such leaders have a charismatic personality and give importance to their employees and motivate their intellectual skills. **For example, Leslie Wexner** of the **Limited Retail Chain** and **Jack Welch** at **General Electric** gave due consideration to the needs of their employees. They guided them about how to solve old problems using new methods and motivated them to achieve the established group goals by putting extra efforts and thereby improving their performance.

Characteristics of Transformational Leader
Transformational leaders have following characteristics:

1) **Charisma:** Transformational leaders make the followers understand the vision of the job. This inculcates pride in followers and in turn followers respect and trust the leader.
2) **Inspiration:** Such leaders inspire their followers by discussing their expectations with them. They make use of various symbols to give direction to the efforts of followers and use simple techniques to make them understand the main purpose of the task.
3) **Intellectual Stimulation:** Transformational leaders stimulate intellectual skills such as intelligence, accurate reasoning and vigilant problem-solving ability within their subordinates.
4) **Individualised Consideration:** Such leaders have a great concern for their subordinates. They not only give individual attention to each employee but are always ready to give guidance and support to their employees.

6.5.3. Transactional Leadership

Transactional leadership is based on the relationship of the leaders with their subordinates. All the conventional theories of leadership which are given by Ohio researchers, Fiedler, Robert House, etc., are based on this transactional leadership. Leaders having transactional leadership style are directive and motivating by nature. They not only clarify their subordinates about the role to be performed by them but also guide them the appropriate path which should be adopted in order to accomplish the established goal.

For example, Steve Jobs has to mandatorily be one of the names in the most iconic transformational leaders the world has ever seen. His passion for perfection, simplicity and sophistication drove the company and he made sure that it got engraved into every employee who worked at Apple. He constantly challenged his employees to think beyond what has already been done and made them create products that the world did not even know it needed.

Characteristics of Transactional Leader
Various characteristics of transactional leaders are as follows:

1) **Contingent Reward:** Transactional leaders recognise the efforts made by their subordinates and reward them for their efforts and better performance.
2) **Management by Exception (Active):** Such leaders are responsible for rectifying the mistakes made by their employees. When the subordinates move away from the established rules and standards, transactional leaders take remedial measures to handle the situation.
3) **Management by Exception (Passive):** Transactional leaders interfere and take action against their subordinates, only when they are unable to accomplish the set standards and goals.
4) ***Laissez Faire*:** Transactional leaders avoid taking responsibilities and making decisions.

Transactional *v/s* Transformational Leadership

Basis of Difference	Transactional Leadership	Transformational Leadership
1) **Leadership Strategy**	Development of strong inter-relationship between the leader and his follower is adopted as the leadership strategy.	In order to improve the performance, the main strategy is to increase the motivational level.
2) **Leadership Goal**	The main focus is on compliance of standards by the follower.	The main focus is on commitment of followers and enhancement of their morale.
3) **Underlying Psychological Motivator**	Social exchange of important sources among the leader and the followers turns out to be psychological motivator.	Psychological motivators are in the form of increased self-efficiency and commitment towards the shared values.
4) **Power Base**	Leaders generally adopt coercive, legitimate and reward power.	Leaders generally adopt expert and referent power.
5) **Relationship of Leader to Follower**	*Quid pro quo* relationships are maintained.	Morally challenging relationship is maintained.
6) **Operational Impacts**	It leads to short-term impact.	It leads to long-term impact.
7) **Traditions Developed Over Time**	Continuity of leadership is given more importance than changes.	Changes in the leadership style are warmly welcomed and accepted by the organisation.
8) **Follower Outcome**	Under the influence of transactional leader, followers become obedient towards the rules and standards established by the leader.	Followers are more responsive towards the internal rules and standards.
9) **Leader Expectation from Followers**	Expects obedience of rules and standards in a systematic and sincere manner.	Expects commitment from the followers to perform better with honesty.
10) **Self-Expectations of Leaders**	In order to continue with their authority in the company, leader utilise their power bases to make joint exchanges.	In order to inspire and motivate the followers, leaders give personal examples related to moral development which further improves organisational integrity.
11) **Organisational Outcome**	This leadership style results in long-term stability of the organisation.	This leadership style results in improving the honesty and honour of the organisation.

6.5.4. Charismatic Leadership

The theory of charismatic leadership is considered as an expansion of attribution theory. According to this theory, followers first observe certain behaviours of the leader and then start acknowledging the leader and his abilities. Several studies have been conducted to identify the behaviours of charismatic leaders and determine the differences between the charismatic leaders and non-charismatic leaders.

Characteristics of Charismatic Leaders

Charismatic leaders bear the following characteristics:

1) **Self-Confidence:** They are very confident about their decisions and capabilities.

2) **Vision:** Vision of charismatic leader is exceptional; still it can be recognised by his followers. His vision is innovative and energising. Charismatic leaders show the target to be achieved by the organisation in future and also give the right direction to followers about how to achieve that target.

3) **Ability to Clear the Vision:** Such leaders not only understand the needs of the followers but also motivate them to achieve the created vision. For accomplishing this, these leaders inform the followers about the vision in such a way that it becomes clearly understood by the followers.

4) **Strong Convictions about the Vision:** Charismatic leaders can do anything in order to achieve their visualisation. Since, they are determined towards their vision, they are ready to take high risks and spend higher expenditure to accomplish them. Such leaders are non-selfish by nature and are committed towards the company.

5) **Extraordinary Behaviour:** Charismatic leaders are exceptional in many ways. They are innovative and bring new ideas and sometimes even contradict the customs. That is why; such leaders are appreciated by their followers.

6) **Change Agent:** Charismatic leaders are responsible for bringing changes in the organisation. Hence, they are termed as change agents.

7) **Environmental Sensitivity:** Charismatic leaders are environmentally sensitive by nature. They are well aware about the environmental restrictions and make proper evaluation of the resources required to meet the possible changes.

6.5.5. Visionary Leadership

Visionary leadership is closely associated with transformational leadership style. Visionary leaders focus on the future and use their future vision to guide and direct the followers. Such kind of leadership is useful for those organisations that possess entrepreneurial spirit.

Characteristics of Visionary Leadership

Following are the characteristics of visionary leadership:

1) Such leaders are designers. They love designing new projects and resolving issues. They also prefer to work in administrative and technical areas.
2) They are compassionate and their subordinates prefer to follow their thoughts and ideas.
3) They are confident and even the biggest problems do not scare them. They easily troubleshoot them.
4) They cannot be easily pleased and also do not endure people making mistakes every now and then.
5) They create positive and inspirational vision for the future and motivate their followers to follow that vision.
6) They encourage creative thinking and inculcate problem-solving skills in their followers.
7) They focus on developing a pioneering spirit among their followers so that they can attain those targets that are never attained by anyone.

6.6. EXERCISE

6.6.1. Very Short Answer Type Questions

1) Discuss the concept of leadership.
2) What do you understand by functional leader?
3) Explain the term, charismatic leadership.
4) What is visionary leadership?

6.6.2. Short Answer Type Questions

1) Differentiate between managers and leaders.
2) Explain the needs of leadership.
3) Write a note on managerial grid.
4) Explain Likert's four system of leadership.
5) Describe the path-goal theory of leadership.
6) Discuss the limitations of contingency leadership approach.

6.6.3. Long Answer Type Questions

1) Give a detailed note on various types of leaders and leadership style.
2) Discuss the traits and qualities of effective leaders. Also highlight the importance of leadership.
3) Explain various theories of leadership. What are the functions of leader?
4) Describe the concept of trait theory of leadership. Also explain Stogdill's and Ghiselli's trait Factors.
5) Enumerate various behavioural theories of leadership.
6) Elaborate situational leadership model and leadership participation model of leadership.
7) What do you understand by transformational and transactional leadership? Explain various contemporary theories.

Chapter 7

Conflict Management

7.1. CONFLICT

7.1.1. Meaning and Definition of Conflict

Conflict refers to demonstration of anger, revolt, negative behaviour, violence, enmity and misconception. It is a result of differences in opinions of people or groups working within an organisation. Reasons can be numerous, ranging from allocation of resources to division of work, to overall functioning of the organisation. Diversity within the organisation in terms of goals, objectives, philosophies and viewpoints results in conflict. Conflicts can arise within an organisation or between two organisations or between organisation and their external environments. It crops up when one party gets the notion that the other party might adversely affect its wellbeing→.

According to Joe Kelly, "Conflict is defined as opposition or dispute between persons, groups or ideas".

According to Follett, "Conflict is the appearance of difference, difference of opinions, of interests".

According to Peterson, "Conflict is defined as an interpersonal process that occurs whenever the actions of one person interfere with the actions of another".

According to Stephen Robbins, "Conflict is a process in which efforts are purposefully made by a person, unit, or group to block others that results into frustration either in attaining goals or furthering his/her interests".

7.1.2. Nature of Conflict

Nature of conflict is as follows:

1) **Conflicts are Unavoidable:** Conflicts are inevitable. They arise as a result of differences in thoughts, goals, outlooks and viewpoints of people working together in an organisational set-up. It is the manager's responsibility to handle conflicts both as an arbitrator (to solve the conflict) and as a member.

2) **Conflicts are Generally Small:** Conflicts are just small outbursts which constantly affect the working relationships. Although they might become big if not handled efficiently and timely.

3) **Conflicts have Multiple Dimensions:** Conflicts are multidimensional and have numerous types. Conflict involves collision of power. Yet, it involves imbalance and uncertainty of power. The result of a conflict is usually unstable.

4) **Conflicts Involve Searching for Balance:** Conflict tends to find stability between powers by pushing and pulling, giving and taking. Hence, conflict corresponds to power. Power is the ability to induce effects while conflict is a technique of gaining and balancing power. To find out which power would be successful, it is important to understand the conflict associated with it. Similarly, in order to understand conflict, it is necessary to disclose the hidden powers of parties participating in conflict.

5) **Conflicts are Pervasive:** Conflicts are widespread and omnipresent. Knowledge related to oneself, other people, truth, growth, development and the potential to build a heaven or hell for oneself comes within conflict.

6) **Conflicts are Disturbing:** In an organisational set-up, conflict is considered as a disturbing element as it hampers the routine work. Conflict makes it difficult for the concerned employees or groups to work together. If employees refuse to work together and end up fighting openly, the business will be affected immensely.

7) **Conflicts Involve Discrepancies:** It is a well-known fact that conflicts arise due to certain extent of discrepancy between the parties involved in the conflict. Following can be the reasons behind the discrepancies:
   i) **Facts:** At times, the discrepancies take place due to variance in the definition of the issue, or people do not have complete information and facts, or they have different opinions about relative power and authority.
   ii) **Goals:** At times, the differences in goals might be the reason behind discrepancy. This is because every department, division, or section of organisation has different goals which might contradict with each other.
   iii) **Methods:** At times, employees might have different views about the strategies and processes to be followed for accomplishment of mutually accepted goal.
   iv) **Values:** Moral values can also lead to discrepancy. Individuals might have different opinions about the manner in which power is exercised or the definition of justice, equality, etc. These disparities affect the selection of objectives or methods.

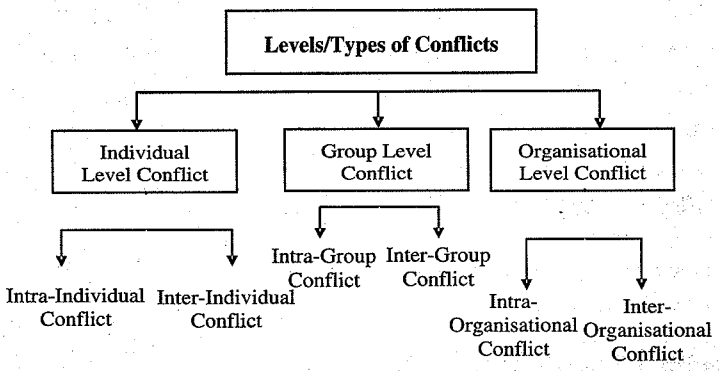
7.1.3. Sources/Bases of Conflict

The main sources/bases of conflict in organisations are as follows:

1) **Organisational Change:** Individuals have different opinions like which path is to be followed, what resources are to be used, which method is to be adopted for achieving the desired objective, etc. Changes are witnessed regularly within organisation due to rapid advancements in the global economy. These changes may lead to conflict.
2) **Personality Conflict:** Individual differences are a common phenomenon in an organisation. The thoughts, emotions, mindsets and activities differ from person to person which might lead to conflicts. Apart from causing conflicts, the differences in personalities also help in finding innovative solutions to problems. Therefore, employees need to acknowledge and respect individual differences and understand how to utilise them positively.
3) **Difference in Values:** The beliefs and value systems also vary from person to person. People might have different perspective or ethical values which may result in disagreements. These disagreements might be tough to resolve due to their subjective nature. Comparatively, disputes over objective issues like alternative products, promotional campaign and inventory levels are easier to resolve.
4) **Danger to Status:** Status, also called social rank, is a matter of great concern for various people. If status of people is endangered by someone, it may also lead to conflict.
5) **Different Perceptions:** Past experiences of people greatly affect their perception. As they have already faced the similar situation and have a fixed mindset regarding it, they expect others to share the same mind-set without realising that they might have a totally different viewpoint. Conflicts might crop up if they do not learn to understand other's point of view and make others understand their own viewpoint.
6) **Lack of Trust:** Trust is the foundation of every relationship. Trust provides direction to actions unlocks barriers and improves the entire social framework of the organisation. Trust is hard to build, but it takes a minute to destroy it. Conflict is likely to arise when a person, out of genuine or imaginary grounds refuses to trust another.
7) **Inter-departmental Disputes:** Inter-group or inter-departmental disputes are extremely linked to:
   i) **Territory:** In such a case, one group believes that another group is trying to enter their territory.
   ii) **Prestige:** In such a case, one group believes that another group is getting the fame and recognition for inputs and accomplishments that rightfully belong to them.
   iii) **Poaching and Theft:** In such a case, the members of one group are charmed away by the other.
8) **Job Related Issues:** Job performed by an individual is also a source of conflict. Its various forms are as follows:
   i) **Conflict between Job and Employee:** This usually happens in case of experts and senior staff who get frustrated as they are not able to make use of their full potential. The job does not give them much scope for development and professional growth.
   ii) **Conflict between Job and Organisation:** This conflict is associated with the relation between presence of opportunities and the degree to which they are offered by the organisation.
   iii) **Conflict between Employee and Organisation:** This crops up when the style of management, wages, supervision and work-culture is not suitable for the employees.
9) **Other Agendas:** Concealed, paralleled and secondary issues also create conflict. They flourish when the organisation lacks a well-defined objective. They can also be found in organisations where proper recognition is not given to outstanding performers.

7.1.4. Types/ Levels of Conflict

Conflict can be classified into following types:



7.1.4.1. Individual Level Conflict

'Need' motivates human behaviour. An individual works in order to fulfil his various needs. When an organisation fails to fulfil the needs of its employees, conflict arises. According to **Keith Davis**, "Organisations are systems of medieval torture which suppress and subjugate their victim individual. He lives in helpless conformity, stripped challenge for psychological fulfilment." In the same manner, **Chris Argyris** states that, "There is a lack of congruity between the needs of healthy individuals and the demands of the organisation." In such a situation, a psychological conflict arises within the individual as he is neither able to leave the organisation, nor he is able to correct the mistake and not even able to accept the scenario as it is. This makes him stressed and irritated. There are two types of individual level conflicts:

1) **Intra-Personal/Intra-Individual Conflict:** Intra-personal conflict is psychological in nature and crops up within the personality of a person. Very often, person is not able to realise that he is in a state of conflict. Though, it might be evident or latent. This type of conflict is usually associated with the goals an individual intends to achieve or the roles he wants to perform. Intra-personal conflicts are of three kinds:
   i) **Conflict Originating from Frustration:** When a person is not able to achieve his target due to certain hindrances, he becomes frustrated. These hindrances can be either covert (inward or mental-socio psychological) or overt (outward or physical). Hence, frustration model helps in interpreting the general behaviour as well as the specific factors related to on-the-job behaviour. When a person is frustrated, he acquires any of the following defence techniques:
      a) **Aggression:** This refers to the attack of the symbolical or physical barriers.
      b) **Withdrawal:** This refers to backing-off from the barrier. In such cases, the person tries to stay away from the circumstances which may lead to conflict.
      c) **Fixation:** This refers to the continuous effort to crack and rise above the obstacle.
      d) **Compromise:** This refers to the exploration of a new objective.
   ii) **Conflict Originating from Goals:** Sometimes, goals having both positive and negative characteristics become a source of conflict. Opposing goals also lead to conflict. In case of frustration, person is not able to reach his target due to obstacles in his path whereas in case of goal conflict, two or more goals are in conflict with each other.
   iii) **Conflict Originating from Role:** A person performs numerous roles. Even though each of his roles inside the organisation is crucial to his behavioural study, yet his organisational role is more crucial. All the employees working in the organisation are expected to act in a desired manner. When 'what a role demands' is significantly different from the 'behaviour that the employee projects', a role conflict originates. This happens because expectation of either the employee or the organisation remains unfulfilled.

2) **Inter-Personal/Inter-Individual Conflict:** Conflict arises when two people of different personality strive to attain rare privileges like power, status, position, resources, promotion, etc. They might also enter into conflict because of differences in opinions, morals or attitudes. In an organisation, disparity among employees arises due to the following reasons:
   i) **Personal Differences:** Difference in culture, upbringing, family values and socialisation processes give a different identity to every individual. Since the education, family background and morals of individuals may vary significantly, and hence become the root cause of conflict.

Discrepancies cropping up as a result of these differences become very emotional and adopt moral nuances. A minor discrepancy regarding who is rationally correct gets converted into a major conflict regarding moral values.

ii) **Information Deficiency:** Lack of proper communication in the organisation is the basis for this conflict. The parties involved in the conflict might have different information about the same thing or even wrong information. This source of conflict, unlike personal differences is more rational and can be easily rectified by providing correct and timely information.

iii) **Role Incompatibility:** Both inter-group conflicts and intra-individual role conflicts are the originators of this kind of conflict. In today's horizontal organisational set-up, the roles and responsibilities of managers are excessively inter-dependent, although the individual responsibilities of the managers may be mismatched.

iv) **Environmental Stress:** A stressful environment enhances this kind of conflict. Downsizing, limited resources, increasing competitive pressure, technological advancements, etc., are important sources of environmental stress.

7.1.4.2. Group Level Conflict

Group is composed of two or more people who influence each other. Groups are found in every organisation and have the tendency to affect the behaviour of its members. Conflict often arises among the group members or even between different groups. Various types of conflicts occurring at group level are as follows:

1) **Intra-Group Conflict:** Conflict that takes place within the group itself is called intra-group conflict. It occurs among the members of the same group. There are numerous people in a group and when they interact, they create a set of norms, values and sanctions that are consistent with the kind of job they are doing. This results in formation of certain pre-defined objectives and relations which are dependent on each other. Following are the three situations where intra-group conflict might arise:
   i) When group encounters a new problem;
   ii) When new morals are taken from the society and imposed on the group; and
   iii) When a group member's intra-group roles clash with his extra-group roles. In groups, where members are from various socio-economic backgrounds, having varied religious and political outlooks, intra-group conflicts are more prone to arise.

2) **Inter-Group Conflict:** This type of conflict emerges due to interaction between two or more groups. Such conflicts make the atmosphere extremely competitive, specifically if the social groups have a past history of conflicts. Otherwise, they are usually risk-free. Generally racial, religious, ethnic and political groups witness inter-group conflict. Following are the factors that cause inter-group conflict:
   i) **Competition for Resources:** Scarcity of resources is a major reason of inter-group conflict. In the present scenario, most of the organisations have inadequate resources in terms of funds, space, personnel and support services which may lead to conflict.

   ii) **Task Inter-dependence:** Mutual inter-dependence of groups or even one-way dependence creates more conflict than if groups operate independently. Diversity in the objectives, strategies and priorities of the interdependent group leads to more conflicts, **for example,** although research and production departments have different targets but still they are inter-dependent.

   iii) **Jurisdiction Ambiguity:** Jurisdiction ambiguity arises due to overlapping tasks. **For example,** if one group assumes more power and takes the responsibility of positive happenings in the organisation or if a group does not intend to take responsibility of any unpleasant happening, a conflict can be expected.

   iv) **Struggle for Status:** A conflict arises when one group strives to enhance its status and the other group believes it to be a threat. Groups may feel discriminated when other groups of same status are rewarded with perks, benefits, and other emoluments. Many-a-times, human resource department rightly feels that they are not treated at par with finance, marketing and operations departments.

   v) **Goal Incompatibility:** Such a conflict occurs when two groups have opposing goals. If one manages to achieve its goal, the other group will fail to achieve its goal. This can be further divided into 'real-goal incompatibility' and 'perceived-goal incompatibility'.

vi) **Time Incompatibility:** Different groups in an organisation might be assigned different jobs, have different objectives, cater to different customers and will have different deadlines and timeframes on which they function. These differences may lead to conflict.

vii) **Contentious Influence Tactics:** Tactics like demands, threats and other such negative behaviours are often used while trying to persuade the members of other groups. Tactics also affect the group itself as it affects the image of the group.

7.1.4.3. Organisational Level Conflict

Organisational conflict might arise in different manners. These conflicts might persist inside the organisation (i.e., intra-organisation) or between different organisations (i.e., inter-organisation). Conflicts that emerge at organisational level are of two kinds:

1) **Intra-Organisational Conflict:** Organisational conflict arises due to various reasons:
   i) **Horizontal Conflict:** Such a conflict emerges between people working at the same hierarchical level in the organisation. Stress towards sub-optimisation is the reason behind these conflicts. In order to accomplish their organisational goals, departments sub-optimise themselves. **For example,** priorities may differ, i.e., priority for production department is long economical runs whereas quick deliveries are priorities of sales department. Thus, when these departments work together, their preferences may clash with each other putting one of the two departments in a problem situation.
   ii) **Vertical Conflict:** A conflict which occurs among different levels in an organisation is called vertical conflict. Conflict between superior and subordinate is an example of vertical conflict. Following are the causes of vertical conflict:
      a) Lack of communication among different levels.
      b) Differences in opinions and interests on different hierarchical levels.
      c) Differences in perceptions and attitudes of employees working at different levels in the organisation.
   iii) **Line and Staff Conflict:** Line and staff are generally associated with conflicts and controversies. It is a tough task for the management to fairly allocate tasks and authorities to the staff specialists and line generalists. Using this concept, different functions are divided into two types – hierarchical and non-hierarchical or low-status and high-status people. This division results into development of an inconsistency between expected and actual authority which ultimately results in annoyance and bitterness among the concerned parties.
2) **Inter-Organisational Conflict:** When organisations interact with each other, conflicts arise between them. Such interactions might not necessarily end up in conflicts. Inter-organisational conflicts comprises of:
   i) Conflict among organisations with similar goals.
   ii) Conflict among government organisations and agencies.
   iii) Conflict among corporate office and production units.

   Apart from the last one, which is ruled by organisational laws and practices, the rest are governed by social actions, especially administrative agencies, state laws, regulatory commissions and courts.

7.1.5. Conflict Process

Process of conflict includes various stages which are shown in **figure 7.1:**

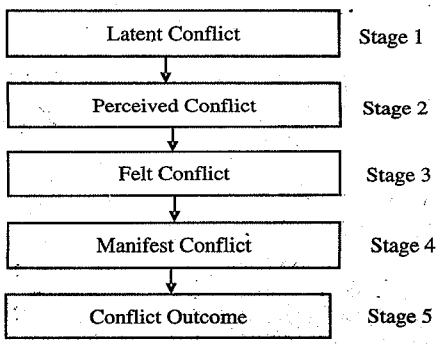


Figure 7.1: Process of Conflict

1) **Latent Conflict (Stage 1):** Conflict may arise when two or more parties are dependent on each other for the accomplishment of their goals. Various other forbearers of conflict like separate goals, inter-dependence and vague allocation of duties do not result in conflict instantly. Change is usually the cause of latent conflict. Change can be in the context of organisation or personal objectives or allotment of a new project to already overburdened team or an unpredicted event like a salary hike which was committed but not delivered.

2) **Perceived Conflict (Stage 2):** During this stage, the team members come to know about the problem. They become aware about the incongruity of needs and start worrying as to what will happen next. However, at this point, they are not able to believe it actually.

3) **Felt Conflict (Stage 3):** This is the stage when the concerned parties become sensitive towards the project and start focusing on the disparity in the outlook and interests that emerged during perceived conflict. An atmosphere of stress and irritation begins to develop and individuals build up an emotional obligation towards their responsibilities. Such emotions are crucial because negative emotions adversely affect the trust whereas positive emotions results in a calm and cooperative scenario.

4) **Manifest Conflict (Stage 4):** Conflict becomes very obvious when the parties plan and operate in a manner that is solely beneficial to them, thus hampering the accomplishment of other party's objectives. These actions may include small disparities, questioning and challenging, using abusive language, ultimatums, threats, physical violence and even efforts to wipe out the opposite party.

5) **Conflict Outcome (Stage 5):** Outcomes of manifest conflict stage can be favourable or unfavourable for one or both the parties. At this stage, it becomes complex to find a logical solution. Both the parties are confident about their stand and have already realised that the conflict is a win-lose condition. So, if the conflict is recognised in its initial stage, it becomes easier to obtain a win-win solution, thereby feelings of irritation and stress can be avoided.

7.1.6. Effects of Conflict

Effects of conflict are both positive and negative. A conflict that promotes innovative thinking, renews old conditions, clarifies viewpoints, develops human potential and manages interpersonal disparity is called **positive conflict**. When people interact with others and know their viewpoints like in brainstorming, they become more creative. A conflict that brings resistance to change, leads to confusion in the workplace or inter-personal relationships, creates suspicions, develops a sense of loss or increases misunderstanding is called **negative conflict**.

Positive Effects of Conflict

Following are the positive effects of conflicts:

1) **Acts as Motivator:** Conflicts motivate people to put in extra effort and perform better. A conflicting situation brings out a person's capabilities and skills on the forefront.

2) **Acts as Need Satisfier:** Conflicts fulfils various psychological needs of people like self-esteem, ego, dominance, aggression, etc. Conflict also helps in releasing stress in form of aggression.

3) **Inculcates Creativity and Innovation:** Conflict inculcates innovative and creative thoughts into the minds of individuals. **For example,** the historical union-management conflict that lasted for several years resulted into the employee benefits that employees currently receive.

4) **Brings Variety in Life:** Conflict brings diversity and excitement in the monotonous life of an individual.

5) **Creates Understanding:** Conflict helps employees in understanding various issues, the relationships among employees, improves synchronisation between employees and various departments, and also makes intra-group relations stronger.

Negative Effects of Conflict

Following are the negative effects of conflict:

1) **Insubordination:** If the management of an organisation is weak, the conflict remains unresolved and continues for a long time. Image of management in eyes of employees also gets eroded as they feel that management is not able to handle the conflict. This ultimately results in insubordination.

2) **Drop in Productivity:** When a conflict continues for a long time, the focus of the employees shifts from productivity to the conflict. They start spending more time on trying to get the matter solved which affects the production.
3) **Lack of Direction:** When management fails to make it clear in which direction they want to take the organisation, conflicts arise. Employees in such a scenario, infer change within the organisation in their own manner.
4) **Fragmentation:** Opponents develop as a result of conflict. These opponents can be individuals or groups. When conflict remains unresolved, stress arises within the group and hence, productivity of the organisation also gets hampered.
5) **Lack of New Ideas:** Conflict adversely affects novelty. When conflict arises, people do not focus on generation of new ideas which affects the organisational productivity.
6) **Affects the Quality of Work:** When a conflict persists for a long time, the concerned parties lose interest in their jobs and focus on the conflict alone. This reduces the quality of the output and also at times, put employee's safety at risk.

7.1.7. Conflict Management

Conflict in the workplace is the current reality in most of the situations. Conflicts can occur in various situations among the various persons having different needs and objectives. The existence of conflict is in fact not a bad thing to happen. Both personal and professional development can be achieved if conflicts are resolved effectively.

The process of planning to neglect the situations, which can result in conflicts and organising the conflict resolutions when and where it occurs as smoothly and as quickly as possible is known as conflict management. Conflict management is based on the principle that the resolution of all the conflicts is not possible, but developing various methods of resolving conflicts can neutralise the chances of non-productive situations.

Self-awareness about conflict modes, creating a set-up for the conflict management, conflict communication skills, and developing various skills for conflict resolution are the part of conflict management. The desired and undesired results can be controlled by developing the effective conflict resolution skills in most of the cases.

7.1.7.1. Procedure for Resolution of Conflict

The various steps which can be taken during the situation of conflict are described as below:

1) **Preliminary Step:** Having the complete information about the conflict and the stage of conflict is the first step towards conflict resolution. Higher the stage of conflict, greater will be the efforts for conflict resolution. The stage of conflict also determines the strategy to be implemented for the conflict resolution.
2) **Diagnosing the Issue:** In this stage, the attempts are made to analyse and understand the various issues related to conflict. Various objectives, procedures, values and facts can result in conflicts. Identification of various differences causing conflict is the next thing to do. The differences can be in the form of informal, role factors, perceptual and so on.
3) **Conflict Handling Modes:** There are mainly five important methods of conflict handling which are stated as below:
   i) **Controlling Conflict:** Controlling the appearance of conflict and the individuals sharing similar thinking should be appointed to achieve this goal.
   ii) **Not Allowing the Emergence of Conflict:** It means the feelings which can create frustration among both the parties should be suppressed. Supremacy of leader and loyalty towards leader and group is emphasised in this method.
   iii) **Mediation:** Mediating through persuasion can be used to avoid any kind of differences among the parties to conflict by focusing on the merits and demerits of their respective cases. .
   iv) **Allowing Parties to Prove their Point:** This method is best suited when both the parties are firm on their stands.
   v) **Mutual Problem-Solving:** In the situation where both the parties are inclined towards finding-out the solution of conflicting situations and are ready to compromise on some points.

7.1.7.2. Conflict Management Approaches

The process which helps in preventing the occurrence of conflicts and when conflict arises, it helps in handling the conflict efficiently is called 'conflict resolution'. As per this principle, every conflict cannot be resolved but handling conflicts properly in due course of time reduces the chances of decrease in productivity and various losses. The process of conflict resolution comprises of attaining skills needed to resolve conflicts, self-awareness regarding modes of conflict, conflict communication skills and developing conflict management guidelines. If management possesses appropriate conflict management skills, they can prevent the organisation from getting negatively affected by the conflict.

As per **Kenneth Thomas**, certain fundamental reactions can be regarded as styles, tactics or strategies for handling conflicts. They are based on the fact that to what extent the concerned parties are firm while trying to get the conflict resolved in their own favour or to what extent the concerned parties are cooperative while getting the conflict resolved in the other party's favour. Following are the different strategies for resolving conflicts:

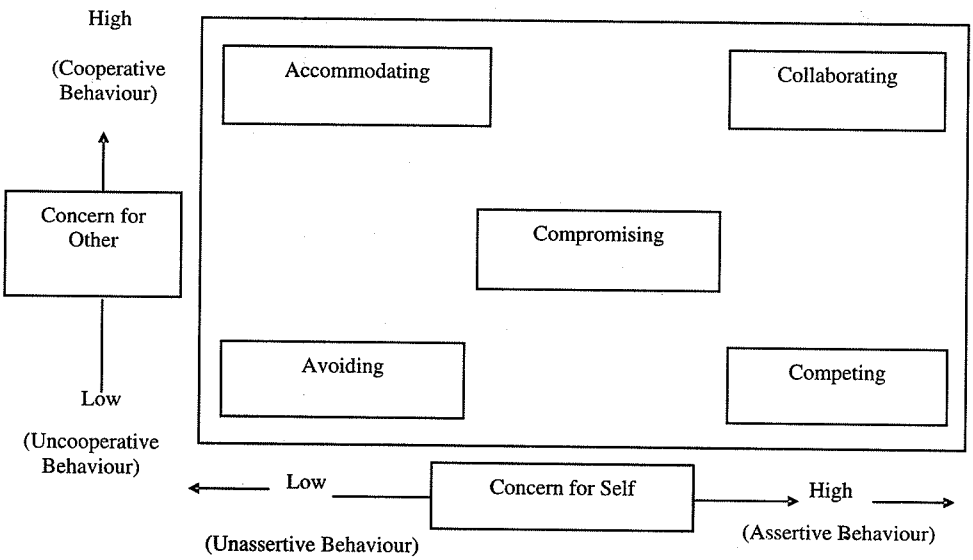


Figure 7.2: Conflict Management Approaches

1) **Avoiding (Withdrawal):** Avoiding style depicts low assertiveness regarding one's own interest and low cooperation towards other person's interest. By adopting this approach, the parties can relieve themselves of the stress originating from the conflict but without making any change in the scenario.
2) **Accommodating (Smoothing):** It is a low assertiveness, high cooperativeness style. The concerned parties mutually agree to make rational sacrifices or adjustments so that the matter can be resolved. They stress on their common benefits and ignore their differences. The solution obtained using this technique is temporary and is usually for short-term.
3) **Competing (Dominance):** While resolving a conflict using this style, parties emphasise on asserting for their own interest and minimising cooperativeness. They view the conflict as a complete win-lose situation. They emphasise only on their own objectives, procedures and facts. This style can be useful when one party holds excessive power and does not need to work together with the other party in upcoming times.
4) **Compromising:** In a compromise, equal amount of assertiveness as well as cooperation is required. It is the mid path between accommodation and competition. A problem which arises due to power asymmetry, i.e., one party is weak and fails to offer much to the other party, cannot be resolved using compromise. It can be used to retreat when all the other techniques fail to provide an optimal solution.
5) **Collaborating:** While implementing collaborative strategy, both assertiveness as well as cooperation is exploited to the maximum so that the final agreement is beneficial for both the parties. This can be put into effect when the conflict is small and both the parties have information which is beneficial for the other. Collaboration is a time consuming process and requires a lot of practice to be effective. Generally, it results in enhanced efficiency and success. It also assists in handling intra-organisational conflicts.

7.2. EXERCISE

7.2.1. Very Short Answer Type Questions

1) Define conflict.
2) What do you understand by individual level conflict?
3) What is conflict management?

7.2.2. Short Answer Type Questions

1) Discuss the nature of conflict.
2) What are the effects of conflict?

7.2.3. Long Answer Type Questions

1) Give a description on various types or levels of conflict.
2) Explain the steps involved in the process of conflict. Describe the sources of conflict.
3) Describe the procedure for resolution of conflict. Sate various approaches of conflict management.

Chapter 8

Organisational Culture

8.1. ORGANISATIONAL CULTURE

8.1.1. Meaning and Definition of Organisational Culture

Organisational culture refers to the personality or the traits of an organisation. It signifies the unofficial aspects of the organisation instead of its professional aspects. It emphasises on the values, beliefs and customs of the employees of the organisation and how these aspects result into mixed meanings. Instead of being formal, culture is informal and is marked by symbols and rituals. It defines what type of people will prefer working in an organisation and who will be successful. Culture also provides guidelines regarding training and development of the employees. It states the kind of knowledge and abilities required by the employees to give better performance in the organisation.

Organisational culture refers to the common values and beliefs that prevail in an organisation, and enable employees to understand their roles and customs of an organisation. Organisational culture is represented by distinct features of the organisation. These distinctive features differentiate one organisation from the other. Also, the experiences and performance styles play a vital role in building the culture of an organisation. It is the surrounding in which an employee and organisation connects with each other.

According to O' Reilly, "Organisational culture is the set of assumptions, beliefs, values, and norms that are shared by an organisation's members".

According to Schein, "Organisational culture is a pattern of shared basic assumptions that the group learned as it solved its problems that has worked well enough to be considered valid and is passed on to new members as the correct way to perceive, think, and feel in relation to those problems".

8.1.2. Nature of Organisational Culture

The nature of organisational culture is as follows:

1) **Prescriptive:** It defines the kind of attitude that is socially accepted.
2) **Socially Shared:** An organisation's culture should necessarily be based on the norms created and followed by the society. It is not possible for a culture to have a separate existence. It is socially shared by people and thus plays an important role in strengthening the prescriptive nature of culture.
3) **Facilitates Communication:** Culture also helps in providing a platform for communication among people who belong to the same culture. Alternatively, it can also hinder communication among people from different groups due to different cultural values.
4) **Learned:** Culture is not inborn. It is something that is gradually attained and learned. Socialisation or enculturation takes place when an individual learns and practices a culture in which he is born and brought up. On the contrary, acculturation takes place when a person learns and practices a different culture than the one to which he is not familiar with.
5) **Subjective:** People born in different cultures have different thought processes. The ideas acceptable in one culture might not necessarily be acceptable in another culture. In this context, culture is said to be both exceptional and subjective. Thus, the same event taking place in two different cultures can be inferred differently.
6) **Long-Term:** A culture is constant and everlasting as it is shared and passed on from one generation to another. The world around us changes from time to time but people, being considered as traditionalist, remains same and is hard to change.

7) **Growing:** Culture depends on various circumstances which have occurred around centuries or millenniums back. A value or two are added to culture by every generation and passed on to the next generation. Thus, culture continuously widens with time as new ideologies are added to it and they become an important element of culture.

8) **Dynamic:** Though culture passes on to generations, still it is not stationary and resistant to change. Culture keeps on changing with time and moulds itself to new circumstances, knowledge and experiences.

8.1.3. Origin of Organisation Culture

Dr. Elliott Jaques was the first to introduce the concept of organisational culture or culture in relation to an organisation, in his book titled, *"The Changing Culture of a Factory"*. The book was actually a report which was described by **Jaques** as "a case study of developments in the social life of one industrial community between April 1948 and November 1950." In this scenario, a British public company was the "case", who was primarily involved in the production, selling and repairing of metal bearings. The prime emphasis of this study was to define, examine and develop the group behaviours in a corporate.

According to Elliott Jaques, "the culture of the factory is its customary and traditional way of thinking and doing of things, which is shared to a greater or lesser degree by all its members, and which new members must learn, and at least partially accept, in order to be accepted into service in the firm."

Simply put, organisational culture can be referred to as the degree up to which the common aspirations, desires and wishes are shared by people and their commitment towards working together and achieving the organisational objectives. Organisational culture means people have similar view and have mutual appreciation for things. Further, it is not only applicable to countries but also to the firms and associations operating within those countries.

Another book titled, *"Requisite Organizational" – A Total System of Effective Managerial Organization and Managerial Leadership For The 21st Century*, was written by **Dr. Jaques** in the year 1998. The concept of requisite organisation was presented by **Dr. Jacques** in this book.

According to Dr. Jaques, "the term requisite organisation means doing business with efficiency and competitiveness, and the release of human imagination, trust, and satisfaction in work."

Dr. Elliott Jaques has explained about organisational values through his work in the book, *"The Changing Culture of a Factory"*. **Dr. Jaques** in his idea of requisite organisation developed a list of organisational values or valued entitlements which will help in achieving complete commitment from the people. As a result, the following values make up the organisational culture:

1) As the potential capability of individuals develops, they should be given opportunity to develop and progress, within the available amount of opportunities.
2) Everyone should be assigned work which is at par with their level of interests, values and potential capability.
3) Individuals, either alone or through representatives, should be given opportunity to take part in the development of policies.
4) The long-term organisational vision of the organisation should be articulated through direct communication channels from the top management.
5) Confidence and trust in relationships to be stimulated through clear and defined articulation of authority and accountability.
6) Leadership communication between subordinates and managers, involving coaching, recognition and feedback, appraisal of personal effectiveness and shared context.
7) Everyone should be treated in a just and fair manner, which should also involve fair compensation depending on impartial pay differentials regarding a particular work level and recognition of merit regarding appraisal of personal effectiveness.

Making all these organisational values actually operational is the prime emphasis of managerial leadership at each level of the organisation.

8.1.4. Functions/Role of Organisational Culture

The functions or roles of organisational culture are as follows:

1) **Acts as Talent Attractor:** For a prospective employee, organisational culture is an important factor to be considered before joining any organisation. Hence, it has become very difficult to find talented employees and those which are talented have become very selective in their choice. They demand something more than higher packages, perks and incentives. They desire for an environment where they can feel comfortable and become successful. In such a situation, good organisational culture is helpful in drawing excellent and promising employees.
2) **Engages People:** Organisational culture gives employees an opportunity to be involved in their work. This results in greater productivity and hence, increases the profitability of the organisation.
3) **Creates Greater Synergy:** A strong culture is one which makes people united. It gives people a chance to come together and interact with each other in a better manner thus, leading to new relationships. These relationships will facilitate development of new and more creative ideas and hence increases synergy in employee's work which in turn enhances productivity. It is rightly believed that 1+1+ right culture = more than 10.
4) **Makes everyone more successful:** Every individual can become successful by investing proper time, talent and focus on culture of the organisation. A good culture is not only beneficial for employees but it also builds good business thinking.
5) **Acts as Control System:** Culture affects employee's decision-making and attitude. It is a control system, which unconsciously influences individual's thought process. Employers assume that it is an automatic driving force which guides employees to act in accordance with the organisation outlook.
6) **Operates as Social Bond:** Organisational culture acts as "social bond", which connects all the employees together and they consider themselves as a part of organisation. Employees crave for social identity and due to this they are provoked to internalise the organisation's prevailing culture.
7) **Helps in Logical Thinking:** Organisational culture helps employees to understand the happenings within an organisation. It also helps them to determine what others expect from them and motivates them to communicate with other employees who know the culture in a better way and also believes in it.

8.1.5. Elements of Organisational Culture

Elements of organisational culture are as follows:

1) **Artefacts:** The tangible things that represent a culture are called artefacts. They contain symbolical characteristics. They act as reminders and triggers such as company's first product, awards gained in challenging competition, etc.
2) **Stories, Histories, Myths, Legends and Jokes:** Culture is also passed in the form of stories either in planned manner through learning devices or delicately through funny instances.
3) **Rituals, Rights, Ceremonies and Celebrations:** Rituals are those procedures or set of affairs which are repetitive in nature and have a particular meaning. They are repeated on particular occasions. They might be linked with an organisational event such as launching of a new product.
4) **Heroes:** The people who act as role models or ideals in a culture are called heroes. They teach the employees how to behave honestly and ideally.
5) **Symbols and Symbolic Actions:** They are similar to artefacts. They remind people about the norms and beliefs related to the culture. Symbols in an organisation can vary from images of its products on the walls to handshakes between different members across the globe. They also tell about the cultures and beliefs of the organisation.
6) **Beliefs, Assumptions and Mental Models:** An organisation and its culture have common beliefs and ideas regarding the world which help in free flow and agreeable communication. It has a drawback that at times it acts as a fatal shield that stops people from viewing the upcoming hazards.
7) **Attitudes:** Attitudes are the external demonstrations of inherent thoughts that people display while interacting with other members of the same culture.
8) **Rules, Norms, Ethical Codes and Values:** The strict codes of conduct, which a person should follow, are called the norms and values of a culture. These rules, norms, values and codes are strongly engrossed in the artefacts, stories, symbols, attitudes, etc.

8.1.6. Factors Influencing Organisational Culture

The various factors which have a direct influence on the culture of any organisation are described as follows:

1) **Traits of Individuals in an Organisation:** Organisational culture develops through individuals working in the organisation. Generally, individuals are inclined towards those organisations which have the similar values as they have. In the same manner, an organisation also hires those individuals who are aligned with the value system of the organisation. The individuals who cannot adapt move to other organisations. Due to this fact, the individuals within an organisation gradually tend to develop similarity. Also, with time, increased substantiality, prominence, and precision come into the values of an organisation. Moreover, the culture gets converted into a unique one which is different from similar types of organisation.

2) **Nature of Employment Relationship:** One of the important aspects which determine the culture within an organisation is the nature of employment relationship, which an organisation builds with the help of human resource policies and norms between itself and its employees. The dedication of employees towards the achievement of organisational objectives depends greatly on the company's policies regarding recruitment, lay-off, promotion, pay and other benefits. These policies determine the efforts made by the employees, their attachment with the organisational goals, and whether they will follow the norms and values of the organisation or not.

3) **Organisational Structure Design:** Organisational structure gives birth to cultural values. Organisational structure can be understood as a formalised system of reporting and performance relationship which is created by an organisation to motivate and co-ordinate the employees. Different cultures are developed through different structures. In order to create a particular type of culture, the management has to come-up with a specific design of organisational structure.

4) **Organisational Ethics:** In order to regulate the behaviour of employees, the organisations can create a certain type of cultural values intentionally. One of the important divisions of these values which fall into the category originates from the ethics of the organisation, beliefs, moral values, and rules, which formulate the correct methods for an organisation, and its employees to interact with each other as well as the individuals outside the organisation. Ethical values depend on the universal principles which address the significance of fair and equal treatment of every individual.

8.1.7. Types of Culture

Following types of cultures are present in an organisation:

1) **Mechanistic and Organic Culture: Mechanistic organisational culture** displays values of governance and feudalism. In this kind of culture, the working in an organisation is based on narrow specialisation and people view their careers within those specific areas only. Authority believes to follow downward flow of direction and communication flows through specified channels. A strong department loyalty and inter-department rivalry can be seen among the employees. It is also named as the 'we' *versus* 'they' concept. This kind of culture does not promote change and development. **Organic culture** is totally opposite to this. Here, all the rules and regulations followed by the mechanistic culture are absent. It puts great stress on accomplishment of work, teamwork and gives freedom to communicate. When troubleshooting is needed, the person specialised in the area of problem exercise more authority than the employer.

2) **Authoritarian and Participative Culture:** In **authoritarian culture**, authority lies with the leader only and emphasises that subordinates should obey his orders and maintain discipline. If this does not happen, the culprit is punished in order to set an example for others. It is believed that the leader knows what is best for the organisation and thus acts accordingly.

   Participative culture believes in the fact that people are generally ready to accept those decisions that are made with their consent, rather than those which are forced on them. Further, when a problem is solved in group, better decisions can be made as numerous innovative ideas occur and are shared between people. Participative culture is found in organisations where most of the employees are intellectually and professionally equal and find same rules for every individual.

3) **Strong, Weak and Unhealthy Cultures:** A **strong culture** has a positive impact on the employee resulting in lower turnover rate, reduced absenteeism, enhanced bonding and positive behaviour. This is because all employees strongly believe in the organisation. Thus, there is a high degree of behavioural control in the organisational culture.

Weak culture consists of several sub-cultures having few common values, behavioural norms and holy customs. In such organisations there is no unity among the employees and the top management also do not share any work-culture with the subordinates.

Apart from this, there are organisations that have an **unhealthy culture**. In these organisations there exists an internal political environment that permits managers to practice dominance and oppose changes which are necessary to the organisation.

In politically dominated organisations, many problems are solved by strong verbal backing or opposition by strong executives. Individual lobbying by key executives and alliances between departments with common benefits also help in resolving various issues. Thus, the organisation's well-being loses its priority.

4) **Dominant and Sub-Culture: Dominant culture** means the central values which are acceptable by most of the employees. It is the macro-cultural outlook that displays an organisation's traits.

Sub-culture is present in departments, divisions and geographical areas and reveals the basic issues and experiences of employees who belong to that area. It may contain the basic values of the dominant culture and those values which are unique to a particular department or area.

8.1.8. Creating and Maintaining Organisational Culture

When an entrepreneur plans to begin a business, the foremost thing in his mind is to create a product or service and sell it to his customers. He does not give much importance in creating organisational culture. When the organisation matures and gains success, it certainly develops a culture which is unique and different from other organisations. Hence, it can be said that a company becomes successful due to two reasons. First, 'what it does' i.e., its strategy and second, 'how it does', i.e., its culture. The culture of an organisation is associated with its strategic principles either when a new company is being formed or when the culture of an existing firm is to be changed.

8.1.8.1. Steps in Creating Organisational Culture

Organisational culture can be created using various steps as shown in **figure 8.1:**

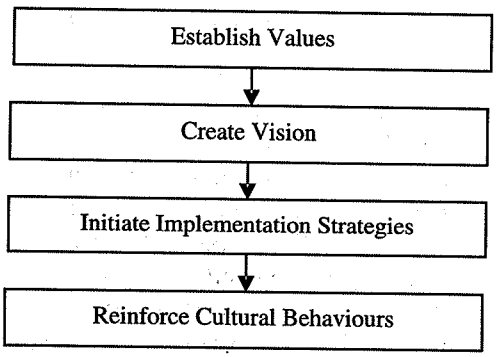


Figure 8.1: Process of Creating Organisational Culture

Step 1: Establish Values: When a new organisation is developing its culture, the first step is creation of values. Firstly, the management devises **strategic values** on which the organisation would be based. Strategic values refer to the views regarding an organisation's environment that determines its strategy. Environmental and strategic analysis is conducted to examine economic, demographic, public policy, social and technological practices in order to recognise the demands in the marketplace that the organisation can fulfil. Based on this analysis strategic values can be formed. Hence, strategic values help the organisation to connect with its environment.

Secondly, the management needs to develop cultural values. Cultural values are the basic values that the employees must possess and must follow in order to help the organisation in performing their strategic values. Employees should firmly believe in the organisation's strategic methods which help the organisation in attaining success. Cultural values should be very consciously developed as those values which are not linked with the organisation's strategic values result in futile values that do not contribute in the growth of the organisation. Thus, employees should value work ethics that contributes to the growth of the organisation and relates to its strategic values i.e., economical production, customer service or technological innovation.

Step 2: Create Vision: Once the strategic and cultural values are developed, an organisation needs to create a vision. Vision refers to the image of how the organisation would appear in the future. It shows how the organisation will mix its strategic and cultural values to shape its future. **For example,** the vision of an insurance company might be to "improve the standard of living of twenty lac customers by 2015". In this case the company combines both its strategic and cultural values so that employees become aware about their performance targets. Theoretically, the vision statement should be written first, but practically strategic and cultural values should be prepared prior to it for making a meaningful vision.

Step 3: Initiate Implementation Strategies: This step focuses on developing implementation strategies, based on its values so that the vision of organisation can be attained. Strategies include various factors ranging from creating the organisation design to recruiting and training employees. **For example,** a bank has a custom of handling customer loans, deposits, and savings. If bank decides to change its focus and give more attention towards customer service, then it will have to hire new employees who have the capability to build and sustain relations. Bank also needs to provide long-term training to its present manpower to guide them regarding new culture whose focus is on customer service. Implementation practices are stimulated by the strategic and cultural values of the organisation.

Step 4: Reinforce Cultural Behaviours: The organisation needs to keep a check on the employee's behaviour and reinforce it if employees are deviating from cultural values. This reinforcement can be done in many ways:

1) Employees can be formally rewarded for excellent behaviour.
2) Admirable behaviour of the employees must be acknowledged and narrated so that others may know and follow them to achieve the cultural values.
3) Organisations must undertake such programmes which help employees in performing as per the vision of the organisation. The organisation must openly acknowledge and praise employees who do the excellent work. **For example,** if an organisation holds parties for employees who retire or provide prolonged existence, then the other employees get the message that only retirement or longevity of service are the things that count. But if an organisation holds a party to acknowledge and award employees for outstanding service towards customers, it reinforces desirable employee behaviour as well.

8.1.8.2. Creating Positive Organisational Culture

It is quite hard to distinguish management innovations from eternal changes in the thought process of management particularly in the early stages of formation of innovations or trends. In order to create improved working situations, the organisations are shifting towards building a positive culture. A culture which gives importance to inculcating employees' strength, focusing on individual growth and significance, and emphasising the achievements rather than punishing is called a positive organisational culture. These different areas are described below:

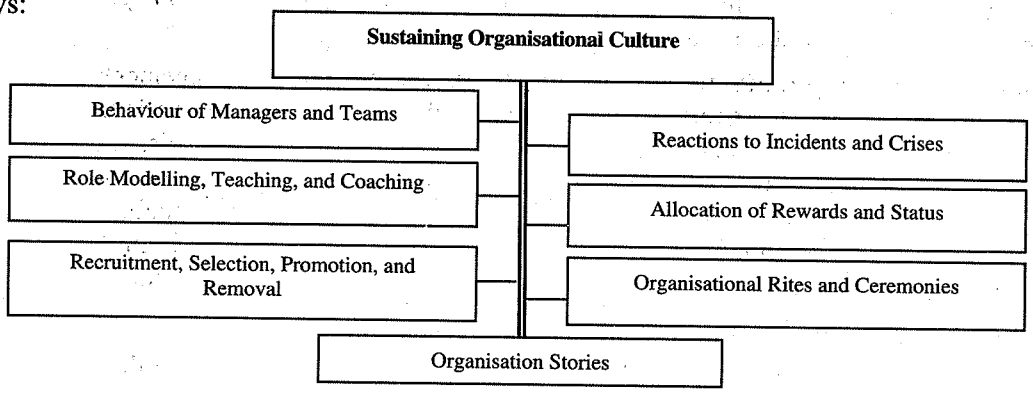
1) **Inculcating Strengths of Employees:** Much importance is given to the resolution of employees problems by different management performances and organisational behaviour. A positive organisational culture helps the employees to understand how they can focus on their strengths rather than focusing on their weaknesses. However, it does not avoid problems.

2) **Focusing More on Rewarding than Punishing:** There are some instances when the employees need to be punished but at the same time, they are also required to be rewarded. It has been observed that many organisations tend to focus on the extensive modes of rewarding their employees such as promotions and increments, but they tend to neglect the smaller medium of rewards such as praising and complimenting. Making a positive culture in the organisation means noticing and acknowledging the employees while they are performing well or doing right things. Praising is one of the important elements in the creation of positive culture. Many managers neglect the importance of the praise as they think that it does not have any significance or the employees will move away. Not using praise can lead to gradual downfall of the organisation. As most of the employees do not look forward to the praise for their performance, the managers tend to neglect the importance of it.

3) **Emphasising on Growth and Continuity:** The growth of the organisation as well as the employees is given importance in a positive organisation culture. If the employees consider themselves as merely a tool or part of the organisation, they will not be able to give their best, resulting in the poor performance of the organisation. A positive organisational culture gives importance to the ambitions of the employees pertaining to their career. It not only analyses the performance of the employees, but also has an intense concern to know and provide the opportunities for fulfilling the personal desires of the employees. Some industries such as banking, manufacturing, utilities, and communication focus on this aspect more intensely.

8.1.8.3. Sustaining Organisational Culture

Once the organisation has successfully created and developed its culture, the next important step is to sustain that culture. In order to maintain the culture, it is the utmost importance for the manager to understand what the culture is, and how it develops in the organisation. Cultural diagnosis can be used to gain knowledge about the history, beliefs and principles of existing culture. To maintain culture, the manager also needs to identify any new practices that are associated with their culture's philosophy. Organisational culture can be maintained in following ways:



1) **Behaviour of Managers and Teams:** A very effective method of maintaining and sustaining organisational culture consists of incorporating those programmes and behaviours that the managers, work groups and employees notice, i.e., the events that gain attention of people. When these events are handled methodically, they give very powerful signs to the employees regarding what they need to do. **For example,** Akhilesh is the president of an e-commerce firm. He calls a 15 minute meeting with his sales staff everyday at 7:25 a.m. *via* cell phone. In this meeting, the sales people discuss with him their problems and informs about target achieved by them the day before. Akhilesh then deeply scrutinise the contacts they have made and give them extra ₹200 per day on achieving the target.

2) **Reactions to Incidents and Crises:** Crises might occur every now and then in an organisation. How the managers handle major crises like terrorist attack or detachment of a major customer tells us about the culture of the organisation. The manner in which such a crisis is handled can either consolidate the already present culture or develop new morals or ethics that modifies the culture. **For example,** a situation took place in Hewlett Packward where demand of its products was declining. Company handled this situation by reducing its working hours instead of firing employees from the company. Hence, company conveyed this message that employees are important for it.

3) **Role Modelling, Teaching and Coaching:** Employees learn about the various aspects of the organisational culture by the behaviour of managers towards them. **For example,** Arthur Anderson, a reputed public accounting firm, has the policy of sending all freshly recruited accountants for a 15-week training programme. In this training programme employees are taught about the accounting procedures that are used by the firm, they are also given an opportunity to become familiar with the organisational culture.

4) **Allocation of Rewards and Status:** Rewards system also teaches an employee about the organisation's culture. The prize and penalty associated with different behaviour tells them about the importance of both the managers and the organisation. **For example,** within NASA there was a change in the reward system which led to drastic consequences. The crash of the space shuttle "Columbia" and the explosion in space over Texas of the "Challenger" have been attributed to a shift in the reward system policy. Earlier the reward system rewarded space safety and technical brilliance but that has undergone a change to focus on efficiency and reuse of the space shuttle. The new motto of NASA emphasises on "faster, better and cheaper" which aims to meet schedules and avoid cost overruns. This motto has established the culture of rewarding performances.

   Another feature of culture followed by certain organisations is the status system. Status of a person is determined by the facilities provided to him like a corner office on the top floor, executive dining room, carpeting, personal secretary, private parking space, etc.

5) **Recruitment, Selection, Promotion and Removal:** The basic method through which an organisation maintains its culture is through recruitment. Further, the decisions regarding job specification, promotions, early retirements, etc., reinforce the fundamental features of an organisation's culture. These decisions very quickly become familiar across the organisation and can help in sustaining or changing the current prevailing culture.

6) **Organisational Rites and Ceremonies:** In an organisation, there are customs that conveys significant cultural meaning to the employees. These are called organisational rites and ceremonies. In due course of time, a particular activity of employee can become a ritual and can be considered as a part of organisational culture. The rites and ceremonies that help in maintaining the organisational culture include rituals associated with passage, degradation, improvement and amalgamation.

   For example, award programmes at a retail outlet provide an excellent example of rites of improvement. On achieving sales targets a lavish function is organised where sales persons with outstanding performance are honoured with gold and diamond pins, and fur stoles. These ceremonies apparently enhance the lifestyle and status of the excellent performers and also convey that company focuses on rewarding excellent employees.

7) **Organisation Stories:** Numerous fundamental morals and ethics of an organisation's culture are conveyed in the form of stories. These stories convey organisational culture from experienced to new employees and also stress on the important features of that culture. **For example,** in Proctor & Gamble, a brand manager was removed from his job because he tried to hype the features of a product. This incidence narrates that ethical claims are more important than money for an organisation.

8.1.9. Managing Cultural Diversity

The organisations, which have their business spread all over the globe are dealing with the increased significance of global and cultural diversity. In comparison to government and various non-governmental organisations (NGO), the global organisations have better chances to promote global interactions. Within the operations of the organisations, the diversity is purposefully administered by the organisations.

The cultural differences, which exist in any country are reflected by global and cultural diversity. The work behaviour of most of the organisations in local as well as international scenario and cultures are influenced by the cultural diversities. By understanding the organisational behaviour across the various cultures, one can have a better insight about the attitudes, behaviour, beliefs, and interpersonal relationship which exists among the clients, suppliers, workers, managers, and various partners belonging to various countries.

For example, McDonald's has an international emphasis to adjust with the local values and cultures. The parameters of performance are uniform all over the world, but there is a significant difference in the interpersonal behaviour to accommodate the local culture of host countries.

The influence of cultural differences becomes very significant when the organisations start embracing the global strategies. To establish a production plant and manage the global supply chains, developing and marketing the country specific products and services and to prepare the global strategies, it is very important for these global organisations to understand the cultural differences and at the same time promoting the cross-cultural communication in the organisation from a local retail outlet to the top-most management. The significance and influence of cultural differences are felt more intensively when the various organisations try to adopt a pure global organisation or alliances and shift from domestic, multi-domestic, and multinational strategies. In global organisations, the proper management of cultural diversity has become a question of their success and survival while it was earlier considered as a concept to be just understood.

As the importance of cultural diversity is increasing day-by-day, the transformations in the organisation's strategies and competitive business environment also lead to changes in its areas of impact. Conventionally, the external relationship and internal organisational culture of domestic firms has not been affected by the international cultural diversity.

The relationship with the external environment and the internal setup of domestic organisations are influenced by the domestic cultural diversity, rather than global cultural differences as these organisations operate only within the boundaries of a certain country or a domestic market. In current business scenario, there are very less number of organisations which operate in purely domestic market, as most of these organisations do not have the comfort of operating their business in an environment, which does not include any global competitor.

Varied attitudes, norms, cultures are observed in the individuals belonging to different ethnic backgrounds. Due to increased diversities in public and private sector, a lot of significance is given to the differences, which are prevailing in the performance of the activities, and the attitudes of individuals belonging to various ethnic groups. In most of the cases, varied work-oriented behaviours are tested and displayed due to the diversities in the values and cultural norms among the various ethnic groups.

The global and cultural differences must be managed efficiently by the global organisations both inside the organisation and between the organisation and outside environment. Cross-culture skills must be employed for efficient performance by every employee of the organisation ranging from a low-level worker to the CEO.

For any manager to be successful, it is very important for him to understand the methods of working effectively with the multi-cultural and multinational teams, and this fact is recognised due to the fact, that there is a constant shift in the philosophy of culture's lack of importance to the culture's crucial importance with reference to the organisation's internal culture and external environment.

8.1.9.1. Steps in Managing Cultural Diversity

The following preparatory steps can be taken by the organisation to manage cultural diversity in all the situations (whether overseas or in any particular workplace having multicultural environment):

Step 1: Cultural Audit: Firstly, managers should be well aware about the cultural hypothesis considered by them as well as the organisation. For this, he can go for cultural audit.

Step 2: Briefing from Cultural Expert: Next step is to consult the cultural experts in order to receive the information about the customs, rules and regulations and law and orders that should be taken care about. In case of overseas organisations, the experts of that particular country can be consulted. In case of national workplaces having diversity, discussion about the different cultures with the experts can prove out to be beneficial.

Step 3: Under this step, the planning and the approaches made by the management regarding the cultural assumptions is ensured. Some of these approaches are mentioned below:

1) **Goal-Setting or Management by Objectives (MBO):** This approach proves out to be less beneficial, especially in those cultures in which the people believe that performance of the employees do not affect the results of the organisation.
2) **Performance Appraisal:** Many countries do not give importance to performance appraisal as they believe that praising or criticising the employees openly is not a good way of giving feedback.
3) **Performance Pay:** In cultures that prioritise the collectivism than individualism, performance pay may prove out to be an improper approach.
4) **Grievance Procedures:** Grievance procedure approach is less effective for those cultures that cannot tackle the conflicts openly.

Step 4: In the last step, organisations can conduct cross-cultural training for their employees, which not only prepare them for overseas assignments, but also guide them about how they should blend themselves in culturally diverse workplace. This training programme may include:

1) Short-term information sessions for shorter visit.
2) Discussion sessions based on affective education where the trainees are made aware about their role-plays and why changing attitude is important.
3) For the employees undertaking overseas assignments, captivating techniques such as language and cultural training are offered so that the employees learn sincerely. Such training is generally for the long duration of time.

8.1.9.2. Guidelines for Managing Cultural Diversity

1) **Imparting Cultural Knowledge:** It is very important for the organisations to include the knowledge of cultures in each activity. This culture related knowledge should be used effectively by the staff members and they must be trained in this. Cultural diversity must be considered during policy formulation. The positive aspects of all the cultures must be highlighted in the programme materials.

2) **Adjusting to Diversity:** A culturally competent organisation is governed by values, attitudes, practices, structures, behaviours which facilitate cross-cultural communication. The requirements of various diverse groups can be satisfied when any organisation respects, accommodates and values all cultures and makes them an integral part of the system.

3) **Giving Importance to Diversity:** This signifies the respect and acceptance of various differences which exist in different cultures. Although, it is considered that members of same linguistics, religion and race share the same culture but in fact this may not be the reality. Various individuals may have similar features, religious believes or languages but the groups may have common geographical and historical familiarities. Within a racial group, some multi-coloured sub-cultures can evolve when persons relocates to new locations and mingle with the other cultures. In some cases, racial factors may not be as substantial as socio-economic status gender or locales becomes.

4) **Performing Cultural Self-Assessment:** It is very important to be alert towards those things, which are taken for granted by people. **For example,** physical distance differs from culture-to culture during social interactions. In some cultures, touching the female counterpart may be considered as a highly objectionable activity although there may not be any wrong intentions behind these touches.

   These kinds of miscommunications can be controlled if the cultural self-assessment is conducted by the organisations. Each organisation has its own culture. The members of the organisations can understand the organisation's method of performing different activities and adjust with the new culture with the help of discussions and surveys. This exercise can be considered as a continuous attempt to achieve cultural competence.

5) **Cross-Cultural Training:** In these types of training, the employees are provided important knowledge about the various cultures and they are informed about the feeling of unfairness and discrimination felt by the members belonging to diverse cultures. With the help of cross-cultural training, the employees are made comfortable to work and live in a new culture. In order to manage cultural diversity, the following two methods of training can be adopted by the organisations:
   i) Diverse groups of employees are provided training. Training regarding entry-level skills is imparted to the employees from diverse culture.
   ii) The managers and employees who work with diverse culture members are also trained.

6) **Analyse the Feelings of the Organisation:** The motivation, commitment, well-being and satisfaction level of cultural diverse employees can be increased if they feel comfortable about their work experience, enjoy their duties and responsibilities and cherish their stay in the organisation.

7) **Creating and Conveying Clear Performance Parameters:** The vital proficiencies which are required for the performance of any job must be included in the performance parameters. These parameters must be implemented as an objective approach, should be communicated effectively and must be designed impartially and evidently.

8.1.10. Criticisms of Organisational Culture

The criticisms of organisational culture are as follows:

1) **Culture Limits Organisations to Change as per Environmental Demands:** Current environment, in which organisations are working, is rapidly changing but culture restricts the organisation to act as per the demands of the changing environment.

2) **Culture Demands New Employees to Confirm to its Values:** When a new employee joins an organisation, he brings with him a different culture. Rather than accepting good characteristics of his new culture, the organisation demands the new entrant to accept and adapt prevailing values and culture.

3) **Breakage of Various Business Alliances:** Today, many business associations like mergers and acquisitions are proceeding towards splitting stage due to the strong cultures of the parties.

Thus, culture has both merits and demerits. Cultures should be flexible in order to maximise the merits and reduce the demerits. Culture needs to be changed with time so that the organisation can also change as per the changing environment. Thus, culture must act as a catalyst to adapt the change.

8.2. EXERCISE

8.2.1. Very Short Answer Type Questions

1) Define organisational culture.
2) What do you mean by mechanistic organisational culture?
3) Discuss the concept of formal *versus* informal culture.

8.2.2. Short Answer Type Questions

1) Describe the functions of organisational culture.
2) Explain the factors influencing organisational culture.
3) Discuss the ways of maintaining organisational culture.
4) State the criticism of organisational culture.

8.2.3. Long Answer Type Questions

1) Explain the types and elements of organisational culture.
2) Discuss the characteristics and origin of organisational culture.
3) Discuss different types of culture in detail.
4) Describe the steps involved in creating organisational culture. How to create a positive organisational culture?
5) State the steps involved in managing cultural diversity. Explain the guidelines for managing cultural diversity.

Chapter 9

Stress at Workplace

9.1. STRESS AT WORKPLACE

9.1.1. Meaning & Definition of Stress

Work stress or job stress involves a series of worker's responses, when he is required to meet the demands that do not match his knowledge, skills or abilities and test his capacity to cope with these stresses. These demands may either be quantitative demands, which are related to time or the amount of work, cognitive demands associated with the complexity of the work and the emotional demands which requires the person to show empathy at work. There may be physical demands as well related to stationary loads.

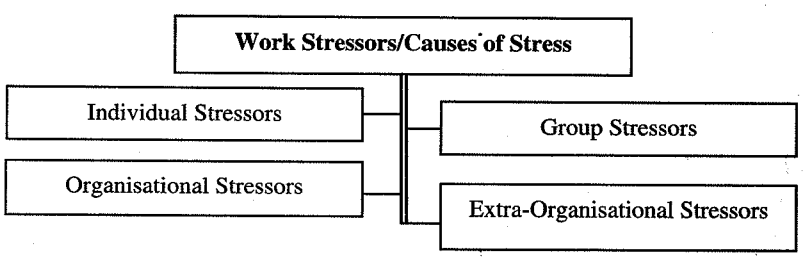
Stress is the reaction of an individual against the troubling factor of his surroundings. Stress is a flexible reaction to an external condition and leads to physiological, emotional and behavioural variations. Stressors are physiological or mental demands that arise from the surroundings and lead to stress. Stressors produce tension or the possibility for tension, when an individual feels that any particular demand is far greater than his ability.

According to Davis, "Stress is a condition of strain on one's emotions, thought processes and physical conditions".

According to Steinberg and Titzmann, "Stress can be defined as an underload or overload of matter, energy or information input to, or output from, a living system".

9.1.2. Work Stressors/Causes of Stress

Stressors act as determinants of tension. Stressors are those conducts, state of affairs, or happenings which put extra demands on an individual. The list of possible stressors is manifold. Various causes of stress are as follows:



9.1.2.1. Individual Stressors

Individual stressors results from the thoughts of an individual about the surroundings in which he lives. The environment is not always frightening, but the individual observes the situation as frightening and responds accordingly. Problems like role conflict, role ambiguity, and non-specific fears like the fear of the future and failure can make an individual stressful. Different individual sources of stress are as follows:

1) **Personality Type:** Personality traits of an individual are internal sources of stress. The personality of people can be divided into following categories:
   i) **Type A Personality:** The people possessing Type A personality are prone to suffer from internal sources of stress due to the inbuilt traits of their personality.

      Type A people are characterised by a sense of irritability and eagerness, fighting spirit, forceful attainment attitude, killer instinct, tendencies of performing various tasks simultaneously, concealing true emotions, and sense of perfection but lack self-confidence.

ii) **Type B Personality:** The people possessing Type B personality have a little susceptibility to internal stressors due to their basic traits. Type B personality people are carefree; less ambitious; have an approachable attitude; treat everything easily; possess a lot of mannerism; have no ill feelings and aggression towards others and have no obligation towards the time limit.

2) **Role Conflict:** Many variables play a significant role in determining the behaviour of an employee in a given task. Some of these variables arise from employees while some from the organisation. There are combination of needs and anticipation that an employee puts upon himself while some are put by others. This leads to a group of forces which are called role pressures. Thus, role conflict occurs when two or more role pressures contradict with each other.

3) **Role Ambiguity:** Lack of transparency about one's performance, job objectives, and the extent of the responsibilities of one's job is termed as role ambiguity. Every human being experiences some amount of role ambiguity.

   The first posting, promotion or transfer, a new head at the workplace, the first responsibility as a supervisor, a new organisation, change in an organisational arrangement, etc., create role ambiguity for a short period of time. The impact of these ambiguities is neither positive nor unbearable.

4) **Work Overload:** When an individual communicates with his surroundings, overburden of the work may occur. The amount of work to be done is overloaded or not depends on the perception of employees. This is because what is excessive for a person need not be overload for the other one.

5) **Responsibility:** Responsibilities also make a person stressful as it puts a burden on an individual. **For example,** we often come across people who, after moving into a management or similar position, willingly return to their previous job assignment due to disinterest towards the new job or not being able to cope with the obligations of new job. Thus, various types of job responsibilities work differently and act as stressors.

6) **Career Development Stressors:** Career development stressors are those stressors which affect an individual's thinking about his career growth. Career variables become stressors when the people have wrong notions about them and observe them as bothering, apprehensive, or annoying.

9.1.2.2. Group Stressors

Group level stressors are the result of group dynamics and authoritative behaviours at the workplace. Stress is enforced by the managers by showing incompatible behaviour towards employees. They do not provide support, empathy and adequate guidance.

They focus on developing highly productive environment and highlight the negative qualities of their employees and ignore their good performance. There are different types of group stressors:

1) **Group Cohesiveness:** According to Hawthorne studies, it is obvious that bonding or cohesion is essential for the upliftment of the employees. This is mainly essential for the lower hierarchies of the organisations. Different work designs, prohibition from supervisor, non-acceptance of a new person by other members of the group, etc., can affect the cohesiveness adversely. This lack of cohesiveness leads to stressful conditions.

2) **Social Support:** People feel satisfied when they share their problems and joys with others. But if social support is missing, it leads to stress. Lack of social support can enhance health problems and expenditures associated with it.

3) **Inter-and Intra-Group Relationships:** Stress is the outcome of unhealthy relations within and between different types of groups. Unhealthy relations may be mistrust, disunity, uncooperativeness, disinterest in listening, and not dealing with the problems that affect the group or individual.

4) **Sexual Harassment:** An undesirable behaviour of a sexual nature affects the occupational performance of an employee in a negative way. **For example,** a male supervisor frightens to dismiss the female employee from the job, if she does not accept his demands.

5) **Physical Violence:** This is a serious stressor and it is becoming more and more common at the workplace in the form of physical fighting and anger.

9.1.2.3. Organisational Stressors

Besides external stressors, there are some internal stressors that occur within the organisation itself. Organisational stressors are the different factors leading to stress in the workplace. These include:

1) **Task Demand:** These stressors are related to a particular job of the individual. There are few professions which have hectic schedules and are more prone to tension. The professions of surgeons, air traffic controllers, and football coaches have more stress than general doctors, plane loaders, and baggage managers of the football team. Apart from specific work-related burden, there are various other facets of the job that can affect an individual's health. Some occupations such as coal mining and toxic waste handling are very dangerous. Safety is the other task demand that leads to stress. Besides this, if the person thinks that his job is not secure then, there is a possibility of rise in stress manifold.
2) **Role Demand:** There are various sources of stress. They may be in the form of role ambiguity, role conflict, a sense of responsibility towards people or objects or any other role stressor. Role ambiguity may lack clarification about the nature of work, expectations of people at the workplace and the responsibilities pertaining to the job. Role conflict crops up when an individual has an exposure towards contrasting job demands, or when an individual is asked to perform tasks which he dislikes. Responsibility towards people can cause more tension than responsibility towards objects (**e.g.,** instruments, components, etc.). The other forms of role stressors may be stopping employees from taking active part in making decisions, lack of sufficient support from superiors, or compulsion for maintaining quality standard.
3) **Interpersonal Relationships at Work:** Stress is also based on the individual's relationship with immediate senior, juniors and co-workers at the workplace. Ineffective relationships are characterised by low trust, non-responsiveness, lack of interest and an indifferent attitude towards problem solving. People-oriented managers cause less stress to their subordinates as compared to task-oriented managers. Stress occurs not only due to ineffective relationships, but also due to inadequate social support from the co-workers during adverse situations.
4) **Organisational Structure and Climate:** Danger to an individual's liberty, independence and distinctiveness are also considered as stressors. Absence of connectivity, no involvement in the decision-making process, little interaction among fellow beings, constraints on the conduct and involvement of politics by co-workers are few such kinds of stressors.
5) **Organisational Leadership:** Style of leadership can also be stressful. **For example,** an individual craves for support from his immediate senior, but the senior refrains from giving any attention or affection to him, this will obviously subdue the spirit of the individual and stress will arise. In the same way, if a person has an intense desire to become a part of the decision-making process and wants to be actively involved in all the facets of management, but that desire is subdued by his autocratic supervisor. So, again the stress is bound to happen.
6) **Group Pressures:** Force to limit output, pressure to follow the norms of the group, etc., may be the reasons of group pressures. **For example,** it is a general practice among the working group to conform to group standards in relation to output. But, some people do not follow the output standards, set up by the group. Hence, they have to bear the pressure exerted by the group to follow the standard norms. Although a person may have an intense feeling to increase his output in order to increase his chances of getting promotion or perks, he is bound to produce less and hence feels depressed, because cooperation by the group is also of prime importance to him.

9.1.2.4. Extra-Organisational Stressors

There are a number of studies on work stress that does not give attention towards external forces and happenings, but it is true fact that these forces have an overwhelming influence. On considering an open-system viewpoint, it is quite obvious that work stress is not only limited to what happens within the organisation during working hours. External forces also exert their stress on the organisational output. Different types of extra-organisational stressors are as follows:

1) **Extraordinary Rate of Change:** Tremendous change has affected the lifestyle of the people and this transformation can be noticed in their jobs too. Although medical science has helped in the eradication of deadly diseases and increased the length of healthy life, but modernisation has made the life of people stressful and has also affected their well-being. As people are more inclined towards glamorous and urban lifestyle, hence, their restlessness has increased, and well-being at the workplace has been affected.

2) **Family:** It is a proven fact that the family plays a major role in the personality formation. Any situation in the family, such as an argument or illness of any member or strained relation with spouse or children, can act as powerful stressors for the employees. Recent orientations have made it tough for employees to maintain sufficient balance between managing his role in jobs and families simultaneously.

   Due to excessive work, the employee work for extra hours and even brings a sufficient amount of work for the night. This pressure makes their life stressful and affects their work-family relations. Even, employees have to make arrangements for child care options as well.

3) **Relocation:** Relocation of family due to the transfer or promotion can be very stressful. **For example,** due to globalisation, expatriate managers (those who are transferred abroad) experience cultural shock and afterwards when they are repatriated (transferred back to the home country) they suffer from loneliness; both these scenarios produce stress. The majority of people experience lots of stress due to poor financial condition.

4) **Life's Changes:** Changes in life may be slower (e.g., ageing), or abrupt (e.g., death of husband or wife). These life changes have been well depicted dramatically in novels and cinemas, but they actually bring drastic impact on the receiver. Even medical investigations have confirmed this notion. The medical analysts have found that there is a clear-cut relationship between the extent of life changes and its resulting effect on the health of the concerned people. Health deteriorates with the increase in life changes and advancement of age of the people. These life changes also affect job performance.

5) **Sociological Variable:** Variables such as race, gender and class can also lead to stress. Such variables are called sociological variables. Due to modernisation in every sphere of work, the workforce has become diversified. As a result, there is an enhancement of stress-oriented issues like variations in attitudes and values, variations in incentives or promotions, feeling of discrimination among minority employees, etc.

   According to the researchers, the minority groups are more vulnerable to stress than the majority groups at the workplace. According to recent investigation, women are more stressed as compared to men. It is evident that in comparison to men, women perceive more job demands in both the male-dominated and female-dominated professions.

9.1.3. Types of Stress

Depending on features, stress can be classified as follows:

1) **Eustress:** Eustress is an optimistic and active reaction to the stress which helps in the development of people. It helps in energising and inspiring the individuals so that they can achieve their respective aims, brings about considerable changes in their surroundings and deal with difficulties of life. It also helps the people to formulate new and innovative ways of managing their work. So, this type of stress is essential for survival and well-being of human beings.

2) **Distress:** Distress is a pessimistic and inactive reaction to the stress. It indicates tremendous level of stress in a person which negatively affects his performance and productivity. Mistakes will reoccur consistently, wrong decisions will be taken and the individual has to bear many problems like sleeplessness, stomach related problems, mental or emotional illnesses. Distress is of two types:
   i) **Acute Stress:** Short-term stressor leads to acute stress. It evolves all of a sudden, is extremely sharp, and vanishes rapidly. **For example,** if a person is going on an evening walk, then all of a sudden, a big and shabby dog leaps out of the bushes, making a growling sound with its exposed teeth, this may lead to acute stress. Acute stress can be full of excitement and stimulation when given in small doses, but if it comes in large doses, it may become irritating.
   ii) **Chronic Stress:** This stress is the long-term stress resulting from the prolonged irritating problems. This type of stress keeps coming back with the passage of days and years. Chronic stress can be due to ever increasing credit card debts, long-term health ailments, emotionally exhausting relationships, or an exhausting job. Chronic stress results from unavoidable demands and pressures that goes on continuously.

9.1.4. Consequences of Stress

Stress can result in numerous positive and negative consequences. Results of positive stress are more energetic, full of zeal and inspirational. The negative results of stress are more annoying and need more attention. Stress can lead to both individual and organisational consequences.

9.1.4.1. Individual Consequences of Stress

Stress makes the life of a person more exciting. A person can be freed from stress only after his death. Stress gets converted into distress when people feel insecure. Stress can produce following consequences:

1) **Behavioural Consequences:** These reactions can harm the person under stress or others around him. An example of such behaviour is smoking. A research has found that people with smoking habit have a tendency to smoke more while they are under tremendous stress. There are many other probable behavioural results such as proneness to accidents, indulging in violence with others and irregular eating habits.

2) **Psychological Consequences:** These reactions are related to the mental health of an individual. When people are extremely tensed at the workplace, they have a tendency to become discouraged or may have sleeping disorder i.e., insomnia. Stress also causes weariness, problems in marital relations and other family related problems.

3) **Physiological/Medical Consequences:** These reactions affect an individual's physical health. Stress is associated with heart-related disorders such as heart attack. Other usual health-related illnesses are back pain, headaches, ulcers, stomach-related problems, intestine disorders, skin problems like pimples and rashes.

9.1.4.2. Organisational Consequences of Stress

Stressed individuals influence an organisation both directly and indirectly. In particular, the organisation is affected by individual stress in following ways:

1) **Decline in Performance:** Decrease in performance is a visible indicator of stress. In case of operating workers, such performance can be identified through low output and decrease in quality of work. In case of supervisors, it can be identified through defective decision-making or unhealthy relationship with labourers.

2) **Change in Attitude:** It is believed that alongwith enthusiasm to perform efficiently, satisfaction at job, self-esteem and commitment towards work also gets affected by stress. Therefore, people may be more inclined to criticise about the worthlessness of the work, perform only to their least ability to sustain their living and so on. Hence, bringing about a change in their attitude.

3) **Withdrawal Behaviour:** Absence from work and turnover are the outcomes of stress at the workplace. At times, absenteeism may be genuine and legitimate, such as illness, jury duty, or death of someone in the family. But sometimes, the employee claims falsely that his absence was due to legitimate reason and instead stays at home.

   When an employee is absent, whether it is legitimate or not, the organisation suffers and the work is hampered or the substitute is hired to do the pending work. In both cases, the quantity or quality of actual production is likely to suffer. It is quite clear, that genuine absenteeism is inevitable, but the organisations try hard to overcome artificial absenteeism and also try to reduce the legitimate absence, in the best possible manner.

9.1.5. Prevention and Management of Stress: Stress Management Strategies

Stress management assists in overcoming stress and increases the levels of motivation and efficiency of the employees. It involves recognition and examination of problems related to stress. Further, it applies valuable tools to either change the cause of stress or occurrence of stress. These valuable tools are used in a unified and theoretically meaningful manner. The main objective of stress management is to motivate the individual to give his best performance, in a favourable environment and with positive attitude.

Stress is inevitable in the life of an individual. Human beings are unable to remain stress free, they have to face stress and find ways to handle it. There are two strategies that can help employees to deal with stress. These strategies operate at the **individual level** and **organisational level**.

9.1.5.1. Individual Strategies

Individual strategies for stress management are as follows:

1) **Time Management:** This system is primarily used for setting objectives, planning and allocation of work. It is believed that after the accomplishment of primary goals and plans, the secondary issues are most unlikely to become the reasons for stress.

   Work of managers includes a constant cycle of many short activities. In this scenario, it is quite obvious that the managers are bound to pay their attention towards the latest issues and hence get deviated from the main objectives, which become the root cause of stress. Thus, setting objectives, planning and allocation of work helps to recognise the priority of every task.

2) **Relaxation and Meditation:** Performing activities related to one's hobby or practising meditation and yoga exercises may also be helpful in relieving stress. The basic concept behind practising these methods is that stress can become a supporter of the individual. So, if a person involves oneself in recreational activities, it will be soothing for the individual and brings about control in the life of the person.

3) **Behaviour Control:** This approach is very effective to subdue the situations that lead to stress. It is essential for the person to recognise their own behaviour and determine those situations that cause stress. In this way, they will be able to devise strategies to handle stress more efficiently in future.

4) **Counselling:** Counselling gives a chance to an individual to freely discuss about the problems and devise new ways to deal with stress in the future. The employees, who have been subjected to some frightening experience at the workplace, find it very difficult to go back to the same situation.

5) **Biofeedback:** Physical changes occur in the human body due to stress like increase/decrease of heart beat and increase in body temperature, etc. There are many ways through which body changes can be monitored and the individual can be imparted training to control the specific reactions. Thus, by managing biofeedback, the person can control the physical impact of stress.

6) **Exercise:** Regular exercise keeps the body fit and healthy. It also reduces weight and maintains overall fitness. Stress leads to offensive behaviour and annoyance which can be reduced through exercise. The physical exhaustion as a result of exercise also helps in a sound sleep and makes a person relaxed.

7) **Networking:** Stressed people suffer from the feeling of loneliness. They believe that they are the only people who are under stress and they turn their focus to the inner self. The network group helps an individual to drive his focus outwards.

   Communicating with professional fellow workers, friends and other support providers (family is the foremost) results in projection of problems and devising innovative ways to deal with them. High expectations from oneself also makes a person stressful.

9.1.5.2. Organisational Strategies

Strategies used by organisations to manage stress are as follows:

1) **Job Design:** The stress of a person can be reduced if attention is paid towards job design. Good job design leaves a positive impact on employee's mental and physical abilities. Hence, jobs should be designed in such a way that they are challenging and provide opportunities to employees to grasp new skills. Roles and responsibilities should be clearly defined so that occurrences of role conflict and role ambiguity can be minimised.

2) **Involvement and Communication:** Employees who are part of the result-making process at the workplace, and who are well-versed with the organisation's working can understand the importance of their role and hence remain aware and awaken to all the happenings around them. Thereupon, as a result of lower levels of ambiguity, some of the stress leading possibilities are discarded, while some that still exist are reduced to manageable proportions.

3) **Awareness Programmes:** Awareness programmes like sensitivity training is a technique that guides people and make them sensitive about the presence of stress, reasons of stress and methods used to manage it. Awareness programmes awaken the people about stress openly, in order to find solutions to cope with it. The people, who come to know about stress and how to handle it, become able to make correct decisions associated with it and to their own life.

4) **Health Programmes:** This approach primarily focuses on devising health and development strategies for improvement of health. The main objective of this approach is to provide innovative and specialised medical facility to the people in order to cope up stress.

5) **Organisational Design:** The physical and social layout within the organisation also causes stress. There are customers who observe an organisation in a horizontal way while most of the organisations work in a vertical manner.

   This type of conflicting pressure produces stress on the employees who are associated with it. Therefore, there is a need for proper attention towards the physical structuring in order to subdue the feeling of stress among the employees.

6) **Personal Development:** Vocational training and employment programmes help in personal development. If a person becomes more efficient, he will be less stressed in performing routine jobs.

   Hence, employees should be motivated towards acquiring new skills like learning another language or learning to play some musical instrument, etc. These activities provide soothing and relaxing effect and brings about a balance in life and hence results in suppression of stress.

7) **Culture Design:** When sympathetic culture is created in contrast to the one based on power and politics, there are chances that the employees assist and cooperate with each other. Such cooperation results in reduced stress. This will offer a supporting environment to the individuals who were more susceptible to stress.

9.2. BALANCING WORK AND LIFE : WORK-LIFE BALANCE

9.2.1. Introduction

Work-life balance is a term which is used to represent the different combinations of practices at the workplace which provide support and help to the manpower in accomplishing a balance between the family life and office life demands. Work-life balance is the proper amalgamation of the organisational requirements with the personal commitment of the manpower.

The organisations which are able to identify the different pressures exerted on the employees from the family and other external sources are always in advantageous position and thus they facilitate different measures to the employees so that they can withstand these pressures.

This type of balance is mainly facilitated with the help of flexible working hours/ work-timings and similar types of work adjustments. When the right of an individual to lead a healthy life inside and outside the paid work is accepted by the organisation and a relevant policy is developed (for serving the individual, organisation and the society at large), then only the work-life balance is accomplished.

The incidence of acknowledging the fact that conflicting demands are faced by the employees from their family and work-life which gave birth to the concept of work-family life balance. It is essential to maintain a balance between both the work and personal life so as to control the negative effects of the conflict.

According to the Work Foundation, "Work-life balance is about individuals having a measure of control over when, where and how they work, leading them to be able to enjoy an optimal quality of life".

9.2.2. Options of Work-Life Balance

Different options designed by employers for the work-life balance of the employees are as follows:

1) **Flexitime:** The plan in which the employees are granted the option to choose their working hours within the certain limitations is termed as flextime or flexitime. In this type of plan, there is no change in the duration of the working hours only the timings are changed. For this, a core time is fixed within which all the employees should be present within the organisation, say 9:00 A.M. to 6:00 P.M. Thus, an employee may change his/her office timings as 8:30 A.M. to 5:30 P.M. or 9:30 A.M. to 6:30 P.M., whichever is suitable.

2) **Compressed Workweek:** In this kind of arrangement, longer working hours are scheduled for the employee so that the number of working days can be reduced in their work cycle for a week or two weeks. It is mostly favoured by those employees who desire less working days at the office but do not wish to compromise on the financial aspects of the job by reducing the working hours. Greater job satisfaction can be accomplished with the help of this working arrangement. Employees may utilise the leisure time for their personal business, family or for some recreation. In return, employers are benefited with reduced absenteeism and turnover and increased productivity.

3) **Job Sharing:** Job sharing is an option mainly preferred by the employees who are looking to work less than forty hours per week. This is quite helpful especially in case of child care responsibilities. In this kind of arrangement, the responsibilities associated with a certain job are equally divided between two part-time employees on the basis of some agreed terms and they are paid as per their contributions. This method has the advantage of having the diverse skills which are augmented by the different part-time employees. A kind of compatibility and good communication is desired between the partner employees and a mutual trust should be there between them and their manager.

4) **Flexible Compensation (Cafeteria Compensation):** With the help of flexible compensation plans, the employees are given the choice each year to select their compensation plan as either to opt for the taxable cash or to go for various benefits provided by the firm. **For example,** the employees are given complete freedom to decide the amount which they want to receive in the form of salary, insurance, social security, pension and other types of benefits. Cafeteria plans facilitate the flexibility of the employees to select the various elements of the compensation which can suit their specific requirement.

5) **Telecommuting:** It is an advanced work option where the employees (telecommuters or teleworkers) can perform their office work from locations outside the periphery of the organisation, i.e., from their home or anywhere else, using telecommunication and other essential electronic devices like computers, laptops, etc. Modern communication and information technologies facilitate the employees to work effectively from anywhere.

6) **Part-Time Work:** There are many employees who do not wish to work full-time for the organisation due to different reasons. They prefer part-time work. It is preferred by employees who are parents with young children or who are students as they need flexibility in work-time for other activities. It is advantageous for the organisations as different qualified individuals join due to flexibility in work-time.

7) **Modified Retirement:** With the help of modified retirement plan, the older employees can offer their service to the organisation lesser than the normal working hours for a specific period of time before their actual retirement. With the help of this plan, the sudden change in the lifestyle can be effectively managed by the employees who are going to be retired soon. This will also benefit the employers as they can utilise the experience and skills of these individuals at relatively lower packages. This option works well in that working environment which supports respect, freedom, responsibility and trust.

9.2.3. Benefit of Work-Life Balance

Maintaining a work-life balance in the organisation can provide following benefits:

1) **Improved Loyalty and Commitment:** Greater commitment and loyalty of the employees can be gained when their needs and requirements are understood by the employers.

2) **Improved Productivity:** Improved performance and efficiency can be obtained at individual level resulting from the greater commitment and loyalty which will also boost the overall organisational productivity.

3) **Reduced Absenteeism:** The problem of absenteeism can be reduced with the help of effective work-life balance. Also the associated costs can be controlled.

4) **Reduced Employee Turnover:** Effective work-life balance initiatives in an organisation prevent employee turnover and thus different costs associated with employee selection, induction and training are reduced.

5) **Increased Employee Participation:** Work-life balance also motivates the employees to participate in different productive activities of the organisation. They offer their ideas and suggestions to the employers for the betterment of the organisation.

6) **Improved Attraction and Retention of Employees:** The employer can become popular in the labour market and thus it will be attracting and retaining more talented candidates.

9.2.4. Guidelines for Improving Work-Life Balance

Guidelines for improving work-life balance are described below:

1) **Identify Employee's Needs:** First of all, it is important to know the various kinds of conflicts related to the work/home which are being faced by the employees. For this, employers should identify the employees with young children or older parents and evaluate their home situations alongwith evaluating the work related consequences (like amount of overtime worked and the number of days of absent) due to their family commitments. They should also conduct exit interviews in order to be sure if the poor work-life balance is the reason for employee turnover. The organisations can also think of creating focus groups or they can also conduct some surveys. The various resistances to change can be tackled by having the active involvement of the employees.

2) **Focus on Organisational Culture:** In order to promote work-life balance in the organisation, the employer's focus should be on the organisational culture. The organisational culture should be flexible enough to implement the work-life balance. Each and every employee should be eligible for the flexibilities in the organisation and they should not be treated as disloyal or poor performers. They should be made feel that not only their presence but their performance and work results are crucial for the organisation. If there is any kind of hindrance due to organisational culture in the path of work-life balance, then these must be revisited. A flat organisational structure is essential for implementing such work-life balance initiatives.

3) **Improve Personal and Organisational Efficiency:** Ensuring the smooth functioning of the 'work' part is very critical to accomplish the work-life balance. In order to control the stress and reducing the work hours with the similar level of productivities, the skills such as effective handling of information, time management, prioritising and delegations become quite vital. This could have some effect on home life too, e.g., no need to take works home and less stress and tiredness in the evening.

4) **Set-Up Work-Life Policies:** There is no single work-life balance approach that develops the balance in the organisation – employers should design different work-life policies to remove the different work-life conflicts of the employees. Different options like career breaks, flexible work-locations, buddy system, special leave availability and flexible work-hours can be considered by the employer for setting work-life policies. The opinions of employee should also be sought. If any kind of business case is presented by any employee for implementing some changes, then management must give it a serious thought and it should be tested. These kinds of policies are more effective in dealing with the individuals' situations in comparison to rigid policies. It must be kept in mind that rules and effective practices facilitate fair chances and diversity.

5) **Inform and Train Managers:** Designing work-life policies is not sufficient to bring a work-life balance in the organisation. The consistent and effective implementation of such policies is required for it. A special training is required for managers to make them understand the benefits available to the employees and to make them able to counsel employees for choosing the suitable plan. Performance appraisals and annual training plans should include the work-life issues. One must notice that this cannot be achieved by force. It should also be conveyed that the chances of promotion, recognition and other job related benefits are not going to be hampered if an employee opts for these plans.

9.3. WORKPLACE SPIRITUALITY

9.3.1. Concept of Workplace Spirituality

Spirituality can be defined as something which is different for everyone. Some individuals can perceive it as taking part in some religious activities like visiting a temple, pilgrimage, etc. Some individuals prefer to take it on more individual level by giving some time to themselves through meditation, yoga, or even exercise. *However, workplace spirituality has nothing to do with religious activities. It is not related to faith or God.* Workplace spirituality involves the recognition of inner side of an employee which cultivates and is cultivated by the productive acts pertaining to the society. The organisations which uphold the concept of workplace spirituality understand that employees have both spirit and the mind, have requirement to interact with other individuals, try to search contentment and meaningfulness in their work, and want to become a member of the society by establishing a connection with others.

Following a certain religion, conversion, or a particular belief does not mean workplace spirituality. It is associated with the leaders and followers, who treat themselves as a spiritual creature and have an inner drive which makes their life full of objectives and meaningfulness. It is also related to the feeling of being a member of a group and developing congruence with others as well as the workplace. It makes the individual as well as the organisation to perceive work as a growth opportunity, spiritual route, and a way to create value for the society. Spirituality means integrity, truthfulness, and feeling of compassion, care, and co-operation. When individuals and organisations try to utilise values in their work in a greater extent, it is termed as spirituality.

9.3.2. Features of Spiritual Organisation

The main features of a spiritual organisation are described below:

1) **Firm Impression of the Purpose:** The culture of a spiritually sensitive organisation is created around a significant purpose. Profits are of high significance for any business, but not the main value of these organisations. The employees get inspiration by a purpose which is perceived to be vital and constructive.
2) **Respect and Trust:** Honesty, openness, and mutual respect are the fundamental characteristics of spiritual organisations. Here, managers are ready to accept their flaws.
3) **Humanistic Work Practices:** Employee empowerment, flexible work timings, guaranteed employee rights, narrowing of compensation and status gaps, job security, and group as well as individual-based rewards are the practices which are adopted by spiritual organisations. **For example,** Infosys provides good working environment for their employees. Employees are provided the facilities of gym, yoga, indoor sports.
4) **Tolerating Employee's Expression:** One of the most important factors which make a spiritual organisation different from others is the fact that these organisations give an opportunity to their employees to express their emotions. Employees can express their moods and emotions regarding fear, guilt, etc. **For example,** the employees at Southwest Airline are motivated to make the office environment light by using jokes and humour and make their work more cheerful.

9.3.3. Reasons for the Growing Interest in Workplace Spirituality

The main reasons for increased interest in the spirituality are as follows:

1) It is seen as a relief from the stress and pressure which is being exerted on the people because of their fast-paced life. Modern lifestyles, which include geographic mobility, new technologies, temporary jobs, single-parent families, etc., are the factors which create distance between the individuals. Hence, the lack of connection with the society increases the requirement for connection and involvement.
2) Most of the people do not find contentment in their rigid religion. Workplace spirituality is one of the outcomes of their search for the alternatives which can remove their emptiness, and lack of faith increases.
3) Due of increased requirements of jobs, the personal life of individuals is dominated by their work life. However, they consistently try to apprehend meaning of work.
4) Inclinations to combine professional and personal life values are a major factor.
5) Nowadays many people tend to have the feeling of emptiness which comes through running behind the materialistic achievements.

9.3.4. Criticisms of Workplace Spirituality

There are three different arguments of criticism of workplace spirituality which are mentioned below:

1) The research on workplace spirituality is very limited. It is quite tough to analyse, whether the employees working in spiritual organisation really consider their organisation as spiritual, or whether a distinguished spiritual organisation is formed because of cultural features.
2) According to some of the critics, the employees should not be forced to follow the spiritual values created by the secular organisations. This criticism looks quite reasonable as in most of the cases, spirituality somehow relates to religion and God at the workplace. On the other hand, this criticism looks baseless when the spirituality is created in the employees so, that they can find significance in their work lives.
3) One of the important aspect for the stockholders and managers of business organisation is that whether profitability and spirituality can go hand in hand or not.

9.4. EXERCISE

9.4.1. Very Short Answer Type Questions

1) Discuss the concept of workplace spirituality.
2) Define stress.
3) What is eustress?
4) Write a short note on acute and chronic stress.
5) What do you understand by work-life balance?

9.4.2. Short Answer Type Questions

1) Explain the types of stress.
2) Describe various factors of organisational stressors.
3) State various types of group stressors.
4) What are the sources of individual stressors?
5) Discuss the options of work-life balance.
6) What are the criticisms of workplace spirituality?

9.4.3. Long Answer Type Questions

1) Elaborate different types of work stressors.
2) Explain the consequences of individual and organisational stress.
3) Describe the individual and organisational strategies involved in prevention and management of stress.
4) Discuss the guidelines for improving work-life balance. Also state the benefits of work-life balance.
5) State the reason for growing interest in workplace spirituality. Describe the features of spiritual organisation.

Chapter 10

Organisational Change

10.1. ORGANISATIONAL CHANGE

10.1.1. Meaning and Definition of Organisational Change

People like to have order, balance, predictability, uniformity and certain equilibrium in their life, otherwise, there would be chaos and uncertainty. Same is the case with business entities or organisations. Every organisation follows certain assumptions regarding cost, resources, technologies, business practices and external business environment. For all these assumptions to be true, they should ideally be permanent or unchanging. But, this is rarely possible.

Just like day-to-day life, change is an inevitable fact and feature of an organisation as well. We make every effort to achieve and maintain certain level of regularity, predictability and balance or equilibrium by:

1) Establishing and following procedures and processes of doing business,
2) Adopting and following specific technologies, and
3) Trying to work in a predictable external business environment.

Yet, there is no fool-proof mechanism against change. All businesses operate in a dynamic, fluid and uncertain environment. Hence, a modification in the entire work setup is known as change. Organisational change means change in the behaviour and mindset of employees, modifications in the technology, surrounding environment and rules and regulations of the organisation.

Managing change is vital for organisational success. Change management helps in managing the transition of individuals, groups and entire organisation from one state to another. In other words, managing change involves managing attitudes, processes, behaviours, work-design, organisational design and communication system within the organisation. Adequate planning and formulation of strategies and programmes are necessary for making an effective change programme. Further, all organisations have to draw up and keep ready a contingency or emergency plan to cope with forced or unforeseen changes.

For example, nowadays, all banks have disaster recovery systems, just in case their server gets crashed or is being hacked. Manufacturing units also maintain adequate inventory of raw materials or have alternate sources of supply ready, so as to meet abrupt disruption in supplies.

According to Francis and Sinclair, "Organisational change is an ongoing process of social construction that comprises spiral patterns of discursive change and restructuring of collective meanings".

According to Organisation Development and Research Organisation, "Organisational change is the implementation of new procedures and technologies intended to realign an organisation with the changing demands of its business environment or to capitalise on business opportunities".

According to Van de Ven and Poole, "Organisational change was expressed as an empirical observation of difference in form, quality, or state over time in an organisational entity. The entity may be an individual's job, a work group, an organisational strategy, a programme, a product, or the overall organisation".

10.1.2. Nature of Organisational Change

Nature of organisational change includes:

1) **Affects Existing Equilibrium:** Change not only disturbs or upsets the existing equilibrium within the organisation but also establishes a new one. The difference between the two equilibriums rest on the nature and scope of change.

2) **Influences Entire Organisation:** Though the change may be major or minor, localised or overall, it affects the entire organisation and its employees directly or indirectly. This is because business organisations are an organic whole, in which everyone is dependent and affected by each other.
3) **Ongoing Process:** Organisational change is an ongoing process. People retire, new people join, old machinery is replaced by new ones, expansion, etc., are few examples of ongoing changes. Such changes are however minor in nature, non-disruptive and therefore do not have any major impact and are therefore easily accepted. On the other hand, changes which are major may require extra efforts for their implementation and management.
4) **Perceptual and Behavioural:** Change also involves modifications in the mindset and associated behaviour. Perception of employees and the organisation, its goals, its sense of fair play, etc., are all subject to change.
5) **Affects Individuals in Multiple Roles:** All of us play multiple roles, i.e., as individuals in our personal life, as employees of an organisation, as family member with responsibilities and so on. Hence, a change in any one role affects all other roles spontaneously and simultaneously. **For example,** personal problems like an ailing spouse or some other domestic problem is bound to affect the person in his role as an employee as well.
6) **Natural Phenomenon:** Change is mandatory rather than optional. Machines get old and worn out and have to be replaced by new machines, employees retire and have to be replaced by new recruits, etc. Such gradual and natural changes are slow and expected, hence, are easier to amend than rapid changes, which are often sudden, unexpected and disruptive.

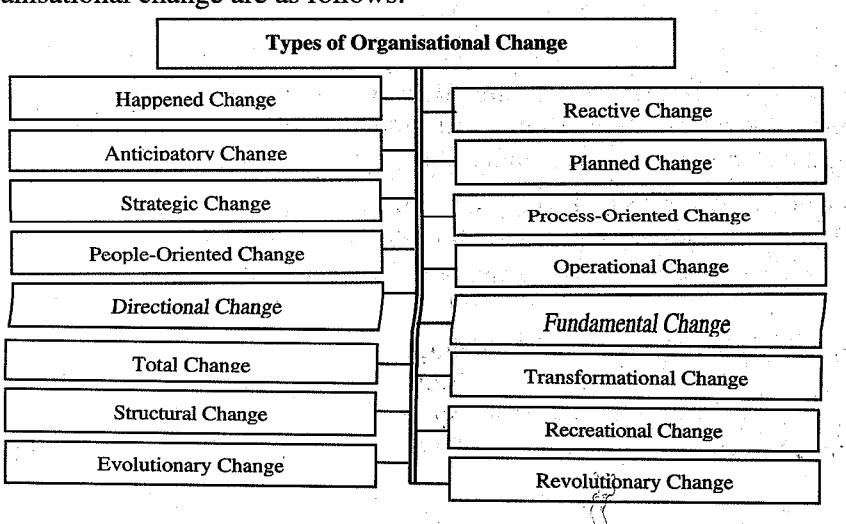
10.1.3. Goals of Organisational Change

Fundamental goals of organisational change are as follows:

1) **Survival and Growth:** Major goal of an organisation is to survive and grow. All the organisational activities including organisational change are directed towards achieving this goal. Therefore, the organisation brings about changes that are necessary for increasing production, employee satisfaction and motivation, defeating competition, business development and so on.
2) **Organisational Development:** Change plays an important role in development of organisation. All organisations need to grow and keep pace with changing times (external environment) to survive. Organisational development refers to enhancement of organisational efficiency in terms of satisfaction of employees and organisational performance. Therefore, required changes are carried-out in the structure and design of the organisation, processes, technologies, skill sets of employees, etc., to make it more effective, in terms of goal achievement.
3) **Modifying Behavioural Patterns:** Every organisation essentially depends on its employees to achieve its goals. Hence, it is essential and imperative to give equal importance to all employees in the organisation. Therefore, all organisations undertake suitable changes by means of training, motivation, incentivisation, rationalising salary packages, improving working conditions, welfare measures, awarding deterrent punishments, skill upgradation, etc., to make their employees happier, contented, productive, committed and loyal.

10.1.4. Types of Organisational Change

Different types of organisational change are as follows:



1) **Happened Change:** This is a type of change on which the organisation has little or no control. It is unexpected, unanticipated, unpredicted but profound and at times even catastrophic. Such changes are often triggered by external factors such as market conditions, political factors, outbreaks of war, product or technological obsolescence, natural disasters or even by accident.

2) **Reactive Change:** Such changes are generally in response to the factors specified in 'happened change'. Various causes of reactive change are tactics applied by competitors, new scientific innovations, performance issues, technological advancements, etc.

3) **Anticipatory Change:** These are the most sensible set of changes that any organisation ideally makes in anticipation of what is going to happen, for a better tomorrow. It helps the organisation to be prepared for future so that they are not affected by future shortcomings.

4) **Planned Change:** As opposed to reactive changes, planned changes are proactive in nature, well thought-out, part of overall strategy, well executed and are aimed to re-orient or re-strengthen the organisation. They are smoothly carried-out and cause little or no disruption. Examples of such changes include switching over to a newer or better technology, change in shift timings, working in a new market, etc.

5) **Strategic Change:** It refers to overall changes in the fundamental objectives or goals of the organisation. Due to globalisation, many traditional Indian companies had to reinvent themselves to survive. Such major modernisations seen recently in the country are examples of strategic changes.

6) **Process-Oriented Change:** Changes/upgradations in technology, automation, computerisation, etc., necessitate changes in the processes followed by an organisation. When processes change, all stakeholders (employees) need not only to be trained about the new processes but also informed about the benefits of change, so that there is no resistance to change. The adoption of robotics in a manufacturing plant or of laser-scanning checkout systems at supermarkets is examples of process-oriented changes.

7) **People-Oriented Change:** These changes are aimed at bringing about change in the behavioural pattern of employees, i.e., better cohesion, team spirit, job satisfaction, commitment, loyalty, contentment, etc. These changes are brought about through special training, counselling, brainstorming sessions, etc. **For example,** many organizations undergo leadership training that teaches managers how to communicate more openly with employees. Other programs may concentrate on team processes by teaching both managers and employees to work together more effectively to solve problems.

8) **Operational Change:** Operational changes are those changes that are planned and carried-out to increase operational efficiency. Every organisation has a set of well-defined operations that help to achieve its basic goals. **For example,** the basic operation of a bank is to accept deposits and give loans. Whenever competition, change in market conditions, etc., spur any organisation to perform better, operational changes have to be made in processes, quality, pricing, etc.

9) **Directional Change:** When it becomes necessary for any organisation to change its direction either because of competition or for regulatory reasons, directional changes have to be undertaken. Technological obsolescence is also often a reason for directional change. When organisation creates a new strategy or is not able to continue its existing strategy, then also directional change plays an important role.

10) **Fundamental Change:** Fundamental changes are very basic or deep rooted changes that redefine or restate the purpose or rationale of the organisation. These are often caused by disruptive, harsh or sudden changes in the external or internal environment, e.g., morale and turnover issues.

11) **Total Change:** Sometimes organisations get into such a mess that they face unavoidable closure or decline. The reason for such a state of affairs could be manifold like mismanagement, catastrophic changes in the external environment, managerial or employee pilferage, etc., and to get out of such situations total changes are required. Total change implementation requires development of new vision and establishment of strong linkage between strategy, employees and performance of the organisation.

12) **Transformational Change:** Due to hostile changes in the market, technological obsolescence, changes in demand and supply, unpredictable competition, etc., organisations have to transform themselves in order to survive. This requires a complete and systematic overhaul of the way they are organised. This is called transformational change. Such kind of change includes both developmental and transitional change.

13) **Structural Change:** These changes generally refer to changes in the internal authority structure of the organisation i.e., chain of command and control, delegation of authority, decision-making processes and so on.

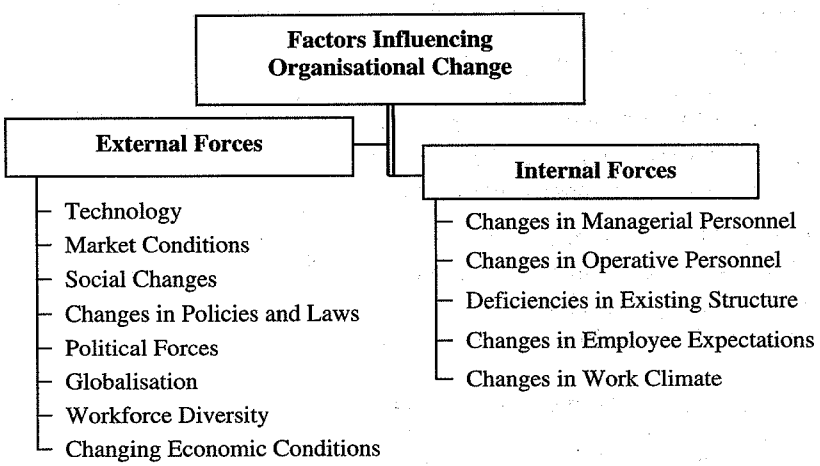
14) **Recreational Change:** Such changes are aimed at refreshing or re-energising the employees. These could be in the form of organising a sports day, a day of events for the employees and their families or a picnic or an excursion. The idea is to refresh everyone by providing a change from the routine and monotonous work life.

15) **Evolutionary Change:** Small, deliberate and gradual micro level changes in the workplace are called evolutionary changes. Such changes are so gradual and small that they are not noticed by most of the people, as they are only for a period of time. When such changes begin to have a cumulative effect, they become visible and perceptible. Such changes are adaptive in nature as opposed to disruptive.

16) **Revolutionary Change:** One distinguishing feature of revolutionary change is that they are radical in nature. This means that they focus on completely different way of looking at things. They are transformational, rapid, dramatic, bold and effective, thereby aiming towards total radical transformation.

10.1.5. Forces that Acts as Stimulant to Change

Organisational changes can be triggered or caused by various factors. Some are (external) present outside the organisation, whereas others are (internal) present within the organisation. These are discussed in detail below:



1) **External Forces:** External forces include the following:

   i) **Technology:** Existing technology is becoming obsolete and technological upgradations are taking place. These two are the most common forces of organisational change. Technology obsolescence is an important change agent. **For example,** MP3s and CDs have replaced audio tapes and digital cameras have substituted the conventional cameras and film rolls. Such examples are endless. But the other equally vital agent of change is technological upgradation. Automation and use of computers has changed the way people manufacture and run businesses. Hence, technology is an ongoing agent of change.

   ii) **Market Conditions:** The most important and elusive fact of all businesses is the market. The market drives, directs and governs all businesses. It determines what you will produce or provide (services), to whom you would do so, at what terms, etc. It may be considered as the most important factor in all commercial endeavours. But it is dynamic, ruthless, often unpredictable, not uniform and forever bringing new challenges. Therefore, organisations have to always be on their toes to be in line with the market. It forces all organisations to carry out changes in their product types, marketing strategies, advertisement campaigns, etc. Competition in the market also compels businesses to carry out various changes.

   iii) **Social Changes:** Social changes, propelled largely by the widening of education, TV, films, empowerment of marginalised castes and groups, etc., fundamentally affect the market. This compels businesses to bring about necessary changes to survive, expand and grow. Demand for new products and services, spread of demand to new geographical areas, etc., are examples of how social changes can affect business.

iv) **Changes in Policies and Laws:** Changes in government policies and associated laws also affect the business and force them to carry out changes in the way they organise and do business. Changes in labour laws, corporate laws, policies on import and export, all have a great bearing on business decisions and often force organisations to adapt the changes in the legal framework within which they have to do business. A recent example of government action is efforts made by Narendra Modi's government at making ***"ease of doing business"***.

v) **Political Forces:** Political factors also influence the change. **For example,** when the Janata party came to power in 1977, one of the earliest decisions of Central Government was to banish Coke and IBM from India.

vi) **Globalisation:** Globalisation can be best defined as opening up of businesses to international competition. Post 1991, when India decided to liberalise its economy, it badly hit the SME's sector, as it had to compete with the best companies in the world. Those companies who adapted themselves (carried-out necessary changes), survived and prospered, however, the rest lost their existence.

vii) **Workforce Diversity:** The appearance and advent of women in the business sector, changes in the age profile, increase in educational levels, etc., had a great bearing on business changes in the recent past. Employers have been compelled to become more sensitive to employee needs and welfare. However, on the flip side, this has also led to higher competition in the employment market.

viii) **Changing Economic Conditions:** Economic conditions greatly influence the health of the business. In times of recession, the decrease in purchasing power of the people, rising unemployment, rise in cost of loans for business, etc., adversely affect the market and therefore the business. Lay-offs, lock-outs and shutdowns become common activities. The reverse is the case with a booming or buoyant economy.

2) **Internal Forces:** Some major internal forces are as follows:

i) **Changes in Managerial Personnel:** Whenever the management of an organisation changes, the new management imposes its own business philosophy and style on the organisation. This may lead to important changes in the way the organisation is designed, structured, staffed and controlled. This is because every executive has its own philosophy.

ii) **Changes in Operative Personnel:** The changing profile of the employees in any organisation forces the management to carry out necessary changes to meet the new and rising expectations of its employees. Rights and privileges, working conditions, nature and degree of supervision are all affected by this changing profile. As employees are now better educated, more aware of their rights and privileges and more ambitious, therefore, management has no choice but to meet their expectations.

iii) **Deficiencies in Existing Structure:** Any defect or deficiency in the organisation necessitates corrective changes. Such changes aim to set things right. Poor inter-departmental coordination, barriers in internal communication, unfair work distribution, etc., are some examples of such defects and deficiencies.

iv) **Changes in Employee Expectations:** The expectations of better educated employees are different from the traditional workforce and these expectations are ever rising. Present workforce focuses on family-balance issues alongwith career opportunities. They also prefer flexible work schedules and facilities to work from home. This necessitates various changes in the organisation in context of their HR policies, working conditions (e.g., provision of separate toilets for women), compensation, etc.

v) **Changes in Work Climate:** The internal environment of an organisation often leads to change. Work dissatisfaction has a cascading effect on the entire organisation. **For example,** when organisations implement the strategy of lay-off, it results into discontentment among employees as they feel insecure about their job. This fear ultimately affects their productivity. This is because discontented and unhappy workers are invariably non-productive workers.

10.1.6. Process of Organisational Change

Organisational change is a planned, deliberate and purposeful process having various stages as shown in **figure 10.1:**

1) **Identifying the Problem:** All problems manifest themselves in symptoms like poor quality of output, low productivity, delay in production, weaknesses over competition, etc. The management first identifies these symptoms to realise and come to a conclusion that something is wrong. Thus, the first step in the process of change is to become aware about the problem.

2) **Recognising the Cause of Problem:** The next step is to recognise and identify the cause of problem. Problem can be associated with the technology adopted, or with the marketing strategies followed or with skill sets of the employees. This can be identified by internal or outsourced studies. **For example,** if employee turnover is the major problem, then it is necessary to recognise the causes of this problem like salary issues, poor working conditions, low employee morale, etc.

3) **Implementing the Change:** To implement the change, it is important to take on board all the stakeholders who would be involved or affected by such changes. Managers need to explain to them:
   i) The relevance of the changes proposed, why they are being carried-out, how they will help the organisation, etc., need to be clearly explained.
   ii) The ways in which each one would be affected.
   iii) The role each one would have to play.
   iv) The ways in which they would be benefited.

   In short, the idea of change has to be sold to all the stakeholders so that they actively participate in the change process. Thus, each one plays his or her expected role and resistance to change is minimised.

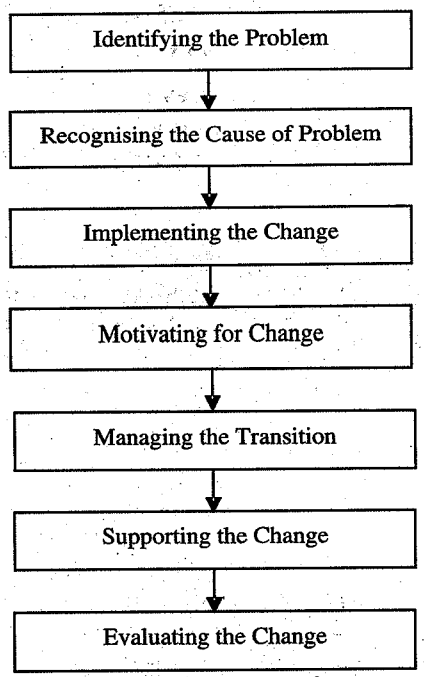


Figure 10.1: Process of Organisational Change

4) **Motivating for Change:** Motivation for change is vital to ensure successful implementation of change. Employees need to be motivated for change by:
   i) Informing about benefits of change so that they welcome change.
   ii) Ensuring their participation in the process of change so that they contribute to change.
   iii) Rewarding employees who actively participate in the change process so that they feel encouraged to work for change.

5) **Managing the Transition:** Periods of change are periods of flux, i.e., confusion, uncertainties, doubts, resentment, resistance to change and so on. There could be various understandable reasons for such issues. When internal processes are being reworked, there is bound to be genuine doubt and misunderstanding. Reporting structures, roles, etc., are expected to alter and change and till the new system stabilises, such conditions are bound to prevail. Therefore, it is very important for an organisation to be sensitively managed during transitions. Many progressive organisations designate a manager to oversee the process of transition.

6) **Supporting the Change:** Stakeholder's support for change is must. All efforts are made to sensitise the employees, through training and education, utilising the services of opinion-makers within the community. All that is necessary is done to support and promote change.

7) **Evaluating the Change:** Entire change process must meet the test of efficacy, whether it has brought about the expected outcomes or not. After the successful completion of change process, management carries out a detailed, scientific and fair evaluation to determine the result of change. If the process has not yielded the desired results, the process is to be repeated again. Sometimes, existing problems are resolved by the change process but it might lead to new problems as well. Therefore, corrective actions are to be taken by management immediately.

10.1.7. Levels of Organisational Change

Levels of organisational change can be classified as follows:

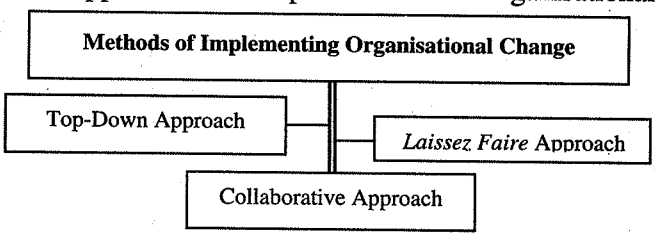
1) **Individual Level Change:** Relocating an employee, changing the job responsibility, or the gradual improvements in an individual's maturity level are the factors which lead to changes at the individual level. It is a common thinking that the changes in this level do not create huge impact on the entire organisation. However, this is a false assumption because the changes at individual level influence the group which further impacts the entire organisation.

2) **Group Level Change:** Changes made at the group level may influence the job design, social organisation, communication patterns, and work-flows. Before applying any change in the organisation, management must assess various factors pertaining to groups. This is because these factors ultimately lead to changes in organisation which have an impact on groups. There are two types of groups in an organisation, i.e., formal and informal groups. Formal groups such as trade unions intensely oppose the change recommended by the management. The informal groups may also act as an obstacle in the path of implementing change because of their intrinsic power.

3) **Organisational Level Change:** These changes take place when an organisation implements plans on a large scale creating a huge impact on groups as well as individuals. Senior management is involved in taking decisions regarding such plans. These changes require a lot of time and extensive planning to be implemented.

10.1.8. Methods of Implementing Organisational Change

There are following methods or approaches for implementation of organisational change:



1) **Top-Down Approach:** Under this widely used approach, individuals at top level of management take decisions or provide solutions and then distribute them to individuals at lower level in a one-sided manner through a formal communication channel and control. These changes basically focus on issues such as replacing officials, declaring procedures and plans, modifications in reporting relationships, structural changes, etc.

In this approach of organisational change, the following two assumptions are found:

i) The behaviours in an organisation such as low productivity rate, low performance, increased absenteeism, etc., can be attributed to particular tangible factors. The complete structure of an organisation can be changed just by modifying these tangible factors which lead to current behaviour. It may be concluded that fundamental organisational changes can take place, if changes are made in the current organisational framework, systems and methods, or if the people assigned at different jobs are transferred from one place to another within the system.

ii) Another assumption under this approach can be considering change as a phenomenon of coercion and compliance. In other words, it involves making less powerful employees accept the decision of the management and manipulative officials through coercion. It is assumed that few individuals initiate changes whereas others automatically get changed. **For example,** the management may threaten the workforce by a likely lock-out if the unions are not following the rules of the organisation. For this purpose, they may use unethical and hidden practices such as bribing key individuals or spreading negative rumours.

The main advantage of top-down approach is that the change takes place in a rapid and quick manner. In certain situations when other approaches fail, management is left with no option other than using this approach. To make the top-down approach more efficient, the person initiating the change must have adequate power which is not manipulative or coercive but constructive.

It is quite evident that this approach is somehow based on the unfreezing and refreezing stages of the process of change. This is so because it involves announcing a change and then institutionalising them into the organisation. However, due to overlooking of socio-cultural and intervening behavioural process of transition, this approach is not successful in implementing the refreezing stage successfully. This happens because individuals start discovering ways to destabilise the changes and the changes are mostly imaginative. No individual prefers to be forced. Change acceptance through coercion overlooks significant issues pertaining to change such as interest of alliances, loss of self-control, etc., and may cause severe long-term complications.

2) ***Laissez Faire* Approach:** This approach of implementing change is just opposite of top-down approach. The general assumption of this approach is that an organisational change can only take place when its employees or members undergo a change. It also assumes that people are generally referred as a rational being and take decisions on the basis of logical facts and figures. They tend to accept change only if they find it beneficial for them. Hence, the maximum a change initiator can do is to disseminate information among individuals which assists them in taking rational decisions. **For example,** in order to recover from the problem of low sales, organisation should conduct training programmes for improving the selling skills of salespersons, provide them more feedback regarding sales figure, and create awareness about organisation's problems, etc. A negative outcome of this approach is that extra responsibility has to be given to the subordinates for managing and performing to resolve problems. Training programmes, workshops, conferences, communication meetings, etc., are prevalent forms of this approach. Training programmes conducted by an organisation throughout the company for enhancing the decision-making skills of the members are aimed at assisting the individuals to deal with difficult circumstances within organisation. Organisations also look to enhance their performance by conducting yearly meetings and conferences to shed light on various concerns and exchange the ideas and information to resolve them.

3) **Collaborative Approach:** This last approach of implementing change stands in the middle of the former two approaches. This approach does not include pushing down change from top management to the subordinates through formalised channels. Also, it does not entirely hold subordinates responsible for handling the change process. It rather includes the coordination between top management and subordinates for identifying the problems and providing a better solution. According to this approach, the basic hypothesis is that the systems and structure of organisation are more than just mechanical processes and components of organisational chart. In fact, these changes are shaped through practices and patterns of behaviour, which are embedded in ethics, beliefs, attitudes, and socio-cultural norms of individuals. Only when the foundations of the prevailing unproductive behaviours and procedures are eliminated and replaced with new and more productive ones, an effective organisational change can be experienced. These innate changes can be attained neither by coercion nor by leaving them in the hands of subordinates. The changes can only be attained when members within the organisation feel confident, empowered, and influenced so that they can analyse and enquire the current practices and replace them with new and effective ones after assessing and committing to them. It means that the members in an organisation play a significant role in designing, directing and executing the process of change.

10.1.9. Importance of Organisational Change

Following points enumerate the importance of organisational change:

1) **Makes Full Use of Training and Development Opportunities:** A major advantage of organisational change for an individual is training and development, which generally comes alongwith changes. Companies that incorporate changes consistently give training and development opportunities to manage and handle the latest needs. This provides great opportunity to the individuals to develop their abilities and attain latest skills required to fulfil the current demands of the organisation. Those who miss on these opportunities may lead to dormancy as the skills they may have attained in the college or at workplace might have become out-dated and primarily need changes.

2) **Dealing with Challenges:** By implementing changes, an organisation can act in response to challenges caused by external forces, and in addition to this individuals can concentrate on the important matters. Changes associated with job structure, working environment, and reporting relationships help the individuals to update their profile, and focus on more significant matters. It helps the individuals to add to organisation's worth and thus, gain respect, awards, and growth prospects. These changes may lead to individual's growth and enrichment of the job. Individuals can broaden their scope, and extend their talent and skills, which add to the competency level through the new relationships and duties associated with change.

3) **Enhances Organisational Performance:** Organisations may deploy resources to get deeper knowledge about the strength of systems, methods, and human resource. They also seek expert advice on what is going wrong, what has become outdated, what needs correction, and what can be improved. The changes in job structure, re-assigning of tasks, modifications in reporting relationships, lay-offs, and new ways of performing tasks, result in incentives to the individuals and eliminate inactive people. This in turn encourages fairness among the individuals and enhances organisational performance.

4) **Acquisition of Prospect Customers:** When an organisation incorporates changes, it becomes able to cater to a larger customer base either with better and more resources or by redirecting the existing resources. Changes may improve an organisation's reach to even more prospective customers, and may also attract customers who were loyal to the competitors.

5) **Retention of Employees:** Whenever an organisation becomes rigid on not implementing changes, the individuals may get uninterested with the routine activities, and may search new ventures which are more challenging. Getting a new opportunity creates a feeling of start of a new phase of life, and motivates employees to work with greater energy.

10.1.10. Limitations of Organisational Change

Organisational change has the following limitations:

1) **Expense:** Organisation change is not economical. It is costly. Funds are required for marketing, recruiting and upgrading technology. This also requires enough time and efforts. However, managers can also attain the desired change by transferring funds and labour. But it must be noted that steps taken for organisational change should bring in long term benefits for the organisation.

2) **Confusion:** Large organisational changes may be preceded and followed by a period of confusion. Such confusions can be avoided if consumers and employees are kept informed during the whole process of change. Effective and open communication channels have to be ensured in this regard.

3) **Fear:** Organisational change can be a daunting experience. It is not easy for a lot of individuals to adjust themselves to a dynamic environment. Hence, it is expected from consumers and employees to resist and fear change. Hence, they must be given time to readjust to the changes. Moreover, proper consideration is necessary before implementing any changes. However, such fear and several other adverse impacts of change can be minimised if managers hire a change management firm or a consultant.

4) **Low Morale:** Employees may suffer from a feeling of low morale as a result of organisational change. They might feel hopeless and less confident regarding their future when they do not approve of a change occurring in the organisation. This usually happens when proper communication about the change is not maintained inside the organisation. Such low morale can spread all over the organisation which can pose problems with regards to retaining and hiring of individuals.

5) **Lower Employee Efficiency:** Employees may become less efficient following an organisational change. This is because they begin to devote much of their time trying to tolerate and endure the change. As a result, they cannot pay attention to their daily jobs and tasks at hand. When employees are not attentive, their levels of proficiency and achievement decreases which affects the overall functioning of the organisation. In fact, the decision for organisational change is taken to tackle such low levels of proficiency among the employees. Through organisational change, the productivity levels of the organisation can be increased.

10.2. CHANGE MANAGEMENT

10.2.1. Meaning and Definition of Change Management

Change management can be defined as a planned process for altering organisations, teams and individuals from prevailing situation to a future situation which is required by the organisations. Both individual change management models and organisational change models are included in this definition of change management, and the combination of both of these models can be implemented to manage the change related to individuals.

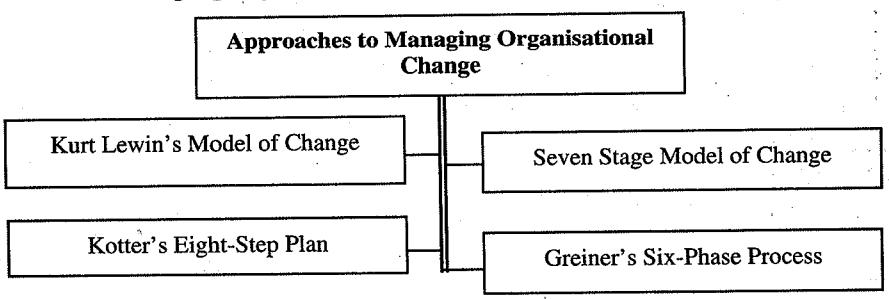
Change management can be seen as a course of action of inculcating a planned approach to implement any kind of change in the organisation. The main objectives behind the change management are to control the risk of being unsuccessful in the implementation of change and to increase the benefits of the individuals who are participating in the change. The change management practices are closely related to the human dimension of the change and thus, it has connection to industrial psychology.

According to Gabler, "Change management is the strategy of planned and systematic change, which is achieved by the influence of the organisational structure, corporate culture and individual behaviour, under the greatest possible participation of the employees".

According to Kostka and Monch, "Change management means to plan, to initiate, to realise, to reflect and to stabilise fundamental and far-reaching change processes. Change management aims on a mid-term to long-term basis at effective changes of behaviour patterns and abilities in order to optimise processes and communication structures. For this an integrative approach of the re-organisation is necessary".

10.2.2. Approaches to Managing Organisational Change

Various approaches for managing organisational change are as follows:



10.2.2.1. Kurt Lewin's – Three Step Model

At any given time, in an organisation, there are some individuals who prefer change but there are some individuals who are quite happy with the way things are happening and therefore, they resist change. **Kurt Lewin's Force Field Theory** helps us in understanding and managing change.

Briefly, it states that how these two different kinds of people or forces are able to balance themselves and how the organisation is able to balance itself.

Organisations can gain stability only when these two forces attain balance. Thus, in order to implement change, managers reinforce or strengthen the forces of change and/or weaken the resistance to change to achieve the desired results.

Assumptions behind **Kurt Lewin's Force Field Theory** are as follows:

1) Change involves terminating existing practices or behaviours and adopting new ones.
2) Change is driven by motivation.
3) People are the centre of every change. Changes in structure, technology, processes, job designs, etc., affect people as they are the carriers and beneficiaries of change.
4) Generally, individuals resist change almost impulsively, even in case of desirable and beneficial changes.
5) For change to be successfully implemented, new expectations from individuals in the form of attitudes, behavioural patterns and practices have to be outlined, encouraged and rewarded.

Figure 10.2 demonstrates that at a performance level of **P1,** the organisation is stable and in a state of inertia as the forces opposing and supporting change are balanced. However, in order to reach the performance level of **P2,** either the forces representing change have to be encouraged or strengthened or those resisting it have to be weakened or both have to be done. As soon as these strategies become successful, the performance will be raised to the desired level, i.e., **P2.**

Kurt Lewin's Force Field model is a **three-stage model of change system,** which highlights the importance of making the change permanent, so that the organisation does not moves back to the old or pre-change situation. Three stages are discussed in **figure 10.3:**

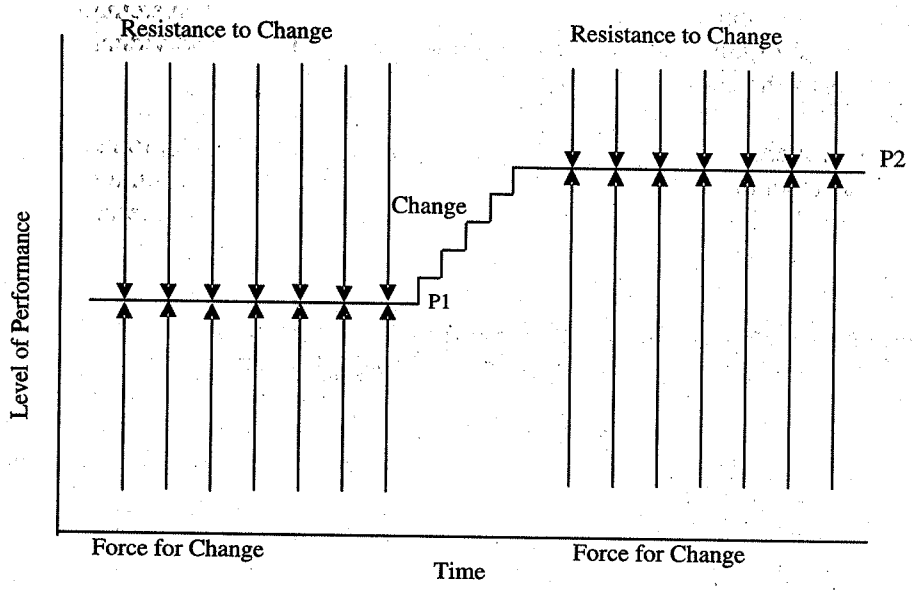


Figure 10.2: Lewin's Force Field Theory

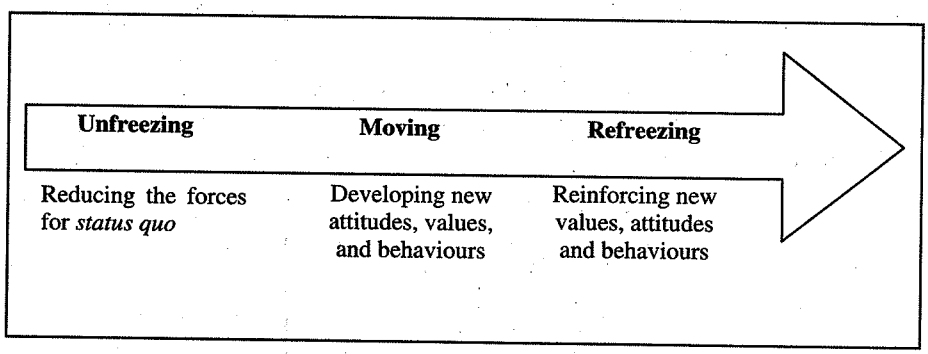


Figure 10.3: Kurt Lewin's Model of Organisational Change and Development

1) **Unfreezing:** This stage is concerned with minimising the resistance to change. It actually refers to melting the deeply entrenched existing system, so that the new system could be introduced. It also involves breaking all barriers to change, so that space could be created for the new system. Thus, manager has to undertake the following tasks to make employees ready for change:
   i) Highlight and explain what is wrong with the present state of affairs.
   ii) Explain the importance, benefits and consequences of the change.
   iii) Help employees unlearn old attitudes, skills, behavioural patterns, etc., so that new ones could be adopted with ease.
   iv) Clear all doubts of employees.
   v) Persuade all "no-changers" to accept change using various means, e.g., rewards.
   vi) Help individuals to leave their comfort zones.

2) **Bringing Change or Moving to the New Level:** Once employees accept the change, managers must bring forward the planned change with the help of employees. According to the **Kurt Lewin's Force Field Model**, this can be best achieved by a process of:
   i) **Identification:** Superiors are the first ones to adopt the new changes in work practices so that they can act as role models for others. Thus, employees follow their superiors and learn new ways of adopting change. This follows the concept of teaching by example which is considered as a highly effective motivational tool.
   ii) **Internalisation:** This is like giving individuals the "swim or sink" choice. They are put in situations where the new behaviours are expected from them and they do not have any choice. Thus, soon they internalise the new changes.

Besides these two methods, a system of reward and punishment (positive and negative reinforcements) is also adopted as and when felt necessary. Unexpected or unforeseen situations often arise during the change process and these have to be handled with care and sensitivity by the change agents.

3) **Refreezing at New Level:** This is the central and most important part of the **Kurt Lewin's Force Field Model.** It emphasises the need for making changes permanent so that individuals do not slip back to old behaviours or practices. In this stage, the changes are sought to be assimilated and institutionalised. Therefore, efforts must be made to transform the new behaviours into habits or normal natural behaviours. This can be ensured by continuous motivation through reinforcements. Employees must feel satisfied that the changes being brought up are necessary and relevant.

For example, we can think of the production level of a manufacturing plant as a resultant equilibrium point in a field of point in a field of forces, with some forces pushing toward higher levels of production and some forces pushing toward lower levels of production. The production level tends to remain fairly constant because the field of forces remains fairly constant.

10.2.2.2. Seven Stage Model of Change

An easy and acceptable illustration of organisational change process is depicted by the model developed by **Kurt Lewin**. However, some of the latest models have refined this model and unfolded the idea to a deeper extent. Based on three-stage model of change proposed by **Lewin, Edgar Huse** developed a seven stage model of change in 1980:

1) **Scouting:** This is the first stage of the model in which delegates from the organisation interact with the OD consultant to diagnose and review the requirements for change. The client and the change agent analyse together the concerns to draw out the problem under consideration.

2) **Entry:** This stage includes the progress of collective compliance on which the psychologist and the business come to terms. The possible outcomes from the change process are also set up to endure.

3) **Diagnosis:** In this stage, depending on the past experiences and the expertise gained from the training, the consultant diagnoses the hidden or untapped problems of the organisation. A combination of planned intervention strategy and recognition of certain improvement objectives is used in this stage.

4) **Planning:** A time table or schedule is used in this stage, which includes the elaborated sequence of intervention actions and techniques for the change process. The possible oppositions which could be raised from the employees and the probable solutions of overcoming this resistance are also considered in this stage.

5) **Action:** As per the plan made in the early stages, the intervention is performed along with the application of action steps which were set up in the past.

6) **Stabilisation and Evaluation:** This step can be termed as "refreezing" the system. Recently carried out practices, code of actions and systems are followed in daily performance of the organisation. An analysis is done to evaluate the achievements of the change process and any type of action is performed, if required.

7) **Termination:** In this last stage, the change agent or OD consultant quits the organisation, or starts working with other organisation, or tries to initiate a completely new project in the same organisation.

The seven stage model is an important tool for the investigation. It elaborates the trivial nature of changes which are to be effective in any organisation. In fact, these types of models which are linear in nature make the problem to appear as a very easy process which is not the case in reality. The 'refreezing stage' of the organisation may not be achieved or completed due to the speed of the organisational change in current era of *swiftly developing economic environment.*

It explains that it will be almost impossible for the organisation to gain its stabilised equilibrium stage and these organisations face a continuous spell of change interventions. In simple words, the organisation faces so many rapid and reoccurring changes that the system in not able to regain its equilibrium state before the next change starts taking place. These kinds of effects are experienced more by those organisations that are sensitive towards the changing fashions and trends.

10.2.2.3. Kotter's Eight-Step Plan for Implementing Change

Building on a more comprehensive model for managing the change was developed by Harvard University's **John Kotter**, who used **Lewin's** three-step change model as a reference. **Kotter** started his model by providing the list of various common mistakes which are done by the leaders when they start any kind of change process.

These common errors that are included were unsuccessful in conveying the vision, unable to originate a sense of urgency for the change, unsuccessful in developing an alliance for the management of change process, the inability to overcome any kind of resistance that could hamper the accomplishment of the vision, the impulse to announce the success very early, inability to make the changes sustainable in the organisational culture, inability to set small short-term goals. **Kotter** gave an eight-step model for managing change which is dependent on the errors made by the leaders as mentioned in **table 10.1**.

Table 10.1: Kotter's Eight-Step Plan for Implementing Change

Steps	Description
1) Establish a sense of urgency	Remove all the restrictions in the organisation by developing an unavoidable reason for necessitating the change to happen
2) Create the guiding coalition	Develop a group of individuals from different levels and different functional backgrounds with appropriate authority and power to initiate the change.
3) Develop a vision and strategy	Developing a strategic plan and vision to lead the change process.
4) Communicate the change vision	Develop and enforce the process of communication which regularly conveys strategic plan and new vision.
5) Empower broad-based action	Remove all the resistance to change and utilise the target components of change to revamp the organisation. Promote the problem solving and risk taking ability in the organisation.
6) Generate short-term wins	Make short-term goals for the betterment. Recognise and reward the individuals who help in achieving the goals.
7) Consolidate gains and produce more change	The leading alliance utilise its reliability to fulfil short term objectives to initiate more change. More individuals are included in this process to propagate it to the different divisions of the organisation. Efforts are made to reinforce the change process.
8) Anchor new approaches in the culture	Establish the change by giving importance to the relation between process, new behaviour and the achievements of the organisation. Develop techniques for the succession and leadership development.

It is very important to notice the way Kotter's steps were based on Lewin's model. Lewin's "unfreezing" stage is represented by the first four-steps in Kotter's model. Lewin's "moving" stage is depicted by Kotter's 5th to 7th step. While the last step of Kotter's model is based on the Lewin's "refreezing" stage. Therefore, Kotter's model can be used by the leaders and change agents to have comprehensive guidelines for managing change in any organisation.

10.2.2.4. Greiner's Six-Phase Process

The role of change agent in a change process is highlighted by yet another popular and well-known model. A person who acts as a leader in initiating the change process in the organisation (may be within the organisation or outside the organisation) is known as Change Agent. In order to make the change successful, the following two concepts must be included in the change process:

1) The re-allocation of power within the set-up of the organisation is necessary for a successful change. A successful change process results in the sharing of power among the different members of hierarchy of the organisation.
2) The developmental change process gives birth to the re-allocation of power. It can be characterised as a chronological process rather than an abrupt move.

The six stages by which a change can be implemented in any organisation are shown in **Figure 10.4**. In this figure, the vital role of change agent is played by the members of the top management. There will be chances of change in all the parts of leadership and functional responsibility of the organisation. A top-down change

process is shown in **Figure 10.4**; these kinds of changes can also result in middle-outward or bottom-up set-up. In every case, the role of key change agent is held by the leaders. Various activities which are performed in each phase of the developmental process are described as below:

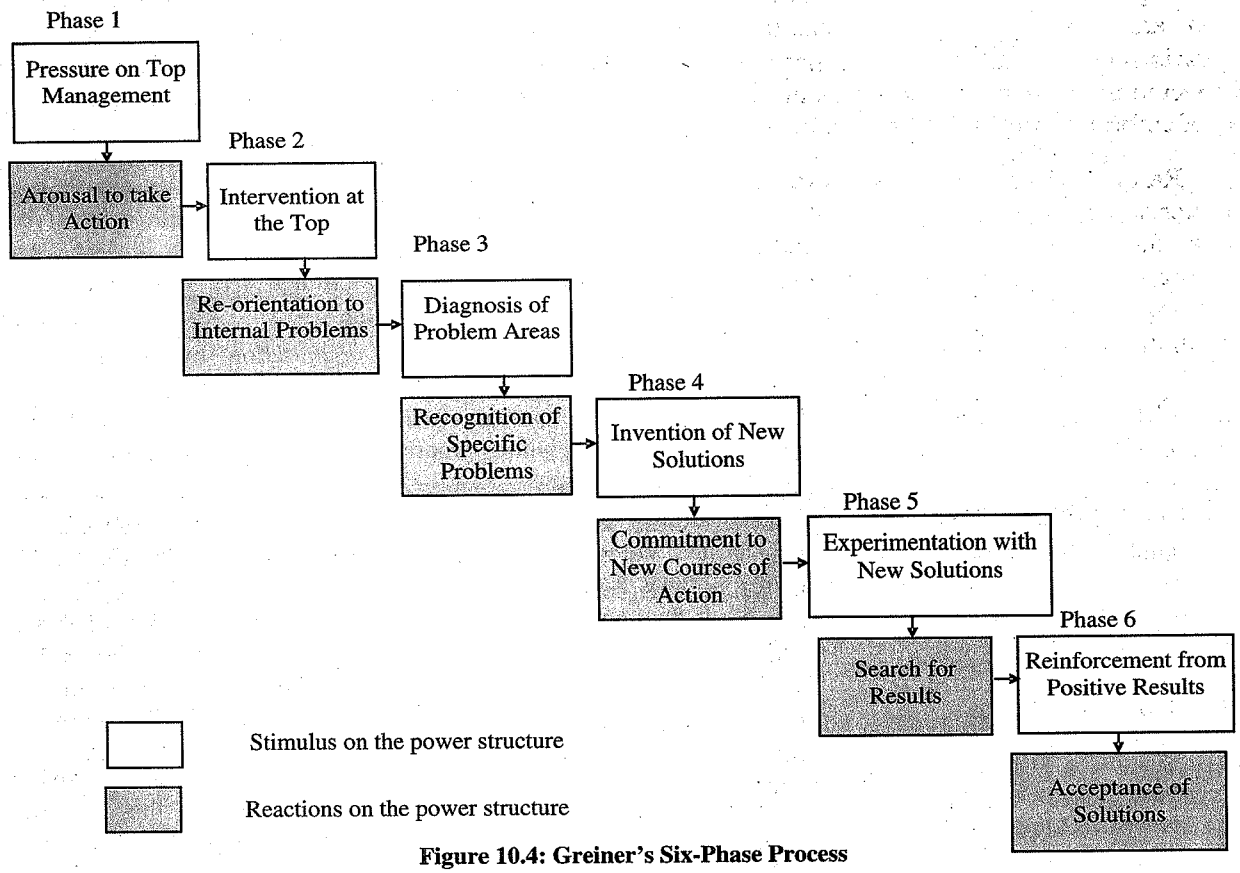


Figure 10.4: Greiner's Six-Phase Process

Phase 1: Pressure and Arousal: When a leader feels the requirement or pressure for any kind of change, the process is initiated. These pressures can be exerted either by the internal variables such as increased turnover and absenteeism, high-level of employee grievances, sudden decrease in the performance, etc., or by external variables such as central or state guidelines, economic changes, higher competition, etc. There will be a greater requirement of change in the case where both the internal and external factors do not balance each other.

Phase 2: Intervention and Re-Orientation: The leaders may not be in the situation of evaluating the problems precisely and thus, are able to make the appropriate change despite having a feeling for change. Due to extreme pressure, the leaders can put the responsibility on other groups of the organisation such as Central or State Government or labour union. When the leaders are recognised as trustworthy and proficient, they will be able to manage the change process quite efficiently. If this is not the case, then the services of an outside consultant are utilised to analyse the problem and enable all the members of the organisation to focus on the problem.

Phase 3: Diagnosis and Recognition: In the third stage of successful implementation of change, all the members of organisation try to collect all the relevant information for the analysis of real factors behind the problems. There must be a mutual co-operation between the leader and the employees of the organisation in this stage. Due to addressing the difficult problems and the requirement of change by the leader, the spectrum of decision making is expanded. Certain issues are identified during the intense analysis of the problem areas. In the unsuccessful change efforts, this step is usually overlooked.

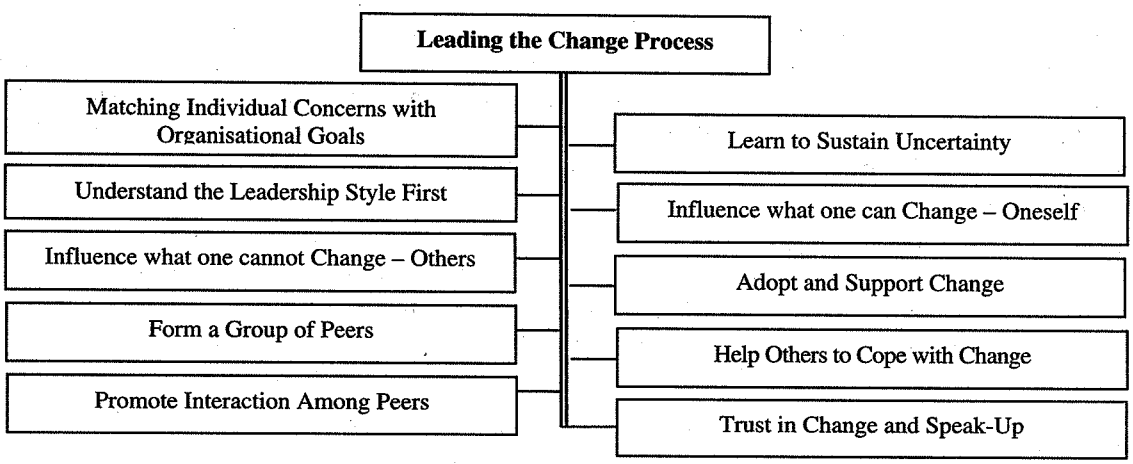
Phase 4: Invention and Commitment: Once the different problems are identified, the organisation puts its efforts in finding out the innovative methods of solving these issues which are recognised. The mutual co-operation is again a vital feeling among the organisation members. They will be more dedicated towards the resolutions of the problems, if they are given the opportunity to contribute in this process.

Phase 5: Experimentation and Search: In this stage, the probable solutions which are identified in phase 4 are tested on a small scale with the help of pilot programmes. **For example**, in a large organisation, a small division can implement the probable solution of the problem and if the results are favourable, it can be implemented in the entire organisation. This is an effective method of finding out any kind of shortcomings and once all the limitations are overcome, the changes can be implemented in the whole organisation by the leaders. With the help of various control techniques, a leader can evaluate the extent up to which the proposed solutions would be able to overcome the different problems in the organisation, how well the techniques are adopted, and how the process of enforcing these solutions can be made more effective.

Phase 6: Reinforcement and Acceptance: At last, if the probable solutions of any problem yield the desired results after vigorous testing, they should be accepted by all the members of the organisation. Moreover, the employees should be supported to make the change successful. The change process will be more firm when the pilot testing of solutions conducted in phase 5 will provide the desirable results. Various other methods of strengthening the change process would include increment in salaries, consistent involvement in change, promotion, recognition and praise.

10.2.3. Leading the Change Process

One of the most trivial and complex responsibility of leadership is to lead the change process in the organisation. According to some philosophers, leading the change is the soul of the leadership and other things are secondary. It is the responsibility of a leader to rejuvenate the organisation and enable it to change according to the dynamics of the environment. During 1980, when almost every organisation whether public sector or private sector was facing a great danger for their survival due to changing business environmental scenario, the role of leadership in implementing the change in the organisation became very critical. In most of the cases, members of top management lead the organisation during the major change process, but any other member can also participate in the change process or facilitate the beginning of change in the organisation and become a part in the success of the change process. In order to lead a change process, it must be noticed that the phenomenon of "change" requires the involvement of employees in the change process rather than managing anything else. There are following methods which can be utilised to lead the change process:



1) **Matching Individual Concerns with Organisational Goals:** Seasoned change leaders modify the goals and objectives of an organisation to move it from current stage to the future stage of performing the business activities. However, most of the change leaders use the next stage to formulate the goals oriented towards a certain team in order to promote the change. One should not play according to others rather individuals should make their own SMART objectives to promote the comprehensive objective of the organisation.

   For example, when an organisation declares the acquisition of other company to support its product line and services, the individuals should focus on gaining the information regarding the other company, its customer base and the main business activities. The individuals should seek permission from the management to analyse these factors and demonstrate new ideas about how they may influence their team. In most of the cases, the manager might be dealing with same issues and would be surprised to receive this kind of support; otherwise the manger can ask other methods to help with the change.

2) **Learn to Sustain Uncertainty:** There is no surety about change. In fact most of the leading change leaders will not be capable of addressing all the questions the moments they appear. If someone is not leading the affair, the best favourable way is to accept these situations. Large scale change and uncertainty are concurrent and it is in the favour of someone to adapt according to the uncertainties.

3) **Understand the Leadership Style First:** Even if the designation of an individual is not so powerful, he/she is still the leader and leaders vary in the strengths and working styles. In order to prove the team spirit of a leader who is ready to provide assistance in the future transformation process of the organisation, it is important to know the change leadership style and then implementing it to get maximum from his/her strengths.

4) **Influence what one can Change – Oneself:** A lot of confusion and division is created by most of the leaders during a change process. One should try to change his/her own behaviour, attitude and believes rather than becoming the leader in the change process, if he/she is not in the position to affect the change officially. This can be achieved by having practical goals and then receiving feedback on these goals from peer groups, managers and customers.

5) **Influence what one cannot Change – Others:** Even if an individual is not leading the change process, they can support this process and as they are "one of them" so, this can provide them the opportunity to convey the various methods by which the fellow employees can be motivated. One of the effective methods of becoming a trusted and respected member of the group is to provide significant and timely advice with an intention of improving job satisfaction and efficiency. The process of change can be promoted by nourishing this environment among the group members as knowing about the concerns and motivations of others can support the change process.

6) **Adopt and Support Change:** When an individual is not leading the change process, even then he can contribute significantly by adopting the change in the initial phase and promoting it. This requires the change to initiate and strive towards the goal accomplishment as soon as the rational explanations are provided for the change process.

7) **Form a Group of Peers:** Many staff or employee groups which act as eyes and ears are used in the change projects. They can be used by the senior members of the management for providing vital information, ideas and issues in order to modify the change plan. If there is a change council in the organisation, the individual should seek the membership of it and if there is no change council, one can provide his/her support in setting-up such a council. Employee councils are the group of different employees who are having mutual interest in the success of the change process. These employee councils provide vital information about the various local and departmental problems related to the business activities which can hamper the success of the change process. Regular information about the acceptance and effectiveness of the change programme activities can be received from these employee councils.

8) **Help Others to Cope with Change:** It has been observed that the leaders and managers are too busy in doing things rather than giving their time to the employees to deal with the difficult task of undergoing the transition process. Despite not having any official designation of change leader, an individual can help the other employees in dealing with the change process by becoming an unbiased participant in the change process. Step back, analyse what is being done and create a judgement of when to get involved. These interventions can be at individual level or at the level of group meeting which becomes a gossip session rather than a constructive discussion on change.

9) **Promote Interaction Among Peers:** One should keep in mind that the result of accumulated effort is far more than the individual efforts. Promoting interaction among the fellow employees will not only reduce the ambiguity or contradicting information, but also provide vital information for the change team or leader about the different issues which requires further clarification or re-communication. The process of change can be made easier, if there is a free flow of communication between the employees and change leaders. It defines the significant and non-significant business activities, reduces the time required for the accomplishment of the goals and improves efficiency.

10) **Trust in Change and Speak-Up:** If one trusts the change, he is not only helping his concerns but in fact he is making the changes to be implemented on ground. A change can help in satisfying the customers or making a job more interesting and fulfilling. An individual who is dissatisfied by his job can provide various vital inputs for making his job more interesting with the help of change process. Eventually, continuing a job which has redundant processes and below quality product will not be everlasting.

10.2.4. Facilitating Change

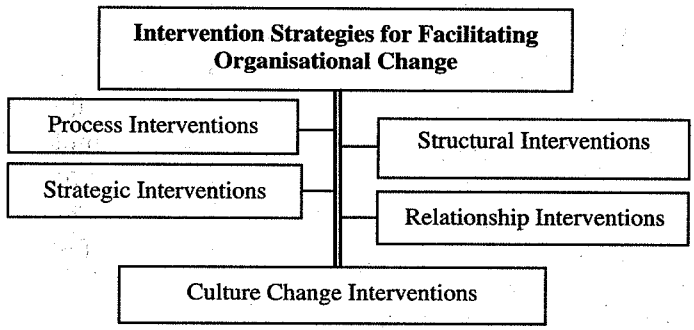
Facilitating change is related to the implementation of changes. By harvesting the moments of insight, facilitating change can be initiated. During the moment of insight, a trivial combination of new contacts is formed inside the brain, which is capable of conquering the inherent reluctance to change. According to **Hamlin and Davies**, one of the extensive challenges is "how to endure in the working situations which are constantly unstable, how to help the individuals to undergo the transformation of change" The managers who have a knack of being successful in the constant change they are able to 'cautiously handle the transformation between past and future'. The major responsibilities of managers who act as a change agent are described as below:

1) The matter must be on the strategic business agenda and it is the responsibility of the manager to ensure how these actions will improve the outcomes of business, i.e., it is very necessary to have profound reasons for starting. Manager must have the capabilities to exhibit the pay-off on the planned investment.
2) It is important to have the active support of the top management for the change process so, it is up to the manager to involve the top management and convince it in a feasible manner to move ahead with the process.
3) HR should also involve the manager in the process of designing the change from the beginning (or the HR is required to be engaged from the beginning if the change is initiated due to business itself).
4) Business languages should be used for designing the change programme in order to have the real significance and all the stakeholders should be impressed with it.
5) In order to ensure that the change plan has sufficient resources, is backed up by good programming, and has undergone risk evaluation, the skill of project and people management is inevitable.
6) The significance of communication in any kind of change programme is unparalleled in order to clarify, employ and motivate the employees towards the programme.
7) In this regard, the prime responsibility of a manager is to make sure that all the employees of the organisation are completely involved in designing and accomplishment of change.
8) A manager should try to learn from the learning and experience of other change agents.

10.2.4.1. Intervention Strategies for Facilitating Organisational Change

Whenever any kind of change is required to be implemented in any organisation, problem recognition is needed. Moreover, there must be consensus among the employees of the organisation about the change. Before making any kind of interventions, all the employees of the organisations should have discussed all the possible outcomes which could result from these changes, and they must ensure that all the measures are taken in order to manage any kind of problems which could arise during this stage. As every organisation has its unique characteristics, interventions must be formed specifically in such a manner that it addresses all the specific problems associated to that organisation. Many intervention strategies can be implemented to ensure the smooth facilitation of organisational change.

Some of these strategies are explained as below:



1) **Process Interventions:** In case of process intervention strategies, there is an attempt to modify the culture, organisational communication methods, employee's behaviour and flow of information. The various factors which influence team performance and system maintenance such as attitudes, behaviours, inter-group and inter-personal communication are all tackled by process change. The relationship between culture change and teamwork traits are the foundation of principles of process intervention strategies.

When team members perform their responsibilities within the lateral and horizontal set-up of the organisation, the process change becomes operative. The team members will provide their full involvement in the recognition and resolution of problems when they acquire the unordered support. Because of process interventions, various cross functional and interdepartmental management teams are formed to perform collectively particular activities required.

2) **Structural Interventions:** It is another type of intervention relevant to change. Chain of command, span of control, departmentalisation, centralisation and formalisation are the six aspects of a structure. With the growth of the organisation, its structure is also required to be widened in order to fulfil the intricate demands of the employees. Structural intervention can result in the re-framing of both the individual as well as organisational jobs, and this can be achieved with the help of six dimensions of the structure.

   The main focus of structural intervention strategies is to modify the elements of the organisational system, **for example,** job and organisation design, performance management system, accounting control system and reward system. As per the structural model, preparation of necessary structural details (design of organisation and system, technology) and their concurrent implementation are the essentials for successful change. Employees will also change accordingly.

3) **Strategic Interventions:** Strategic intervention can be considered as the third type of intervention. The main objective of this intervention is to modify the processes and strategies which are used for the accomplishment of the goals and the manner in which an organisation functions. The organisation always attempts to integrate its activities with the dynamic requirements of the external environment. These interventions contain the following:
   i) Evaluation of external environment
   ii) Recognising opportunities and threats,
   iii) Strategic planning,
   iv) Evaluation, and
   v) Rewarding behaviour that can result in achievement of higher goals.

4) **Relationship Interventions:** The solution of problems associated with the dysfunctional relationship between teams and groups, or employees could be found with the help of relationship interventions. These are the problems which can hinder the performance of the employees. These interventions can be considered as receptive since there is an attempt to change the employee's perceptions, attitude, feelings, and behaviour towards others. The main strategies which can be implemented are given below:
   i) Team-formation activities;
   ii) Training;
   iii) Coaching and mentoring;
   iv) Introducing workplace forums and innovation groups;
   v) Conflict management,
   vi) Employee welfare programmes; and
   vii) Lifestyle counselling.

5) **Culture Change Interventions:** Organisational culture is formed with the help of common beliefs, perceptions and values. In reality, it is a tough task to modify the culture. Relationship interventions and culture are concurrent since there is a change in the culture of the organisation due to changing behaviours, attitudes and relationships.

   It is very necessary to have the involvement of all the employees in the cultural intervention. In order to have a long term effect, these cultural interventions must be implemented steadily. **For example**, if the culture of any organisation is very rigid and formal, the cultural interventions should concentrate on offering a more comfortable policy on uniform, promoting the employees at all the levels of hierarchy to spend some time together, or to promote the employees to use their first name. These types of changes are very difficult to obtain and face lot of resistance from the employees.

10.2.4.2. Guidelines for Facilitating Change

Managing change is one of the fundamental functions of the management. It must also ensure that all the three stages of change process, i.e., unfreezing, movement, and refreezing must be embodied in the change strategy and should be managed. Because of this very fact, the collaborative method is considered the most successful

strategy for the effective implementation of change in any organisation. **Greiner** explored that even though there was a lack of regularity in failed changes, the successful changes could be attained more regularly. Various guidelines which can be used by the managers to achieve collaborative management of change are described as follows:

1) **Unfreezing the System:** For initiating the process of change, the system needs to undergo discomforting situation. There is no power which can stimulate efforts towards the change unless the employees observe an intense feeling of change, and begin to show their discomfort towards the current scenario. Apart from this, the members of the organisation should also have the confidence, security, and backing to perform self-appraisal. The following methods can be helpful in developing the conditions which necessitate the change process
   i) **Creating Dissonance:** In many cases, the employees of the organisation have a very clear idea about deviations between the actual and standard performance. However, if the organisation is content, analysing the shortcomings like customer complaints, low sales volume, results of surveys based on satisfaction, etc., stimulates employees to raise a question about the current operations.
   ii) **Sharing Information: According to Jan Carlzon**, "An individual without information cannot take responsibility; and the individual who is given information cannot help, but take responsibility". Apart from making individuals familiar with the various concerns and barriers, one of the important functions is information sharing. It makes individuals feel safer and enables them to consider themselves not just as beneficiaries of change, but also as dynamic change facilitators.
   iii) **Creating Contacts with the External World:** By analysing the various changes happening in the surrounding world, an individual can be motivated to do a self-introspection. With the help of this comparative information, an evaluation can be initiated which will enable the individuals to concentrate on their problem-recognising or problem-solving abilities. A number of organisations promote their managers to subscribe to technical and management journals in order to have continuous information on advanced technologies and processes. They also send their managers to attend various seminars or training programmes and invite experts from diversified backgrounds so that the managers can gain knowledge from their vast experiences.
   iv) **Providing Top Management Support:** It is very essential to have support of top management leaders in order to articulate a comfort level among the employees of the organisation towards change. A force can be exerted on the employees in the organisation for unfreezing by the top management. Various researches have shown that the change-related expectations of the top management can be a deciding factor which impacts the result of change process.
   v) **Reward for Change Efforts:** It is always recommended to implement some kind of reward system for those employees who are participating actively in the change process by giving valuable suggestions and inputs to make the change process plan more appealing. This does not mean that employees have to be rewarded only by the monetary rewards. In fact, various other non-materialistic mediums can be used to reward the employees. As these rewards are considered as a formal acknowledgement of attempts by the management, the organisation's decision to adopt change becomes more reliable through these rewards.

2) **Facilitating the Movement:** Right after the task of recognising the issues related to the change is initiated in the organisation, the next vital responsibility of the manager is to provide guidance and channelise the efforts towards the desired direction. This step is very crucial as despite having the changes implemented in the organisation; these changes might take place in an undesired direction. The following strategies can be used by the managers in this transition phase of change:
   i) **Determining Clear Objectives:** The future state of the organisation alongwith the direction of the change efforts are decided by objectives. Change can be imparted among the individuals only when they see a clear objective behind the change efforts. Objectives should be able to describe the direction of change without focusing on particular resolution.
   ii) **Participation of Individuals in Change:** A higher level of dedication can be achieved to assist the change process, when the goals have a broad perspective and are formed with the help of mutual participation. By motivating the individuals to take part in the process of identifying and finding alternative solutions to any issue, the organisation not only generates the opportunity for empowerment of the employees, but also supports them in handling various political and cultural uncertainties caused by change.

iii) **Focusing on the Entire Setup:** If the changes take place in one division of the organisation, it will also have effects on the other departments and sub departments. Thus, the focus of the manager should be on the entire organisation rather than on a single department. **For example**, one must combine the various simultaneous changes which may initiate in structure, role, relationships, culture, etc.

iv) **Developing Support Systems:** Confusion and uncertainty are the most disturbing experiences during the change process. Organisation must look to inculcate skills in its employees to tackle change. It is very important to establish a support system which can provide professional and psychological help to the employees of the organisation and enable them to undergo the process of transition comfortably. Some of the common support systems which are created for this purpose are role-negotiation forums, counselling, providing multiple channels of two-way communication, etc.

3) **Re-Freezing the Equilibrium:** Being the last step of the change process, re-freezing holds equal significance as the earlier stages. It is necessary to make some changes in the organisation, but it must be made sure that these changes are sustained in the functioning of the organisational activities. The change process will attain its re-freezing equilibrium stage only if the process of change is managed efficiently by the change agents. Following important aspects must be kept in mind:

i) **Recognising Desired Behaviour:** It is a commonly known fact that reinforcing favourable behaviour of employees and discouraging unfavourable behaviour helps the organisation and the employees to accept, implement, and adjust according to the change. It is quite surprising to see that many managers still support their employees unknowingly to continue with old performance activities. **For example,** if a change is made in the organisation to have a better customer satisfaction level, there can be still some practices of encouraging those employees who have given high sale despite having a large number of complaints from customers of that area.

ii) **Planning for Incremental Success:** The major changes which include the entire organisational systems do not take place instantly. In fact, these changes take place in a step-by-step manner. The managers should focus on establishing a steady system to implement change. As per **Beer, Spector** and **Eisenstat,** the initial accomplishments of change in some of the units and departments of any organisation can prove as a "developmental laboratory" for other departments. The cost of failure can be controlled and be kept to its minimum level with the help of incremental approach.

iii) **Developing Social Contacts:** In most of the cases, the group dynamics loses its balance as a result of various changes which are enforced in the organisation. This can bring disturbances in the social relationships which exist among the members of the group due to change in locations, shifts, structure, reporting relationship, etc. This can result in a feeling of discomfort among individuals for the new structure. Therefore, it is very crucial to handle these disrupted social relations carefully. The social relationship can be made stronger and more cohesive with the help of improved social interactions and team building practices. **For example**, office parties, team projects, meetings, get together, etc.

iv) **Institutionalising the Change:** The last important stage of change process is to institutionalise the new practices and processes in the organisation with the help of formalised acceptance. Although the changes are initiated in an organisation with the help of informal or non-directive medium, to make these changes last longer and sustainable, a proper formal structure must be established to accept it as a part of the organisational routine. **For example,** a number of organisations impart training to their managers on innovative skills. If these skills which are developed with the help of trainings (creating a new method of problem solving, establishing idea generation units, brainstorming sessions, etc.) are not implemented in the organisation, such skills will not be utilised and managers will not be interested in them anymore. Also, these skills may be lost when managers leave the organisation. It is significant to understand that the institutionalising of changes is the last aspect of bringing change. However, the initial endeavours to build a structure for these changes have a great chance of failure.

10.2.5. Importance of Change Management

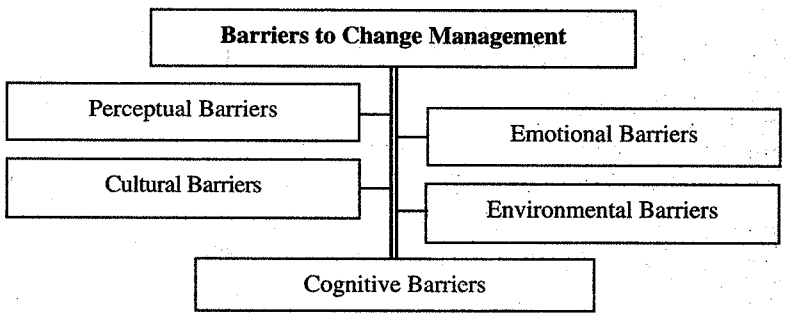
As the process of managing and implementing the change in any organisation is quite complex and difficult, therefore, change management plays a very significant role in any organisation. Change is not something which can decide the survival of any organisation and therefore the strategic significance of change management is quite limited. Managing the changes implies implementing the changes in a more systematic and planned manner. The importance of change management can be understood by the following points:

1) **The customer requirements can be fulfilled very fast by the organisations.**

2) Change is a managed and designed activity. The results of change are predetermined and they act as motivating factors. It also helps to evaluate the development of change.
3) Facilitates in arranging the current resources of the organisation.
4) It enables the management to assess the inclusive effect of a change on the organisation.
5) It can easily be implemented without disturbing the routine activities of the business.
6) By addressing the opinions of employees, the efficiency and effectiveness of the organisation can be sustained and even increased.
7) The probability of failure and total time required for enforcing the change can be reduced significantly.
8) When employees recognise and promote the change process, their performance is increased by a great deal.
9) A high level of improved services to clients and customers can be achieved with the help of experienced and confident employees.
10) An organisation can predict the future threats and address these threats efficiently with the help of change management.
11) The uncertainties which are related to the changes can be controlled significantly with the help of change management.
12) It can also reduce various types of costs related to the change process.
13) The management can have the chance of promoting leadership development, team development and best practices in the organisation.

10.2.6. Barriers to Change Management

The different types of barriers which can prevent successful change management are explained as below:



1) **Perceptual Barriers:** Perceptual problems are most likely to occur during the analysis of alternatives and personal situations (recognising internal weakness, internal evaluation). This can result in an inefficient solution of the problem which is incapable of removing the problem from its root. It contains the following issues:
   i) **Stereotyping:** Individual will observe what they want to observe.
   ii) **Problem Identification:** The problem in recognising and evaluating the genesis of the problem, or the real factor causing the problem.
   iii) **Too Narrow Approach to Problem-Solving:** The problems are analysed only from one side which gives importance to a certain approach avoiding the complete analysis of the facts.
   iv) **Information Overload:** Problems in differentiating the important and available data.
   v) **Misjudgements:** Most of the individuals think that they take decisions after analysing the complete spectrum of problem and data, but in reality there is a lot of information which remains unused by them.

2) **Emotional Barriers:** Because the emotions can hamper the creation of new ideas and approaches, it can prove really devastating in the change process. It consists of following:
   i) **Related Risk:** Apprehension of failure, or probability of being failed.
   ii) **Lack of Information Processing Skills:** Finding the solution of trivial issues is a difficult task. The innovative ideas can be suppressed due to incomplete information.

iii) **Preference to Evaluate Existing Ideas instead of Generating New Ideas:** Innovative ideas can be screened out in the early stages of the evaluation. The complete information is not used in the initial thoughts making their rejection quite easy. In general, the individual finds it very easy and convenient to provide the various reasons for the refusal of the idea rather than provide the support to the new ideas.

iv) **Less Time for Thinking:** Because of the prevailing pressure for giving early results, generally individuals do not look back and do an analysis of the problem.

3) **Cultural Barriers:** The development and analysis of problem is also affected by the cultural barriers in any organisation. In fact they reduce the alternatives which can be used in change process. These barriers contain the following:

i) **Taboos:** In any organisation, many issues can be considered as taboos. Therefore, these issues are very difficult to evaluate and modify.

ii) **Less Imagination and Creativity:** It is seen that the level of creativity among the children is more in comparison to adults. One of the important reasons for this is that the culture gives significant importance to precise thought process. Therefore, as people grow, they tend to forget to be creative and imaginative with the development of ideas.

iii) **Problem-Solving is a Serious Matter:** The problem-solving process does not have any space for wittiness therefore, the liberty for creativity is not supported.

iv) **Reasons and Intuition:** It is widely accepted that logic, figures, critical reasoning, objective analysis and facts are good thoughts in business activities. Perception and emotion are observed as unfavourable. But in common practice, many types of decisions are taken by the individuals on the basis of their perception and emotions such as selection of partners, friends, etc.

v) **Customs and Change:** Avoiding customs is a difficult thing to do. This prevails more, when employees observe no relation between the existing problems and traditions. Rather personal obligation can be based on customs in change process.

4) **Environmental Barriers:** All the stages of change are influenced by the environmental barriers. A feeling of rivalry and selfishness is created alongwith the feeling of unity and co-operation. Environmental barriers are consists of following:

i) **Non- Supportive Attitude:** Most of the individuals treat changes as a challenge to their status. The comfort zone of everyone which includes all the employees and the organisation itself are disturbed by the change, and this is the reason why some people try to avoid this process of change or try to prevent any kind of change.

ii) **Resistive towards Criticisms:** When reasonable criticisms are not welcomed and ignored by the individuals who bring new ideas in the organisation, it will create some barriers. In order to achieve support from others and creating mutual trust, it is very important to accept the criticism.

iii) **Managers who always know the Answer:** Innovative ideas and ability to enforce such ideas have led to many successful managerial endeavours. But the managers, who pay attention to the employees, will be able to utilise their inventiveness.

5) **Cognitive Barriers:** All the steps of change process are influenced by cognitive barriers similar to the environmental barriers. These barriers contains the follow:

i) **Wrong Terminology:** By using correct terminology and language which is easily understandable by the receiver, a higher level of motivation and creativity can be obtained.

ii) **Sticking to Strategies:** Many alternative strategies are available to provide solution to numerous problems in change management. But usually they are not implemented correctly – they are either too firm or completely flexible.

iii) **Lack of Complete and Correct Information:** This is the main issue which hardly has any solution. The only optimal solution could be the use of innovative ideas and maintaining equilibrium of information mix.

10.3. RESISTANCE TO CHANGE

10.3.1. Meaning and Definition of Resistance to Change

All living beings, specifically the human beings are inherently against change. No one wants to leave his or her comfort zone. Absolute inertia or fear of the unknown may be behind this tendency. This tendency is known as resistance to change. This resistance to change manifests itself in many strange ways in an organisation like using tantrums, organising collective protests, spreading rumours against proposed changes, etc., in order to prevent change.

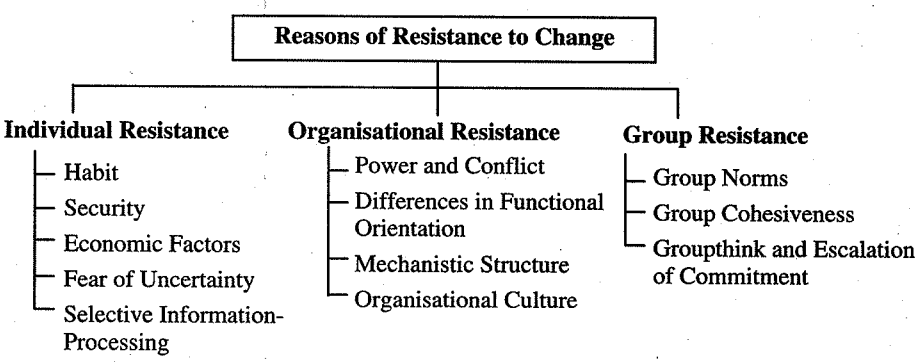
According to Zaltman and Duncan, "Resistance to change can be defined as is any conduct that serves to maintain the *status quo* in the face of pressure to alter the *status quo*".

According to Ansoff, "Resistance to change is a multifaceted phenomenon, which introduces unanticipated delays, costs, and instabilities into the process of strategic change".

According to Lines, "Resistance to change can be defined as behaviours that are acted out by change recipients in order to slow down or terminate an intended organisational change".

10.3.2. Levels of Resistance to Change

Reasons of resistance to change are found at following three levels:



1) **Individual Resistance:** The basic unit of resistance to change is deep rooted in the individual. Thus, an individual resists change due to the following reasons:
   i) **Habit:** Human beings are said to be captives of habits. Therefore, they resist any kind of change that forces them to change their habit. Change in working hours is a common example.
   ii) **Security:** Change gives rise to insecurity amongst many individuals, so people resist change due to the reason of security.
   iii) **Economic Factors:** A very real and important reason for individual resistance to change is the economic factor. Fear of loss of income is a genuine fear associated with any kind of change. Another contributory factor is the lack of confidence to perform in the post-change scenario, which may require higher levels of proficiency and competence, specifically when compensation is directly related to production.
   iv) **Fear of Uncertainty:** Human beings are constantly plagued by the fear of uncertainty and any change increases such possibilities, **e.g.,** entry in a new organisation.
   v) **Selective Information Processing:** Every human being creates his/her own world of imaginations which often act as resistance to change. This is because people selectively filter out things and facts and avoids those facts which may distort their imaginations.

2) **Organisational Resistance:** The factors which lead to resistance to change from within an organisation are as follows:
   i) **Power and Conflict:** Changes in the organisation may lead to conflict. This is because any change that suits the agenda of one is likely to be resisted by the other. Hence, an organisation resists change when such change leads to organisational conflicts and power tussles. **For example,** quality control and purchase departments are often at odds with each other.

ii) **Differences in Functional Orientation:** This is a perceptual issue. People resist change for their own different reasons. Different departments within an organisation tend to see issues and problems from their own perspective. Hence, it is difficult to arrive at a consensus on change.

iii) **Mechanistic Structure:** Mechanistic structures are characterised by centralised decision-making, standardised rules and regulations, tall hierarchies, etc., whereas organic structures are characterised by flexibility, decentralisation, interdependence among employees, etc.

Organisations with machine-like structures and processes are less willing to change than organic and flexible organisations, which are more adaptive to change. Such organisations have fixed behavioural patterns and therefore do not permit innovation and creativity. They do not provide the space to their employees to respond with solutions, as and when challenges and problems arise.

iv) **Organisational Culture:** Every organisation has its own ethos or a value system, which determines its internal work culture. **For example,** in a sole proprietary concern, it is a one-man show; all decisions are taken by him, with little or no scope for opposition. On the other hand, a multinational company has well laid-out decision-making centres, predictable behavioural patterns, standard processes and procedures. Any change that seeks to disrupt its value system is likely to be resisted.

3) **Group Resistance:** All individuals working in an organisation are part of a group. **For example,** sales team is one group; those involved in manufacturing process are members of another group. Each group has its own interests and desires. Therefore, resistance to change comes from groups, depending on the following factors:

i) **Group Norms:** Groups tend to have their own internal cultures or norms that define intra-group relationships. Whenever any change seeks to threaten these norms, members belonging to that particular group may oppose that change.

ii) **Group Cohesiveness:** Some groups are more cohesive than others. Cohesiveness denotes the degree of belongingness as well as commitment of the members towards their group. Cohesiveness grows over a period of time and is dependent on how strong the group's interests are. Cohesive groups are less adaptive to change hence, resist change more than others.

iii) **Groupthink and Escalation of Commitment:** Groupthink is an erratic and distorted decision-making process which occurs when groups take decisions based on selective information, i.e., information that suits them. This situation is deteriorated by escalation of commitment. This happens when members of a group follow a course of action inspite of knowing its incorrectness. Both of these make it difficult to change the group behaviour.

10.3.3. How to Overcome Resistance to Change?

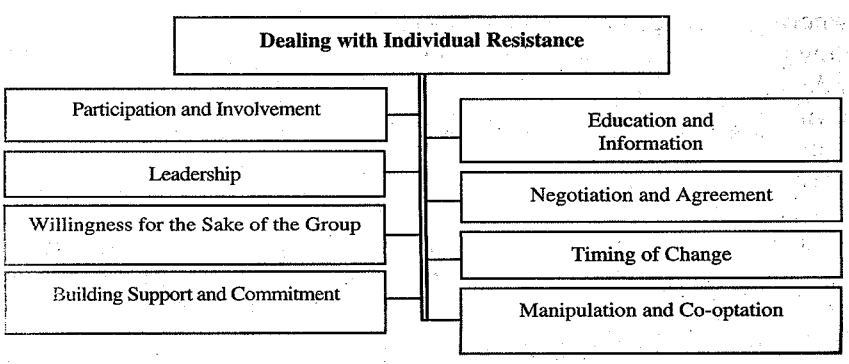
The changes which are to be implemented by the management of the organisation may face stiff opposition at every level of the organisation. A manager must be invariably prepared to face such resistance. There are mainly two kinds of resistances which a manager has to deal with:

1) Individual resistance, and
2) Group resistance.

Some of the measures which can be implemented to overcome the resistance to change are explained below.

10.3.3.1. Dealing with Individual Resistance

The following methods can be used by a manager to tackle the resistance at the individual level:



1) **Participation and Involvement:** For people, it is quite tough to oppose those changes in which they are involved. Before implementing any kind of changes in the organisation, it is very vital to involve all those individuals in the decision making who are supposed to get affected by these changes. In order to achieve their support and participation, it is very vital to resolve their apprehensions and objectives. The participation of employees can help in achieving individual dedication, improving the quality of decisions related to change and avoiding any kind of opposition.

2) **Education and Information:** In situations, where the employees do not have the correct and precise information, or the information which they possess is not sufficient, it is very important to provide them the necessary information regarding the change, such as various requirements of change, the time to enforce the change, the process of enforcing the change and the different procedures and functioning of change.

3) **Leadership:** If a manager who has the responsibility of enforcing the change, possesses high level of reputation and reliability with the employees, he will be able to impact employees greatly who are going to be a part of the change procedure.

4) **Negotiation and Agreement:** For the benefit of different groups of individuals, methods of negotiation and agreement are implemented in the situations, where it is vital to have a proper balance between costs and benefits. Different labour unions are used for any kind of negotiation. This process is of high significance, when there are a lot of chances that the various individuals and groups have to compromise with a number of losses due to these changes, and these persons or groups have the potential to oppose the change strongly.

5) **Willingness for the Sake of the Group:** In most of the cases, people give their agreement to the change because the group, to which they belong, has the consensus to support the change though they may not be completely agreeing with these changes. This fact is more relevant to those people, who have a strong sense of prolonged psychological relationship with the group in order to have the group togetherness or group cohesiveness.

6) **Timing of Change:** The level of opposition faced by the change can be significantly influenced by the timing of implementing these changes. When we implement any new change in the organisation, it has its good timing as well as bad timing. There will be less resistance, if the changes are implemented at the right time. Therefore, the management of the organisation should give highest priority to look for that time where the organisational environment is quite conducive for the enforcement of new changes in the organisation.

7) **Building Cooperation and Commitment:** In order to nullify the opposition to change, many types of supportive efforts can be used by the change agents. When people are having the issue of high apprehensions and nervousness, various methods such as short paid leave, training for new skills, employee counselling can be used to reduce their concerns. With the help of various researches on the managers, it is observed that when there is a low level of emotional dedication in the employees or in managers, they tend to oppose any kind of change in order to maintain the *status quo*. In order to increase the feeling of accepting the changes and committing the employees emotionally towards these changes, firing up of the employees can be useful in such a situation.

8) **Manipulation and Co-optation:** Manipulation can be seen as altering the efforts of affect. Some of the examples of manipulation can be controlling the unfavourable information and circulating incorrect rumours for gaining the favour of the employees to agree on the change process, modifying and altering the facts and information to change into a more appealing form. Another example of the manipulation can be seen in the situation when the management of a car manufacturing unit asks the labour union to accept the proposal of cutting down on the payments due to loss occurred to the company and the management threatens them to shut down the manufacturing unit, if the union does not accept their proposal although the option of shutting down the unit is just a fake ploy. Opposite to this, co-optation can be seen as the combination of involvement and manipulation. It is an attempt to bring the opposing parties on board by offering them the key responsibilities in the process of change. The opinion of the union leader is taken to enable the employees to accept the change rather than to take these opinions as an input of decision-making. Co-optation and manipulation are the easy and cost-effective methods of avoiding any kind of opposition and bring the employees on-board to the changes, but this method can also bounce-back if the employees come to know that management is just trying to allure them through various tricks and when it is found by the employees, the reliability of change agents is completely shattered.

10.3.3.2. Dealing with Group Resistance

A group is a union of different individuals who share same interests in some manner over a long period. These individuals interact with each other and they create a feeling of cohesiveness among the members of the group. Although the change can be implemented at individual level, but when it is enforced at the group level, it has a totally different significance. Therefore, group should be considered as the fundamental unit of change rather than an individual. This can be achieved by using group dynamics to some extent. **Darwin Cartwright** proposed following characteristics of a group, which can be used in avoiding the resistance to change:

1) The role of group becomes more significant when both the change agents and the people who are aimed for change are associated with the same group.
2) It is easy to implement the change in those groups where the feelings of cohesiveness and association to the group are quite high.
3) Greater the attractiveness of group to its members, greater will be the impact of the group in resisting or accepting the change.
4) A group can apply high degree of force on those elements of the group members because of which they are attracted towards the group. In general, the group attractiveness is determined by the values, behaviour and attitudes.
5) The amount of the influencing power which a group has over its members is associated with the level of reputation of a group perceived by the group members.
6) The members of the groups will oppose all those changes which are not in accordance to the normal norms of the group, when some changes are initiated by any individual or some individuals collectively.

Therefore, it is important for the management to consider group as a basic unit of change. The interaction among the group members must be promoted, and all the relevant information must be provided to them by the management. The management should try to bring the group members on board, by assuring them that their interests will not be affected negatively by these changes and should convey the logic behind enforcing the change. The resistance which is created at group level can be tackled by the management in the following manner described below:

1) **Group Discussion:** The management should promote group discussions and thoughts. All the favourable and unfavourable thoughts regarding the change should be allowed to be conveyed freely and the discussion should be done with participatory motives. As the group members start understanding the vital facts about the changes through a discussion such as how, why, what changes are to be implemented, the feeling of resistance among the group members tends to reduce. This discussion can lead to shared learning activities which also results in a common understanding between the manager and the employees of the organisation.
2) **Negotiation:** Negotiation takes place in those situations where a group's interest is going to be hampered by the change. In these kinds of situations, it is very important to achieve cost-benefit equilibrium. This reflects that the members of the group, who are going to be affected adversely due to change, should be compensated with the same amount of benefits. This is the only way in which change can be enforced in the organisation. Labour unions play an important role in these kinds of negotiations.
3) **Group Meetings:** A formal meeting can be conducted with the group members in order to avoid any kind of resistance to change. In the meeting, the management can try to convince about why these changes are inevitable and in what manner; the different groups are going to be affected. Apart from this, the ultimate decision-making responsibility can be assigned to the senior members and the representatives of the group. If the group agrees on any decision, the chances of resistance to change are almost nil.
4) **Group Training:** Group effectiveness can be enhanced thorough various training programmes, but it must be taken into account that the beliefs and values which are imparted during the training sessions should be in alignment to the beliefs and values of the organisation. With the help of adequate and proper training of group members, the following aspects can be accomplished:
   i) A change can be easily adopted with the help of group training.
   ii) Changes can be implemented effectively with the help of various training methods.

10.3.4. Benefits of Resistance to Change

Resistance to anything is not bad. It can also result in some advantages which are described below:

1) **Re-Analysis of Change Proposals:** Due to the resistance to change, the management can re-evaluate the proposals of change in the organisation which enable them to make sure that these changes are suitable. In this manner, the employees of any organisation can be considered as an element of the check and balance system to ensure that the decisions made by the management related to change and their enforcement are appropriate. The casual management decisions can be controlled by the substantial opposition created by the employees which forces the management to revisit their plan for change more closely.

2) **Addressing Problem Areas:** With the help of resistance, the management can easily notice the particular problem area which can pose some difficulties, while implementing the change and some necessary steps that can be implemented by the management before the rise of the problems. Simultaneously, there can be effective communication about the proposed change between the management and the employees which will result in the acceptance of the process in long-run.

3) **Furnish Information:** Resistance to change also provides some vital information to the management about the sensitivities of employees related to an issue. This can encourage the employees to consider and converse more about the proposed change to have a better understanding. This further gives an opportunity to un-expressive employees to discharge their emotional tensions.

10.4. LEARNING ORGANISATION

10.4.1. Meaning and Definition of Learning Organisation

The organisation which adopts an open learning approach for the betterment of its employees as well as the whole organisation is known as learning organisation. These organisations not only believe in creating and acquiring knowledge, but also transfer it to all the levels of the organisation. They make modifications frequently in order to develop new skills and viewpoints.

These skills are then used to prepare the organisation to adapt themselves according to the changes and improvise the present as well as future performance of the members. Thus, it can be said that these organisations expand their capabilities in order to have a successful future.

According to Sandra Kerka, "Learning organisations seem to work on the assumption that learning is valuable, continuous, and most effective when shared and that every experience is an opportunity to learn".

According to Handy, "Learning organisation is one that both learns and encourages learning in people. It creates space for people to question, think and learns, and constantly reframes the world and their part in it".

According to Senge, "Learning organisations are organisations where people continually expand their capacity to create the results they truly desire, where new and expansive patterns of thinking are nurtured, where collective aspiration is set free, and where people are continually learning to learn together".

10.4.2. Nature of Learning Organisation

Nature of learning organisation is as follows:

1) **Constant Readiness:** Learning organisations are always prepared and ready to utilise the upcoming opportunities. They are constantly connected with their surroundings and are always willing to adopt the changes to improve their methods of doing business.

2) **Uninterrupted Planning:** In learning organisations, preparing the plans is not only the top management's cup of tea. Instead, the members of the entire organisation are given equal opportunities to participate in policy-making process, re-assess the plans made, understand and accept the strategies established and make the modifications, if required. Thus, the old saying "the top thinks and the bottom acts" is not being followed in learning organisations. They believe that the thinking should be combined and must be performed by all the members of the organisation equally.

3) **Better Implementation:** Since the learning organisations give equal importance to the thinking of lower level employees and provide them with the opportunity to plan for the entire organisation, this shows that such organisations encourages improvisation and experimentation. Co-ordination among each and every member of the company not only helps in effective implementation of learning establishment, but also ensures the success within the organisation.

4) **Action Learning:** Learning organisations emphasise on frequent re-assessment of changes made so that the appropriate actions can be taken accordingly. These organisations believe that evaluation of strategies established after a long gap or once in a year reduces the chances of making suitable adjustments at appropriate time.

10.4.3. Elements of Learning Organisation

There are several components that play an important role in making the learning organisations successful. Some of them are mentioned below:

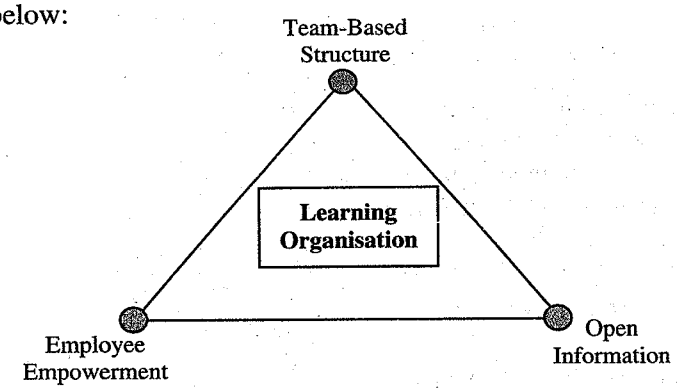


Figure 10.5: Elements of Learning Organisations

1) **Team-Based Structure:** The most important element of a learning organisation is its team-based structure. This means that the functioning and development of entire organisation depends upon the group efforts made by all the members of the organisation. Different teams have number of skilful employees who not only work together for accomplishing particular organisational goal, but are well prepared to face upcoming challenges effectively. Since, no boss-system is followed by the learning organisations; it is of great benefit to the team members as they get an opportunity to express their viewpoints and new ideas without any fear. In such organisations, employees at the lower level are also given equal opportunities to make decisions regarding the job methods to be adopted, scheduling the tasks, training and development programmes, safety policies and maintenance of co-ordination among different teams. Communication is carried out by the employees themselves, not only within the particular department but throughout the organisation which makes them more autonomous.

2) **Employee Empowerment:** Learning organisations focus on employee empowerment under which they provide equal opportunities and freedom to all the employees to show their creativity. Unlike traditional management system, these organisations do not set boundaries for their employees. In fact, they provide their employees with necessary resources, relevant data and authority to make decisions on their own. This further helps them to perform better without any supervisor holding his gun on their head. Learning organisations believe that empowerment makes the teams self-directed and their performance qualitative which not only improves their way of working, but also motivates them to contribute to their group by participating in different tasks.

   For the empowerment of the employees, learning organisations provide their employees with good compensation and healthy working conditions, as they believe that the employees are the greatest strength of any organisation. They even conduct several training and development programmes for the overall development of the employees. Sometimes, employees are even rewarded by giving some share of profit to make them feel an important part of the organisation.

3) **Open Information:** Learning organisations are well aware of the fact that more the information is provided to the employees, more beneficial it proves for the organisation. Though these enterprises are full of relevant data, but until they are identified by the employees, they are useless. Thus, it is essential that each and every member of the organisation should be aware of what is happening within the organisation, the

budget of the company, profits received, expenses incurred, etc. The understanding of all this information not only makes them realise that they are important part of the organisation, but also prepares them to handle various organisational issues that may arise. Proper sharing of information throughout the organisation is also encouraged by learning organisations.

10.4.4. Developing a Learning Organisation

Moving towards becoming a learning organisation requires a strategy. It does not just happen overnight, it takes commitment from everyone in the organisation and it needs to be part of the organisation's long-term strategic objectives. Moreover, creating a learning organisation depends upon embedding learning in the management processes of the organisation. Creating learning organisation also needs purposive initiatives of leaders. It depends on leaders who hold power or have influence in organisation. Leaders' effort in choosing strategic activities is believed to have capacity of building a learning organisation. Certain steps are to be followed to make an organisation a learning organisation. The steps involved in the process are mentioned below in **figure 10.6**:

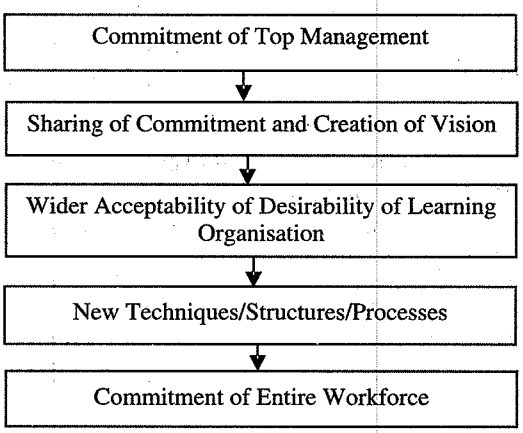


Figure 10.6: Process of Creating Learning Organisations

1) **Commitment of Top Management:** The success of any learning organisation entirely depends upon the dedication and co-operation of top management. While changing any organisation into learning organisation, major transformations are to be made in existing structure, guidelines, practices, actions, principles, beliefs, etc., which becomes impossible in the absence of top management's support. Sometimes, the need to modify the goals and objectives also arises which again depends upon the support of the officials at the top level. Without the help of top management, it becomes difficult to arrange for the resources required for the alteration and even the other members of the organisation become lenient and do not actively participate in the entire amendment process.

2) **Sharing of Commitment and Creation of Vision:** When it is observed that the top management has become committed towards the establishment of learning organisation, the officials working under them automatically get ready for the transformation process. After this, a vision is developed by the top management about the future challenges that may be faced by them, and the direction in which they need to proceed. This vision also enables them to visualise the portrait of their learning organisation.

3) **Wider Acceptability of Desirability of Learning Organisation:** After the vision is created by the management, it is communicated throughout the organisation so, that all its members are made aware about what a learning organisation is and what its advantages are. Once people come to know about the need for creating learning organisation, its importance, modifications to be made, time structure and role play of each member, they easily prepare themselves to accept the changes. Higher degree of desirability for the creation of learning organisation, results in reduction of any kind of obstruction from the employee's side, and leads to smooth functioning of such organisations.

4) **New Techniques/Structures/Processes:** The most important requirement during the establishment of a learning organisation is adoption of new tools and techniques, framing new structures and policies and advancement of already existing processes. Sometimes, previously adopted methods and organisational structure even prove out to be beneficial for current situations and do not require any modifications. Sometimes, they may be altered depending upon the requirement.

5) **Commitment of Entire Workforce:** Commitment of top management alone is not sufficient for effective working of a learning organisation. Alongwith the entire makeover of the organisation, support of entire workforce is also essential. The commitment of the employees towards the creation of learning organisation encourages them to respect novel and innovative ideas given by other members, and share their own outlook with others confidently. It prepares them to work collectively in new environment and change their old mindsets, beliefs, values, etc., according to the need of the circumstances.

Thus, by following all these steps an effective learning organisation can be established which further leads to growth and development of its employees.

10.4.5. Disciplines of Learning Organisation

There are five different disciplines of learning organisations which were presented by **Senge**. These are explained as below:

1) **Systems Thinking:** Managers are required to have proper knowledge of the gaps between their own behaviour, and the behaviour of others which are in close proximity whether within the organisation or outside. As per **Senge**, managers are not able to understand the 'systems thinking' approach because they perceive and react to a single dimension of the issue instead of comprehending the wider context.

2) **Personal Expertise:** It is very important for the organisation to motivate employees to upgrade their skills and capabilities consistently. Conventionally, the organisations provided training only to selected employees and the remaining employees were left to do just routine tasks. **Senge** explained that the organisations have left most of their resources unexploited by not motivating all employees to learn in a continuous manner.

3) **Mental Models:** Mental models can be understood as deep rooted observations and pre-conceived notions which are formed regarding the functioning of others as well as self. Mostly, it is intuitive but has the capability of affecting individual's performance and behaviour greatly in the organisation. As per **Senge**, these mental models can prove a significant hindrance in the organisation's capability to learn and receive new innovations and innovate.

4) **Creating Shared Vision:** In **Senge's** view, the success of any organisation is deeply influenced by shared vision. There is a significant difference between the vision which is established according to the mutual objectives and the vision which is the outcome of an influencing leader's thought process. The latter is usually short-lived. Creating and sustaining shared vision provides an opportunity to the employees to learn and prosper, and is significant for the evolution of learning organisations. In order to create a shared vision, it is required to develop communicative interactions regarding future possibilities instead of following a set pattern.

5) **Team Learning:** One of the important attributes of learning organisation is sharing and disseminating information with other team members. **Senge** identified that most of the teams show the symptoms of restricted discussions and negative groupthink. Meaningful communications can be used in order to neutralise these issues. This can be achieved by eliminating presumptions and prejudices, and promoting "free thinking" with other teams.

10.4.6. Benefits of Learning Organisation

Benefits of learning organisation are as follows:

1) **Motivates Employees:** Learning organisations give equal importance and admiration to creative thinking, capabilities, knowledge and values of all its members. This makes them realise their significance within the organisation and motivates them to put in more efforts to perform better. These organisations appreciate all its employees equally which provide them with greater job satisfaction. Besides this, it also encourages all the employees to search out for mutual solutions for various organisational problems.

2) **Increases Flexibility:** Learning organisations offer flexibility to its employees in order to prepare them to adapt themselves according to the changing environment. It offers its employees with new knowledge and skills so, that they can understand and perform different roles and tasks of different departments. These organisations have flexible structures so, that the employees are not bound to their specific job and can work freely and confidently within the organisation.

3) **Enhances Social Interaction:** Social interaction plays a very important role in making the learning process effective. Learning organisations motivate their employees to become more social and communicate with large number of people. More the employees interact with other people, their performance becomes better.

4) **Inculcates Creativity:** Since the perspective and new ideas of the employees are effectively recognised by the learning organisations, the level of creativity also increases within the organisation. These organisations promote experimenting creative ideas, and ignoring the mistakes made by the employees. The contribution of the employee in developing something innovative is given huge importance.

5) **Facilitates Teamwork:** The healthy and motivating work environment provided by the learning organisations is most suitable for the growth and development of its employees. This environment encourages the employees to perform as a team and accomplish the desired goals successfully.

6) **Improves Customer Relations:** Learning organisations are capable enough to change themselves rapidly as per the requirement of their clients. This shows that these organisations give importance to their customers. There exist very less number of official procedures that increases the direct contact between the organisational members and their clients.

7) **Makes People Independent:** Unlike most of the organisations where people are dependent upon others in order to get their work done, learning organisations try to make its employees independent. These organisations ask their people to interact with others on their own, and identify the roles played and tasks performed by other members. This identification helps them in proper management of time which further improves their work process. Rather than depending upon others, these organisations inspire its people to have confidence in themselves and be self-dependent.

8) **Breaks Traditional Communication Barriers:** Earlier most of the organisations follow the traditional way of communication or in other words a communication barrier, where the managers used to command their subordinates. But learning organisations have absolutely changed the scenario by breaking this communication barrier between the managers and employees. Now the managers support their employees, motivate them and appreciate them for their good work. The awareness of the employees about whatever is going on within the organisation makes them realise that they are also an important part of the organisation. Open and free interaction among all levels of the organisation motivates them to work mutually and helps in making their performance better.

10.4.7. Problems of Learning Organisations

Major problems concerned with learning organisations are as follows:

1) **Focuses Mainly on the Cultural Dimension:** In order to make an organisation a successful one, all its aspects need to be paid equal attention. But learning organisations often ignore various aspects of the organisation such as organisational structure, work management, policies and procedures, etc., and focus entirely on the cultural dimension of the organisation.

2) **Favours Individual and Collective Learning Processes:** Renowned theories based on organisational learning suggest that the learning process must be linked with the organisation's objectives. Besides the fact that learning organisations encourage personal as well as collective learning, these learning are not properly aligned with the planned goals of the organisation. **According to Finger and Brand,** this disadvantage of learning organisation can be eradicated by creating some measurement scale, using which the contribution of learning towards the accomplishment of organisational goals can be measured.

3) **Remains Rather Vague:** The organisational learning functions are required to be defined clearly. Strategic objectives of the organisation can be accomplished through organisational learning. Creating a learning organisation is also an objective, therefore, continuous learning and capability to learn is a necessary condition for surviving in the modern environment. So, the ability of an organisation to function like a learning organisation should be more definite and systematised in order to make learning in organisation effective. According to **Finger and Brand,** "a true management system of an organisation's evolving learning capacity" also needs to be developed. This can be attained by defining both individual and collective indicators of learning and by associating them with the other indicators as well.

4) **Difficult to Establish in Large Organisations:** Establishment of learning organisations on a small scale or introduction of organisational learning in new businesses is comparatively much easier than its creation in large organisations. In small learning organisations, the leader of the organisation is responsible for the growth of entire organisation as well as the employees working in it but in big organisations, it is difficult for the leader to perform the task of development alone.

5) **Organisations Lack a Questioning Approach:** In order to select a leader for any organisation, it is important that he should be interviewed about his knowledge, education, experience, etc. But in case of learning organisations, this questioning approach is not followed. In fact, they are made leaders because of their proficiency shown at previous level. The skills of those leaders are not helpful for the development of the employees as well as the whole organisation. People having new ideas and thinking and better ways to deal with several organisational problems receive few benefits from such leaders.

6) **Long-Term Changes take a Lot of Time:** Transformation of an organisation into learning organisation is not an easy task. It is a lengthy process which is very time-consuming as large changes are to be made within the organisation and a lot of time is required for training and development programmes. Though there are some organisations that have certain characteristics of learning organisation, but in today's time where the organisations are result-oriented and the pressure of time as well as environment is increasing, organisations avoid wasting their time in making conversion decision.

10.5. EXERCISE

10.5.1. Very Short Answer Type Questions

1) What is organisational change?
2) Define change management.
3) Discuss the concept of learning organisation.
4) What do you understand by transformational change?

10.5.2. Short Answer Type Questions

1) What are the goals of organisational change?
2) Explain the forces which act as a stimulant to change.
3) Describe the imitations of organisational change.
4) Explain the concept of Kurt Lewin's three step model.
5) Discuss the barriers to change management.
6) What are the guidelines for facilitating change?
7) Highlight the importance of change management.
8) Explain the benefits of learning organisation.

10.5.3. Long Answer Type Questions

1) Discuss the nature and types of organisational change.
2) Explain the process of organisational change. Also describe the levels of organisational change.
3) Enumerate the methods of implementing organisational change. Highlight the importance of organisational change.
4) Elaborate various approaches to managing organisational change.
5) Discuss the process of leading change. Explain the intervention strategies for facilitating change.
6) Explain the nature and elements to learning organisation.
7) State the steps involved in creation of learning organisation. Describe various disciplines of learning organisation.
8) Discuss the meaning and definition of resistance to change. Explain the levels of resistance to change.
9) How to deal with individual and group resistance? State the benefits of resistance to change.

UNIVERSITY OF PUNE

MBA - FIRST SEMESTER EXAMINATION, 2014

ORGANISATIONAL BEHAVIOUR

Time: 2½ Hours **Max. Marks: 50**

Note: 1) All questions are compulsory.
2) Each question has an internal option.
3) Each question carries 10 marks.
4) Figures to the right indicate marks for that question/sub-question.
5) Your answer should be specific and to the point.
6) Support your answers with suitable live examples.
7) Draw neat diagrams and illustrations supportive to your answer.

Ques 1 a) "Behaviour is generally predictable, so there is no need to formally study OB." Do you agree or disagree with this statement? Why? (10)

Ans: ''Behaviour is generally predictable, so there is no need to formally study OB.'' I disagree with this statement because behaviour is not random rather there are certain fundamental consistencies underlying the behaviour of all individuals that can be identified and then modified to reflect individual differences. These fundamental consistencies allow predictability. When we use the phrase systematic study, we mean looking at relationships, attempting to attribute causes and effects, and basing our conclusions on scientific evidence – that is, on data gathered under controlled conditions and measured and interpreted in a reasonably rigorous manner.

OB improves managers' predictive ability by replacing intuitive opinions with a more systematic approach. Behaviour generally is predictable if we know how the person perceived the situation and what is important to him or her. While people's behaviour may not appear to be rational to an outsider, there is reason to believe it usually is intended to be rational and it is seen as rational by them. Specifically, it helps managers in understanding and managing human behaviour as explained below;

Importance of Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 26

Or

Ques 1 b) Define 'Organisational Behaviour'. Explain in brief models of OB: (10)
i) Autocratic Model
ii) Custodial Model
iii) Supportive Model

Ans: Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 23

Models of Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 28

Ques 2 a) Explain the meaning of Personality? Enumerate the Big Five Personality Model with suitable examples? (10)

Ans: Personality
Refer Unit-1, Chapter 2, Page No. 50

Big Five Personality Model
Refer Unit-1, Chapter 2, Page No. 57

Or

Ques 2 b) Discuss critically Herzberg and Maslow's Need Hierarchy Theory of Motivation. (10)

Ans: Herzberg's Two Factor Theory of Motivation
Refer Unit-2, Chapter 4, Page No. 95

Maslow's Need Hierarchy Theory
Refer Unit-2, Chapter 4, Page No. 93

Ques 3 a) "Both formal and informal groups are necessary for the group activity just as two blocks are essential to make a pair of scissor workable." Comment. (10)

Ans: Formal and Informal Group Necessary for the Group Activity
Refer Unit-3, Chapter 5, Page No. 109

Or

Ques 3 b) Define 'Leadership'. Explain the styles of Leadership with justifying examples. **(10)**

Ans: Leadership
Refer Unit-3, Chapter 6, Page No. 127

Styles of Leadership
Refer Unit-3, Chapter 6, Page No. 129

Ques 4 a) What is 'Organisation Structure'? Explain in brief the basic elements in designing Organisation Structure. **(10)**

Ans: Organisational Structure
Organisational structure refers to the hierarchical arrangement of various positions in an enterprise. It also defines the relationship between various positions, departments and persons. It defines the position of persons in the organisation, i.e., who is superior to whom and who are his subordinates.

An organisational structure consists of activities such as task allocation, coordination and supervision, which are directed towards the achievement of organisational aims. It can also be considered as the viewing glass or perspective through which individuals see their organisation and its environment.

Basic Elements in Designing Organisation Structure
It describes the internal characteristics of an organisation. Sub-dimensions of structural dimension are as follows:

1) **Departmentalisation:** One key element of organisational design is departmentalisation. Departmentalisation is part of the organisation process. It means dividing and grouping the activities and employees of an enterprise into various departments, division of the total work of an enterprise into individual functions and sub-functions. Then, either on the basis of similarity of work, or efficiency in their performance, these functions and sub-functions are grouped together so as to constitute different work, units. The work-units so formed may be called departments, divisions, or units.

2) **Hierarchy of Authority:** Hierarchy of authority describes who reports to whom and the span of control for each manager. A hierarchy of authority ensures that every director, manager or employee is held accountable for specific projects or tasks.

3) **Span of Management:** Span of management is also known as span of control, span of organisation and span of supervision. It refers to the number of subordinates who can be managed effectively by a superior. Span of control can vary in size among companies. Managers are usually in charge of fewer employees in smaller companies versus larger corporations.

4) **Specialisation:** Specialisation describes the degree to which tasks in the organisation are sub-divided into separate jobs. By breaking jobs into small standardised tasks, which could be performed over and over again, production can be increased, while using employees who have relatively limited skills. Individuals specialise in doing part of an activity rather than the entire activity. This makes people more specialised and active.

5) **Formalisation:** It is the amount of written documentation, including procedures, job descriptions, regulations, and policy manuals. These written documents describe behaviour and activities. Formalisation is often measured by simply counting the number of pages of documentation within the organisation. Large state universities, **for example,** tend to be high on formalisation because they have several volumes of written rules for such things as registration, dropping and adding classes, student associations, dormitory governance, and financial assistance. A small, family-owned business, in contrast, may have almost no written rules and would be considered informal.

6) **Centralisation and Decentralisation:** Centralisation is the extent to which decision-making is done by the top management. Decentralisation is the extent to which authority to make decision is delegated to lower levels of management.

Or

Ques 4 b) Write short notes on:
i) Strong *versus* Weak Culture. **(03)**

Ans: Strong *versus* Weak Culture

Basis of Difference	Strong Culture	Weak Culture
1) **Impact**	Strong culture influences the employees of an organisation significantly.	Weak culture does not have much significant impact on the employees of the organisation.
2) **Core Values**	The core values are retained strongly and accepted in the entire organisation.	Here, the core values are not shared on a wide scale and it results in lesser dedication level among the employees.
3) **Dedication Level**	The organisation becomes more powerful through increased dedication level.	Due to low level of dedication among the employees, the culture of the organisation becomes weak.
4) **Guidelines**	Clear guidelines are set in advance for carrying out the business.	The employees do not have clear guidelines for business activities in weak culture organisation.
5) **Performance**	The performance is usually on the higher side in strong culture organisation.	The performance of low culture organisation is relatively low.

Ques 4 b) ii) Hard *versus* Soft Culture. **(03)**

Ans: Hard *versus* Soft Culture

Basis of Difference	Soft Culture	Hard Culture
1) **Meaning**	These are the cultures, which allow a comparably easy diversion of what is the meaning and what is important and easy conversion at each level.	In these cultures, there is a strong bond between meaning, importance and performance and these are hard to change.
2) **Objectives**	Networking and communication are the prime objectives of soft culture.	Invalidating each individual's vitality is its objective.
3) **Modification**	Soft culture can be modified easily.	Changes in hard culture are difficult because it is deeply regularised in the arrangement of roles and icons.
4) **Emphasis**	Soft cultures are more inclined towards relationship building.	The task is emphasised in hard culture organisation.
5) **Flexibility**	Soft culture organisations are flexible with their strategies.	The hard culture organisations have a clear and rigid strategy.

Ques 4 b) iii) Formal *versus* Informal Culture. **(04)**

Ans: Formal *versus* Informal Culture

Formal Culture	Informal Culture
1) A group's decision determines the course of action.	1) The ideal way of doing things is adopted rather than agreement among the group members.
2) Everything is official in formal culture such as procedure, mission, value, etc.	2) Nothing is in written form anywhere.
3) It has a very strict level of authorities expressing power and status differences.	3) It focuses on the formation of democratic structure with less power and status differences.
4) The human resource department recruits and retains individuals according to the objectives and policies of the organisation.	4) Recruitment decisions in an informal culture are influenced by relationships between superiors and sub-ordinates.

Ques 5 a) Explain how will you implement Kurt Lewin's Three Stage Change Model in a manufacturing company? **(10)**

Ans: Kurt Lewin's Three Step Model
Refer Unit-4, Chapter 10, Page No. 190

Or

Ques 5 b) Explain the concept of Resistance to Change. What are the steps to be taken by an individual and management to overcome the Resistance to Change? **(10)**

Ans: Concept of Resistance to Change
Refer Unit-4, Chapter 10, Page No. 203

Overcoming Resistance to Change
Refer Unit-4, Chapter 10, Page No. 204

UNIVERSITY OF PUNE

MBA - FIRST SEMESTER EXAMINATION, OCTOBER - 2015

ORGANISATIONAL BEHAVIOUR

Time: 2½ Hours **Max. Marks: 50**

Note: 1) Each question carries 10 marks.
2) All questions are compulsory.

Ques l a) Comment – "Organisational behaviour is relatively young field of study that borrows many concepts and methods from behaviour and social science".

Ans: Disciplines Contributing to the Field of OB
Refer Unit-1, Chapter 1, Page No. 31

Or

Ques 1 b) What do you understand by organisational behaviour? What are the challenges before organisational behaviour?

Ans: Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 23

Challenges before Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 34

Ques 2 a) Organisational behaviour is misnomer because it is not the study of how organisation behaves but rather the study of individual behaviour in an organisation. Elaborate.

Ans: Organisational behaviour is a misnomer. It is not the study of how organisations behave, but rather the study of individual behaviour in an organisational setting. This includes the study of how individuals behave alone, as well as how individuals behave in groups. The purpose of organisational behaviour is to gain a greater understanding of those factors that influence individual and group dynamics in an organisational setting so that individuals and the groups and organisations to which they belong may become more efficient and effective. The field also includes the analysis of organisational factors that may have an influence upon individual and group behaviour. Much of organisational behaviour research is ultimately aimed at providing human resource management professionals with the information and tools they need to select, train, and retain employees in a fashion that yields maximum benefit for the individual employee as well as for the organisation.

Importance of Organisational Behaviour in understanding and Managing Individual Behaviour
Refer Unit-1, Chapter 1, Page No. 26

Or

Ques 2 b) Elaborate the three levels of organisational behaviour and relation between organisational behaviour and individual behaviour.

Ans: Three Levels of Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 32

Relation between Organisational Behaviour and Individual Behaviour
Refer Unit-1, Chapter 1, Page No. 27

Ques 3 a) Comment "A group comprises of two or more persons who interact with one another in a such manner that each person influences and is influenced by each other person". What are different types of groups?

Ans: Group
Refer Unit-3, Chapter 5, Page No. 106

Types of Groups
Refer Unit-3, Chapter 5, Page No. 109

Or

Ques 3 b) How individual behaviour is different from the group behaviour? Which factors characterise the individual behaviour.

Ans: Out of Syllabus

Ques 4 a) What is workplace culture? State the criticisms? Work place spirituality.

Ans: Workplace/Organisational Culture
Refer Unit-4, Chapter 8, Page No. 158

Criticisms of Organisational Culture
Refer Unit-4, Chapter 8, Page No. 168

Workplace Spirituality
Refer Unit-5, Chapter 9, Page No. 178

Or

Ques 4 b) How the positive organisational culture can be created? What are the advantages of organisational culture?

Ans: Creating Positive Organisational Culture
Refer Unit-4, Chapter 8, Page No. 164

Role/Advantages of Organisational Culture
Refer Unit-4, Chapter 8, Page No. 161

Ques 5 a) What do you understand by organisational change? What are the forces that act as stimulants to change?

Ans: Organisational Change
Refer Unit-5, Chapter 10, Page No. 181

Forces that Act as Stimulants to Change
Refer Unit-5, Chapter 10, Page No. 184

Or

Ques b) How to overcome the resistance to change?

Ans: Overcome the Resistance to Change
Refer Unit-5, Chapter 10, Page No. 204

SAVITRIBAI PHULE PUNE UNIVERSITY

MBA - FIRST SEMESTER EXAMINATION - 2016

ORGANISATIONAL BEHAVIOUR

Time: $2^1/_2$ Hours **Max. Marks: 50**

Note: 1) Attempt Five questions.
2) All questions carry equal marks.

Ques 1 a) Why there is need of study the individual and group behaviour for the productivity of organisation? (10)

Ans: Need of Study the Individual Behaviour for the Productivity of Organisation
Out of Syllabus

Need of Study the Group Behaviour for the Productivity of Organisation
Refer Unit-3, Chapter 5, Page No. 108

Or

Ques 1 b) Explain with suitable example the different models of Organisation Behaviour.

Ans: Models of Organisation Behaviour
Refer Unit-1, Chapter 1, Page No. 28

Ques 2 a) Critically examine the Maslow's Need Hierarchy Theory of Motivation. (10)

Ans: Maslow's Need Hierarchy Theory of Motivation
Refer Unit-2, Chapter 4, Page No. 93

Or

Ques 2 b) "Concept of Johari window is an effective technique to improve an individual's communication skills?" Discuss with suitable example.

Ans: Johari Window
Refer Unit-1, Chapter 2, Page No. 59

Quadrants of Johari Window
Refer Unit-1, Chapter 2, Page No. 59

Ques 3 a) "Change is a need for organisational development." Explain the structural change required to improve group effectiveness. (10)

Ans: Organisational Change
Refer Unit-5, Chapter 10, Page No. 181

Structural Change required to Improve Group Effectiveness
Structural change, in the context of organisational change, refers to managerial attempts to improve performance by altering the formal structure of task and authority relationships. But because structure creates human and social relationships that members of the organisation may value highly, efforts to disrupt these relationships may be resisted.

Structural changes alter some aspects of the formal task and authority system. The design of an organisation involves the specification of jobs, the grouping of jobs into departments, the creation of virtual teams, and identification of work to be done at remote sites (e.g., the employee's home), the determination of the size of groups reporting to a single manager, and the distribution of authority, including the provision of staff assistance.

All organisation needs to make changes in their strategies and structure from time to time. In the past, when the environment was relatively stable, most organisations focused on small, incremental changes to solve immediate problems or take advantage of new opportunities, however, over the past decade, companies throughout the world have faced the need to make radical changes in strategy, structure, and management processes to adapt to new competitive demands.

Many organisations are cutting out layers of management and decentralising decision-making. There is a strong shift toward more horizontal structures, with teams of front – line workers empowered to make decision and solve problem on their own. Some companies are breaking totally away from traditional organisation forms and shifting toward network strategies and structures, others are moving their entire business into cyberspace.

Numerous companies are reorganising and shifting their strategies as the expansion of e- commerce changes the rules, e.g., online banking, credit cards, and ATMs are affecting the role of branch banks. Global competition and rapid technological change will likely lead to even greater strategy – structure realignments over the next decade.

These types of changes are the responsibility of the organisation's top managers, and the overall process of change is typically different from the process for innovation in technology or new product.

Or

Ques 3 b) "A leader is developed and not born" correlate the statement with the contemporary theories of leadership. **(10)**

Ans: Leaders are Developed and not Born

Some personality traits common to successful leaders, such as assertiveness and gregariousness, have been found to be moderately inheritable, but few studies have been done on the genetic basis of leadership. One study of 247 adult twin pairs found that about one-half of the personality traits associated with leaders could have a genetic basis.

Leadership, however, is more than just personality traits. More often if is the result of developing characteristics that inspire people to work for the goals of an organisation. These include understanding people, exercising power and authority judiciously, empowering colleagues, and being decisive. Leaders know their strengths and weaknesses. They use their strengths wisely, compensate for their weaknesses, and draw on the talents of other members of the organisation. Schools are seldom ideal places to develop leadership skills because policies and regulations often place strict limits on the discretionary power of a school leader.

Contemporary Theories of Leadership

Refer Unit-3, Chapter 6, Page No. 146

Ques 4 a) Define the role of employer and employee in creating and sustaining organisational culture. **(10)**

Ans: Role of Employer and Employee in Creating and Sustaining Organisational Culture

Refer Unit-4, Chapter 8, Page No. 163

Or

Ques 4 b) What are the causes of stress? Define the individual level and organisational level stress management strategies.

Ans: Causes of Stress

Refer Unit-5, Chapter 9, Page No. 170

Individual Level Stress Management Strategies

Refer Unit-5, Chapter 9, Page No. 174

Organisational Level Stress Management Strategies

Refer Unit-5, Chapter 9, Page No. 174

Ques 5 a) Discuss the intervention strategies for facilitating organisational change. **(10)**

Ans: Intervention Strategies for Facilitating Organisational Change

Refer Unit-5, Chapter 10, Page No. 197

Or

Ques 5 b) What are the forces that acts as stimulants to change? Explain the Kurt Lewin's three step model.

Ans: Forces that Act as Stimulants to Change

Refer Unit-5, Chapter 10, Page No. 184

Kurt Lewin's Three Step Model

Refer Unit-5, Chapter 10, Page No. 190

SAVITRIBAI PHULE PUNE UNIVERSITY

MBA - FIRST SEMESTER EXAMINATION - 2017

ORGANISATIONAL BEHAVIOUR

Time: 2¼ Hours **Max. Mark: 50**

Note: 1) All questions are compulsory.
2) All questions carry equal marks.

Ques 1 a) "Organisational theories studies organisations to identify how they solve problems and how they maximise efficiency and productivity" Do you agree or disagree with this statements? Why? (10)

Ans: Yes, it can be agreed with the above statement due to the fact that correctly applying organisational theory can have several benefits for both the organisation and society at large. As many organisations strive to integrate themselves into capitalistic societies, they initiate a ripple effect between other competing firms and already-existing economic pressures. Once an organisation sees a window for expansion, it begins to grow by producing more and thus alters the economic equilibrium by catapulting itself forward into a new environment of production. This expansion induces changes not only in the organisation's infrastructure but also in competing organisations and the economy as a whole. Other firms observe these innovative developments and recreate them efficiently. Developments in organisations help boost economic potential in a society and help generate the tools necessary to fuel its capitalistic system.

One example of how development in an organisation affects the modern era is through factory production. The concept of factory production amplified production as a whole and allowed for the organised division of labour to start. It centralised facets of the workforce and began to define the rules of production and trade, which also led to specialisation. Henry Ford implemented an innovative design by modifying factory production and creating the assembly line, which is still used in many factories in contemporary society. These developments make it easier for a company to produce and thus incentivise firms to aggregate and utilise more efficient methods for running their companies.

A basic understanding of organisational theory is the key to run a business because a business will likely have employees. It is important to understand the principles of how they act around one another, how they act with the manager, what motivates them and what kind of incentives they should have. Understanding organisational theory is the first step towards understanding your employees and yourself.

Organisational theory studies organisations to identify the patterns and structures they use to solve problems, maximise efficiency and productivity, and meet the expectations of stakeholders. Organisational theory then uses these patterns to formulate normative theories of how organisations function best. Therefore, organisational theory can be used in order to learn the best ways to run an organisation or identify organisations that are managed in such a way that they are likely to be successful.

Organisational theory can also help identify malicious forms of corporate practice and use them to highlight future precautionary measures. The nuclear accident at Three Mile Island helped determine ways to ensure the prevention of similar incidents. In that case, developments in organisational theory led to stronger government regulations and stronger production-related safety mandates.

Or

Ques 1 b) Define Organisational Behaviour. Explain various models of Organisational Behaviour. (10)

Ans: Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 23

Models of Organisational Behaviour
Refer Unit-1, Chapter 1, Page No. 28

Ques 2 a) Explain Big five factor model of personality with reference to any sports personality as an example. (10)

Ans: Big Five Factor Model of Personality
Refer Unit-1, Chapter 2, Page No. 57

Big Five Factor Model of Personality with reference to Tiger Woods

Eldrick Tont Woods (born December 30, 1975) better known as Tiger Woods, is an American professional golfer who is among the most successful golfers of all time. He has been one of the highest-paid athletes in the world for several years.

Tiger's adult personality can be examined under the Big-Five Factor Model as proposed by McCrae & Costa. These theorists believed that there were five factors of personality that seemed to be universal to all humans. The five factors are openness, conscientiousness, extraversion, agreeableness and neuroticism. Tiger appears to be moderately extraverted, in that he is very outgoing and sociable, active and talkative. He is deeply stimulated by the game of golf and excels at it. He would score very high on conscientiousness given that he is extremely driven, methodical and organised, thorough and hard-working, self-disciplined and punctual in all aspects of his profession.

He is relentless and opportunistic in his pursuit to dominate golf and break previous records set by Jack Nicklaus and he is highly motivated, competitive and goal-oriented which also links with Freud's concept of the phallic personality type. Some of these conscientiousness qualities may not however apply to his personal life. He displays very little anxiety; guilt and depression which would show him low on neuroticism. When he is on the golf course he will always appear calm, relaxed and unemotional. He has a hardy personality trait that appeared impenetrable until recent revelations of infidelities in his marriage. It could be argued however that Tiger could score quite high on neuroticism in respect of his personal life, namely due to recent news of his transgressions which would describe him as emotionally unstable and using maladaptive coping mechanisms to deal with his personal problems.

Tiger Woods exhibits high levels of agreeableness as a factor in his personality. Together with his parents, they established 'The Tiger Woods Foundation' and 'The Tiger Woods Learning Centre' in an attempt to promote both golf and other, non-sport activities for disadvantaged children. With regard to openness Tiger shows that he is sociable and charismatic, however he also shows a lack of self-control, values and selfishness.

Taking into account Tiger's achievements and misgivings since his professional career began, and exploring his personality on the Big-Five Factor model the trait theories reflect important structures of the personality but it doesn't consider all aspects. Tiger has exhibited some extreme aspects to his personality, on one hand he is a consummate professional, an extreme sports achiever and influential role model but on the other hand, there are questionable personality traits that dominate his personal life that reflect the polar opposite of his celebrity/public persona.

Or

Ques 2 b) Define content theories of motivation. **(10)**

Ans: Content Theories of Motivation

Refer Unit-2, Chapter 4, Page No. 93

Ques 3 a) Explain 'transformational leadership' with relevant example. **(10)**

Ans: Transformational Leadership

Refer Unit-3, Chapter 6, Page No. 147

Or

Ques 3 b) "Group Dynamics is a system- of behaviour and psychological processes occurring within a social group or between social groups" comment with relevant explanation. **(10)**

Ans: Group Dynamics

Refer Unit-3, Chapter 5, Page No. 114

Importance of Group Dynamics

Refer Unit-3, Chapter 5, Page No. 115

Ques 4 a) Explain the influential factors, which contribute in creating positive organisational culture. **(10)**

Ans: Influential Factors that help in Creating Positive Organisational Culture

Refer Unit-4, Chapter 8, Page No. 164

Or

Ques 4 b) Explain various stress management strategies adopted in organisations of modern era for individuals, group and organisation benefit. **(10)**

Ans: Stress Management Strategies
Refer Unit-5, Chapter 9, Page No. 174

Or

Ques 5 a) 'Nowadays, innovative approach is used as synonym for change management? Do you agree or disagree, justify your answer with suitable example. **(10)**

Ans: Yes, it can be agreed on that innovative approach can be used as a synonym for change management in today's world. This is due to the fact that unless companies innovate they cannot move up the value chain and unless they move up the value chain, they cannot remain competitive. So, to make changes to the organizational processes and its strategy, companies need to innovate constantly. Innovation can produce sudden and dramatic changes to the way business is done and the way consumers experience changes to the products and services made by the companies.

Change—or, to call it by another name, innovation—is the process of transforming a vision into a new reality that delivers the promised benefits. For quite some time now, it has been known that companies need to innovate constantly if they are to stay ahead of the pack in terms of competitiveness. Innovation can take many forms and some of them are discontinuous innovation, continuous innovation and dynamically continuous innovation.

This is the discontinuous innovation which is sudden and has a huge impact on the way the company goes about its business. On the other hand, innovation can be gradual and incremental which is the continuous innovation way which means that the company introduces refinements to its products so that consumers adjust and adapt in steps. Finally, there is the dynamically continuous innovation which affects the way in which the company adapts to changing market conditions and changes in consumer behavior trends to make a positive impact on the consumer psyche.

The point here is that no matter what kind of innovation the company adopts, the prerequisite for change management is innovation and without innovation, a company cannot expect its internal and external environment to be to its advantage. **For example**, if Apple comes out with its new iPhone and disrupts the way in which consumers perceive a phone, it is discontinuous innovation. If Apple modifies its iPhone in a dynamic manner according to the changing customer preferences, it is dynamically continuous innovation. If it releases its iPhone after minor tweaks, then it is continuous innovation. For Apple to make a mark in the customer experience, it has to keep changing continuously and hence has to innovate constantly to keep abreast of the consumer trends and the competition.

An example of a company that constantly strives to be the best when it concerns change and innovation is **3M Corporation**. This company is known for its world class innovation teams which drive change throughout the company and keep its consumers happy and its competitors on their toes.

The way in which 3M drives innovation to produce change is indeed exemplary and worthy of emulation. Hence, innovation should be the mantra for companies wishing to change their internal environments and in the process change the way they project themselves in the external marketplace.

Or

Ques 5 b) Explain Kotter's eight-step plan for implementing change. **(10)**

Ans: Kotter's Eight Step Plan for Implementing Change
Refer Unit-5, Chapter 10, Page No. 193

SAVITRIBAI PHULE PUNE UNIVERSITY

MBA - FIRST SEMESTER EXAMINATION - 2018

ORGANISATIONAL BEHAVIOUR

Time: $2^1/_2$ Hours **Max. Marks: 50**

Note: 1) All questions are compulsory.
2) All questions carry equal marks.

Ques 1 a) Explain theoretical framework of organisational behaviour with suitable example. **(10)**

Ans: Out of Syllabus

Or

Ques 1 b) Discuss how other discipline of science contributes to the study of organisational behaviour in modern era. (10)

Ans: Discipline of Science Contributes to the Study of Organisational Behaviour in Modern Era/ Disciplines Contributing to the Field of OB
Refer Unit-1, Chapter 1, Page No. 31

Ques 2 a) Define Attitude. Explain the importance of attitude in an organisation with the components of attitude. **(10)**

Ans: Attitude
Refer Unit-1, Chapter 2, Page No. 68

Importance of Attitude in an Organisation
Refer Unit-1, Chapter 2, Page No. 69

Components of Attitude
Refer Unit-1, Chapter 2, Page No. 70

Or

Ques 2 b) Defend the statement that perception is key factor in managerial efficiency. **(10)**

Ans: The role of perception is to receive the different kind of stimuli, organising the impressions which help us to interpret the meaning of various objects. The reason perception stands to be a key factor in the managerial effectiveness is because we need to understand and perceive different stimuli in order to understand what is best for everyone.

Management and Behavioural Applications of Perception
Refer Unit-2, Chapter 3, Page No. 82

Ques 3 a) Explain the concept of leadership with the contemporary theories of leadership. **(10)**

Ans: Leadership
Refer Unit-3, Chapter 6, Page No. 127

Contemporary Theories of Leadership
Refer Unit-3, Chapter 6, Page No. 146

Or

Ques 3 b) What are the different stages in team building process? Discuss the difficulties in formation of a team. **(10)**

Ans: Stages in Team Building Process
Refer Unit-3, Chapter 5, Page No. 124

Difficulties in Formation of Team/ Issues in Managing Teams
Refer Unit-3, Chapter 5, Page No. 122

Ques 4 a) What is organisational culture? Explain the influential factors which contribute in creating positive organisational culture. **(10)**

Ans: Organisational Culture
Refer Unit-4, Chapter 8, Page No. 159

Factors Influencing Organisational Culture
Refer Unit-4, Chapter 8, Page No. 162

Or

Ques 4 b) Define stress with different type of stress. Also suggest the individual and organisational stress management strategies. **(10)**

Ans: Stress
Refer Unit-5, Chapter 9, Page No. 170

Types of Stress
Refer Unit-5, Chapter 9, Page No. 173

Individual Stress Management Strategies
Refer Unit-5, Chapter 9, Page No. 175

Organisational Stress Management Strategies
Refer Unit-5, Chapter 9, Page No. 175

Ques 5 a) Explain seven stage model of change and Kotter's Eight step plan for implementing change. **(10)**

Ans: Seven Stage Model of Change
Refer Unit-5, Chapter 10, Page No. 192

Kotter's Eight-Step Plan for Implementing Change
Refer Unit-5, Chapter 10, Page No. 193

Or

Ques 5 b) Define organisational change. What are the types of organisational change? State suitable example. **(10)**

Ans: Organisational Change
Refer Unit-5, Chapter 10, Page No. 181

Types of Organisational Change
Refer Unit-5, Chapter 10, Page No. 182

UNIT-WISE CLASSIFICATION OF PREVIOUS YEAR QUESTION PAPERS

UNIT - 1

First Semester Examination, 2014

1 a) "Behaviour is generally predictable, so there is no need to formally study OB." Do you agree or disagree with this statement? Why?

Or

1 b) Define 'Organisational Behaviour'. Explain in brief models of OB:
i) Autocratic Model
ii) Custodial Model
iii) Supportive Model

2 a) Explain the meaning of Personality? Enumerate the Big Five Personality Model with suitable examples?

First Semester Examination, 2015

1 a) Comment – "Organisational behaviour is relatively young field of study that borrows many concepts and methods from behaviour and social science".

Or

1 b) What do you understand by organisational behaviour? What are the challenges before organisational behaviour?

2 a) Organisational behaviour is misnomer because it is not the study of how organisation behave but rather the study of individual behaviour in an organisation. Elaborate.

Or

2 b) Elaborate the three level of organisational behaviour and relation between organisational behaviour and individual behaviour.

First Semester Examination, 2016

1 a) Why there is need of study the individual and group behaviour for the productivity of organisation?

1 b) Explain with suitable example the different models of Organisation Behaviour.

2 b) "Concept of Johari window is an effective technique to improve an individual's communication skills?" Discuss with suitable example.

First Semester Examination, 2017

1 a) "Organisational theories studies organisations to identify how they solve problems and how they maximise efficiency and productivity" Do you agree or disagree with this statements? Why?

1 b) Define Organisational Behaviour. Explain various models of Organisational Behaviour.

2 a) Explain Big five factor model of personality with reference to any sports personality as an example.

First Semester Examination, 2018

1 b) Discuss how other discipline of science contributes to the study of organisational behaviour in modern era.

2 a) Define Attitude. Explain the importance of attitude in an organisation with the components of attitude.

UNIT - 2

First Semester Examination, 2014

2 b) Discuss critically Herzberg and Maslow's Need Hierarchy Theory of Motivation.

First Semester Examination, 2016

2 a) Critically examine the Maslow's Need Hierarchy Theory of Motivation.

First Semester Examination, 2017

2 b) Define content theories of motivation.

First Semester Examination, 2018

2 b) Defend the statement that perception is key factor in managerial efficiency.

UNIT – 3

First Semester Examination, 2014

3 a) "Both formal and informal groups are necessary for the group activity just as two blocks are essential to make a pair of scissor workable." Comment.

Or

3 b) Define 'Leadership'. Explain the styles of Leadership with justifying examples.

First Semester Examination, 2015

3 a) Comment "A group comprises of two or more persons who interact with one another in such a manner that each person influences and is influenced by each other person". What are different types of groups?

Or

3 b) How individual behaviour is different from the group behaviour? Which factors characterise the individual behaviour.

First Semester Examination, 2016

3 b) "A leader is developed and not born" correlate the statement with the contemporary theories of leadership.

First Semester Examination, 2017

3 a) Explain 'transformational leadership' with relevant example.

3 b) "Group Dynamics is a system- of behaviour and psychological processes occurring within a social group or between social groups" comment with relevant explanation.

First Semester Examination, 2018

3 a) Explain the concept of leadership with the contemporary theories of leadership.

3 b) What are the different stages in team building process? Discuss the difficulties in formation of a team.

UNIT - 4

First Semester Examination, 2014

4 b) Write short notes on:

i) Strong *verses* Weak Culture.

ii) Hard *verses* Soft Culture.

iii) Formal *verses* Informal Culture.

First Semester Examination, 2015

4 a) What is workplace culture? State the criticisms? Workplace spirituality.

Or

4 b) How the positive organisational culture can be created? What are the advantages of organisational culture?

First Semester Examination, 2016

4 a) Define the role of employer and employee in creating and sustaining organisational culture.

First Semester Examination, 2017

4 a) Explain the influential factors, which contribute in creating positive organisational culture.

First Semester Examination, 2018

4 a) What is organisational culture? Explain the influential factors which contribute in creating positive organisational culture.

UNIT - 5

First Semester Examination, 2014

5 a) Explain how will you implement Kurt Lewin's Three Stage Change Model in a manufacturing company?

Or

5 b) Explain the concept of Resistance to Change. What are the steps to be taken by an individual and management to overcome the Resistance to Change?

First Semester Examination, 2015

5 a) What do you understand by organisational change? What are the forces that act as stimulants to change?

Or

b) How to overcome the resistance to change?

First Semester Examination, 2016

3 a) "Change is a need for organisational development." Explain the structural change required to improve group effectiveness.

4 b) What are the causes of stress? Define the individual level and organisational level stress management strategies.

5 a) Discuss the intervention strategies for facilitating organisational change. (10)

5 b) What are the forces that acts as stimulants to change? Explain the Kurt Lewin's three step model.

First Semester Examination, 2017

4 b) Explain various stress management strategies adopted in organisations of modern era for individuals, group and organisation benefit.

5 a) 'Nowadays, innovative approach is used as synonym for change management? Do you agree or disagree, justify your answer with suitable example.

5 b) Explain Kotter's eight-step plan for implementing change.

First Semester Examination, 2018

4 b) Define stress with different type of stress. Also suggest the individual and organisational stress management strategies.

5 a) Explain seven stage model of change and Kotter's Eight step plan for implementing change.

5 b) Define organisational change. What are the types of organisational change? State suitable example.

MODEL PAPER - I

ORGANISATIONAL BEHAVIOUR

MBA – FIRST SEMESTER EXAMINATION

Time: 2½ Hours **Max. Marks: 50**

Note: 1) All questions shall be compulsory with internal choice within the questions.
2) FIVE questions each carries 10 marks.
3) Figures to the right indicate marks for that question/sub-question.

1) **Answer any 5 out of 8:** **(02)**
   a) Define management.
   b) Discuss the concept of emotional intelligence.
   c) What do you understand by stimuli?
   d) What do you understand by positive and negative motivation?
   e) Explain the term, team building.
   f) What is visionary leadership?
   g) Define conflict.
   h) What do you understand by work-life balance?

2) **Answer any 2 out of 3:** **(05)**
   a) Discuss the nature of management.
   b) Explain the ways of developing emotional intelligence at the workplace.
   c) Discuss the concept of Maslow's need hierarchy theory of motivation.

3 a) **Explain the process of organisational change. Also describe the levels of organisational change** **(10)**

Or

b) How to deal with individual and group resistance? State the benefits of resistance to change. **(10)**

4 a) Explain the consequences of individual and organisational stress. **(10)**

Or

b) Explain the autocratic, custodian, supportive and collegial model of organisational behaviour. **(10)**

5 a) Discuss the concept of Johari Window. Also explain its benefits and limitations. **(10)**

Or

b) Elaborate the steps involved in the perception process. Describe the factors that influence perception. **(10)**

MODEL PAPER - II

ORGANISATIONAL BEHAVIOUR

MBA – FIRST SEMESTER EXAMINATION

Time: 2½ Hours **Max. Marks: 50**

Note: 1) All questions shall be compulsory with internal choice within the questions.
2) FIVE questions each carries 10 marks.
3) Figures to the right indicate marks for that question/sub-question.

1) **Answer any 5 out of 8:** **(02)**
   a) Discuss the meaning of organisational behaviour.
   b) Write a note on MBTI.
   c) Write a note on intrinsic motivation.
   d) Define the term perception.
   e) Discuss the concept of group behaviour.
   f) What do you understand by functional leader?
   g) Discuss the concept of formal *versus* informal culture.
   h) Write a short note on acute and chronic stress.

2) **Answer any 2 out of 3:** **(05)**
   a) What are the challenges and opportunities of OB?
   b) Define the four quadrants of Johari Window.
   c) State the differences between attitude and perception.

3) a) State the steps involved in creation of learning organisation. Describe various disciplines of learning organisation. **(10)**

Or

b) Enumerate different types of culture. Also differentiate between strong and weak culture. **(10)**

4) a) Discuss the nature of organisational behaviour. Also explain the relationship between OB and the individual. **(10)**

Or

b) Describe different types of errors involved in perception. **(10)**

5) a) Explain the steps in the process of motivation. Also mention the elements of motivation. **(10)**

Or

b) Give a detailed note on various types of leaders and leadership style. **(10)**

Index

A

Acute Stress, 173
Adjourning, 111
Adult Ego, 62
Alderfer's ERG Theory, 101
Attitudes, 68
Attribution, 87
Attribution Theory, 78
Authoritarian Culture, 162
Autocratic Leadership Style, 130
Autocratic Model, 28

B

Balance Theory, 113
Behavioural Theories, 138
Big Five Model, 57
Bureaucracy, 16
Business Values, 38

C

Change Management, 190
Charismatic Leadership, 148
Child Ego, 62
Chronic Stress, 173
Classical Organisation Theory School, 14
Collegial Model, 29
Community Values, 38
Complementary Transaction, 62
Conflict, 150
Conflict Management, 156
Contemporary Theories, 146
Contemporary Theories of Motivation, 100
Content/Traditional Theories of Motivation, 93
Contingency Approach, 22
Contrast Effect, 87
Controlling, 14
Cross-Functional Teams, 120
Custodial Model, 28

D

Dealing with Individual Resistance, 205
Decision-Making Approach, 23
Directing, 13
Discipline, 15
Distress, 173
Dominant Culture, 163

E

Ego States, 61
Emotional Competence Framework, 46
Emotional Motivation, 92
Emotions, 40
Equity Theory, 101
Esprit de Corps, 16
Eustress, 173
Evolution of Management Thought and OB, 14
Evolutionary Change, 184
Exchange Theory, 113
Extinction, 103
Extra-Organisational Stressors, 172
Extrinsic Motivation, 93

F

Family Values, 39
Feeling Managers, 53
Fiedler's Model, 142
Financial Motivation, 93
First Impression, 87
Flexible Compensation, 177
Flextime, 176
formal groups, 109
Forming, 110
Free Rein Leadership, 131
Friendship groups, 109
Fundamental Change, 183
Fundamentals of Emotional Intelligence, 43

G

General Motive, 91
Greiner's Six-Phase Process, 194
Group, 106
Group Behaviour, 106
Group Cohesiveness, 116
Group Composition, 115
Group Dynamics, 114
Group Leadership, 116
Group Level Conflict, 153
Group Norms, 116
Group Polarisation, 112
Group Roles, 116
Group Size, 115
Group Status, 116
Group Stressors, 171
Groupthink, 112

H

Halo Effect, 86
Herzberg's Two Factor Model Theory, 95
Homan's Interaction Theory, 113
Horizontal Conflict, 154
Human Values, 38
Hygiene Factors, 95

I

Individual Level Conflict, 152
Individual Stressors, 170
Informal groups, 109
In-groups, 109
Instrumental Values, 39
Interest group, 109
Inter-Group Conflict, 153
Inter-Organisational Conflict, 154
Inter-Personal Conflict, 152
Intra-Group Conflict, 153
Intra-Organisational Conflict, 154
Intra-Personal Conflict, 152
Intrinsic Motivation, 93
Intuitive Feelers, 53
Intuitive Managers, 53
Intuitive Thinkers, 53

J

Job Satisfaction, 71
Job Sharing, 177
Johari Window, 59

K

Kotter's Eight-Step Plan for Implementing Change, 194
Kurt Lewin's Model of Change, 191

L

Laissez Faire Approach, 189
Leaders versus Managers, 127
Leadership, 127
Leadership Participation Model, 145
Learning Organisation, 208
Likert's Four Systems, 139

M

Management, 11
Management Science School, 20
Managerial Grid, 138
Managing Cultural Diversity, 166
Maslow's Need Hierarchy Theory, 93
McClelland's Needs Theory, 100
McGregor's Theory X and Theory Y, 96
Mechanistic Organisational Culture, 162
Michigan Studies, 141
Models of Organisational Behaviour, 28
Motivation, 89
Motivational Factors, 95
Motive, 89
Myers Briggs Type Indicator (MBTI), 56

N

National Values, 39
Negative (Avoidance) Reinforcement, 103
Negative Motivation, 92
Nominal groups, 110
Non-Complementary Transaction, 64
Non-performing groups, 110
Norming, 110

O

Ohio State University Studies, 140
Operational Change, 183
Organic Culture, 162
Organisational Behaviour (OB), 23
Organisational Change, 181
Organisational Culture, 159
Organisational Level Conflict, 154
Organisational Stressors, 172
Organising, 13
Out-groups, 109

P

Parallel Transaction, 62
Parent Ego, 61
Participative Culture, 162
Participative Leadership Style, 130
Path-Goal Theory, 144
Perception, 75
Perceptual Interpretation, 82
Perceptual Organisation, 81
Perceptual Selectivity, 80
Performing, 110
Permanent Groups, 110
Personality, 50
Personality Tests, 55
Planning, 13
Porter and Lawler Model, 99
Positive Motivation, 92
Positive Reinforcement, 103
Primary groups, 109
Primary Motivation, 92
Problem-Solving Teams, 119
Process Theories of Motivation, 98
Professional Values, 39
Propinquity Theory, 112
Punishment, 103

R

Rational Motivation, 92
Reinforcement Theory, 102
Resistance to Change, 204
Right Attitude, 69
Rorschach Ink Blot Test, 58

S

Scalar Chain, 16
Secondary groups, 109
Secondary Motivation, 92
Secular Values, 39
Selective Perception, 85
Self-Fulfilling Prophecy, 87
Self-Managed Teams, 119
Sensation Feelers, 53
Sensation Thinkers, 53
Sensing Managers, 53
Seven Stage Model of Change, 193
Situational Leadership Model, 143
Situational/Contingency Theories, 141
S-O-B-C Model, 29
Social Facilitation, 111
Social Loafing, 112
Social Perception, 84
Social System Approach, 23
Social Values, 38
Spiritual Values, 39
Staffing, 13
Stereotyping, 85
Stimuli, 76
Storming, 110
Stress, 170
Strong Culture, 162
Sub-Culture, 163
Supportive Model, 29
Survival motives, 90
Systems Approach, 21

T

Tannenbaum and Schmidt's Situational Continuum, 146
Team, 117
Team Building, 124
Team Effectiveness, 120
Telecommuting, 177
Temporary Groups, 110
Terminal Values, 39
Thematic Appreciation Test, 58
Thinking Managers, 53
Trait Theories, 136
Transactional Analysis (TA), 60
Transactional Leadership, 147
Transformational Leadership, 147
Type A Personality, 54
Type B Personality, 55

U

Ulterior Transaction, 65
Unhealthy Cultures, 162

V

Values, 37
Vertical Conflict, 154
Virtual Teams, 120
Visionary Leadership, 149
Vroom's Expectancy Theory, 98

W

Weak Culture, 163
Work Stressors, 170
Work-Life Balance, 176
Workplace Spirituality, 178

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